Page Industries Ltd. (PAGEIND)

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31 May 2023
The Secretary
Corporate Relationship Dept. The Bombay Stock Exchange 1
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Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India Limited Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir, Sub: Audio Recording and Tr anscript of Investor call
We herewith enclosed the transcript of investors call for the financial results for the
Quarter ending 31 March 2023.
Audio recording of the investor call is available in the following link: https://youtu.be/L9oPl6VC93w

This is for your information and records.
Thanking you, Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary Encl: as above

“Page Industries Limited
Q4 FY '23 Earnings Conference Call ”
May 25 , 202 3

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE
INDUSTRIES LIMITED
MR. K. CHANDRASEKAR – CHIEF FINANCIAL OFFICER
– PAGE INDUSTRIES LIMITED
MR. GAGAN SEHGAL – CHIEF OPERATING OFFICER -
PAGE INDUSTRIES LIMITED
MR. RAHUL SHUKLA – PRESIDENT AND CHIEF RETAIL
OFFICER – PAGE INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Page Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the prese ntation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. V. S. Ganesh, Managing Director, Page Industries Limited. Thank you, and over to you, sir.
V. S. Ganesh: Thank you, thank you so much and good evening everyone. Thank you all for joining us on the call this evening. Well, we ended the year well and we clocked a healthy growth, though we had a challenging Q4. As expected, the demand is subdued. Q4 performance was also coloured by the impact of ARS implementation. As you remember, we had paused ARS during the pandemic and reintroduced ARS during the second half of this yea r.
Given the scale and complexities of 4,800 plus distributed accounts, we know this is going to take some more time to make this transformation shift from push -based to pull -based auto

replenishment system. We believe this is the most important transformation which will pave the way for years to come. While the overheads were not optimally absorbed in the Q4, we have taken aggressive measures to control cost as we move forward.

We are very, very optimistic about the long-term view of the business given the consumption, industry and economic drivers and we continue to focus on intensifying general trade distribution, modern trade expansion including rapid expansion of exclusive brand outlets, growing online business, improving our customer experienc e, strengthening our product portfolio and in ensuring a very robust supply chain which is robust and agile.

Let me take you through some quick highlights before our CFO details the financial performance for the quarter and for the full year. Our full year revenue has grown by 23.2% whereas the volume has grown by 13.1%. Q4 revenues have de grown by 12.8% year on year and 20.8% quarter on quarter whereas volumes de grew YoY and QoQ by 14.6 and 19.2 respectively.

EBITDA margin degrowth for the quarter can be attributed to higher product cost and under absorption of other overheads and as I told you before we are taking measures to control all the expenses as we move forward. As we reinstated normal advertising expenses this year, a good share of that was invest ed during Q4. As of March end we are present in 120,000 plus MBOs, 1,289 EBOs and 3,000 plus LFS. Our channel expansion continues to be in line with our plans and we are also happy to inform you that our e -commerce business has grown by 41% in Q3 and 34% i n Q4.

I will now let our CFO Mr. K. Chandrasekhar to give a detailed view on our financial performance after which we would b e happy to take your questions. As usual, on our panel today, we have our CFO, and I'm also joined by Mr. Gagan Sehgal, our Chief O perating Officer; and Mr. Rahul Shukla, President & Chief Retail Office. They will be more than happy to answer any questions that you may have in their respective domains.

Thank you once again for joining the call today, and over to Chandrasekar.

K. Chandrasekar: Thank you Mr. Ganesh once again welcome you to the Page Q4 FY ‘23 Earnings Call . FY ‘23 results were good we clocked INR47, 886 million compared with INR38 ,865 million as some of you would have noted. This is a growth of 23% the volumes had a 13% growth to nearly 216 million pieces. EBITDA showed a growth of about 10% to INR28,627 million. The margins are at 18% EBITDA margins are at 18% which compares with about 20.2% in the previous year mainly due to sales related expenses and advertisement inves tments.

The FY ‘23 PAT is at INR5,712 million which is 6.5% growth over the previous year. The PAT percentage is 11.9 compared with 13.8. The quarterly Q4 performance has not been up to our expectations due to the external environment and that we did not achieve the revenues we were planning. So we ended up at 9,691 million which is a degrowth of about 13%, quarter -on-quarter degrowth of about 21%.

The EBITDA reported at INR1,345 million compares with the INR267 1 million year -on-year and this is a degr owth of around 50%m YoY , quarter -on-quarter there is a degrowth in EBITDA of around 30%.

EBITDA margins are at 13.9 % and it compares with 24% year on year and around 16% quarter -on-quarter. As explained by MD in the opening remarks, the margins are impact ed due to COGS of 2.6% and 7.6% opex and because we could not achieve the revenues the absorption has been over. While we have not stopped investing in advertisement but the absorption of all the opex has been over.

The Q 4 PAT profit of the tax is at INR78 4 million. It's a degrowth of around 59% year -on-year and quarter -on-quarter it is a degrowth of around 37%. The PAT margins therefore are 8.1% compares with year -on-year 17.1 and quarter -on-quarter 10.1% . Inventory has also been at an all-time high so far . We are close to almost INR15,950 million and quarter -on-quarter it is about INR14,963 million.

Inventory days are 120 against 92 of the previous year and of course due to the lower revenues and volume, the inventory is taking much longer. As you know, we had done advance inventory. We plan for advance inventory in anticipation of growth which didn't happen so therefore the inventory will take longer to liquidate. The net working capital is at 7,017 million compares with about INR8,045 million quarter on quarter. The working capital days at 59 days are generally in line with the previous year.

So, with this I hand over for the Q&A session please.

Moderator: Thank you very much. We will now begin the question-and -answer session. We have our first question fr om the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: Sir, first question pertains to the growth side. So despite Omicron wave, if I see Y -o-Y degrowth looks a bit loud in numbers. So just wanted to understand if you can give some more read on the slowdown that we are

witnessing and how in your assessment how early you see this demand
sentiment turning around for us?

V. S. Ganesh: Okay Tejash, thanks for asking this question Tejash and there are two parts to your question because for us this is part of this market and second part is because we also knew what we are getting into when we are implementing the auto replenishment system. So if we look at our Q4 performance, yes the market has been subdued and we actually expected Q4 to be f rom a market sentiment point of view much better than what we thought it is going to what actually turned out to be.
So that did impact and we also were bracing ourselves for some initial setbacks as far as ARS is concerned because you know during the pandemic the distributors inventory became varied outside it because they were buying based on what is available rather than what is required by the market and you know there was a huge demand shift that the market witnessed. So both of it didn't help.
This is also one reason we thought we would rather take that bitter pill and accelerate the ARS implementation because the faster we do the better. So and this is a very complex and the sheer size of this transformation is so big that we were expecting few quarte rs of tightness but the market not being so buoyant also didn't help us.
As you know we have 4,800 plus distributor accounts and we know that this is going to take time and we need to go at SKU basis because what actually happe

ned during the first phase wa s
that the core styles you know they were having extra inventory and that was coming down but it was not triggering a reorder and the other styles which are potential winners for us which were not actually purchased and this is also to do with the liquidit y in the market and other aspects.
Now that we have we have got some help on these we are able to push it further but this is a very, very important transformational project for our company which will help us for quarters to come. So it is good if we tighten ourselves for one or two quarters more till we cross the bridge and we are taking all necessary action to protect our margins as we move forward and implement this flawlessly.
Tejash Shah: Is the peak phase of this transition behind us? Or you believe, as you said, 2 quarters more? So should we expect that the peak will actually be in the coming quarter of this transition?
K. Chandrasekar: It is a tough question to answer because it is very difficult to dissect how much is because of this ARS transformat ion and how much is because of the market, which is not buoyant. If we think by latter half of Q1 , in fact, by June, if things will start moving around, we will definitely see huge improvements. So in fact, we already see some improvements. But this would be much better than what we are thinking. So we are basing ourselves when market improves, we will be the first guys to bounce back. We are all ready for it. So first one if you ask me I think we have seen the bottom of it.
Tejash Shah: Perfect. Second, if you can give some colour on the current slowdown in terms of qualitatively, are you seeing it much higher in certain category or channel
V. S. Ganesh: It is across the channel off -line basically because as you see, we had a pretty healthy growth in the online channel. So we are trying to understand why this is happening. But if you see it is across, and we think the consumers are postponing the b uy, and it's consumer time because

luckily we are in the discretionary space so we will be the first ones to r ecover. That's how we read it.
Tejash Shah: Sure. And sir, last one, if I may, would you take any pricing intervention to revive demand in terms of cutting or offering some...
V. S. Ganesh: We are fairly priced. I think we are a value for money brand and w e don't see any immediate need for a price intervention, because if you see, despite all this, we have performed better than many other brands, so price is not a barrier for us. We don't see an immediate need for intervention.
Moderator: Thank you. We have our next question from the line of Gaurav Jogani from Axis Capital. Please go ahead.
Gaurav Jogani: Thank you for the opportunity, sir. So my first question is with regards to the high-priced inventory of cotton. So is it now over or because of the subdue d sales, we do see still the high -price inventory being carried in the inventory?
V. S. Ganesh: Gaurav, yes, since we were carrying a lot of inventory the high price of cotton, we did have that impact in Q4, but the benefit has started flowing in, and I ca n say even as late as March of Q4,

we have started seeing the benefit. So we have cross ed a b ridge.
Gaurav Jogani: Okay, sir. So my next question is with regards to the demand pattern only. We have seen some demand volatility over the past couple of years with some sharp demand across the industry due to the COVID pent -up demand. And now this demand seems to be normalizing either by way of lower customer demand or ARS implementation. So on a CAGR basis, do you think that would be the right metric to look at the demand? Or do you see this impact is temporary and we might see the old demand coming back?
V. S. Ganesh: I find, Gaurav, the market looks very subdued. So I think it will take some more time for the old demand to come back. We are actua

lly patiently watching as we are ready to bounce back the moment the market recovers. G enerally, across trade, the inventory is very high. The inventory levels are very high. There is tightness as far as liquidity is concern. So I think it will take some more time for r ecovery to be seen.
Moderator: Thank you. We have our next question from the line of Ashish Kanodia from Citi. Please go ahead.
Ashish Kanodia: The first question is in our inventories. So when we ended 3Q, our inventory level was already very high and given that the demand scenario doesn't look very buoyant, what is your take to the incremental built up even quarter -on-quarter in 4Q?
V. S. Ganesh: There are two reasons, Ashish. One is, of course, the demand was not as we anticipated. But the second part is , we had a high level of raw material inventory. This is because as you saw, it's one, the demand was so high and the market was so buoyant, and nobody predicted this kind of drop. And therefore, the supply chain was gearing up for a high operating level a nd they were purchases.

During the pandemic also as Chandrasekar rightly said in his opening remarks, during the pandemic also, we buil t inventory because the supply chain was so disrupted, we did build inventory. So what we did was we converted this raw m aterial to finished goods because we have to keep our operating costs at an optimum level, we need to utilize our capacities. So we made sure that this inventory build-up is healthy, and we make sure that what we are producing our core sites so that we don 't have the threat of slow -moving or non -moving inventory at a data point all the time.
So it was a balancing act of utilizing our inventory to utilize the capacities we have built and thereby manage the operating cost and also have a healthy inventory at finished goods. So this year, we are very optimistic will normalize as we move forward because we have tuned our supply chain in such a way that the supplies going forward are going to be lower than what we are going to sell so that we can bring the invent ory levels down. So you will see quarter -on-quarter improvements as far as the inventories are concerned.
Ashish Kanodia: Sure, sir. And the next question is on the demand front right so, while I understand, there is some impact coming from ARS and channel inventory being high. So I just want to understand from two perspectives, first if you can give some sense on, how the like for like sales for EBOs has been because that gives so much clearer picture in terms of the real consumer demand.
And the se cond thing is, if you can you know qualitatively state between the categories say, men's innerwear, women's innerwear and athletes are there relatively, which category from an overall company perspective, suffered more volume decline and which did relative ly better.
V. S. Ganesh: Okay. So to answer your first question Ashish, the EBO growth was in line with overall growth.
So and that's the true reflection of the demand but we did see some softening in the last couple of months say March and April and that actually is a very true reflection of what is happening in the market, that is the best way we can sense it. So that's where, I told you before that the market is not on that point.
Coming to a category, of course, this is we can see this happening across categories, even though some of our premium products seem to be faring better but it is across categories and there is also some shift in the consumption pattern as far as outer wear is concerned. So it is moving more away from at home wear to the athleis ure.
So there is out of home wear, so there is a shift which we can see and that has actually caused some disruption across the market. I'm not just talking about Page or Jockey, across the market, we can see that. But that is something, which is question of time, before it

normalizes, but there is definitely a demand shift or a consumption shift in the outer wear space.
Ashish Kanodia: Very helpful, sir. This is last question if I may ask is, on the margin front. I think, in the opening remarks there was s ome discussion that, there was some impact of 2.6% on COGS and 7.6% on opex. If you can elaborate on that and also looking into FY ’24, do you still maintain the margin guidance of 20% to 21% or any change in that? Thank you.

V. S. Ganesh: KC you want to take that.

K Chandrasekar: Yes, I had explained earlier, we came in with high price inventory, which is liquidated now selling consuming slower one, due to that, we had in fact on the on the graph, on the margin. At the same time, on the opex, while we haven't overspent in terms of the opex, particularly in Q4.
We had about 1% percent more on advertisement actually 1.4%, we spent more on advertisements. On the revenues of the respective quarters year -on-year.
Also on selling overhead, we had spent about 2.3% and that is largely, due to the trade engagement and the commission, which we paid for the ecom marketplace and since ecom, there was a growth. The marketplace commissions were more than last year. So these are two of the significant items, we also had higher and absolute terms, the salary is not too high in Q4. We also had about 2% more on the corporate, on the staff's family. So these are largely explaining the 7.6%.
The other question as to the guidance, so in terms of that, why we do not sort of gi ve a guidance or forecast, what I can tell you is that, if we had, we did 9,691 revenues for this quarter. If it was 11,111, which we achieved last year Q4, we would have hit an EBITDA percentage of about 17%, 17.5%. So definitely, our aim is to get back i nto 18% to 20% EBITDA margin and that also is supported by the inventory cost, will be coming in lower in Q1 and more so in Q2. So that would be rather than increasing the price as V. S. Ganesh said. Our approach would be to tighten the cost and improve the revenues. So, we will definitely get back to that range. This is something, we look at as another ratio and as far as Q4, on a bit of Q3 is concerned.
V. S. Ganesh: Thank you, KC and this just, if I can add on what KC said, we have made a conservative bu dgets and have tuned the expenses to be in line with those budgets and we also done enough work in our supply chain, so that we cannot actually take care of the upside as in when market bounces back. So, we will have as KC said, we there will be a margin, tremendous margin recovery as we move forward.
There is no question about that and on this front, KC was also speaking about advertisement and that is something, which we are going to speak to because we are very bullish on the long-term and we are not goi ng to cut those costs because these are necessary because we have a very rich product portfolio. The consumer will be excited to discover them and we need to facilitate it. So we are going to go all out on those aspects because our long- term outlook is ver y bullish and what we are going to do is, to control all the other expenses, which may not be customer centric. Which are nice to have or for a long -term growth of the company, which we will do, when things recover. We will go aggressively and pursue those options.
Ashish Kanodia: Sure, sir. Very helpful. Thank you.
Moderator: Thank you. We have a next question from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Hi sir. Sir, I just wanted to better understand this demand environment a bi t, with without necessarily, why you are not able to give an ARS impact in the order, understanding the demand trend would have weakened further from third quarter levels in this quarter. And should I read

that comment on recovery as a sense

of that changi ng, as we go into the first quarter that, would be the first part, sir.
V. S. Ganesh: You are right Mr. Mehta, according to our read, the demand has slackened, further in Q4. In fact, we were thinking, it will be as bad as Q3. We never expected a further s lack and that is, what gave us a bit of a surprise. But now, we have braced ourselves to the reality and taken necessary corrective action but you are right. The Q4 demand seems to have slackened further and when I see the numbers across retail, it is furt her making it clear for us that, demand seem to be got more subdued in Q4.
Avi Mehta: Has that changed in first quarter, sir? As of now…
V. S. Ganesh: We are seeing some improvements definitely, we are seeing some improvement. But you know, again it may n ot be comparable to our last year Q1 because that was a record year for us and H1 was so good last year. So it may not be comparable but if I compare to Q4, I can definitely see some green shoots emerging.
Avi Mehta: Okay and so the ARS impact is going to be there for two more quarters, right, that's what you also said?
V. S. Ganesh: Yes, it is going to be but we are prepared for it. We will be managing this very carefully. So from an overall numbers point of view, we are seeing the bottom of it. But ARS, yes, two more

quarters is going to be the transitionary period as we read it. It can be shortened, if there is a demand picks up and if the inventory starts flowing out of the system, it can be hastened. So, I'm talking about the worst -case scenario here.

Avi Mehta: Got it, sir. If you can give us a sense on the pricing because we understand from the channel, there is some hike that we have done, which is our annual hike. Is that understanding correct and if you could kind of just clarify that part, sir?

V. S. Ganesh: Then, we did a price size last year 3.6% and nothing beyond that and we don't see an immediate need for any intervention.

Avi Mehta: Okay, sir. Perfect, sir. And that's all from my side. Congratulations to Deepanjan on the new appointment and thank you Chandrasekhar sir, for all your clarifications.

V. S. Ganesh: Thank you, thank you from me, for telling that and let me take this occasion to, on behalf of the Board and the senior management of Page and all the associates of Page, to thank Mr Chan drasekhar for his tremendous job, which he has done and wish him a very happy retired life.

Avi Mehta: Thank you. This has been very helpful, thank you very much. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Nihal Mahesh Jham from Nu vama. Please go ahead.

Nihal Jham: Yes sir, thank you so much and good evening to the management. Sir, one clarification on the ARS discussion that, is it possible to get a sense of the impact by looking at the secondary to

tertiary sales ideal ly because that in a way, would give us a sense of how the market demand has been and obviously, the lower replenishment would in a way give us the sense of ARS. Would that be the right way to look at it?

V. S. Ganesh: Absolutely. It would be the right way to look at it, but our visibility as regards tertiary will be a bit clouded because we don't, we can't get a real time and the exact visibility on that. Secondary, we get a very clear visibility. So that is, as you rightly said, one way of looking at it a nd the second is, since we get good end- to-end visibility on our EBO side, that is a good indicator and that's, where I said, if you look at last two months there seem to be an enhanced sub -duedness.

Nihal Jham: Got that and if I could follow up on that, i n earlier calls, you have given an indication of how the secondary sales has been, where you have visibility. Possible to just give a sense of how that number was for Q4?

V. S. Ganesh: Well, our secondaries, when you implement ARS, your secondaries a

re bound to be a bit more higher than primaries because you are actually flushing away the inventories and that is the trend, which is happening and that's why, we said, they'll be immediate here because the secondaries have to outpace the pri maries in the immediate until the distributed inventory come to normalizes and from there, you hit a great rhythm. So across the year, if you look at it, the secondaries and primaries have matched up. Your secondaries are aligned with primaries.

K Chandras ekar: Just to add, if I would come in, the secondaries in Q4 were actually marginally higher compared to last year and so it was the ARS in fact, that the distributed inventory was getting corrected but the market was getting replenished with the existing distributed inventory and the relevant inventory.

Nihal Jham: Got that. I think that was helpful to give a sense. I had another question on the, athleisure bit of it. Last you did highlight that, there was a category, which has been growing pretty well and even channel checks, as well as a lot of other commentaries were saying that the category is facing pressure as the athleisure consumption somewhere is moderating. From ARS going forward, what are the initiatives that, we are taking to see towards the, those category continues its long -term growth or maybe at least matches up to the growth at it over the last few years. If you could just highlight some of those?

V. S. Ganesh: Athleisure, the line was not clear. I think, you were asking about Athleisur e, right?

Nihal Jham: Yes, my question was on Athleisure that, the market is subdued at this point in time. What are the initiatives on our side, we are taking to see to it that, the growth sustained. Even post the COVID bump that, was seen over the last 2 4 months.

V. S. Ganesh: Okay. So, if I look at it from a long -term perspective as a country, this is one category, which is going to grow tremendously because there is the lifestyle change. There's a high fitness awareness and therefore, this is one catego ry, which if you see any commentary, everybody is in unique sense and saying this is one of the emerging categories, which is going to see accelerated growth. Now, what we are seeing is a temporary bump. This is also because if you look at like to like, du ring the pandemic, the consumption was high.

In fact, many brands including us, we, what would have taken three years for us to grow, we achieved in one year. And, when you compare against that, you obviously will hit a bump, when there is a correction. So our long-term view is very bullish and therefore we are leaving no stone unturned as far as product innovation is concerned, launching new products. We are going to go all out and giving all the necessary attention to this category. And we are having more exciting products in the pipeline.

We are looking at upgrading our existing product portfolio, so that there is much value for many of our consumers. And we are also going to come with more exciting products, which will cater to the cross -section of our c onsumers, in the lower end to the premium side. So we are looking at the prospects of it and to launch more products, which are going to be more friendly for all the category of people.

Moderator: We have a next question from the line of Manish Poddar from Motilal Oswal. Please go ahead.

Manish Poddar: Final three questions. One is any sense of market share you have, let's say, in the men segment, or let's say full year collectively or let's say it's a part?

V. S. Ganesh: Well, Manish, as you know, there is no syndicated study on the market share as well as market share official numbers are concerned. So what we do is, I can say we can talk about the penetration, looking at our PG. And if you look at it that way, we are in the high teens, around 17%, 18% mar ket share on the men's innerwear. And

that's where we keep saying there's so much headroom for us to grow. And as far as other categories are concerned, even though we are the most dominant players in most of the categories, we are single digit.

Manish Pod dar: No sir where I'm coming across is have you gained market share by your pay checks you know you would be doing all you know just through the sales channel and stuff like. So I'm just trying to understand any sense where your market share is in the category -- the men's category largely

V. S. Ganesh: So that's as I told you as far as men's innerwear is concerned, we are at around 17%, 18%...

Manish Poddar: Has that improved is what I'm trying to understand for the full year?

V. S. Ganesh: No, we are in that zone. So if you're asking whether compared to last year, it has improved, I can say we have grown more or less in the same zone.

Manish Poddar: Okay. And just the second part. So how much is the inventory in the trade? If you can just help me understand that in terms of number of deals in…

V. S. Ganesh: Gagan, you want to take that?

Gagan Sehgal: Thanks for the question. Are the inventory levels at the distribution level or the trade level at the retail ?

Manish Poddar: At the trade level because it was 75 days last quarter in the earlier comment you mentioned to optimize the capacity, you've put in some inventory in the trade. Now that is relatively higher. So I'm just trying to understand what is relatively means?

Gagan Sehgal: So we typically operate at around 50, 55 -day inventory at the trade level.

Manish Poddar: And what is that number right now?

Gagan Sehgal: So currently, also maintaining, as per our information right now, we are maintaining at around 48 to 50 days of trading.

Manish Poddar: So would that be fair to understand if the inventory in the trade is at normal level? It's not high, just that demand is lacklustre.

Gagan Sehgal: The inventory at the trade level in terms of placement of our products, we are where we were in fact for all our product lines. There is nowhere that the inventory has come down. We are still maintaining interest in. When it's a reflection of pressure in terms of replenishment by the distributor.

Manish Poddar: So okay. And just one last one for the full year '23, any broad sales cut by category, just broad headline, let's say, 30% to 37%. Any sort of sales cut on our cross -categories? That is all. Thank you.

Gagan Sehgal: More or less, the growth that we have mentioned for the year has been inline, all the categories have always grown at the same level itself. There's not too much of difference.

Manish Poddar: So can I squeeze in one more?

Gagan Sehgal: Yes.

Manish Poddar: So just an initial comment then, if the channel inventory is in fine shape w hy are you mentioning ARS implementation will take some more time?

Gagan Sehgal: See, what happens is that at the trade level, the inventory is at the right place with the MBO, whatever the MBOs want, they are supplied. But when there was a supply issue at that point of time, the distributor got a lot of inventory, maybe that was not relevant at that point of time. So that has not gone to the trade. That remains with the distributor.

So it's distributor inventory levels went up. So with the implementation of ARS, the distributed inventory is getting corrected as per the market demand because then we will only keep what

the retailer wants, so rather than the inventory level of the distributor going up. So this is the reason where the distributed inventory levels have come down. There is a correction. And this only through ARS is really getting what actually the market really needs. So it is not at the retail value was under distributor.
Manish Poddar: And sorry, just the same number 50, 55 days, what is the sa me number at distributor level last quarter also this quarte

r. And let's say, what is the optimum number versus now?
Gagan Sehgal: So normally, at the distributor level, it depends category-wise. But overall, we maintain a 45 to 50-day inventory at the dis tributor level.
Manish Poddar: And what is it now?

Gagan Sehgal: So the distributor level has got corrected by almost 20, 25 days what it used to be earlier.
Manish Poddar: But it is still 65 -70 days or is it at 45 days only?
Gagan Sehgal: It has now com e down to the 45, 50 days, which is the optimum level. And that is the inventory reduction that has happened where the distributors will continue the extra inventory, which was -- it was not as for the market. So most of the correction has always happened, and there's 20, 25 correction that has happened at the distributor point. And currently, the distributors are at a healthy for 45 to 50 days.
V. S. Ganesh: So let me also clarify this even to the number of days might have come down, but the inventory is lopsided. And this is where we are working on the ARS where in a SKU level, there will be a curated description as to what has we bought and that would be system -driven so that the 48 days is healthy inventory, because today, the distributor goes by cart and is based on historic data, and he doesn't see potential future billers, and he doesn't invest on it.
And this is where the SKU comes, and this is why we said this is one of the most important initiatives for us, especially with the kind of volatility we are seeing in the market, unless we have a cool system and if we keep pushing and when there's demand volatility like what we have seen in the last 2 years, this is going to have so much supply chain peaks and troughs . And the best way to do it is to have a full system. So yes, 48 days is there, but we still have work to do on this trend.
Manish Poddar: That's perfect. Because actually, if you take 20 days delta change and you do it say INR10 crores sales per day, you are in the INR200 crores to INR250 cror es sales loss. The only facilities just as a comment is, I shall to understand EBO was growing in the last quarter. And now when you're seeing EBOs growing in line with the company. So EBO sales have also declined materially. So that's the only dichotomy b ut nonetheless, thank you so much.
V. S. Ganesh: You are very right. And that definitely on the EBO side that is the indicator of the subdued demand.
Moderator: Thank you. We have our next question from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.
Devanshu Bansal: So in Q4, we saw launch of the men category innerwear EBOs. So just want to understand thought process behind this and the current distribution for this product?
V. S. Ganesh: Rahul, you want to take this?
Rahul Shukla: Sorry I didn’t get the question, could you just repeat your questions Mr. Bansal.
Devanshu Bansal: The question was on launch of the men category in EBOs. So I just wanted to understand the thought process behind this launch as we ll as the current distribution of this product?
Rahul Shukla: Launch of women category?
Devanshu Bansal: Gents.

V. S. Ganesh: Rahul, I got this. I think the question was the launch of men’s category.
Rahul Shukla: Okay. So Mr. Bansal, see, this was more of a test which we did. We actually wanted to see the pulse of the market. And we are continuing with it. But as far as the work pace is concerned, we need to be cautiously aggressive when we are embarking on this journey. So we announced this growth product to see how the consumer expectations and how it is evolving. So this is actually to take the category further forward.
Devanshu Bansal: So how has been the learning, sir? And what is the plan for distribution expansion for this product?
Rahul Shukla: The learn

ings -- it is well received. I can say the market is very excited. In fact, the very fact that you are asking this question itself shows that it is positive, and that is the feedback we are getting from the market. And this actually is a great sens e of direction to our product development team as to take how to take the category forward.

Devanshu Bansal: Got it, sir. And second question was if you could provide the comparable gross margins that we used to reporting the PPTs in this time around, we have not reported.

V. S. Ganesh: Sorry, the line was not clear. I didn’t get you.

Devanshu Bansal: The comparable gross margins which we used to report in the PPT in this quarter, we have not reported, which is around 40%...

V. S. Ganesh: We had about 41% Q 4. And can you hear me?

Devanshu Bansal: Yes, sir. Yes, 41% in Q4.

V. S. Ganesh: And last year and this year, we are 38.2%.

Devanshu Bansal: And just if you could indicate how has the movement of this gross margin during the quarter as we indicated that the high cost inventory volumes earlier in Jan and then in March we saw those started to see the benefit of that. So if you could just throw some light on that?

V. S. Ganesh: We are generally in 39% to 40% range. Some quarters are an exception. Last year w as an exception on the higher side. So the 39% and 40% is largely maintained. And I think going forward is the inventory costs are going to go lower then we would see that in gross margins.

Moderator: Thank you. We have a next question from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: Sir few questions from my side. Sir the old products with the distributor would have bought in the peak over time, which you should have bought. Has those products been taken back by the company or you have liquidated that in the channel in last two, three quarters?

V. S. Ganesh: Sorry, Ankit. We usually don't take it back. So it gets retreated in the deal course of the business in the channel.

Ankit Kedia: So when you say the inventory days and the distributable level has come down so the fast - moving inventory would have only got liquidated. Because the slow -moving inventory would still partially be at the distributor level and create an issue in the ARS ports?

V. S. Ganesh: Yes. So that obvi ously will not trigger a new order. So there will be no top- up happening for those products because it usually works on a mini bags, so it would not get an order. And this where I said, as we implement this, these kinds of abrasions won't happen as we move forward because we will be replenishing a bite side. And with all the work which we have done in supply chain on quick turnarounds, we can simply replenish. So they need to be very smart, and we need to create the distributor inventory to the best possibl e level and have a good presence across SKUs.

Ankit Kedia: Sure. And sir, historically, the new launches were not part of the ARS. Now are the new launches part of ARS for the distributors?

V. S. Ganesh: Going forward, it will be. And it has to be so that the new product gives an opportunity for the market to decide on how to receive it. So it gets a fair play in the market. So it has to be in the ARS.

Ankit Kedia: And sir, last question, sir, Q1 is the best quarter for us historically. Now with demand environment being low and the ARS issues partly getting settled in Q1. Do you see you’re a&M spend continuing to be higher for the full year or you will curtail your spends your efforts to maintain your margins?

V. S. Ganesh: Which spend you were talking about Mr. Ankit?

Ankit Kedia: Sir, advertising spends, because in quarter 4, despite the low demand, we will continue to spend on advertising and promotion?

V. S. Ganesh: Yes. See, Ankit, when you look at it, you have to look at it as a percentage of revenue also because

if you just look at quarter -to-quarter what happens during the pandemic, we will spend a media dark and we didn't spend much. So it may look very high spend. But if you look at it as a percentage of revenue, we are going back to the old no rmal assets we used to do expense.

And that is absolutely essential because see, these 1 or 2 quarters, we see this is a temporary rating, but if we have to sustain our growth and do justice to all the products which we offer to our consumers, we can't con tinue to be media dark and we need to make the necessary expense.

So what we are planning to do is to at other costs, which can be passed or can be avoided, but we don't want to subdue any expenses where it matters. There, we want to go all out. We are very, very confident as far as long term is concerned. So we have a very bullish outlook. So we are not going to cut corners as well as the necessary spend are concerned.

Ankit Kedia: Sure. And sir, one last question, if I may ask. From first of 1 st of April , you set up a new division processes with accessories . So if you can just highlight what is the growth opportunities you are seeing in accessories category? And how should we look at that apart from the innerwear and athleisure category?

V. S. Ganesh: So accessories, we created this division because we started doing this a few years back with the introduction of towels, then we had handkerchiefs, socks then we have caps. So all this, we're showing very good traction and it was getting well received.
And when it reaches a particular point when we saw the acceptability of these products and the category, we decided that we need to create a division for this because the potential is there. And we can further take the business forward. So we have done this beca use we can see the huge potential in front of us, especially for socks.
Ankit Kedia: And would these division be approximately double -digit revenue contribution for Page product?
V. S. Ganesh: We usually don't give those specific numbers out. It is in your interest and our interest that we don't say that because it will be handy for the competition, so we don't give those clicks actually.
Moderator: Thank you. We have a next question from the line of Akhil Parekh from Centrum Broking. Please go ahead.
Akhil Parekh: My first question is in terms of the demand scenario, I mean you've already elaborated but Jockey has gone through that cycle in FY '19, the demand started to curtail from fourth quarter for FY '19 to elongated till third or fourth quarter of FY ' 20. So how similar or different demand situation is today versus the discretionary slowdown that we have seen during the fag end of FY '19 and start of FY '20? That's my first question.
V. S. Ganesh: Mr. Parekh, I feel, we will have to generally look at th e stake of the inflation and the economy and what is happening in the retail space, that is what we are going through. So I don't think we are an extension to it. Otherwise, I think as far as sustained growth is concerned, we don't see any problems. If you see our retail expansion, it has increased so much and we will be able to milk it as we move forward.
And we are going to continue to expand, as I told you in my starting comments, the EBOs, MBOs, we will have continued growth. And compared to '18, '19, w e have much more exciting products to offer to our consumers and be on a sweet spot. So this is a temporary bump through which we are going through. But if you look at it long term, there is nothing which we see can stop us.
Akhil Parekh: Okay, would it be fair assessment to say that what we are -- where we are right now are largely driven by the macro situation and to some extent because of the ARS implementation, and there is absolutely no increase in competitive intensity from any of the regional playe rs across the product category?
V. S. G

anesh: Absolutely. Because see with the kind of market penetration I spoke about, there is room for competition and for us. It's has not saturated, wherein we at 60% and the other part of the market as 30%. There is s o much headroom and it's these are also growing categories. If you see men's innerwear, is supposed to grow compounded 10.5%, women's innerwear is slated to grow at 13%. So we need to accelerate and grow faster than that, if you have to gain market share. That is the kind of potential, which is ahead of us.

Akhil Parekh: Okay.
V. S. Ganesh: So if you look at it that way, we should say our competition is all sense.
Akhil Parekh: Okay. Sir, my last question on the margin plan like in past historically, we have been confident about maintaining that 21% to 22% of EBITDA margins and by and large, we were able to achieve over the last many years. Will you be able to give any kind of color or guidance at what kind of EBITDA margins, you should l ook at in the FY '24?
V. S. Ganesh: Well as Mr. Chandrasekhar said, as a company as a policy, we don't give guidance but at all that I can tell you is that, this is because when you take cost control measures, the juice doesn't flow overnight, it takes tim e. So all that action, which we have taken, it has started materializing. So, there's a tremendous margin recovery, which we can promise. So, we will be in a zone as per our budget, where we are comfortable. So historically as you rightly said, we always l ooked at 19% to 21% levels. We ensure, we can get close to it and if the market recovers in the second half of the year, we'll be in a very comfortable zone.
Akhil Parekh: Fair enough and thanks a lot and best wishes for coming quarter.
Moderator: Thank y ou. We have our next question from the line of Varun Singh from ICICI Securities. Please go ahead.
Varun Singh: Yes. Thank you sir for the opportunity. Sir, my first question is on the macro slowdown in the category. So, sir, if you can just help us unders tand, given that, it is the innerwear is an essential

category and 17% to 18% is the penetration. 10% is the growth rate of the category that, you called out. And so like, what should be the basic reasoning for such a steep decline, in our revenue, minus t he software implementation issue. So how should we read it because technically, if there is an inflation, there should be a down trending but even on volume front, etcetera. We see a kind of more of an impact.

So, what are the other possible reasoning, could you ascribe to the, to our current growth numbers. Do you think the competition over here has a larger role to play or you think, any other trend observation, there is a brand fatigue, the given Jockey now, more than 25 year old brand. So, if you can gi ve some more color that why into an essential category, which is so less penetrated, there is such a steep decline in our top line growth?

V. S. Ganesh: So, thanks for asking this Varun and let me tell you, I don't think, it's the competition because if you see, they are not exemption to, what we are going through. Everybody is going through the same patch. So, definitely it is not the competition intensity. It is because if you see the distributors also, when the supply was low, they were all trying to get hold of stock. Everybody over inventorized and now, they are trying to liquidate.

There is also a liquidity issue in the market. So everybody is tightening the belt and that is where, the path, we are going through that patch and this is what exactly happened in the US also, if you see, the similar trend. So, we are no exemption to that and I do, I won't attribute this to competition intensity and we're coming to brand fatigue, definitely not.

In fact, today if you see our designs and styling's, these all catering to the youn

g consumers and the way, it is received by your consumers shows that, there is no fatigue and this is backed up by the brand equity studies, which we have done and we have got very-very positive feedbacks, wherein we are way -way ahead, of all the other brands and then, we the distance between us and the others is so -so high that we are very confident that, we are going the right direction. And this is true as regards, men and women both, both categories. We in both places, the brand equi ty study shows that, we are way ahead.

Varun Singh: Understood sir. And sir, my second question is, now that, it's been more than five years that, we launched Jockey women and still kind of, we are not calling out the segmental contribution separately and which is fine but given the smaller base, I also recall that, we called out that all the segments have grown at a similar rate during the quarter.

Ideally, we should be expecting a higher growth rate from women and kids wear but still and also like, I was kind of doing some bottom up research and I could potentially see that, not many companies are there, which operate in both men and women wear , with the same brand name, but still like how should we read our aspirations especially, in the women and kids we ar category.

I understand that, during the past con calls, we did highlight that, we have witnessed relative success in this category and we would be more than happy to see the category growing at a much faster rate. So the current growth rate, which is si milar to other category, which like as an analyst, I would be expecting to grow at a higher rate. How should we read these things and hence our potential objective aspirations in both these segments?

V. S. Ganesh: Very -very good question Varun. Actually , you are right. As you, what you are asking is since, we are, we have a lower base on women, we should be growing faster there and we said, we have grown equally across the board, which is true and this is, where we are taking all the necessary action to hav e accelerated growth of women.

In fact, if you see the previous year, we did that but this year was an exception but we are now making all the right interventions to have accelerated growth on the women's innerwear. Juniors actually has grown and I will sa y that, is also because of the low base, which we have and as far as juniors is concerned, we have kept our own trajectory. We are not trying to conquer and dominate the market.

We are present there and we are working to a plan because that is a very -very different category, when it comes to design, styling, go-to -market so. Even margin structure, vis -a-vis the competition. So, we are in a sweet spot. We have achieved what we want to achieve there and in fact, this is a category, which will help us to recru it new consumers. We are achieving the objective and we are looking at a healthy growth on juniors and it actually, it is on track.

Women's you are right but we are taking all the necessary action to have accelerated growth and as you watch the market, you will see a lot of action from our side, in this trend.

Varun Singh: Got it, sir. And then just one last question if I may, that on payables, what the reasoning for decline in the payables day, sir? Just a bookkeeping question, that's it from my side.

V. S. Ganesh: Mr. Varun, I didn't get you.
Varun Singh: Sir, our overall trades payable days, so that there is a reduction out there. So is there anything to call out over there or nothing as such.
V. S. Ganesh: Okay. K C you want to take that on the payable days.
K Chandrasekar: So, it is not very significant decline on the days, it is just that, we have been buying less. Our purchases have been less, it is more a matter of timing of relevant suppliers.
Varun Singh: Okay sir. So, ideally it should be roughly 20 days to 25 days between that.

K Chandrasekar: Yes, it is about 27 days and then the previous quarter, it was 29 days. So, it is not very different.
Varun Singh: Okay. Understood, sir. That is it from my side, sir. Thank you very much and wish you all the best,
K Chandrasekar: Thanks.
Moderator: Thank you. Ladies and gentlemen that was the last question for today I would now like to hand the conference over to Mr Chandrasekar K, CFO for closing comments. Over to you, sir.
K Chandrasekar: Thank you. Thanks to all of you have been, who have dialed in and who have been listening patiently to us, on the call and as always, appreciate your support for the management of Page Industries and keeping faith in all that, we do. Wish you, all the best. Thank you. Bye, Bye.
Moderator: Thank you, sir. On behalf of Page Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

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16 August 2023
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Dear Sir, Sub: Audio Recording and Tr anscript of Investor call
We herewith enclosed the transcript of investors call for the financial results for the
quarter ending 30 June 2023.
Audio recording of the investor call is available in the following link: https://youtu.be/Gop8JqX7YPQ

This is for your information and records.
Thanking you, Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary Encl: as above

“Page Industries Limited
Q1 FY202 4 Earnings Conference Call ”

August 10, 2023

MANAGEMENT : MR. V.S GANESH – MANAGING DIRECTOR – PAGE
INDUSTRIES LIMITED
MR. DEEPANJAN B– CHIEF FINANCIAL OFFICER – PAGE
INDUSTRIES LIMITED
MR. GAGAN SEHGAL - CHIEF OPERATING OFFICER –
PAGE INDUSTRIES LIMITED

 Moderator: Ladies and gentlemen, good day and welcome t o the Q 1 FY2024 Earnings Conference Call of Page Industries Limited. As a reminder, all participant s’ lines will be in the listen -only
mode and t here will be an opportunity for you to ask questions after the presentation
concludes. Should you need assistance during the c onference call, please signal an operator
by pressing “*” then “0” on your touchtone phone. Please note that this conference is be ing
recorded . I now hand the conference over to Mr. V.S Ganesh, Managing Director of Page
Industries Limited . Thank you and over to you.
V.S Ganesh : Thank you so much and good evening everyone . Thank you all for joining us in earnings
call today evening. I am joined b y our CFO Mr. Deepanjan B and our COO Mr . Gagan
Sehgal . I hope you have already seen our press release and the result. Before we dive into

the numbers and specifics, I would like to provide a context and an overview of the quarter that has jus t concluded. In a time characterized by significant challenges, I am pleased to share that the company has exhibited remarkable tenacity. Q1 witnessed a sequential revenue growth of 28% and a volume growth of 31%. D uring this quarter, the macro headwinds a nd market con ditions did pose some challenges leading to a slight year -on-year degrowth reflected in a 7.5% decline in revenue and 11.5% decline in volume compared to Q1 of the previous year. The prevailing demand remains subdued due to several factors aligning with the anticipated expectations , which contributed to lower sales volumes. It is worth mentioning that our industry has witnessed an accumulation of excess inventory, which has had repercussions on the overall ecosystem resulting in certain unsusta inable busine ss practices , which is happening in the marketplace. O ur brand's growth strateg ies are deliberately designed to ensure sustainable long-term growth while upholding sound financial health and maintaining the integrity of our brand identity. To navigate the temporary phase of market conditions, we have taken enough measures to safeguard and improve our market share. Additionally, a diligent control over expenses has been instituted to protect our margins. Speaking of some of the key updates for t he quarter , our EBITDA margins witness ed sequential improvement which is attributed to lower product cost and better overhead absorptions. W hile w e have taken several measures to control operating expenses , I would like to highlight that the high EBITDA ma rgin in Q1 FY 2023 was a result of the higher revenue recorded during that period . Our distribution network expansion remains in line with our plan. A s of end of June, we have extende

d our presence to over
120,000 plus MBOs, 1330 E BOs, a nd 2800 plus LFS outlets. We are s trategically directing our attention towards metro and tier two and three cities while keenly gauging the potential pin codes for expansion. It is heartening to note that our e -commerce channel witness ed substantial growth of 43%, reflecting e volving consumer purchasing habits and our commitment to bolstering our online presence. I am sure you must be wanting to know our progress on the ARs implementation.
 I am delighted to say that the implementation has been making significant progress and h as been streng thened for extensive adoption. While demand continues to be subdued, we remain steadfast in our conviction that this is merely a transient phase. Our proactive approach involves continued investment in shaping the future, thereby ensuring tha t we capitalize on the promising prospects that lie ahead of us. Our strategic focus continues on multiple fronts through intensifying general trade distribution , expanding modern trade and exclusive brand outlets , growing our B 2C business , improving our c ustomer experience, strengthening our product portfolio, and consum er engagement , which will go very hand in hand with brand building and ensuring a very robust supply chain. I will now let our CFO, Mr. Deepanjan to give you a detailed view on our financial performance, after which we will be happy to take your questions. Let me thank you once again for joining the call today. Deepanjan over to you.

Deepanjan : Thank you VS G. Good evening everyone. I hope all of you are keeping well, so thank you for your pa rticipation in this evening. I am pleased to report that P age Industries has delivered a reasonable performance in Q1 despite the current market challenges. We have successfully improved the margins by enhancing the qualitative aspects of our inventory. Let me begin by breaking down our quarter's performance. Q1 revenue stood at Rs. 12,400 million a growth of 28 % quarter on quarter and a degrowth of 7.5% year on year. Volumes were 55.9 million which was a growth of 31% quarter on quarter and a degrowth of 11.5% year on y ear. Q1 EBITDA was Rs. 24 18 million which was a growth of 80% quarter on quarter and degrowth of 19% year on year. The Q1 EBITDA margins were at 19.6%, which has grown by 5.6% quarter on quarter largely due to RM cost softening and operational expenses opt imization. Q1 FY2023 EBITDA margins were higher at 22.2% due to higher sales and better cost absorptions. Q1 PAT were at Rs. 1 584 million a growth of 102% over sequential quarter and degrowth of 23.5% year over year. Q1 PAT margin s was around 12.8% as aga inst 15.4% in Q1 FY 2023. Inventory was Rs. 14,321 million as in quarter end as against Rs 15,921 million in the end of Q4FY20 23, which was around 105 days at the end of the June versus 154 days in Q4 FY2023 which is in line with our a nnual target of optimizing the inventory base. Net working ca pital was Rs. 8470 million at Q1 FY 2024 as compared to 7710 million at the end of Q4 FY 2023. Working capital days is at 58, which was around 73 days at the end of Q4202 3. To summarize our financi al performance, despite the challenging demand contraction, Q1 FY 2024 focus ed our agility in navigating demand challenges and capitalizing on growth opportunities. O ur EBITDA performance highlight s our commitment to operational efficiency and prudent cost manag ement amidst the demand fluctuation. With this, we can open the floor to any further questions that you may have.

Moderator : Thank you . Ladies and gentlemen, w e will now begin the question -and-answer session . First question is from the line of Avi Meh ta from Macquarie. Please go ahead .
 Avi Mehta : Congratulations on this performance. I wanted to kind of understa

nd the volume trend . would you envisage that volume witnessed a bottom growth in this quarter and that we should probably turn maybe positive next quarter or how do we kind of see this as we go forward? Any indication or guidance on how should we look at this would be very helpful.
V.S Ganesh : As regards to volume, if I look at the last few weeks , we are seeing some improvement, but I feel it is early days. We hav e to keenly watch how the festive period is . We are very, very optimistic that this festive season will be buoyant ; last year was not all that buoyant so we are seeing some uptick, but it is too early for us to give you a guidance or tel l you very, very clearly that things are turning around though we are seeing some light at the end of the tunnel.
Avi Mehta : When you say festive demand that would be more of third quarter phenomena is that how I should understand it? That is w hat we had look ed for more from the second half from a demand recovery is that what should read or maybe you could kind of tell? I am no t really sure when you say festivals it is 2Q or 3Q that it plays into.
V.S Ganesh : Of course , we are looking at Diwali, which is t he main season and that is what we are looking at and of course there are also regional now in Kerala as Onam is going to kick start and I think this is the time for Kerala so it would start in a phase d manner in all these states , but maybe Diwali a s you said . We are see ing already some improvements, but it all depends on how long the upswing can continue. We need to keep a close watch because the market seems to be very volatile, so I will say the demand continues to be subdued and we need to keep h aving a cl ose watch.
Avi Mehta : Got it fairly clear. T he second bit on the margin side . I mean last quarter you had given an expectation of moving to 20-21% in second half now post this performance, would you look to upgrade that guidance and if you could also give us some sens e on which line items in the other expenses have you focused on primarily w hich have helped drive this margin improvement?
V.S Ganesh : Mr. Mehta, we have always been comfortable between 19 -21% EBITDA an d even when we look at all the interventions, we alway s try and maintain this margin. We are happy with that margin. We do not want to tighten too much on the need to have expenses. We need to also look after the brand and it ’s long-term prospect so the short -term challenges apart, we need to invest for the future , so we always are comfortable with the 19 -21% range . Now coming to the areas which we are concentrating on to control , mainly we are l ooking at how we can bring the inventory down and there has been tremendous progres s in this front and we cont inue to work very hard on that fr ont.
 Our overhead s are really tightened and our overheads are well under control , and we are looking at every rupee spent whether it is necessary or not and that is something we are looking at. We will co ntinue to be people friendly. We will continue to look after our associates so we will not take those actions, but we will be making sure that the expenses are under control . From a cash flow point of view again whatever c apex tha t can be postponed, we are post poning it so that we are in a comfortable position because we also blessed with a very good inventory as of now so there is nothing to panic on that front and there is no need to have an accelerated expansion plan so we are w orking very closely based on the demand. We are synchronizing our capacities.
Avi Mehta : Perfect. With your permission just a last bit, any identification, would it be fair to say A Rs impact is more or less done now?
V.S Ganesh : ARS impact is more or less done because se e last time when I told you that there is a temporary correction in inventory because inventory

was bloated at that time so we have gone through that phase so there is absolutely nothing to worry as far as AR S coming in the way of our sales numbers.
Avi Mehta : Okay so it is just a de mand thing now and that you are saying let us just wait and watch. Perfect. I will come back in the queue for the other question.
Moderator : Next question is from the line of Ravi Naredi from Naredi Investmen ts. Please go ahead .
Ravi Naredi : Ganesh, really in tough situation, you have tried your best to give the result . June quarter is highest for company , but it is down year to year 7 .5% in top line . Profit after tax down to 26% s o our old stock of raw materi al and fabric has been wiped out or still we are having

and what you learn from this lesson by maintaining high inventory of raw material and everything.
V.S Ganesh : Thanks very good question. A ctually Q1 when you look at it compared to last quarter, last quarter Q1 was historically high qua rter w e never in our history we had that kind of quarter . I can say it was partly ab normal because of the supply chain disruptions , which we had and there was a pent-up demand , there was revenge s hoppin g happening so you could not compare that quarter with this quarte r from a baseline point of view, so that apart the inventory is high you know , in hindsight we can say the inventory is very high but if you see previous year Q4 and Q1 , Q2 of last year we did exceed them and none of us were able to predict how lon g this inven tory will continue. Th ese were very, very buoyant and I can say compared to overall what is happening in the industry we have done much better. We have less than 100 days inventory as Deepanjan showed our inventory levels are well under control now and I c an see many of our peer companies have even 8 to 12 months of inventory and that is why we are seeing lot of interventions happening in the market by the

 way of discount ing and schemes and other things. Luckily, we had always had the prudence and much bett er control over pricing, so we did not get pushed to that extent.
Ravi Naredi : One more observation , is all Jockey products since last so many years, we find t hat cost of products are ve ry much expensive now so we face intense competition is it so?
V.S Gan esh: Our commitment to being a value for money brand remains unwavering and this is deeply ingrained in our core pricing strategy. W hat we are doing is we are elevating the quality and features of our product a nd thereby we are offering enhanced value for the price paid. So, we always look ed at how we can strike a t that right balance between quality and affordability. If you see o ur pro duct, you will see we have upgraded our products. We might not have reduced price, but from a value -for-money proposition we h ave really enhanced our product , and that is what you will see in the market.
Ravi Naredi : Yes V Ganesh , really fantastic . When all expansion of company will complete including Odisha?
V.S Ganesh : Odisha project will hand over t o operations by Q4 of this year and then we will be starting off the trial production and then going for commercial production .
Ravi Naredi : The rest of the expansion which you are doing in Karnataka and Tami l Nadu.
V.S Ganesh : There is no much work in progress as far as expansions are concerned. The Karnataka plants are already in operation , which w e said last year . Last quarter if you remember we said it is starting operating. Our elastic unit is now operat ional and our women's innerwear in Hassan is also fully operational now.
Ravi Naredi : Okay a ll the best. You are really doing great .
Moderator : Next question is from the line of Tejash Shah from Spark Capital . Please go ahead .
Tejas h Shah : Thanks for the o pportunity and congrats on a good set of numbers in this diffic ult enviro

nm ent. First question is with the distribution reforms behind us, what are the key growth drivers the leadership team is focusing on in near and medium term to revive growth and gain market share.
V.S Ganesh : As far as distribution is concerned , it is work in pr ogress. Ours distributors are getting on the auto replenishment system in a phased manner , but it is progressing very well and as I told you before, there is no impact t o sales now, we have cross ed that bridge . Coming to our strategy for long term growth, first and foremost is intensifying general trade distribution. We are committed to amplifying o ur reach within the specified distribution channel

 ensuring t hat the p roducts are readily accessible to a wider range consumer base, so the reach is the mos t important thing and we continue to expand modern trade and exclusive brand outlets . We have made significant stri de in modern trade expansion with particular emphasis on rapidly growing our network in exclusive brand outlet . This approach aligns with our miss ion to provide premium shopping experience to our customer c ustomers and to do just ice to our entire product range. One other area where we are giving disproportionate attention is growing the D 2C business. We all know this is the most importan t space that is having the highest growth traction and we are dedicated to nurturing our D2C business segment . The next area which we are looking at is on improving customer experience. We have made tremendous progress in the last few quarter s, and we will continue to concentrate there . Central to our strategy is enhancing the overall customer experience and then we have been strengthening our product portfolio and our endeavo ur is geared towards further enhanc ing our product portfolio, ca tering to a divers e range o f consumer preference and needs across the price points and leave no white space. Of course , brand building initiatives to grow the awareness , interest , and desire for the brand in their respective categories is something , which we are now looking at and we are no longer media dark, which we were during the pandemic, so this is whereas I told you before we do not want to cut costs whe re it matters. We definitely want to spend where it is required so that the long term of the business is in good hands and our longer -term outlook is so posit ive that it is very important that we are very aggressive in that marketplace. Of course , there is l ot of work happening in further strengthening our supply chain this has always been our strength but there is no end to contin uous impro vement , and we are taking lot of action in f urther improving our supply chain and make it much more robust.

Tejas h Shah : Sure very clear and second and last question , among the four categories men's, women, Athleisure and kids , can you give us some qualitative ranking on which categories are growing above company's average growth rate and which are kind of relatively str uggling to grow or keep the averages up.

V.S Ganesh : Tejash what we can see is th e men's premium category having a good growth comparative to all other categories that are showing a much higher growth at our production. T he area which is g oing through a flux across industry is Athleisure side . Again this is a temporary phase and we discussed about this in last quarter also, but if you lo ok at over all evolving lifestyle needs of the consumer and the market has shifted more towards Athleisure and especially post -COVID our confidence i n this d eeply rooted in growing t his category. T his is a short term what we see in Athleisure side but men's premium to answer your que stion is the one which is going faster than all other categor ies.

Tejas h Shah : Thanks a lot and all the best for coming quarters.

 Moderator : Next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead .

Nihal Jham : Thank you so much and good evening to the management. T wo questions. First is could you just give ballpark inventory number. I know you mentioned 100 days , but the absolutely inventory number at the end of Q1.

V.S Ganesh : Absolute inventory number was Rs. 14,321 million a t the end of Q 1.

Nihal Jham : That is helpful and then when you mentioned about these unsust ainable business practices is it more in terms of incentives or aggressive discounting on the pricing by the competitors just can you give a little more color that would be helpful ?

V.S Ganesh : It is actually both. I f you go to the market except few of us almost all the brands are having offers, promotions by one way or other and w hen I look at retailers there are lot of schemes which are happening , if you look at it from a bottom -line point of view these are not sustainable and it is not EBITDA or bottom l ine friendly. In a way I can say this is way of liquidating the stock and bringing the inventory down so that that is what is happening in the marketplace, s o that is what we meant by unsustainable business practices and of course we has a brand, w e work i n a very hygienic focus , sustainable growth initiatives that is what we take s o while we are m aking sure our partners are happy and this is where ARS is really helping our distributors because the inventory terms are improving and this is much better than any schemes or incentives which we can give. Our retailers are getting better product. Our consumers are able to discover more product ranges of ours , so we will continue to focus o n these aspects w hich will bring sustainable growth.

Nihal Jham : I was aski ng that while Jockey has expanded very well into the Athleisure S pace is there a thought to make into a full pledged apparel brand just based on observation from some of our EBOs an d also some SKU launches of jeans and some other product category , which we are beyond Athleisure by definition.

V.S Ganesh : So Nihal two parts to the question so if you see our EBO it is not Athleisure, it is House of Jockey. We have preference across the range, men's innerwear, women's outerwear, men's outerwear and juniors so it is a entire product category we had to offer today and when it comes to adjacencies we only look at adjacencies which are relevant to the brand signature , which is rele vant to J ockey and how we have positioned. So we do not see ourselves coming with s omething like denim or something because that will confuse the mind of the consumers and today there is good clarity among our consumers as to what Jockey stands for and our adjacencies or expansions would be in line with the brand signature .

Nihal Jham : Sure Mr. Ganesh thank you so much.

 Moderator : Next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead .

Sheela Rathi : Thanks for taking my questio ns. Just to repeat to one of the earlier questions in terms of category trends where you talked about men's premium going faster whereas Athleisure there are certain issues . Now talking about the festive season how do you plan to have the

inventory in plac e in anticipation of the demand which we expect to be strong in the third quart er onwards ?
V.S Ganesh : Well our distributor inventory health is very, very healthy and with good adoption of ARS , we also have a wide representation of our product reach. We ar e also back with good inventories in our warehouses , so if there is an uptick in demand we are well positioned to cater to those requirements and we have also taken enough and more initiatives in the back end as far as agility is concerned , so today we mad e tremendo us progress in turning around order shipment as far as backend is con cerned .

With all this is in place , we would be the first to make use of the opportunity when the market bounces back.
Sheela Rathi : Are we on a sequential basis also seeing t hat changi ng right that is demand is improving for us in general.
V.S Ganesh : Absolutely, ye s.
Sheela Rathi : My second question is on the gross margins, w hy is there a dip on the gross margins this quarter ?
Deepanjan : The dip in the gross margin as we c ompare with Q1-2023 , there have been several factors. Firstly , the prevailing de mand has been subdued and as VSG explained we hit the highest sales in a quarter in the previous year, so it was the highest ever sale, so naturally with high sales overhead opt imizations were much better last year and with that the margins that we report ed last year were quite high. At the same time as we explained there were situations in the market for the inventory and there was promotional activities given by other competit ors, which has impacted our sales turnover and we continue to focus on the long - term sustainable growth so to navigate this temporary phase of market and condition, we have taken major safeguard and improved our market share. A dditionally we have taken steps for con trolling our expenses and optimizing them , so broadly the reason is t hat when you look at Q1 FY2023 the sales was s ignificantly higher and that helped in optimizing the cost. Current quarter when we look at it and naturally seeing the sales were much highe r in that quarter , we had less investment in advertisement and other sales initiatives. This year we have resumed the advertisement and that has impacted our margin percent , but yes I mean if you look at the sequential margins we still have input significa ntly so we have increased by almost 5.6% as compared to Q4 FY2023.
 Sheela Rathi : If I could follow up here, why is there sequential dip in the gross margins . Our gross margins in March quarter was 5 6.6 points and now we are at 5 2.9.
Deepanjan : When we ar e commenting on gross margin , which is overall operating margin . At operating margin level , Q4 we are at 13% and now we are 19% so that is the improvement of around 5% and odd. If you look at gross margin perspective , between the two quarters we look at g ross margin based on our product cost plus conversion charges , so con sidering that we are more or less at the same level of Q4.
Sheela Rathi : What is that number, the gross margin number as per your calculation.
Deepanjan : As per our calculatio n we are at a gross margin level of around 53%.
Sheela Rathi : That is a comparable number for the last quarter also.
Deepanjan : Yes.
Sheela Rathi : Understood and my final question was respect to the distributor count. For the last couple quarters, what we have observed is that the number has been coming lower versus 4800 earlier now we are at 4000 is there any particular reason why this has been lower?
V.S Ganesh : Gagan will be able to answer this , but just to tell you some of this is also some consolidation happening, especially on that. The distribution where the realignment is happening so these are all designed. Actually , there is no distributor attrition in fact it has only strengthened , and I feel this will further improve with ARS coming in I ca n already s ee excitement in our distributors, the way they are shaping up, so we do not have any such worry , but I think Gagan can add help value to this point, Gagan.
Gagan Sehgal : Thank you, Mr. VSG . You have answered it. We do not really see a decrease as such in the distributor count because when you look at the unique distribut ors currently , we used to have around 1350 distributors couple of years back and currently we have 1736 unique channel partners. Yes , there is a bit of consolidation where in if a ny channel partner for any reason say would have exit

ed at any point of time, which is a normal attrition right which is not more than what we expect . The first right of refusal is given to existing distributors so we are consolidating and making sure tha t our existing distributors they continue to grow and at the same time as we have created another vertical for accessories as Mr. Ganesh h as rightly mentioned , we want the right kind of channel partners who should invest in us because we see a lot of potential in accessories so that is a consolidation that has been done from our si de by design, so that you should have bigger channel partners who can give you the adequate investment and manpower so that we can create accessories as another vertical and conti nue to grow because we see huge opportunity there. There is no cause of concern

 in terms of any attrition it is all in control and we are keeping a very close because our channel partners are our primary customers and we continue to engage with them very , very closely.

Sheela Rathi : Understood thank you very much.

Moderator : Next question is from the line of Rishi Mody from Marcellus Investment Managers Pvt Ltd . Please go ahead .

Rishi Mody : My first question is to Mr. VSG. Could you just quantify the impact of ARS in this quarter. How much of secondary sal es which is not being re corded in our primary sales or just a volume , which has actually happened at end consumer level versus what is being recorded in our books.

V.S Ganesh : Mr. Mody, as I told you sometime back a s well we do not have any impact on primar ies or secondar ies because of ARS t hat was an issue , which we had in Q 4 because of the bloated inventory which the distribution had so now our secondar ies and primar ies are in line.

Rishi Mody : Our secondary sales has declined by 8% is what you are suggesting right. We have not taken any new price hikes. We have not done anything different this quarter around and hence the actual numbers have started reflecting.

V.S Ganesh : Our secondary are in line with our primar y and therefore if you look at it from a growth point of view what you said is right and that is understandable because the market is not buoyant and sluggish and we should also compare against the high base of last’s year Q1 , which was a bnormal ly high if you look at it from a baseline point of view.

Rishi Mody : Right I understand. My second question is on the absolute decrease in employee cost ; you were saying something but I just could not wrap my head round it. Could you explain how has this d ecreased in an absolute term.

V.S Ganesh : As we have high inventory, we have been allowing normal attrition . As a company even during pandemic and even today we never had force d attritions that is a principal with which has to be worked and we are a very peo ple centric company, but last f ew quarters since the inventory has been hi gh and there is a need to manage inventory , we have been allowing normal attritions and that has helped us to bring the cost down.

Rishi Mody : Basically you are saying that we are un der-investing in our people, we are not replacing people who have left? W ould not this threaten our long -term business capabilities, business strength?

 V.S Ganesh : It will not. Since we have very healthy inventory when we see uptick happening and when we see the traj ectory, we can always get time to do the course correction, we can build that capacity. Od hisa is a virgin ’s place it is a Greenfield so for us it is question of timing as to when we have to start recruitments there. T hat has nothing to do with our current operating plants. Thirdly , we have enough muscle in outsourcin g now . If you want to double the capacity there, we can do it that is the kind of relationship , which we have built with outsourcing and the pa

rtners , so we do not have any worries a s far as s eizing the opportunities concerned when the demand bounces back.

Rishi Mody : This is on the factory side that the attrition has come in and you have not replaced while the corporate employee count i s being replaced adequately. Is that a correct r ead on this ?

V.S Ganesh : It is mostly on the operating side because that i s where there is no pressure, we need to manage our capacity. In fact, when it comes to sales , feet on the ground based on distribution expansion, we have been adding people , so as I told you s ometime back our approach on cost control is measured wherever it is required for the growth of the business we are not holding back. We are making the right investment and wherever we can tighten our belt, we are tightening it.

Rishi Mody : Okay got it. Th ank you. That is it from my end.

Moderator : Thank you. Next que stion is from the line of Devanshu Bansal from Emkay Global . Please go ahead .

Devanshu Bansal : Thanks for taking my question and c ongrats on a good margin performance in Q1. If I understood it correctly, you said you did better than peers in Q1 despite the m giving higher incentives and discounts to the trade channel , so I wanted to check is this comment at the volume growth level or at the EBITDA level that you are mentioning?

V.S Gan esh: Mr. Ba nsal what I said was we did better than the peers as far as inv entory management is concerned . We have 105 days of inventory compared to 9 to 12 months of inventory , which

the competition or the peer's brand that is w hat as actually push ed those brands to take
certain action on the marketplace, which may not be sustai nable, so luckily we as a brand.
Are not pushed to that wall that's what I meant.
Devanshu Bansal : Got it and a quick follow up to this . Do you expect this to continue for another tw o quarters
since they are having like 10-12 months of inventory, so that sort of incentives or higher
margins can continue for another couple of quarters from the competition perspective?
V.S Ganesh : It can, but if you see the sequential growth despite all that what is happening in the
marketplace, if you see our performance co mpared to last quarter to this quarter , there is
 tremendous growth and end of the day this is determined by the end consumer. If he is loyal
to your brand, he will continue to buy your product a s long as we are value for money and
the last quarter 's growth clearly shows we have not out priced ourselves and therefore we
are not worried about it . The last quarter to this quarter sequential growth is a good
indicator of how things are hea ding.
Devan shu Bansal : Typically after Q1 has always been a strong quarter for us and then we see a sequential
decline for all the three quarters , so that trend should continue this year or you expect
demand sort of picking up and that trend can reverse this time aro und?
V.S Ganesh : See, this depends fully on the market . Generally , the market needs to p ick up, so we hope
this can not last for so long and things should bounce back and that is where we feel there
will be update because this has been two to thr ee quarters of sluggishness and how long can
it last?
Devanshu Bansal : I am asking if you can call out the advertisement marketing s pend that we did in Q4-
FY20 23 and Q1-FY 2024 as a percentage of sales.
Deepanjan : Advertisement was around 1.9% around 2% in Q4 FY20 23 an d in Q1 FY20 24 it is around
2.5%.
Devanshu Bansal : I am saying advertisement expenses have increased on a sequential basis , so the
improvement in other operating expenses is almost like 600 basis points. You mentioned that we are not doing repla cement,
so is it the only reason or we have cut some other
expenses as we ll?
Deepanjan : It is the combination of several things. First of all, softening of the RM prices

that has
started gradually flowing in. It already started flowing from March Q4 a nd it has continu ed
so that is one of the reasons why our margins have started improving.
Devanshu Bansal : Margins are stable on a sequential basis.
Deepanjan : Yes, the gross level margins are stable. I f you look at the employee expenses in absolute
cost terms i t has reduc ed but yes in percentage basis points it is slight increase. T he savings
that we have received is in terms of other expenses, which is more things like our logistics charges, our travel costs those
kind of things even the market, certain other expenses what
we give typically the incentives to our trade partners , so savings has gone into those areas.
Devanshu Bansal : Got it. Thank you so much.
 Moderator : Next question is from the line of Amarnath Bhakat from Ministry of Finance of Oman.
Please go ahead .
Amar nath Bhakat : I was just trying to understand the way Jockey has performed in the main section so far. Of
course, this is a market leading what is holding us back to replicate the same type of performance in the women's section and
as well as in the kid's section . We have tried a little
bit in the early stage to do s omething in the kid's section, but it seems that that section is not
really picking up, can you give us some color that what the management is thinking about
this women and the kid sec tions and some light on the Speedo side as well.
V.S Ganesh : Okay, excel lent. Thanks Mr. Amarnath for asking that . In the woman's category, the
organized market exhibits notably very low penetration, especially premium side of the
business where we operate. Our current foc us is not confined to safeguarding the market
share. We want to actually gain market share. We have a lot of co nsens us on expanding
penetration and capitalizing on the untapped market. We are allocating resources both
through above the line and below the line to introduce because t he awareness in the
category. That is one of the foremost things which we need to focus on and that is what we
are doing. This concerted effort serves the dual purpose of bolstering leadership and
cultivating consumer unders tanding regarding the woman's in nerwear segment. W e observe
that there is lot of awareness that we need to create in this category especially under
women 's, especially on the bra side of it , wherein we are actually converting all our
associates on the retail phase to be consultant , a fit consultant and a product consultant who
can prescribe the right product based on the need of a consumer. We also formed a dedicated team for women 's innerw ear

and juniors and I can already see this has yield ed
favorable outc ome in our go to market strategy so this approach has facilitated the establishment of a distinct and dedicated distribution network. It is extending to the very last mile as far as women's innerwear and juniors are concerned . All these moves which we are taking will help us to harness evolving premiumization trend and the transition from unorganized market to the organized player all this will help us. If you see our product range, we have a very rich product range and we are blessed with a very strong res earch and development team. We have the luxury of having some world class international talent heading the research and development team who are able to come with exciting products. Very, very functional , understanding the consumers requirement , and also r ightly pric ed so we are nicely positioned where it is aspiration al yet affordable for our consumers. W e are poised to take off here. I think we have done all the groundwork which is necessary for us to take the business forward , so what you said is very ri ght there should be nothing, which should be stopping us and we are firing on all cylinders as far as women and juniors are concerned. Coming to

Speedo, Speedo has done exceedingly well in the last year. We are
therefore refocusing on it . In fact , we are wo rking on a long -term business plan for Speedo with the current improvements , which we are seeing , and we will be focusing on further

 growing this category because Speedo as a market in India, this is evolving and there is much more awareness today. There is going to b e significant lifestyle improvement and we are expecting this category to grow, so we stay invested as far as Speedo is concerned.

Amarnath Bhakat : A follow up relating to that . If I read you correctly that means our e ndeav or is to increase the percentage of this wom en and kids on revenue . Just in this regard, this products of women and kids, are they at the similar margin level of the m en's product or it is substantially different and just to add to this what is our effort to extend our beyond I ndia that m eans are we doing something to extend to i nternational space as well a nd that is my last question. Thank you.

V.S Ganesh : Margins is similar and as I said as a brand we always work that way and it has worked very well and what is more important is ho w we manage the inventories of distribution, how we can make sure he has a relevant stock at the right time and make sure they are in the right place. He gets much inventory turn and thereby becoming more profitability rather than having more percentage p oints as fa r as m argin is concerned and this is where our focus on ARS is very, very important. A s far as the international is concerned, we have 13 overseas EBOs, 10 in UAE, one EB O in Sri Lanka , one in Qatar , and one in Oman.

Amarnath Bhakat : Thank you very much for your answer.

Amarnath Bhakat : Next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead .

Gaurav Jogani : Thank you for the opportunity. My first question is with regards to the ad s spend. You mentioned that the a d spends was aroun d 2.4% odd for Q1. However, in the past in the pre - COVID times if you see the ad spends generally has been in the range of around 3.5 to 4%. While I understand that there is there would be teething issue q uarter -on-quarter basis, but what kind of targets are we seeing on ad spends on a yearly basis?

V.S Ganesh : Mr. Gaurav our ad spends in the range of four to 4 to 4.5% that is what we have been doing. Of course, it came down during the pandemic, which we were media dark , but generally it is aroun d 4 to 4.5% and now we are focusing on creating those awareness both in the brand as well as all the product ranges which we have, s o we are getting back to that normal trajectory as far as our expenses are concerned.

Gaurav Jogani : Would it be prudent to assume that the ad spend or the spends would pick up in the later half of the year?

V.S Ganesh : It is bound to pick up in the later part of the year, but it is all part of our budget. W hen I say we have taken enough measures to protect our margins, all these are cons idered , we have already baked these in our budget and we also taken enough initiatives to control costs on

 other sides of the business , so that with 4 to 4.5% the marketing spend, we still can maintain and protect our margins.

Gaurav Jogani : Sure, and the margin guidance you gave, that is 19 to 21% that includes the other income as well if I am right .

Deepanjan : Yes, it does.

Gaurav Jogani : Sure, I just got one last question from my end. On the trends while we understand that during the COVID ti mes, there was a lot of volatility in terms of demand conditions and because of which you saw Q1 being with very high base , but would it be prudent assume at least that th e demand conditions have now normalized and probably going ahead we could see the nor malized trends and therefore these trends

may follow now going ahead as well.
V.S Ganesh : Definitely , but when we talked about volatility, it is not only the pandemic. If you see the last 4 -5 years, there were enough and more things happening in the market place, whic h brought in a lot of volatility . GST was one then we had the pandemic then last year we also felt th at above 1000 and below 1000 GST correction. Then it was reversed back so all this is something which we went through. I would not say it was th e pandemic alone and today what we are seeing is the overall b loating of inventory in the industry, which is affecting all of us , so going forward, I hope things will be normal.
Deepanjan : Just to add in your earlier clarification, the margin of 19.5 does not include the o ther income. It excludes the other income.
Gaurav Jogani : My last question if I could chip in one more. It is of the pricing bit, this quarter if you see the top line growth decline 8% odd however the volume decline was higher at around 11.5% given, we had 4 % kind of difference. I am assuming that we have not taken any price increase as such for now .
Deepanjan : We had taken a price increase in August 2022, so that impact is definitely there. On top of that, there is a premiumization impact so that is what is the gap between 11.5% degrowth and 7.5% degrow th.
V.S Ganesh : Just to further clarify. We do not see any need for any immediate intervention. We are very comfortable. There will be a need for intervention only if there is some abnormal i nput costs , increase like what we saw two years back . If such things happen only, we may have to look at it and that that is something for the industry to look at it but as things stand now there is no need for us to relocate and have a price intervention.
Gaurav Jogani : Actually, that was I was going to ask . Thank you for the clarification and best of luck.
 Moderator : Next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.
Ankit Kedia : Two questions from my side. When do you sa y industry par ticipants are filled with inventory, once they inventory extinguishers in the system, they could take price cuts because of the lower raw material and you have a policy of not taking price cuts, do not you think that that pos t the price cuts they will a gain be competitive and your products are still going to be expensive for a normal consumer?
V.S Ganesh : Mr. Ankit, if I look at MRP to MRP we are still very, very comfortable. In fact, most of our peer brands are priced much higher than us. Of course, the y have taken certain promotional activities because of the inventory. Yes, that does play in the market but if you look at a MRP to MRP we are much more competitive than most of our peers perhaps.
Ankit Kedia : My second question is we just enter ed into the institutional business last month where you are making all the E BO franchise partners with your distributors for the institutional , there you have actually told the partners that the Jockey logo will not be there and they could scout for B2B business, how big is the opportunity for Jockey here and will you need to pay royalty on these products given that the Jockey logo or the Jockey brand will not be there on these outer wear products?
V.S Ganesh : I just want to clarify on this Ankit, this J ockey logo this will be dependent on the institution which is going to look at our products mostly it will be c o-branded. In fact, what we see is most of the institutional buyers are so proud of the Jockey brand that they always prefer a co-branding , so that is what it is so. We are seeing a great opportunity. I n the sense this is one area where we have not explored even though we were present we are not actually pushed this . We see good potential here. In fact, we also see this more not only from a top line point or

the business partition . This also may help us to recruit new consumers. F or them it will be a discovery for the brand so we are looking at it that way as well.
Ankit Kedia : On a three-year perspective, how big could this business be from your perspective.
V.S Ganesh : Early days Mr. Ankit . We are also trying to understand because as I told sometimes, we can have a very high number at the cost of margin so we want to strike a good balance between it. For us, we are still exploring the opportunities w hich instituti onal business presents. Y ou may have to give us the luxury of some more time to give a concrete answer on this.
Ankit Kedia : Sure, thank you and all the best.
Moderator : Thank you. Ladies and gentlemen, due to time constraint, th at was the l ast questio n for the day. I now hand the conference over to Mr. Deepanjan for the closing comments.
 Deepanjan : Thanks again everybody for participating in the earnings call. I t was an i nteresting discussion so thanks again .
Moderator: Thank you. O n behalf of Page Ind ustries Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2023

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November 16, 2023
The Secretary
Corporate Relationship Dept. The Bombay Stock Exchange 1
st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India Limited Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir, Sub: Audio Recording and Tr anscript of Investor call
We herewith enclosed the transcript of investors call for the financial results for the
Quarter ending 30 September 2023.
Audio recording of the investor call is available in the following link:
https://youtu.be/AQPLYnCVrOY?si=thRLbKS_TVL ■uLH8

This is for your information and records.

Thanking you, Yours truly, For Page Industries Limited

Murugesh C
Company Secretary

“Page Industries Limited
Q2 FY '2 4 Earnings Conference Call ”
November 09, 202 3

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE
INDUSTRIES LIMITED
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Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '24 Earnings Conference C all of Page Industries Limited.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that thi s conference is being recorded.
I now hand the conference over to Mr. V.S. Ganesh, Managing Director, Page Industries for his opening remarks. Thank you, and over to you, Mr. Ganesh.
V. S. Ganesh: Thank you. Thank you so much, and good evening, everyone. Thank you all for joining us in our earnings call today. I'm also joined by our CFO, Mr. Deepanjan, for the call. I hope you had

a chance to review our press release and results.
Before we dive deep into the numbers and specifics, I would like to provide an overview of the quarter that has just concluded. Though, we are seeing some positive trends in consumer demand in the economy and rural segments aided by the onset of festivities, we are yet to witness any noticeable improvement in the urban and mid -premium segment. However, we firmly believe that these challen ges are temporary and will continue to invest in technology, brand promotion and expanding our reach while ensuring comfortable operating margins.
However, macro headwinds and market conditions continue to pose some challenges leading to year-on-year de-growth reflected in an 8.4% decline in revenue and an 8.8% decline in volume in Q2. In H1, de -growth in revenue and volume were 7.6% and 10.2 percentage respectively.
Demands in the innerwear and athleisure industry remains subdued in Q2. This was in line with our anticipated expectations which contributed to lower sales volumes. It's worth mentioning that our industry has witnessed an accumulation of excess inventory, which has had repercussions on the overall ecosystem, resulting in certain unsustainable business practices in the market.
We continue to focus on sustainable sales practices while taking measures to maintain our operating margins and working on optimizing our inventory. In line with the objectives, we will stay invested in enhancing consumer reach and experience. In diversifying and enriching product offerings, in operational excellence and digital transformation. To navigate through this temporary phase of market conditions, we have taken adequate measures to safeguar d and improve our market share.
Additionally, diligent control over expenses have been instituted to protect our margins. Speaking on some key updates for the quarter, we are focused on improving productivity in our supply chain with clear focus to optimize operating expenses. I would li ke to highlight that our EBITDA margin for Q2 FY '23 was maintained at 20.8%.
Our distribution network expansion remains in line with our plans. As of end of September, we have a network of over 112 ,000 MBOs and 1,370 EBOs and more than 2,400 large -format stores.

We are strategically directing our attention towards Metros and Tier 2 and Tier 3 cities. Our e - commerce channel witnessed a substantial growth of 31% in H1. This actually reflects evolving consumer purchasing habits and a commitment to bolstering our online presence. We have taken several initiatives, some of which have been executed to further strengthen our D2C channels.
We continue to invest for attaining our long-term objective. Our strategic focus encompasses multiple trends, which includes intensifying general trade distribution, expanding large format stores and exclusive brand outlets, growing D2C business, improving customer experience, strengthening product portfolio, partner and consumer engagement, internati

onal business and brand building and also ensuring a very robust supply chain. While we acknowledge the cumulative volume and revenue de-growth challenges, we are committed to maintaining our strong margins and optimizing our inventory.
We will remain vigilant and agile always, seeking the right balance between short -term adjustments and long-term strategic investments. We remain optimistic on the long -term outlook and we appreciate your continued support and trust in Page Industries. We look forward to addressing your questions and sharing more insight into our performance during this call. Let me also take this opportunity to wish you all season's greetings and a prosperous year ahead on behalf of all our associates.
Thank you. And with this, I would request our CFO, Mr. Deepanjan, to take you through the numbers for the quarter.
Deepanjan B.: Thank you, VSG. Good evening, friends. I hope you're all keeping well. Thank you for your participation this evening. I'm pleased to report that Page Industry has delivered a reasonable performance in Q2 of FY '24. To take you through the key financial highlights for Q2, we recorded sales volume of 51.8 million pieces, which is lower by 8.8% Y -o-Y and resulting in a sales revenue of INR 11,251 million. Despite the lower revenue by 8.4%, EBITDA achieved was INR2,335 million, a de -growth of 1.8% Y -o-Y. Q2 EBITDA margin was maintained at 20.8% due to the operational expenses optimization and the stable raw material costs . Profit after tax was INR1,503 million, a de -growth of 7.3% Y -o-Y. PAT Margin is 13.4%.
Coming to the first half, H1 revenue was INR 23,575 million, a de -growth of 7.6% Y -o-Y, and volume de-grew by 10.2% at INR107.7 million. EBITDA was INR4,754 million, lower by 11.2% Y -o-Y. Profit after tax was INR 3,086 million, lower by 16.4% Y -o-Y. Inventory stood at INR13,619 million as against INR 15,953 m illion at the end of Q4 FY '23.
Inventory days have improved to 105 days. We saw 150 days in the end of Q4 FY '23. This improvement in inventory base is in line with our efforts to reach optima l inventory levels by

year-end. Net working capital was INR 8,799 million as compared with INR 7,680 million at the end of Q4 FY '23. Our working capital days was 68 days, which was 5 9 days in the end of Q4 '23. The increase is due to improvement in our bank and cash balances.
To summarize our financial performance, we remain focused on driving operational excellence and capitalize on growth opportunities. Our stable operating margin highlights our commitment to prudent cost mana gement and it's subdued demand.

With this, we can open the floor to any questions that you may have.
Moderator: Thank you. We will now begin the question-and -answer session. First question comes from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.
Nihal Jham: Sir, my first question was that if I look at the volume growth, it is still deep in negative territory. And while you did highlight the market situation versus last quarter, has there not been even some improvement in terms of the trajectory being improvement. What is leading such kind of stress that even say, six months down because I think this issue started at the start of the year that we are still under so much of impact. And also, if you could highlight of the three segments, is there any one sub-segment that is leading to more stress than the other ?
V. S. Ganesh: Yes. Market generally has not been very buoyant. And we should also keep in mi nd, if you look at the quarter 2 last year, we actually performed well, and we were one of the few brands who actually grew very well in Q2 of last year. So we also have that base impact. However, we have taken enough action to bo ost our sales and we also have been taking enough measures to bring in discipline, we have never taken shortcuts to achieve sales. We h

ave been working hard on having better treasuries, improving our secondaries, keeping a close eye on the distributor inventory, and we are helping the distri butors in having a better health as far as inventory is concerned. And this is very important in the long term of the business.
And these may have some short -term impact. But basically, if you look at it, we are now seeing that we have crossed those bridges and things should -- most probably, we are all looking at the festive season. If you again look at it last Q2, the festivities were during that time. Now we have a delayed festive season. So that has also had an impact from a baseline point of view. So we are looking forward to better days ahead. We have taken enough measures to bounce back, the moment the market recovers, and w e are very confident about that.
Regarding your question as to any particular category has done well, okay, The impact has been across categories because as I told you in the very beginning in my opening statement, we have had seen the pressure as regards the economy and the rural segment, though, we are seeing some positive signs, it's all early days. And there has not been any noticeable improvement in the urban and mid-premium segment.
But we are very sure this is not going to be a long-term thing. And we can already see that this can't last longer, and we are prepared to encash when the opportunity comes. Comparatively, I can say , our women's innerwear has done comparatively better, especially the inner wear and bras categories. But the growth has been impacted across all categories.
Nihal Jham: Understood, sir. S ir, my second question was, we've obviously had the benefit of low -cost inventory, I think for the last six months. But despite that, I think our gross margins are lower versus last year. Is this a case of maybe higher incentives given how the situation is in the channel at this point in time, which you're highlighting why we have improved, but there will be a view from our side also to increase incentives ? Just your comments on that.
V. S. Ganesh: Yes, Mr. Nihal , when it comes to schemes and incentives, we have not done anything extra. We have been staying put with what we usually do. We never succumb to the pressure of the market

to sweeten anything and go over and beyond what we usually do. So we have always done what is need -based, keeping a sustainable and growth oriented hygienic sales practice and long -term interest of the brand in mind. So the margin improvement which you are seeing is actually because of all the measures we have taken as far as cost controls are concerned. I don't see much benefit as far as low -cost in ventory is concerned because if you see, we have not touched price for a long time. And therefore, we don't have that benefit of low -cost inventory, actually .
Deepanjan B.: Just to add, I mean, while the raw material prices has been reducing over some time, but given the fact that our entire costing is based on weighted average costs , The benefit takes certain time to flow into our P&L. So that's why as a material cost level, we are yet to see any significant difference, but as VSG pointed out, there has been improvements in our sewing efficiency, which is resulting in a better gross margin.

Moderator: Thank you. Next question comes from the line of Ravi Naredi with Naredi Investments. Please go ahead.
Ravi Naredi: Sir, thank you very much to give me opportunity. You changed the company from underwear to full-fledged company for wear of youth and girls with a lot of reach to population of India did it with supply chain. Since last few quarters, I'm observing our main profit margin going to raw material holding the raw material of a store then finished goods. So now everything settled? Or we may face more margin on these obsolete stock or raw material stock ? Th

is is my question.
V. S. Ganesh: Well, we don't have much obsolete stock. We do have inventor y, which are on the higher side because the sales which we planned in the beginning of the year before the start of the year when we did our budgeting andplanning and what later transpired the marketplace didn't help. So the inventory bloated, but we have reduced. If you see this quarter, there is a reduction. We have been taking measures on that. So we don't have any concern as far as the health of the inventory is concerned. And as you know, as a brand also, we make products which are relevant across the year. So we don't have that pressure of seasonality as far as our products are concerned. And we have taken adequate measures to control the inventories. And you can already see those results flowing in. And as Deepanjan rightly said, as far as the price benefit is concerned, we take that three months weighted average. So there is always a quarter lag effect. And therefore, many of these benefits will keep flowing in as we move forward.
Ravi Naredi: So we may assume now no obsolete inventory line with any distributor or in pipeline?
V. S. Ganesh: Distributor inventory is bit high, but it has come down from the previous quarters. This is also because we had a very, very buoyant quarters in Q1 and Q2. In fact, it started from Q3, Q4 of the previous year and Q1, Q2 of last year. So with that, they wer e stocking up and then we took measures to bring in health and it's where our ARS initiatives have also helped. So the inventories are normalizing there, and we can already see that. So this will all help the primaries as we move forward.
Ravi Naredi: Okay. So quarter 3 onwards, we may see growth in profitability, i s it so?

V. S. Ganesh: That depends on how much tertiaries we can get and how the market bounces back and how the festive season would be. So we need to wait and watch for that .
Ravi Naredi: But Deepaw ali is three days away. So no growth is there in the market for the demand of the product?
V. S. Ganesh: You would not immediately see that because it will be the tertiary sales and then the distributor will have to fill the retailer, and then it will come to us. So there will be a small lag. So I don't think it will be appropriate for me to give yo u some insights about the last two weeks , three weeks. But what I can tell you is , to your question as to whether there will be a huge growth or good growth in top line and bottom line, though we remain optimistic, it all depends on how quickly the mar ket bounces back .
Moderator: Thank you. Next question comes from the line of Avi Mehta. Mr. Mehta, please go ahead.
Avi Mehta: I just wanted to better understand the initiatives that you have taken to ensure that our market share doesn't get impacted by these unsustainable sales practice, if you could kind of j ust give us some ideas?
V. S. Ganesh: Sure. So what we have done is, you might have seen that we have not come down on any need-based expenses. So what we have done is we have made sure that we have expanded on our retail footprint, our marketing spends has been done in line with what is requi red. So we are no longer media dark and these are very important things to do. And there has been good engagement with the partners, be it our retail partners or our distribution partners. And we don't see any loss of she lve space or market s hare.
In fact, our secondaries have done well so secondaries have done well, and there is a marked improvement in the distributor inventory so going forward, all this should benefit the brand.
So we have continued to invest in enhancing the consumer reach and experience. We are also diversified in the interest of product offerings. We have taken enough initiatives on operational excellence and digital transformation. This also helps the market b ecause this

will help us to maintain prices by bringing in operational efficiencies, and that is one important aspect. And additionally, we have also taken all other initiatives to keep our sales force motivated and engaged.
And we don't have much , be it distribution, attrition, our sales team, they're all motivated because they all understand the long-term prospects of the brand. They're all fully aligned. So we have taken enough initiatives on those aspects as well. And quite a lot of initiatives hav e been taken on the CRM side of the business as well. So today, I can say we are like any new age D2C brands

when it comes to customer relationship management.
Avi Mehta: Got it. Very clear, sir. It's heartening to hear that we kind of [inaudible]. Just a second bit, better understand this discounting, so how long in your view, how much is inventory is – is this to relating discounting pressure versus 1Q? Or how long will inventory take to settle down because industry inventory -- it's been almost six months now. Do you think we are at the end of this pressure? Or how -- in our opinion, how should we look at this, sir?

V. S. Ganesh: Mr. Mehta, it's anybody's guess because we don't have full insight on the inventory of our peer brands. But I don't feel it is something which is a very sustainable long -term business practice. It can't last for long. So I hope we have gone past all those challenges and things should normalize as we move forward. That is my take.
Avi Mehta: Sir, have you seen any moderation. from the first part, if you could just have you seen any moderation from 1Q levels this quarter or no there is no change to it?
V. S. Ganesh: Mr. Mehta, it was not clear. I couldn't hear you properly. Can you please repeat?
Avi Mehta: Have you seen any moderation from the 1st quarter in the discounting pressure that was what was the first part -- if you could just give some understanding? I hear you that it's difficult to take a cal l, but on how long it will last…
V. S. Ganesh: Even as we speak, it continues to be intense. It is not only the promotions and discounts, it is also the schemes, which are being deployed in the marketplace. So it continues to be that way. But there is always a demand for our products. If you see our de-growth has been in line with the general economy and the market trend, we are not lost out to competition because of that because the brand has a respect, and we also powered by amazing products and we also enjoy a very good distribution network, and have a good shelf space and our consumers always see our products . In fact, if you see even in online, we had a 31% growth in H1. So mainly shows loyalty to the brand. So for us, we will continue to remain disciplined and for us it's just question of time before we come back.
Moderator: Thank you. Next question comes from the line of Ashish Kanodia with Citi. Please go ahead.
Ashish Kanodia: Sir, the first question is on the distribution side, right? When I look at your MBO network, it has declined versus last quarter, there's almost a 2,300 touch point reduction and similarly, when I also look at the number of distributors that has also shrunk over the last two quarters , three quarters continuously, right? So any specific strategies tha t you are driving? Because post -COVID, there was a time when there was a rapid expansion in this retail touch point, distribution touch point. S o what is driving this change?
V. S. Ganesh: So there is no substantial reduction Mr. Ashish as regards the MBOs are concerned. It remains more or less there. There has not been a much rapid expansion also because there has been some rationalization happening. During the COVID, the market situation demanded that rapid expansion, how consumers actually went to the hometowns to Tier 2, Tier 3 cities. And we had to be there, we have to expand and whe

n it became back to office, they got back to metros or wherever their offices are.
So what happened was those outlets, even though it was bringing some , though it was recording some sales, it was not as profitable or viable for us to service those markets. So there has been some rationalization. There has been no other exits. And as far as distribution is concerned, attritions are normal. There has been no abnormal changes there. In fact, as we move forward, I hope , we all are sure and that's what we get to hear from the partners also. This will reduce because with ARS kicking and the distributor help inventory health is going to really improve and that is going to help them financially and from a viability point of view. So for us, our take

is that the attrition will reduce moving forward. But as of now, as we speak, it's normal, there's nothing abnormal about it.
Ashish Kanodia: Sure, sir. That's helpful. And the second question is when I look at the base quarter numbers, it seems that the number has been reinstated on the revenue and cost side, so what led to this reinstatement, so this was 2Q '23 there was almost a 2% reinstatement. And secondly, on the cost control side, right? When we look at this quarter number, there's a significant decline in other expenses. So on your earlier part, you said that you continue to make investments, so maybe you have not kind of bought on the marketing spend, etc., . So I'm just trying to understand what cost controls initiatives you have taken in the last one quarter , two quarters?
Deepanjan B.: So first question on the regrouping of the revenue from operations. The revenue from operations

used to include what we typically sell to our outsource partners. So we typically supply raw material, which they convert into finished goods and send them back to us. So earlier, we used to consider that as income from operations, which now we have removed part of our -- we have netted it off against the cost of the goods that we have supplied. So that's why we see a red uction in our reported revenue.
As far as cost rationale in the business that you're telling other expenses, the other expenses has a component of subcontracting expenses, which is a conversion charges that we pay to our job workers and for our subcontractor. So in line with our reduced production to manage our inventory and demand, There has been lesser subcontracting in the current quarter. So that's some of the reasons why other expenses each time lesser .
At the same time, the marketing expenses, there has been some certain deferral marketing expenses, it's not exactly a saving . But yes, compared to the Q2 of last year, there has been a lesser marketing expense in this quarter. So combination of these factors have eventually -- other expenses reduction as a percentage of net re venues. Other major factor is our reduction in workers' wages , because while we do not let go of our employees under any circumstances, as far as workers are concerned, there is a natural attrition . So that has happened, and that has benefited our EBITDA percentage.
Moderator: Thank you. Next question comes from the line of Tejash Shah with Spark Capital. Please go ahead.
Tejash Shah: The first question, you've highlighted in your presentation that the online business has done very well. So just wanted to know the nature of the business that we have in terms of B2B, B2C and D2C breakup, if you can broadly give.
Deepanjan B.: We are present in all the three segments, that is B2B which is outright sell to partners like Amazon and Flipkart. We are also present in the D2C segment, which is jockey.in, which is our own store, and within marketplace as well. So within these three segments, the largest share is B2B segment, where there is a direct sell followed by the marketplace presence and then the last is our jockey.in.

Tejash Shah: Got it. Sir, second question was -- and this is like just want to understand, that we noticed in some of the value retailers in the last three, four years that whenever they discussed market share,

it was largely among themselves. And then suddenly an online player came from nowhere and this was below the radar in the market share discussion. And then obviously, mostly they have -- all have pivoted to kind of fight with that challenge. So in our case also, when we look at offline numbers, then definitely, we have not lost market share to anybody that's visible. But if we have to compare ourselves with, let's say, some below the radar online players or e merging players, are you sensing some part of our premium customers we would have lost in these strata.
V. S. Ganesh: Tejash, we don't see that because there has been a lot of initiatives taken by us also in customer acquisitions. And our D2C arm is very, very strong. And therefore, it has really had -- we recognized the significance of D2C space. And we are dedicated to nurturing our D2C business segment. So we are very sure of having much better customer acquisitions as we move forward. What we see is most relevant. The competition will be there. It is good. It keeps us in our toes. We are not left in white spaces as far as the product range is concerned and -- we have come out with very exciting products. We keep upgrading them without touching prices.
And we stay relevant to our consumers as far as our offerings are concerned. And we have been actually taking a lot of initiatives in improving the customer experience. So that has been central to our strategy in enhancing the overall customer experience. and the product portfolio, a s I told
you, and the consumer reach through marketing is something which we are working very hard on. And the kind of spend we can afford to have is much better than many of those brands which
are coming up. So we have enough muscle to tackle it, and we are making all the right move to manage the situation, and we don't see any threat.
Tejash Shah: And sir, last one, if I may. Sir, you spoke about that we had to respond in a certain way during COVID and post -COVID in Tier 2, Tier 3 areas, both in terms of numeric footprint and perhaps expanding inventory also in those areas. And now once we last two , three quarters, as the things started normalizing, we would have kind of called back on some of those initiatives because they're not profited. You highlighted that as well. Should we believe that most of those kind of
reversal is done? Or do you believe there is still some more reversal spending as we go?
V. S. Ganesh: No, most of it is done. And what I meant is it's not that we are not there in Tier 3, Tier 4, but in less than 50,000 population city or 25,000 city, maybe you can have three or four outlets. There is no space for eight or 10 outlets. So there is a rationalization required, and that is what has happened, and we are done with it, more or less done with it.
Moderator: Next is Ankit Kedia with Philip Capital. Please go ahead.
Ankit Kedia: So on the employee cost while you alluded that the normal attrition has not been again bought

back from the manpower front. But there is a significant portion of the variable cost, which you
started a couple of years back at the organization. Now given this performance, has the provisioning for the va riable costs not taken care in the employee cost? Or that comes at the end
of quarter four . So how does that variable cost move?
Deepanjan B.: No. The variable cost based on our budgeted performance we do provide certain variable costs on a pro rata basis. The actuating of the variable cost of course takes place in the last quarter.
But otherwise, the provisioning of the variable cost is very much in place.

Ankit Kedia: And sir, given this performance in the first half, can partly the decline in employee cost also be
attributed to lower variable cost?
Deepanjan B.: No, nothing to do with that. Employee cost reduction is because of two reasons. As we said,
when we allowed the natural attrition in our workforce. At the same time, given the -- I mean,
considering all the conditions that we exist now, we have stopped recruitment. The recruitment
freeze currently. So the normal increase or the normal increment that has happened during the
year that has anyways flown in. Major reason for the reduction is the normal attrition in the
workforce.
Ankit Kedia: Sure. Sir, my second question is regarding the high inventory by competition. That inventory
predominantly for athleisure, right? And not for innerwear. So if you can just break down the
growth separately for athleisure for us versus innerwear it will be helpful for us to understand
how much pain has already happened for athleisure versus innerwear?
V. S. Ganesh: Ankit, we see that inventory -- actually, the problem of the bloated inventories across, it's there
in innerwear also. And there you can see in the marketplace also, if you talk to the distribution
partners of peer companies and others. There are a lot of schemes to liquidate those stocks.
There are a lot of promotional activities, which are happening. So it is not specific to a category.
It is across category . So it is there innerwear and outerwear .
Ankit Kedia: And sir, my last question is regarding the commodity prices. Now with the prices stabilizing, do you see the need to take price action in the next six months this year? Or you think you'll take a
call on the next financial year for any price action.
Deepanjan B.: I think with our current stability in product prices as well as the operational cost optimization that we have done, and also is ongoing, we don't see any requirement of any price touching in
the current financial year. Of course, if the inflationary press ures across different parameters are
beyond what we are planning, then there can be a different call. But as of now, we don't see any
requirement of any price touch up.
Ankit Kedia: Sure. And sir, one last question, if I can squeeze in on, A&P spend. We are seeing your
advertisement on the Cricket World Cup now. So if you can just say second half of the year, can
we see higher A&P spend in the system versus the first half?
Deepanjan B.: Yes. So there are certain advertising expenses planned in the second half. And with that, we will be in the usual range of 4% to 5%, which we have been doing in the previous year. The first half,
yes, our advertising has on the lower side, but yes, second half there is will be on the higher side.
V. S. Ganesh: Let me also clarify that all expense on marketing has been in line with our budget, which we
have kind of realigned, recasted the outlook which we have for the year. So as I told you, we
have taken enough measures to protect the margins and all these relev ant expenses, we are not
going to tighten, but we are taking enough measures to protect margin.
Ankit Kedia: So between volume growth and margins, your first focus will always be on margins than on volume growth?

V. S. Ganesh: Of course, we are looking at volume growth, but we don't want to buy sales. We want to have
sustainable sales. So we are taking actions on that trend. So as I told you, if the market recovers,
we will be the first one to bounce back. However, it is always better to plan for the worst, and
deliver more than what we plan. Otherwise, our spends and other initiatives may go on a very optimistic mode. We would like to tighten our belt by considering that it may take more time for
recovery, but we a re prepared to bounce back to the market at the moment the buoyancy returns.
Moderator: Ne

xt question comes from the line of Sheela Rathi with Morgan Stanley.
Sheela Rathi: My first question was with respect to the salience of online sales has been strong this quarter at
30%. Is it fair to say that we were under -indexed on the online side, and that's why the growth
number seems to be stronger on online vs. off-line? And are there any particular categories which
are actually doing well for us on the online side of things? If you could give us some more idea

as to what's happening there?
V. S. Ganesh: Well, the growth -- online growth has been across categories. There is no specific category, which has shown acceleration. It's good to see it is across categories. And it also shows the changing behaviour of the consumer. Of course, many of the actions which we have also taken to bolster the D2C is also giving its results, and there is much more to come. There is a lot of work which has been done on that side of the business.
Sheela Rathi: How should we think about you in general the growth road map for the overall business, will the online be a much superior growth business for us going ahead. What I mean to say is that in the next five years, should we think that online will be 20% of revenues or something versus where we are today?
V. S. Ganesh: With the changing consumer behavior, I think we should be prepared for it. And I think as an organization, we should remain agile. That's how I will look at it. I won't be surprised if online is in high teens or late teens in four , five years' time. And we should take enough measures in taking and nurturing that channel to take care of that opportunity. But for me, I will say we need to remain agile because it is very volatile out there. So we are ready, in fact, the initiatives we have taken on the D2C side, we are very happy with the initiatives taken, both the quality of the initiative and the speed or the pace at which we have gone ahead executing it. And we are already seeing the results, and there is much more to come on that side.
Sheela Rathi: Okay. And the second question was in respect to the women's innerwear you talked about that selling better. So if you could give us some more insights in terms of any particular market or what is driving a better growth there? And what is the delta in terms of growth of women's innerwear versus men's innerwear?
V. S. Ganesh: I think multiple reasons. I think one is the product and the price we have positioned also very sweetly there. The second is the campaign, which we did. The Knows me campaign, all these were -- are paying results. And I think we did create that awareness among our consumers on the category. Thirdly, we have done a lot of work as far as the store associates are concerned because this is one category where you need your sales associates to be more of solution providers rather than sales winner a nd especially for the bra category. And I'm proud of what

the efforts our sales team and our learning and development team have taken collectively to make them a solution provider to a consumer. And all these are showing results.
Sheela Rathi: Okay. And the final question was to Deepanjan with respect to the EBITDA margin. We believe that a lot of variable costs are not there at this point of time. So how should we think about the trajectory on margins once we start seeing some green shoots on g rowth recovery? Because I believe we still have uncertainty with respect to when growth will come back. But how should be the path for margins going ahead?
Deepanjan B.: See, as we have always mentioned, we are very comfortable in the range of 19% to 21%. And given all the operational cost optimisation measures that we have taken and with the stability of the raw material costs, we are quite sure that, that range will always be maintained. But yes, at the same time, there are certain marketing initiat

ives being planned. There are also digital initiatives being planned, which are long-term benefits, but the investment phase will be starting now. So these expenses can impact the margins to some extent. But yes otherwise, we are very sure that the margins will still be in the range of that 19% to 21%.
Moderator: Next question comes from the line of Manish Poddar with Invesco Asset Management.
Manish Poddar: Yes. Just a couple of questions. So first one is, have you given the reason for rebasing the numbers?
V. S. Ganesh: Pardon?
Manish Poddar: So you've rebased the sales numbers in the base quarter, right? So I'm just trying to understand what is the reason for the same?
Deepanjan B.: As we explained that, I mean, our revenue from operations number that we report has an element of sales through our outsourced partners. So we typically supply raw materials to outsource partners, which they use and convert to finish goods and selling back to us. So earlier, this part of the operation that is sale of raw materials to outsourced partners was captured as other income from operations. So that has been regrouped as -- and netted off against the cost of those supplies. So that's the reason.
Manish Poddar: And why is it done now, and not done earlier? What has changed as an -- why do you change the accounting?
Deepanjan B.: It's more of an internal discussion and accounting standards applicability because at the end of it, it is raw material costs which we have sent and it has come back to us. So it makes more sense that it is grouped under cost of goods and netted off thererather than showing as part of the business .
Manish Poddar: Okay. And the second one is in terms of inventory. Have you given a split of RM versus FG in

inventory? And how much of FG is in, let's say, athleasure?

Deepanjan B.: Yes. In the balance sheet, we do have a split of RM finished goods and work in progress. Yes, I think in the published financials that will not be there. But yes, in the annual report, we do give a breakups.
Manish Poddar: So would you be able to help me on the first half basis, what is the split between the three variables, lets suggest RM and FG , WIP is not or what is of concern. I'm just trying to understand end products which are not sailing and how much is, let's say, the inventory in the system from because of that? And both this is RM the margin benefit for that?
Deepanjan B.: Part of it is INR1,3 61 crores inventory that we have reported, finished goods is around INR698 crores, and raw material is around INR270 crores.
Manish Poddar: Okay. And just of this of FG , how much is of athleisure?
Deepanjan B.: No, that breakup we don’t give
Manish Poddar: Okay. Okay. Fair enough. Sir, it would be helpful given the environment where we are in, and just a feedback probably, and it will be great if you take it on positive -- from a positive feedback response loop. A lot of numbers all of the place because of our interventions and the external mark et environment. And given that we are also seeing attrition at different levels, would be helpful if you can just give us clarity on certain category level trends or channel level trends, region level trends, some sort of data on a quarterly basis or a half yearly basis s o that you -- one could appreciate the results much better. Because as investors, we are -- it just roll over to be very honest. I understand I don't want to do it on the earnings call, but it just roll forward of expectations, frankly. So it will be grea t if you can give some clarity there, that would be helpful.
Deepanjan B.: We take your feedback. We'll deliberate on that. And if that helps in a better presentation, we'll definitely consider it.
Moderator: Next question comes from the line of Sameer Gupta with India Infoline.
Sameer Gupta: I have two , I'll be quick h

ere. So first of all, historically, you've seen kind of a seasonality in volumes that tend to be higher in the first quarter and then they decline sequentially. Typically, in 3Q, it is 5% down versus 2Q. Now my question is that post ARS im plementation, which is now broadly complete, would you say that, that seasonality element in volumes have now reduced considerably? Or it is just a reflection of the end consumer demand, which is still likely to be there in our prim ary volume that we sell.
V. S. Ganesh: Yes. So there are two and yes, you are right, historically Q1 is the highest quarter. And I think it will remain so for some time to come. But even if there is ARS -- because that is when the distributor actually primes up inventory and that will continue, but it will be more democratic, as far as this spread is concerned. So in the past, most of the money flows in some of the core products and it has affected the discoverability of our hidden gems, the winners which have not got the field of play.

So now it will be much more democratic. And on your second part, yes, ARS is more or less done, but it will take time to for the hygiene to kick in because even though every -- almost majority of the distributors have signed into ARS and have made substant ial progress, and it varies from category to category, the progress which we have made, but first is to correct the bloated inventory they have on hand, and it will take time for that correction to kick in.
Sameer Gupta: Got sir. Second question, and this is on men's innerwear particularly for a category, and you said that trends are similar across the board. So basically, for a category such as men's innerwear for a whole year now, I mean volumes have been quite under pressure for a whole year. And even this is adjusted for the ARS impact that we had reported in the last two quarters of FY'23. Now unless consumers have downgraded or we are, as a company losing market share what exactly -
- what else can this d ecline in volumes be attributed to? And if you could just help me the sales growth or volume growth for the EBO channel this quarter.
V. S. Ganesh: Yes. Yes. So again, there are two parts on the -- innerwear side of the business, I don't think the consumers might have downgraded. I think the ticket size or the quantities they are buying has reduced because if you see even our peer companies are under pressure as far as volumes are concerned, so there is generally a control on the spend, and we can see this across from CG and many other industry because many spends have gone up, the health, the education, rentals without a substantial incr ease in their salaries. In fact, IT sector is also under tremendous stress.
So all this is having an impact.

But again, with the overall economy and overall growth story, this can't last. So it's just a question of time as I keep telling, but I don't think it is definitely not the question of losing market share. In fact, we're also seeing some premiumization hap pening. So people who have the money actually spending. So it will come back, and you can see the peer companies also on the equal pressure and it's an essential product. So it should recover faster than any other category.

Moderator: Next question comes from the line of Vikas from Equirus.

Vikas: Just only one question from my side. While in a few quarters back, we were -- one of our key drivers was the distribution expansion. But given the current environment. And of course, the numbers also -- where you in the earlier comments, you said that some of the areas that we did enter into earlier was rolled back because now the office work and others have resumed. So what is our view with respect to the expansion on those addition right now, given the environment we are in. And yes, that is my question.

V. S. Ganesh: We have tremendous scope for expansion bec

ause see, as you know, we have a huge headroom beyond teens as far as men's innerwear market penetration is concerned, single digit in other categories in which we are. And if you look at the number two three, in most of those categories, we are higher than number two, three, four combined. So you can imagine the headroom which we have an d how fragmented the market is.

So there is enough room for expansion, and we will continue to expand because we are very, very optimistic about the long term. There's no question about it. And we are going to go all out.

These are temporary cases which any business will go through. We are going through that. But our long-term outlook is definitely positive. That's why -- we're also spending for the future as far as IT and other spends are concerned because these are all es sential to nurture and grow the brand.

Expansions, right expansions will continue, and we are also taking enough efforts to make the distributors profitable so that we take it as our responsibility, and that is where we are working overtime on their inventory health and having a better management of the inventory. And that is very, very important. And that will actually help us to have accelerated expansion because there will be more and more partners who will see that this is a good business to be in.

Vikas: Sure. And sir, just other participant has asked could you say what would be the volume growth at an EBO channel level, that would be helpful.

V. S. Ganesh: Yes, sorry, I missed the that . We don't give the split, but I can tell you, EBOs have also recorded a de-growth, and this is where we say like this is more of market, not because of other factors of losing shelf space. And that is the right barometer or the indicator as to how the mar ket is. So we are seeing that in EBOs also.

Vikas: Correct. Correct. Okay. But on a broad basis, would that be significantly higher or lower than the company level 8% that you have given?

V. S. Ganesh: Well, it is negative growth, but it is comparatively lower compared to the overall. That is because when it comes to EBO, EBO s has always been in ARS for a long time. So there is a much better inventory health in the system. And therefore, the degrowth has been softer. And as far as the general trade distribution is concerned, this is where ARS is very important. And now that it' s reaching a maturity state, things should improve as we move forward.

Moderator: Next question comes from the line of Devanshu Bansal with Emkay Global.

Devanshu Bansal: Sir, your commentary indicates that team at least has done a good job and whatever challenges are there are because of weak macro. So my concern was regarding the several senior -level exits, first, Mr. Shukla; and now Mr. Sehgal. So I wanted to check what are the reasons for these exits? And what are the key guidelines for new hires? And also who will be taking care of their portfolios in the interim?

V. S. Ganesh: When Mr. Sehgal has decided to move on for personal reasons, and he has been in discussion with us for some time, and there is also a proper transition plan planned, and we do have enough leadership bench strength and we will be able to manage the business with the current management team, even with this resignation. So we can manage it. And this has been planned and this is happening in a very smooth manner and he is moving on for personal reasons. And Mr. Shukla, left for looking at better professional gr owth outside, and we wish him all the very best. And in the meantime, we do have our current team, which is managing, and we have also taken initiatives to hire a talent to manage the modern retail and the transition is in progress.

Moderator: Next question comes from the line of Rishi Mody with Marcellus Investment Managers.

Rishi Mody: So was there any ARS impact in the current quarter?
V. S. Ganesh: Not much because as I explained to you in the last meeting also, that was there in the very first quarter when the inventory was so bloated. Once it comes below the tank size, there is no impact. The only thing is we will get a better width as far as the p roduct portfolio is concerned. So I can say from a consumer discoverability part of it and reaching our product to the market is concerned, there is only a positive impact.
Rishi Mody: Understood. But I think you referred to some disconnect between primary sales and secondary sales. So why is there a disconnect?
V. S. Ganesh: No. What I meant is with bloated inventory for some time, the secondary should be higher than primary so that the inventory of the distributor gets corrected. So that's where I'm saying it has not normalized fully. And if we had to help our partners to have a healthy inventory, we cannot push products more than what he can ideally have. So we have been managing that. So it has been a more focused approach of improving secondary sales and our entire sales team is now focusing on secondaries and primaries will automatically follow.
Rishi Mody: So for this quarter, was there a difference between secondary sales growth rate and primary sales growth rate.
V. S. Ganesh: Of course, secondary sales has been slightly better than primary. See, we have actually crossed that bridge. So there has been a slight increase in secondary compared to primary. And that's where I'm saying the inventory correction is happening. And now going forward, it should level out. I think we have gone past the difficult phase as far as those corrections are concerned.
Rishi Mody: Understood. And can you quantify the improvement in distributor inventory? What was it in Q2, Q1 and Q2 of last year?
V. S. Ganesh: I can say there has been a substantial improvement in the number of days of inventory, which the distributors are now currently maintaining. The number of days may vary from region to region and also category to category. So I'm unable to give a specific number, but across our distribution, there has been a tremendous improvement. And we also taken enough and more measures in improving our logistics, reducing our lead time, which also helps the distributor to tighten its inventories as far as the number of days inventory is concerned. But what I can say is there is an excellent improvement in those numbers, and it is in line with what we expected. So the project is working as per plan.
Moderator: Due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. Deepanjan for closing comments.
Deepanjan B.: Thank you, everyone, again, for joining this earnings call, and wish you and family very happy and prosperity Diwali. With that, we can close this call.
Moderator: Thank you. On behalf of Page Industries Limited, that concludes this conference. Thank you for joining us. You may disconnect your lines.

Call: Feb 2024

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February 15, 2024
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange
1st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051
Dear Sir,
Sub: Audio Recording and T ranscript of Investor call
We herewith enclosed the transc ript of investors call for the financial results for the
Quarter ending 31 December 2023.
Audio recording of the investor call is available in the following link:
https://youtu.be/BPwQjsM_46M

This is for your information and records.

Thanking you,

Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary

"Page Industries Limited
Q3 and 9M FY'2 4 Earnings Conference Call "
February 08, 202 4

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE
INDUSTRIES LIMITED
MR. DEEPANJAN – CHIEF FINANCIAL OFFICER – PAGE
INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA – CHIEF SALES AND
MARKETING OFFICER – PAGE INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9-Month FY'24 Earnings Conference
Call of Page Industries Limited. As a reminder, all participant lines will be in the listen -only
mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing st ar
then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. V.S. Ganesh, Managing Director of Page Industries, for his opening remarks. Thank you, and over to you, sir.
V.S. Ganesh: Thank you. Thank you so much. Ladies and gentlemen, a very good afternoon to all of you. On behalf of my

team at Page Industries, it is my pleasure to welcome you to our Q3 and 9 -Month FY'24 Earnings Call . I hope you have had a chance to review the numbers and presentation uploaded on the exchanges.

Let me begin by contextualizing our discussion against the broader backdrop of the textile and apparel industry and then focus on specific company 's performance. The industry has navigated through a period marked by mixed demand trends, with the overall demand for the retail industry being subdued as consumer expenditure has shifted towards travel and leisure.

The initial performance in October '23 was tepid, with the concentration of wedding and festiv e demand in November '23 and a noticeable bottoming out in December '23. The i nnerwear and the Athleisure industry faced subdued demand in Q3, leading to a decline in sales volume.

Notably, our sector experienced an accumulation of excess inventory, contributing to challenges within the overall ecosystem and fostering certain unsust ainable business practices in the market.

Despite all these challenges, our commitment to sustainable sales practices remains unwavering.

We are actively implementing measures to uphold operating margins and optimize inventory in ensuring a strategic and responsible approach in navigating the curr ent market conditions.

Against the backdrop of a resilient economic trend in Q3, we are pleased to announce that we have recorded a robust profit after tax growth with a modest revenue expansion for the quarter.

These positive outcomes were supported by the hard work put in by our teams, festive activities, and improved inventory health within our distribution network.

Our commitment to technology, brand promotion and expanding market reach remains unwavering with a simultaneous focus on maintaining comfortable operating margins. However, the prevailing macroeconomic challenges and subdued market conditions led to a marg inal year -on-year revenue growth, evident in a 2.4% increase in revenue and a 4.6% increase in volume during Q3.

Despite encountering these challenges, our performance in Q3 was strong enough. Nevertheless, the year -to-date December figures were coloured by the first 2 quarters of the year and therefore indicates a decrease in revenue and volu me by 4 .6% and 5.8%, respectively.

In line with our objectives, we continue to invest in enhancing consumer reach and experience, diversifying and enriching product offerings, focus on the operational excellence and digital

transformation. A diligent control over expenses has ensured strong operating margins without touching product prices.

Our primary focus has been on enhancing productivity within our supply chain. We embarked on a journey to modernize our distribution management system, aligning with our commitment to continuous improvement.

With a distinct emphasis on optimizing operating expenses, it is noteworthy that despite a marginal increase in revenue, we have achieved an impressive 23.1% growth in profit after tax during Q3. This underscores our strategic effort

in maintaining a balanced approach to financial performance and focusing on operational efficiency.

Our distribution network expansion remains in line with our plans. As of the end of December, we have a network of over 110,000, MBOs, 1,394 EBOs and 2,300 -plus LFS outlets. We are also directing our attention towards metros and Tier 2 and 3 cities.

Our e -commerce channel witnessed a substantial growth of 28% in year -to-date December, reflecting evolving consumer purchasing habits and a commitment to bolstering our online presence. We have several initiatives being executed to further strengthen our D 2C channels.

We continue to invest for attaining our long-term objectives. Our strategic focus encompasses multiple factors, and that includes intensifying the general trade distribution, expanding large format source and exclusive brand outlets, growing D2C business, improving customer experience, strengthening product portfolio, continuous improvement in partner and consumer engagement and brand building and ensuring a robust supply chain.

Joining me on the call today are Mr. Deepanjan, our CFO, who needs no introduction; and Mr. Karthik Yathindra, our Chief Marketing Officer. Mr. Karthik has been associated with us for close to 8 years, and he was looking out the critical functions like mar keting, product development, product management, supply chain.

He was also instrumental in the launch of Jockey Juniors. Currently, Karthik also heads the sales functions in Page Industries. We expressed a sincere gratitude for your unwavering support and trust in Page Industries.

We eagerly anticipate the opportunity to address any questions that you may have and provide further insights into our performance during this call. Additionally, I extend warm seasons greeting to all, wishing a prosperous and fulfilling year ahead.

I once again thank you all for joining this call today. And I would now request our CFO, Mr. Deepanjan, to take you through the numbers for the quarter before we open the floor for the

question and answers. Thank you so much, and over to Deepanjan.
Deepanjan: Thank you, V.S. Good evening, friends. I hope you are all keeping well. Thank you for your participation this evening. I'm pleased to report that Page Industries has delivered an improved performance in Q3 of FY'24.

To take you through the key financial highlights for Q3, we recorded sales volumes of 55.2 million pieces, which was a growth of 4.6% year -on-year and resulting in a revenue of INR12,288 million. With revenue growth by 2.4%, our EBITDA achieved was INR 2,352 million, which has grown by 19.1% Y -o-Y. Our Q3 EBITDA margin was 18. 6%.
Investments in digital transformation and marketing initiatives did impact our EBITDA margin for this quarter, which was largely balanced with favourable fabric costs and operational expenses optimization. PAT for the quarter was INR 1,524 million, which was a growth of 23.1% Y-o-Y and the PA T margin was 12. 3%.
Coming to the YTD December numbers. YTD December revenue and volume was INR 35,863 million and 162.8 million pieces. With growth in Q3, YTD December degrowth in revenue and volume was 4.4% and 5.8%, respectively. EBITDA was INR 7,051 million, which was lower by
3.2%. PAT was INR4,610 million, which was lower by 6.5% Y -o-Y.
Inventory at the quarter end was 12,436 million as against INR 15,953 million at the beginning of the year. Inventory days was 95 as against 122 days in the beginning of the financial year. Improvement in inventory days is in line with our efforts to reach optimum inventory levels by the year -end.
Net working capital was INR 9,278 million as compared with INR 7,680 million at the end of Q4 FY'23. Working capital days was 71, which was 59 in Q4 2023. The increase in net working capital is largely because of our healthy cash balance. In the year beginning, we

had borrowings
and now we have a healthy cash balance.
To summarize our financial performance, we remain focused in driving operational excellence and capitalize on growth opportunities. We continue to make investments in marketing, digital transformation, and process improvements to deliver value to consumers efficiently. We can now discuss all queries that you have.
Moderator: First question is from the line of Avi Mehta from Macquarie. Please proceed.
Avi Mehta: Sir, I had a few questions, especially on inventory , on demand and on margins, if I may. So first, on inventory, I would love to know how the inventory levels at distributor and retailers and they how far off are they from normalized levels. Also on your point about bottoming out of seen in December, is that because the discounting pressures have peaked out? Or are you seeing Jan being better? If you would kind of clarify that part, sir?
And lastly, on margin profile, I would love to hear your thoughts on how should we look at this given this quarter is closer to the bottom end of our 19% to 21% range. And how should we look at it going forward? These are the 3 questions, sir. If you could please help.
V.S. Ganesh: Thank you so much, Mr. Avi Mehta. As regards to inventory is concerned, there has been an improvement in the distributor inventory levels. Thanks to the successful implementation of the ARS. However, I must say these early days and it has not come to the l evels which we desire as these changes take time and it's an ongoing process.

But there is a healthy trend which we are seeing and it's on track as far as ARS implementation is concerned. So that is one good news. And I should thank the team for working hard and engaging with our partners in making this project a success and making this the most important project for us to transform the sales function in the organization.
As regards the margins are concerned, yes, we have taken a lot of measures to protect the margins. And as I keep telling, we are very comfortable at 19% to 21% zone and we are just shy of that. There are 2 major factors. One is subdued demand and leading t o less -than -expected top line, and that has put some pressure on the margins. And we hope this current retail environment will improve in the coming days and we are all geared up to seize opportunities as things improve. But we were able to control and protect margins with a lot of measures which we have taken as regards the control and operating expenses are concerned, and also managing our inventories very, very prudently. So that is regarding the demand part of it. And I'm sorry, what was the third one, Mr. Mehta?
Avi Mehta: Sorry, you said towards bottoming out seen in December on demand side. So is it in terms of

discounting pressures having peaked out? Or is that Jan has seen an improvement? What was that comment supposed to mean? I was not sure, sir.
V.S. Ganesh: Early days, Mr. Mehta, because the market continues to be lukewarm even though we could see some modest growth. If you see across sectors, it continues to be lukewarm. In fact, apparel seem to be most hit. In fact, what I can see, apparel, the growth has b een a very low single digit overall across categories, and while jewellery has recorded 12%.
So it continues to be in that state. So we expect Q4 maybe on those lines, though it is early days for us to talk about Q4. But see, from our point of view, we would like to brace ourselves for the worst and control the expenses, work very diligently to pr otect our margins. And once the market recovers, we want to be out there and seize the opportunity. But the current outlook is not so buoyant, and we are very, very cautious.
Avi Mehta: And sir, the distributor, would you be able to give any number over there versus 100 that you wanted. It's 110, 120. Where is it in terms of the inventor

y levels?
V.S. Ganesh: Karthik, you want to elaborate on that?
Karthik Yathindra: Yes. Mr. Mehta, this inventory levels at the distributors varies across categories. What I can share is that from where we started in the beginning of the financial year, there has been an improvement of about 3 days in inventory holding. This is in spite of a marginal decrease in year-to-date revenue, which means the impact on decrease in inventory has been much higher, which of course varies between categories, between innerwear and outerwear, between men and women.
Overall, what the auto -replenishment system has helped us to is, a, bring down the overall inventory level; but more importantly, improve the inventory health of the distributors. So the

mix of the inventory that distributors are today holding is much better when compared to where we were in the beginning of the financial year.
This in a way helps in better terms in two ways: both in terms of increasing opportunities for secondary sales as well as because of the inventory normals are coming down, the inventory turns improves and helps in better ROI for the distributor.
Moderator: Next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.
Nihal Mahesh Jham: Sir, my first question was certain feedback has been telling us that we are contemplating -- implementing a new software and also bringing some changes to our ARS. Just wanted to confirm that are there any thoughts on these lines both for the EBO as well as for the general trade distribution channels specific to ARS?
V.S. Ganesh: See, we are continuing to implement ARS, and that is a process wherein we actually manage the hygiene in the market and it's really operational. It is true that from a tech support point of view, we are implementing a much improved distributor management s ystem, which will help the entire frontend supply chain and our company in having a more robust system, better insights, real-time information, which will help us and the partners to bring in more efficiency to the business.
Nihal Mahesh Jham: So does it create any difference versus earlier when, say, the ARS has been implemented with some of the distributors? Is there no flexibility provided to them in terms of using the assortment?
V.S. Ganesh: No. You see, that is totally different. Here, we actually look at the assortment plan and for ARS, we look at the intelligence which we have based on the past sales, what the market demand is.
And then we recommend based on the rate of sales and the potent ial demand, we recommend an ideal mix to our distributors, which will enable them to order as per the recommended mix.
So ARS, as Karthik rightly said sometime back, will help in having a much better quality of inventory, and therefore, a much improved inventory turn for the distributor, thereby resulting in a much improved ROI. S o that project is ongoing, and we have reached a good level of maturity as far as ARS implementation is concerned.
Nihal Mahesh Jham: Sure, sir. The second question was that you have been highlighting about the e -commerce as a channel and specifically your own website. Are you looking at significantly upping the spend and maybe taking a larger share on your own website versus, say, marke tplaces? And if I can just slip in my third question and close is that the reason for the lower realization on a Y -o-Y level.
V.S. Ganesh: Karthik, do you want to take that?
Karthik Yathindra: Sure, sir. Our investments as far as marketing is concerned between, let's say, online channels and off -line channels has remained consistent over the last 3 years. Today, anywhere between 13% to 15% of our overall marketing investments is a portion to the e-commerce business. And

as you may know, this is broken into performance mar

keting as well as brand-building
initiatives.
Performance marketing is what directly results in revenues in the online channel, and this contributes to about 75% of our overall spend in the online channel. So the strategy towards investments in online remains consistent. W e haven't changed it in the bygone year. We don't foresee a change in this either.
Nihal Mahesh Jham: Sure. And sir, just on the realization?
Karthik Yathindra: The realization will obviously be a function of the mix within the e -commerce business. As far as the overall realization to the organization, we don't see there being a major shift because of our spend towards e -commerce.
Nihal Mahesh Jham: I was actually referring to looking at the ASP, which is down 4% Y -o-Y. That is what I was looking into.
Karthik Yathindra: No. ASP is a function of the category mix. While there has been impact on the overall brand revenues across categories. We've seen it being a bit more pronounced in the Athleisure segment.
We've also been quite aggressive in our expansion when it comes to the access of this business.
So the mix in the category is what has led to erosion in ASP to the tune of 4%.
Moderator: Next question is from the line of Tejash Shah from Avendus Spark. Please proceed.
Tejash Shah: Sir, we have observed many retail companies now that expanded their network very aggressively during COVID or immediately post -COVID. Those are the one experiencing under performance and excess inventory. Can we highlight any specific cohort in our network experiencing this excess inventory and slowdown that you have called out?
V.S. Ganesh: Well, the excess inventory, actually the impact more has been on the Athleisure. Because right after the pandemic, there has been a huge demand for Athleisure and both our distribution and retail partners were also taking calls based on the sudden surge in demand they were seeing.
And as it post driven shopping and once back to office happened and things return to normalcy, the demand also normalized. And that actually had a big impact as far as the inventories are concerned. Overall, the inventories across categories have been high. But as we can see, i t is highly pronounced in the case of the Athleisure category.
Tejash Shah: Sure. So historically, I know we have not done any such clearance sale in a big way. But do you think that this kind of inventory buildup that happened because of this once in a lifetime event of pandemic? Do you think that we can instead of dragging the s lowdown and excess inventory so for long, we can take some kind of clearance measure? And then let's get back the inventory to healthier level and then we can start from there? Or do you think we'll let it go the way it is happening on the dem and side?
V.S. Ganesh: Well, see, these are healthy inventory. luckily, we don't work on seasonal products. And so none of this is redundant inventory or these all will sell. Now the ARS is one initiative which we took

so that we wanted to ensure that what is pumped into the pipeline is based on true demand rather than the gut feel , which is there with our partners and what a person can feel from this gut, we wanted it to be more scientific. And that is better and hygienic way of bringing the inventory to healthy levels rather than discounting and other practices. Because this will have a long -term impact as far as the brand is concerned.
And as Jockey, as Page, we always believed in sustainable growth and we believe in the right practices. And we truly believe it is better that we take measures wherein the system helps to correct rather than taking short -term measures which may bring us immediate results because it will always boomerang back in the long term. And if you can see ou r inventory levels compared to peer companies, it's well under control. The good news is, even though it

is high, it is not at
alarmingly bad levels. So our distributors are not seeing any credit loss, which is affecting our sales. Even it is as before.
So in that sense, it is not affecting our sales. It is only that we had to do allow some corrections to happen in the organic manner for which we are working on.
Tejash Shah: And so according to your assessment, looking at current demand environment, how long will it take?
V.S. Ganesh: That is anybody's guess because it depends from partner to partner, how they have positioned the inventory.
And second, it also has a factor of the category in which in fact, I see the Athleisure may take a bit more time. But I don't think that is going to affect our top line immediately. Once

the demand comes back, our top line should be improved. So we are not losing to competition or we are not losing our shelf space. It is just a question of the waiting for the demand driver. I don't think inventory is playing spoil sport as far as we are concerned.

Of course, the inventory overall in the ecosystem, because of the competition and generally the inventory is very high, that is having an impact on our sales more than our inventory. This is where there is a lot of discounting, a lot of liquidation, a lot of clearances happening. And this is having an impact on us. But that also, I can see it was much more intense in Q1 and Q2, that the intensity has come down drastically in Q3. Karthik, you want to add more color to it?

Karthik Yathindra: I think your initial statement about the quality of the inventory is very pertinent. Even if we liquidate the inventory that the partner or the retailer is holding, we will be replenishing it with the same inventory because the inventory is not outdated. I t's just that the level of holding of inventory seems to be high. And even there, I think the bigger issue is probably demand at a tertiary level.

Because even year -to-date, we don't see a significant difference between our primary sales performance versus secondary sales performance. It is to the tune of those three days of inventory, which I had earlier mentioned. Barring that, it's not been very significant. So rightly pointed out by the Managing Director, it is about revival of demand that we are hoping for. And that will, in a way, be the answer also to how much time would it take for us to reach acceptable inventory norms.

Tejash Shah: And last question. If I compare our presentation data of MBO, we were at somewhere around 120,000 network retail store in fourth quarter, which has come down to 114,000 in this quarter's presentation. So is it a planned correction that we are making here? And will there be additional rationalization as we go ahead?

V.S. Ganesh: Thanks for asking that, Tejash. Yes, it is a planned initiative. We have seen a minor drop in non-traditional outlets that was bought into the category during the pandemic. So barring that, we are not seeing any significant drop in numbers of outlets. But as the market has not been very buoyant in the last few quarters, there has been a few outlets wit h lower throughput. And these were small outlets which has had an impact. So that's where some level of rationalization which is required has happened.

But I don't see this as we move forward. We will continue to expand, but it will not be because of the pressure we had during the pandemic where we had to expand and be where the consumer is. Now we can look at an expansion where the potential is and make it reachable and viable for the distribution partners. So we will continue to expand. But the drops which we have seen is mainly because of the opening, which we had in the pandemic. And that rationalization has already happened.

Moderator: Next question is from the line of Akshen from Fidelity. Please go ahead.

Akshen: So sir, on your portfolio you've discussed how At

hleisure post -COVID has been slow. I just wanted to check between your men's innerwear and women's innerwear portfolio. If you could throw some color as to which one is doing better right now. And particular ly, on women's innerwear, if you could just sort of lay out your strategic agenda over the next 2 to 3 years? What are the key focus area for the management over there? That's question one. I'll wait for the answer and then ask my second question.

V.S. Ganesh: Yes. So as you know, yes, because of the impact we had in the first 2 quarters, we have seen degrowth across categories. There is no exemption there. Of course, it has to be more pronounced in the case of Athleisure. And Karthik, you want to talk about the women's innerwear , the strategic initiatives which we are taking?

Karthik Yathindra: Yes. So I mean, it's a stated strategy in our past communication that there are a few categories which are being given specific focus in order to capture the market potential that is out there.

We believe our penetration levels in the women's innerwear business is far lower than what we've managed to achieve in the men's innerwear business, and hence, there lies a potential for us to capture the market. With regards to this, anything that we do, we do to improve business, be it new product introduction, be it innovation in the product portfolio, be it marke ting investments and work on the marketing side.

There is disproportionate investment and focus towards the women's innerwear segment. This also has to do with the infrastructure that we are building in. In the last couple of years, setting up of a dedicated sales team and since then building an independent distribution network to serve only the women's innerwear category has paid a good dividend.

And the focus for this category and the strategy in treating it independent as a company of its own within the company is the strategy that we will be following to try and enhance our penetration levels within the women's innerwear market.
Akshen: Okay. Sir, my second question was around short of gross margins level. Until, I think, a year, 1.5 years back, you had a separate disclosure on how you see gross margins, which is a little different to what the reported gross margins were. But I'm sort of just going by what the reported numbers are ri ght now. This year, you've seen softness in commodity prices.
Your selling price hasn't fallen as much, but gross profit as the way you've disclosed in exchanges are actually down on a 9 -month basis versus last year. How should we be thinking about gross margin this year, next year? And if you could just help us unde rstand how is the gross margin movement been? I'm not looking at this quarter, just generally 9 months versus last 9 months. Optically should have improved but doesn't seem to have improved.
Deepanjan: For product cost, which is a summation of material cost and labor rates and their efficiency. So over a year -to-year basis, we have been gradually seeing our production cost of goods improving or coming down. One, definitely because the fresh fabric that w e have involved over last few months at a lower cost. And also, we are able to achieve a significant improvement in efficiency in our production. So the new production that has happened over the last few months is definitely at a lower cost, whi ch is reducing our inventory cost per piece.
At the same time, I mean, since we have elevated inventory levels, we are still serving largely from our accumulated inventory. So the fresh production, which is happening last few months is gradually getting into the end, but a large proportion still remains out of our inventory which we're already having at a higher cost. So the gross margin levels of 53% that we're looking at is more or less similar to what was there last year on a 9 -month basis. A quarter -to-quarte

r basis,
you would have seen there is 1% or so improvement in the gross margin in the current quarter.
On a sequential basis, quarter -to-quarter, yes, there is a slight reduction in the reported gross margins more because of we do periodical sales initiatives and sales investments. So that's what affects our reported gross margins quarter -to-quarter. But a s far as product cost is concerned, the
favourable raw material cost and the improved efficiency is gradually benefiting the inventory cost, and it will reflect in better margins going forward.
Akshen: Okay. One last question from my side, sir. Given that raw material prices sort of fell versus last year and are steady now, and given where your gross margins are, how do you see the need to take pricing actions over the next sort of 2 to 3 quarters? Will the prices be what they are, get higher volumes and then tinker with pricing? Or like past, we're okay taking up pricing even if sort of commodity prices are not really moving? Just your thoughts around pricing, that would be great.
V.S. Ganesh: As of now, as we see and given the trend in the raw material costs, well of course, there are inflationary pressures and input costs as well as other input costs. But as of now, we don't see any requirement of any price adjustments or price touching for the next month or even next year.

At least if there is a tremendous increase in the input cost, then we have to rethink our pricing decision. But right now, we don't think we'll be taking any price increase in the near future.
Moderator: Next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.
Videesha Sheth: Number one is the momentum of new addition have also slowed down. So is it only due to number of exclusive woman outlets reducing from 78 odd stores to 62? Or are we tapping out on the new addition scope?
V.S. Ganesh: Karthik?
Karthik Yathindra: I'm sorry, I didn't get the second part of your question if you don't mind repeating.
Videesha Sheth: Sure, sure. So the momentum of EBO addition which earlier used to be in the range of 40 to 45 - odd stores, it has slowed down to 18 stores towards this quarter. So just wanted to clarify that, is it due to a reduction in the exclusive woman outlets or that reduced from 78 to 62? Or are we even capping out on the scope of new addition that will ha ppen for us?
Karthik Yathindra: Okay. I think we continue to keep pace as far as EBO additions was concerned. There might be a normalization across quarters within a year. We typically target to open anywhere between 150 to 200 EBOs every year. I don't believe this year will be any diffe rent. We are well on par to have 150 to 200 stores opened in this fiscal as well.
As far as the comment on the women's store is concerned, there have been few stores which we've had to consolidate which were erstwhile operating at 2 stores and just into each other, which we've taken calls to consolidate and bring it under one roof. So f rom mere count point of view, that would reduce from 2 to 1.
But as far as physical service is concerned, that retail area continues to be under the Jockey

brand. So you might find some portion of that having an impact on the overall number. But in
terms of physical presence, we continue to expand at the rate that I just mentioned.
Videesha Sheth: Got it, got it. And the second question was that the in-house manufacturing mix has increased to
80% compared with 70%. So which portfolio is it pertaining to? And what was the capacity
utilization as well?
V.S. Ganesh: So it is across categories because our manufacturing capabilities lies across categories. W hen
the demand was down, the first thing we wanted to do to optimize our operating cost is to spread
our assets . And this is the very reason we have outsourcing, so that we can gear up or bring down
the capacities

based on the demand and optimize our capacity utilization and manage operating
cost. So that's why you saw percentage increase.
So you might have seen a percentage increase in in -house manufacturing vis -à-vis outsourcing.
So we continue to operate at optimal levels. We are utilizing as before COVID, same levels of
around 80% capacity utilization, which is what we are having and which is pretty healthy as well
as the apparel industry is concerned.

Moderator: Next question is from the line of Amar Kalkundrikar from Nippon India Mutual Fund. Please
go ahead.
Amar Kalkundrikar: Sir, you shared that overall volume was up about 5% during the quarter. This is at overall
company level. So does Athleisure still continue to be in a sort of heavy decline mode?
V.S. Ganesh: Yes. Athleisure comparatively has higher volume degrowth because it had a much higher base
last year because the demand was very, very on the upside last year. And compared to that base,
it has had the highest impact amongst all the other categories.
Amar Kalkundrikar: Okay. Secondly, sorry to harp on this inventory part again. You shared that there has been a reduction in
inventory days of 3 days at overall level when you measure channel inventory. Is it
possible to share how much is the reduction in Athleisure sort of inventory days because that's
where the problem has been?
V.S. Ganesh: Well, there the reduction has been more than 3 days, but it was highly bloated. So it is still way
above the desired level, and that's where we are working very hard on.
Amar Kalkundrikar: And is it possible to share how far it could go in the sense you said that trends are healthy, but we are not
at desired level yet. So how much more to go ballpark?
V.S. Ganesh: See, at what speed we can actually normalize depends on how demand picks up in the market.
If it picks up faster, we can actually correct this much more faster. So how far or how long will
it take is dependent on how the market demand improves, and also at a distributor level, how the
mismatches has been. But more or less, I can see it is coming down the way and if this trajectory
continues, it will be healthy.
But the main thing, what I can say, the distributor was blocking its funds at a higher inventory
days. So as the inventory days are coming down, it is releasing more money for him to buy
meaningful inventory and thereby through the help of the inventory, w hich is the most important
thing. And that has already started happening, and that will actually help the category to grow
in the coming days.
Moderator: Next question is from the line of Gaurav from Axis Capital. Please go ahead.
Gaurav: So my first question is with regards to again the gross margin levels, the EBITDA margin levels. Now if you see the
employee cost on an absolute basis, that has actually declined by 9% on a Y -
o-Y basis. And this has been quite a trend in the past few quart ers as well. So is it the reason
because we have a higher level of inventory and the production is less, and because of which the
employee cost is lower? And probably once the production starts to pick up, we will see the employee cost coming back?
V.S. Ganesh: Not exactly because now there is also a lot of operational efficiency which has kicked in. We have got smarter
in outsourcing. Overall efficiencies have gone up substantially. And therefore,
we are able to produce more with less people, and that definitely helps in improving the
employee cost. And there have been a lot of other initiatives taken the operational trend to control
overheads. So that is also helping. We also take a lot of initiatives to reduce the throughput times.

And in fact, we have taken away more than 3 weeks of the throughput from order to delivery.
And this is also helping us.
So it is not just be

cause we are producing less. In fact, we continue to produce as before. As I told some time back, we continue to sweat the asset and utilize our capacity. Whatever reduction has happened in the outsourcing side of it. And the margin improvement is mainly because of 2 factors. One is the input cost have softened from where it was before. That is the raw material costs. And second is the operation of overhead control along with productivity improvements.

Gaurav: And sir, next question is with regards to the Athleisure part again. I mean post -COVID, we have also seen a lot of players also coming in India Athleisure segment. And the pricing for those Athleisure players has been very competitive versus what being off ered by us. So do you also see an impendent that being an impendent on clearing the Athleisure inventory from the market, apart from the slow demand that we are seeing?

V.S. Ganesh: Karthik, do you want to take that?

Karthik Yathindra: Sure, sir. Well, overall, from a pricing of a product with the value that the product delivers, I believe our products do justice to the MRP that it is commanding, even at a competitive scenario. There has been efforts from the product development team as well as the product management team within Page to make sure that we add more value to the product, keeping the price where it is. So as a value proposition to the consumer, I believe even in a competitive context, Jockey products out t here command the price that we charge the consumer.

What has, in fact, affected or impacted the brand to an extent in the category is the final selling price to the consumer, which over the last few months has been much lower than the stated MRP. This is because of the high level of inventory that all playe rs seem to be carrying and this is a tactic being employed to flush out inventory. However, like the Managing Director has just mentioned, this seems to have been a lot more intensive in the first half of its financial year. We've seen not much evidence o f this in quarter 3.

Gaurav: But clarity here that the command that you said for the accounting that's below MRP, is it for the industry or for us as well?

Karthik Yathindra: It's largely for the competitive scenario. We do not encourage discounting of Jockey products either through our exclusive brand store or through the retail partners through which we reach our consumers. Our pricing mechanism already ensures that the affor dability is built in, in our MRP pricing, so that the consumer sees value in the product. There is no reason for any retailer to pass on a discount out of their earnings to better sales of Jockey products.

Gaurav: Sure. And sir, just one last bookkeeping question. If you can help us on what would be the cash balance as of the December '23.

Deepanjan: As of December '23, we have around INR 300 crores of cash.

Moderator: Next question is from the line of Ashish Kanodia from Citi Group. Please go ahead.

Ashish Kanodia: Sir, my first question was on the demand side. So on the earlier comments, one, you said that on the accessory side, Page has been kind of aggressive. And then you also talked about Athleisure kind of seeing higher degrowth during the current quarter. So w hen you look at the current quarter volume growth of 4.6%, if you kind of exclude the accessories, right? So, has the innerwear, both women's and men's have seen any growth or there has been a decline in that as well?

And second part on the demand trend itself is within the overall in Athleisure wear. Can you provide some color in terms of have you seen that the either the lower price point products or the higher price products are doing good? And also in terms of especially in case of Innerwear, is there any change or shift in demand where the single piece pack or 2 piece packs are doing better versus a 3 piece stack? That wou

ld be my first question.

V.S. Ganesh: Yes. So demand is what we have seen growth across categories. It has been generally good Q3 from a modest growth point of view. And men's innerwear has also shown growth. And Karthik, as far as the latter part of the question as a single piece part, two -piece part, do you see any trend which you can add color to?

Karthik Yathindra: Yes. So what we've noticed is a lot more value-conscious selling is something that we see as part of consumer behaviour . So I think you had 2 questions, one is about whether there has been consistent growth or degrowth across price points. We do see our premium products performing better than our economy entry- level products, which kind of hints towards consumers being a lot more value -seeking. This is also corroborated by the multipack. We do see better performance of multipacks when com pared to single pieces in the past.

Ashish Kanodia: Sure, sir. And the second question is on the competitive intensity side. So one is the sales incentive during the current quarter seems to be almost the highest level we have seen in the last 24 quarters. So what led to this higher sales incentive? And sec ondly, when you said that during the first of the competitive intensity in terms of discounting, et c., was higher versus the last quarter. Do you believe it could partly also to do with the fact that even after discounting given that the ov erall sentiment or the market environment is muted, that might be a reason for lower

discounting? Or is there anything else?
Karthik Yathindra: It's a function of both. I think, firstly, on the sales incentive bit, I don't believe we've gone disproportionately high. In fact, for quarter 3, if you look at it quarter -on-quarter, would be better in terms of the incentives. Obviously, there are a few seasonal products which fell in quarter 3, for which historically, year after year, there have been sales incentives and schemes attached to it because of which you will see some level of delta. Other than that, it's not been abnormal to what we've done in the past, either in the same year or in the previous years.
Sorry, your second question was on?
Ashish Kanodia: When you look at the 3Q discounting...
Karthik Yathindra: Yes, yes. I think it's a function of 2 things. One is, obviously, the demand has been muted. But the other is, like we mentioned earlier, there seems to be buildup of inventory across the industry.
From our understanding, it seems to be a lot more pronounc ed in competition when compared

to our inventory holding. So it's been seen as a means to try and fuel demand in a way and also to liquidate high inventory.
Ashish Kanodia: Sure, sir. I had some clarification on the sales incentive, but maybe I will just take it off -line.
Moderator: Next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.
Devanshu Bansal: Sir, there is some level of optimization that we are doing on the general trade side in terms of lower retail outlets, which should, in a way, benefit our EBO channel. So I wanted to check what are the like-to -like growth trends for EBOs, if you could sort of provide an outlook here.
V.S. Ganesh: Yes. So the first part of the question, so I don't think the channels in work cross -purpose or cannibalize the business . We are very, very careful in our expansion. So we don't believe if the MBOs come down, it will actually boost, if the MBOs come down, the EBO business will improve. Because we are very, very careful on these aspects of the business. And that has helped the brand to grow and scale up and that's also helped each of the channels to coexist and be profitable, not only for us, but for our partners as well.
As far as the EBO like-to -like growth is concerned, it has been more or less in line with the overall modest growth you have seen. And thi

s is where I say the market is not all that point. Because the EBO like-to -like growth is the key indicator as to how demand pick-up is and what is the sentiment on the ground. And it has been more or less similar to the kind of volume growth we have recorded for the brand, per se. So it has not been that encouraging as far as the EBO like-to-like growth is concerned.
And this is mainly because of two reasons. The footfalls have reduced generally, and this is something we are now seeing some small improvements. And second is the basket size has also come down. So people are buying only what they need and they are not buying all that what they see. And so in that sense, the consumers have tightened their belt. And as I told you, there has been much more spend on the luxury segments. And there has been quite a lot of easy loans which has come in and the EMIs have gone up. So these spends have become tight er.
And we are looking forward to how the interest rates are going to be in the coming months and how, especially IT sector, how the increments are going to be and how the employment pick up is going to happen in the coming months because the long-term story o n all these aspects are positive. The economy is growing at a very healthy pace. So these are transient period or temporary phases, but we are keeping a close watch on these aspects.
Devanshu Bansal: All right, sir. And secondly, economy players are quite optimistic on front -loading of growth in Q4 due to an early Eid this time around. But your commentary is not indicative of such trends. What is the reason for this?
V.S. Ganesh: Well, we are going by what our demand planning team say they are very close to the ground and they sense the market, and we are going by that. Of course, Eid does help. So those are factored in all Q4 budgets are concerned. We do consider all that. And I don't think those growths will be in line with what it was in the past. Because generally, it's subdued. So I don't think it will be as high as it was before.

Devanshu Bansal: Okay. Just one bookkeeping question on what was the e -commerce growth specifically for Q3?
V.S. Ganesh: We have recorded a 28% growth. So that has been a very, very healthy growth for us.
Devanshu Bansal: This is specifically for Q3 or for 9 months?
V.S. Ganesh: For the year.
Deepanjan: Yes. For the year, it was 28%. For Q3, it's around 39%.
Devanshu Bansal: 39%?

Deepanjan: Yes.
Moderator: Ladies and gentlemen, due to time constraint, we will take this as the last question for the day. I would now like to hand the conference over to Mr. Deepanjan for the closing comments.
Deepanjan: So thanks again. Thanks, everybody, for joining . It was quite insightful discussion. So we look forward to certain interactions with all of you. Thank you.
Moderator: Thank you very much. On behalf of Page Industries Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2024

28 May 2024
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange
1st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051
Dear Sir,

Sub: Audio Recording and T ranscript of Investor call

We herewith enclosed the transc ript of investors call for the financial results for the financial year end ed 31 March 2024 .

Audio recording of the investor call is available in the following link:
https://youtu.be/BYJprnzdaL4

This is for your information and records.

Thanking you,

Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary

"Page Industries Limited
Q4 and Full Year FY'2 4 Earnings Conference Call "
May 23, 202 4

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE INDUSTRIES LIMITED
MR. DEEPANJAN – CHIEF FINANCIAL OFFICER – PAGE INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA – PRESIDENT , CHIEF SALES AND MARKETING OFFICER – PAGE INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and Full Year FY '24 Earnings Conference Call of Page Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch- tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. V. S. Ganesh, Managing Director, Page Industries, for

his opening remarks. Thank you, and over to you, sir.
V. S. Ganesh: Thank you so much, ladies and gentlemen, a very good afternoon to all of you. Thank you for joining us today, On behalf of my team at Page Industries, it my pleasure to welcome you to our the financial year 2024 earnings call . Joining me on the call today are Mr. Deepanjan, our Chief Financial Officer; and Mr. Karthik Yathindra, our President and Chief Sales and Marketing Officer.
Before we delve into specific numbers for the year and for the quarter, I will briefly run you through the year gone by against the industry and the economic backdrop. Last year, we witnessed a significant challenge and transformative changes in the innovative and efficient industry . The economic landscape characterized by inflation, rising interest rate and job losses in key sectors led to a reduction in customer spending.
Consequently, demand for products in the categories we operate d in also saw a decline. The industry was affected by over -consumption growth and saw a significant shifts in consumer spending. The sluggishness in consumer demand has been reflected in revenue degrowth during the first half of the year, followed by stability in Q 3 and in Q4, with sustained focus to healthy inventory in the distribution network, we could see resumption of growth trends.
During Q4, the operating environment remained largely consistent with the preceding quarters, with a slight uptick in growth witnessed towards the end of the quarter. As I told you before, the apparel sector witnessed challenging circumstances during the year and the volume growth for the sector on a 9 -month basis has remained subdued. While grappling with inventories, erratic climate events and subdued environment in the general trade channels, leading to a slower -than - anticipated recovery . Despite these services, our commitment to sustainable sales practices remains unwavering.
We are actively implementing measures to afford operating margins and optimize inventory serving strategic and responsible approach to navigate through the current situation. I'm pleased to share that Page Industries can maintain its leadership in quality and market presence across all these categories. We continue to drive inventory improvements across distribution network, consumer connect and engagement and optimize operational efficiency for various measures including technology upgrades.
Our commitment to technology, brand promotion and expanding market reach remains unwavering. With the simultaneous focus on maintaining comfortable operating margins. This

focus pursuits resulted in an impressive PAT growth of around 38.1% while revenue growth was 3.2% in Q4.
Moving to the prevailing macroeconomic and sub dued market conditions, w hich were more pronounced than in Q4. FY '24 annual revenue declined by 2. 8% while maintaining our operating margins.
In line with our objectives, we continue to stay invested in enhancing consumer reach and experience, in diversifying and enriching our product offering, working on operational excellence and taking digital transformation initiatives. A diligent control of our expenses has ensured strong operating margin and sustained effor

t on the aspect of operational excellence, transformation, marketin g and this was achieved without touching our product prices.
Our primary focus has been on enhancing productivity within our supply chain. We have embarked on this journey to modernize our distribution management system, aligning with our commitment to continuous improvement.
Our distribution network expansions remain in line with our plan, and as of end of March, we have a network of over 106,000 MBOs, 1,382 EBOs, 1,670 plus LFS outlets, and we are also strategically directing investment towards metros, our e -commerce channel witnessed a substantial growth of 30% in FY '24. This reflects the evolving consumer purchasing preferences and our commitment to strengthening our online presence.
Jockey.in has a refreshed user interface that has enhanced consumer experience. We have several initiatives being executed to further strengthen our D2C channels. We continue to invest for attaining our long -term objectives. Our strategic focus encompasses multiple trends, including intensifying general trade provision, expanding large format stores, expansion of exclusive brand outlets, growing D2C business, improving customer experience, strengthening our product portfolio, continued partner and consumer engagement, and brand building to ensure a robust and initiative also being taken to ensure a robust supply chain.
We express our sincere gratitude for your unwavering support and trust in the industry, and we eagerly anticipate the opportunity to address any questions you may have and provide further insights into our performance during this call. However, I would suggest Mr. Deepanjan to run you through the numbers for the quarter and for the year before we take questions. Thank you so much for joining in today.
Deepanjan B: Thank you, Mr. Ganeshji. Good afternoon, everyone, and welcome again in today's Earnings

Call. I hope you are all keeping well. I am pleased to report that Page Industries has delivered an improved performance in Q4 of FY '24. To take you to the key financial highlights for Q4, we recorded sales volumes of 45.3 million pieces, growth of 6.1% year -on-year, resulting in revenue of INR 9,954 million.
With revenue growth of 3.2%, EBITDA achieved was INR 1,672 million, a growth of 24.5% year-on-year . We continue to focus on enhancing customer reach, experience, and engagement through investments in marketing initiatives and technology enhancements.

At the same time, favorable fabric costs and operational expenses optimization contributed to strengthening the operating margins without touching product prices. As planned, Q4 EBITDA margin was lesser at 16.8% due to such initiatives. Profit After Tax for the quarter was INR1,082 million, which was a growth of 38.1%. Profit After Tax margin for the quarter was 12.4%. Coming to the annual performance for FY '24, revenue and volume was INR45,817 million and 208.3 million pieces.
Revenue an d volume had declined by 2.8% and 3.4% respectively, affected by weaker demand and consumption predomina ntly in the first half of the year. EBITDA was INR8,722 million, growing marginally by 1.1%. Pro fit After Tax for the year was INR5,692 million, marginally declining by 0.4%. Inventor y at the quarter end was INR 11,703 million, as against INR 15,953 million at the end of Q4 FY '23. Inventory days was 93 as against 124 days in Q4 FY '23. The improvement in inventory days is in line with our continuing efforts for healthier inventory.
Net working capital was INR 9,373 million as compared to INR 7,680 million at the end of Q4 FY'23. Working capital days was 75, which was 59 in Q4 FY '23. We remain debt -free and the increase in funds is reflected in higher working capital days. To summarise our financial performance, we remain focused in driving operational excellence and capitali ze on growth opportu

nities. We continue to make investments in marketing, digital transformation and process improvement to deliver value to consumers efficiently.
We can now discuss any queries that you may have.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Sir, I wanted to understand first, given your comments of a slight uptick in the demand conditions towards the end of the quarter, how far do you think we are from looking at the mid-teens kind of value growth that we target? Basically, I want to get a sense on how are you looking at FY '25 from a sales perspective.
V. S. Ganesh: Thanks, Avi, for that question. FY '25, you know, I can see things may improve, but it is good if we plan that the uptick is gradual. I think later part of the year should be buoyant because I can see the growth in economy. Maybe we are also looking at a good monsoon, good industrial output, agricultural output. So these are all good things which should help us to boost demand in the later part of the year. But from a planning point of view, I would rather plan for a gradual uptick so that we a re cautiously aggressive in our approach.
Avi Mehta: So just so that I understand, from this current level of those single digits that we are to reaching that mid -teens number, you are saying that it will be a gradual uptick is what conservatively one should kind of build in, but you are essentially optimistic of it kind of coming through . Is that the right summary or understanding?
V. S. Ganesh: It is, and we have taken enough measures. If the market is back and if the buoyancy is back, we are all ready to address all the requirements. So we are well prepared. But from a margin point of view to protect our margins, from an expense point of view, from an operational control point

of view, I would rather plan a cautiously aggressive approach and look at a gradual uptick so that we are well prepared.
Avi Mehta: Got it. And, sir, just from a conceptual question, the margin profile that we are witnessing, is it fair to say that till the recovery pans out, margins are likely to remain at the lower end of that 19% to 21% range, something what we saw in ' 24? That's how it will be from -- how should we look at growth from a EBITDA margin perspective. So if growth is stronger, then margins will move towards the upper end of the range. Otherwise, it might be towards the lower end of the range or somewhere in th e close end. That's how, is the right equation, sir?
V. S. Ganesh: Avi, if you look at it, margins, we are always being comfortable between 1 8% and 21%. And we have been hovering around those. And it's very important to note, this is despite we not

touching the prices. So we have taken enough initiatives to protect the margins without touching the price, which in the long run should do good for the brand. And we will continue to put in all the efforts to protect our margins and be in that zone and be a value for money proposition to our consumers.
Avi Mehta: Got it, sir. And sir, last bit, if you could just update us where the current -- how is the dealer inventory level is like across at least innerwear space? We pointed out seeing some still, there has been some pressure in the last quarter. Any update on that would be useful, sir.
V. S. Ganesh: Karthik, you want to update on that?
Karthik Yathindra : Sure, Ganesh. Hi, Avi. With regards to inventory level at our channel partners. And for the full year last year, we've seen an improvement of about six days and in Q4 alone, that's been about an uptick of about three days reduction overall . While there has been reduction in the overall -- this, of course, varies from category to category, the number I shared with you is at a brand level. It's a lot more pronounce

d in a few categories when compared to the other while the overall inventory levels have dropped by about six days. This is also queuing in a lot of healthier mix
in the inventory that the distributors and channel partners are holding today when compared to one year ago.
Avi Mehta: And how is this versus history, Karthik?
Karthik Yathindra : Sorry, you're not coming through, come again?
Avi Mehta: Sorry, I just -- how is this versus -- you had said that it's still elevated versus history. Now are we closer to the normalized levels in dealer inventory? Is that how I should see it or is it still high?
Karthik Yathindra : No, it's still not at an ideal level where we want our channel partners to be at. It is still at an inflated level. It will take time as we see, the inventory correction is a function of secondary sales and the replenishment through the ARS system, which is an organic process, which will take time. But what we are witnessing is that with every month passing by, we're seeing, one, the absolute inventory coming down as well as the mix of the inventory improvement.

Avi Mehta: Got it. Got it. And sorry, just to clarify, when you say some categories, still innerwear is better off versus athleisure. Is that -- because that's what you indicated last time as well. I just wanted to clarify that's going to continue. That's great. That 's all. I will come back in the queue for the other questions. Thank you very much sir. Thanks.
Karthik Yathindra : Thanks Avi.
Moderator: Thank you. T he next question is from the line of Nihal Mahesh Jham from A mbit. Please go ahead.
Nihal Mahesh Jham: Good evening, sir. Sir, the first question was if you look at the performance for this quarter while you've seen a 3% growth, obviously, last year in the same quarter, we've seen a sharp fall in our performance because of the ARS issue. And if I compare our numbers, say, to FY '22 for similar quarters, versus a 3% growth in the Q3 quarter. This time around, it's actually lower by 10% versus Q4 of FY '22. So when you look at it from that perspective, is there any aspect that you would want to highlight for maybe the moderation in sales because last year, obviously, you had the one -off ARS impact, so maybe the Y -o-Y comparison may not be relevant.
V. S. Ganesh: If you compare with the year before, post -pandemic, there was a huge upsurge, everybody had record quarters. So it's not a fair comparison because there was huge demand at that time. And as I told you in my opening remarks also, now there has been a sluggi shness in the market. So considering that, we have performed well that is because of various initiatives we have taken. And we also ensured that whatever initiatives we have taken as to ensure they sustain growth. And we have not taken any initiatives to buy sales or taken shortcuts to boost things. We have been focusing on the hygiene because we need to look at the long term of the business. And as Karthik rightly said sometime back, we have been also taking initia tives to improve the inventory health of our dealers or distributors. And when we try to do that, obviously, the primaries may not be in line with secondaries because we have to reduce their inventory .
Which will help us in the long run. So we have to look at it in that context by keeping the long-term aspects of the business in mind. And in that sense, I think we have performed fairly well.
Nihal Jham: Sure, sir, point taken on that. Just one clarification then that when you say making plans for the coming year in terms of the growth. The performance in FY '24 is a fair reflection and there wouldn't be any adjustments or one -offs, you would believe that you will be targeting your growth on the performance you've achieved for this full year, right?
V. S. Ganesh: Nihal, I couldn't give you there. Can you please repeat?
Nihal Jham: I'm s

o sorry. I was saying that then basically, the performance of this INR4,600 crores of sales in FY '24 is the base on which we would want to grow ahead and not that there are any one -off

adjustments, which would have made this number higher?
V. S. Ganesh: So as I told some time back also, we are looking at growth and we have prepared operation B to fulfil those demands and requirements. However, from budgeting point of view, from a control point of view, I would rather look at -- closely watch the market an d respond to the market,

which remains sluggish. And if you can see that from the peer company also. So this is where we need to keep a close watch and respond to the market while protecting the margins and making sure the hygiene is no way diluted.
Nihal Mahesh Jham: Okay, got it. Just one last question. If I look at our multi -brand outlet and even this time the EBO count, that is, M BO has been contracting for the last two quarters. This time even EBO has seen a bit of moderation. So is this exercise going to continue now for a couple of more quarters or where are we in terms of rationalizing the network that we have?
V. S. Ganesh: Karthik, do you want to clarify that?
Karthik Yathindra : See, on the expansion front, I think last year there was also a drive for consolidation, like you pointed out, both on the MBO side as well as the EBO side. The EBO side, the net increase for the year might seem smaller, but the expansion, pure expansion is in line with what we have been achieving year after year. Last year, the exception has been that there has been cases of consolidation and relocation. We have gone on a drive to make sure that we move to better locations, larger locations, larger properties within the same catchment so that we are able to service the consumer better. Our portfolio has grown quite a bit when compared to when these stores were launched a few years ago. So there has been need for us to shut down a few stores and find larger properties within the same catchment so that we can house the entire portfolio of the brand and provide consumer service.
The reason you have seen some level of consolidation in the last financial year, which I see also happening maybe for parts of this year, maybe the first half of this year. But thereafter, I think we would have in a way settled into having majority of our stores in the sizes that we want them to operate.
Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.
Gaurav Jogani: Sir, thank you for the opportunity. My first question also is with regards to the network. I mean, if we see the number of EBO cities, the EBO cities somehow seem to have contracted quite a bit from around 400 plus cities to now 280 odd cities. So is that the right number in the presentation?
V. S. Ganesh: Karthik.
Karthik Yathindra : I will have to come back on that in terms of the towns of EBOs. I do not see that there is a contraction in the overall number of EBOs. There is in fact an increase year -on-year. We will have to come back on that particular number.
Gaurav Jogani: Yes, the city is actually showing 218 and this was 468 the last quarter. So if you can, you know, check and let us know later. That will be helpful ?
V. S. Ganesh: Yes, I think we need to check that and clarify this back to you because our EBOs have grown and by end of March, our EBO count was around 1,382. So, we will clarify after re -looking at the presentation back.

Gaurav Jogani: Sure, thank you for that. Sir, my next question is with regards to the overall revenue growth. Now, if we look at it, the last year, the base quarter witnessed a 12% revenue decline and on that, we managed to grow only 2%. And within that also, if you look at it, the net realization has actually declined by 3%. So, what

would you allude this to? Is it that, you know, while there has been some movement in the inventory, however, the primary sales are not happening that much given that the seco ndary is still clearing. So, would you allude this to the overall impact on the revenue growth?
V S Ganesh : One is, of course, as I told you sometime back the market and that is something we had to wait and watch and we are not lost share to competition that I can tell you very clearly. In fact, we only gained and the second is as Karthik said sometime back the distributor inventory has reduced.
Had we gone by the old method of pushing inventory to the distributors and focus solely on primaries, we could have got more top line and in fact three to four days of revenue is essential.
We could have recorded that , but we are looking at the long term. We are looking at the overall hygiene and the inventory health of our partners. So, in that sense I think we are going the right direction.

Gaurav Jogani: So, sir, the question largely is I mean would this pattern is expected to continue for at least couple of more quarters given the fact that there is no festive season around at least in the couple of quarters then. So, would you expect this to continue in the near term?
V S Ganesh: See we have to wait for how the monsoon is , the interest rate is something we are keenly looking at how it is going to be, the elections the results have to come and the new government and the policy, but overall I think this can't last. So, later part of the year should be good, but as I told you sometime back also it's always good to look for a gradual uptake.
In the meantime, we have all the initiatives when it comes to enhancing our product line, we have all the initiatives to come with more exciting products, improve our existing products,
improving the inventory health of the distributors so that new product s can be launched and discovered by consumers which is very exciting. Our EBOs actually there is a good refresh in the inventories there.
So, there are much more exciting products reaching there. You can see our jockey.in, our new website, it is very con sumer friendly, very intuitive a nd the refreshed user interface has enhanced our consumer experience and we are seeing a robust growth as far as the channels are concerned and we will continue to focus on that. So when it comes to marketing, brand building you might have already seen the various initiatives we are taking, and I'm sure it is catching your eyes. So, we are doing all that is necessary and therefore we are confident that the long term looks very positive a nd we are very confident that we can grow.
Gaurav Jogani: Sure, sir. Thank you. And last question from my end would be, if you can give some color on the some of the categorical performance like how the men's, women's or the athleisure part of the business would have grown?
V S Ganesh: Deepanjan you want to give a perspective there?

Deepanjan B: Yes, I think in this particular quarter while men's in other has grown in line with this 6% volume growth that we are looking at. W e see positive trends in women's in other as well. So, the growth has been good in this quarter, although it is lesser than what you typically used to the teens category, b ut yes compared to the men's inner wear, the women inner wear has shown a better growth a nd other areas like accessories and socks we are seeing a very good growth.
Gaurav Jogani: And sir on the athleisure part would that be a positive growth or that would be still negative on a Y-o-Y basis?
Deepanjan B: On a Y -o-Y basis for the quarter the athleisure has shown a growth w hereas for the entire year we are still since the first half was subdued w e have seen a degrowth for the entire year, b ut for the quarter we have seen a growth.
Gaurav Jogani: Okay sir. T hank you for answering

my question and all the rest.
Moderator: Thank you. The next question is from the line of Saumil Mehta from Kotak Mutual Fund. Please go ahead.
Saumil Mehta: Yes, thanks for the opportunity. I have two questions. One is, on slide 11, you have mentioned about marketing strategies, wherein there is a disproportionate investment towards men and kids, sorry, towards women and kids segment. Can you highlight some of the initiatives and internally,
how one should look at the ROI on these kind of initiatives?
Management: Mr. Mehta, I think Karthik is the right person to comment on that.
Karthik Yathindra: Yes, hi, Saumil. See, on the marketing investment point of view, we, of course, look at ACOS as a metric, not necessarily ROI for each of the category levels, because there is a lot of spill -on effect on the entire brand, as well as some of the key categories that we carry and the brand is better known for. So, ROI may not be the right metric there, but it is a stated strategy from the brand to have disproportionate investments towards these categories, where our penetration levels are relatively lower at the consumer level.
These are women's innerwear, where we've had bras as our mainstay campaign for last year. The campaign title, bras as versatile as I am, was our Diwali launch for last year, both on TV as well as outdoor hoardings. Juniors, when compared to the revenues, definitely the investment in
marketing is going to be disproportionate.
We've also just gone live with our first television commercial ever for Jockey Juniors, which is on air as we speak, and a large portion of the production costs that were incurred in getting that film in shape was in quarter four last year.
Saumil Mehta: So, just as a follow -up, how, as a person, broadly, as a percentage of sales versus the company average, what will we spend in the women and kids category?
Karthik Yathindra: It's best we look at it as an overall, because we don't see P&Ls individually for a category.
We rather look at it for the entire brand, like I said, because there is a huge rub-off effect. So, overall, we maintain it at 4 % to 4.5% for the brand, and within that, again, large portion of

investments are category agnostic. Everything that we do on the BTL side, which is a significant
portion of our marketing investment, is actually category agnostic.
It supports a retail setup rather than a particular category. So, it's best to look at it at a brand
level, which, as I mentioned, is between 4 % and 4.5%.
Saumil Mehta: Sure. And my second and last question, sir, one of your smaller peers has reported numbers.
Also, when I look at the last couple of quarters, some of the smaller guys have done better, at
least on the P&L front. Now, you have mentioned about increasing competitive intensity, both
for organized and unorganized, but within a relatively subdued perf ormance, how much would
be the attribute to the rationalization of the MBOs, and how much would be to segments or
categories where consciously we choose to not be present on those?
Karthik Yathindra: Oh, there is certainly some portion of our revenue erosion which can be attributed to the number
of touchpoints coming down, but this is, I believe, is a natural normalization that we are seeing post-pandemic. Majority of the
erosion in stores are in the non-traditional hosiery formats, which
otherwise don't carry the categories which we play in.
These were outlets and stores that were recruited into the category in the post -pandemic era,
where there was a good fit for revenue generation for the store and of course, it added to the
footprint of the brand as well, but it is only natural that while we normalize these stores, concentrate more on their core
offering and minimize their presence in the hosiery space and the
athleisure space that we operate in. So, yes, there will be

a certain level of attribution over there,
for sure. Sure.
Saumil Mehta: Thank you so much, and all the best.
Moderator: Thank you. The next question is from the line of Arpit Tapadia from IGE family office. Please
go ahead.
Arpit Tapadia: Hi, am I audible?
Moderator: Yes.
Arpit Tapadia: Good evening. On the point number eight of the note, it has been mentioned that you have received a
favorable order from CESTAT . Can you throw more light on the scene?
Sorry, we were not able to make out the line was not clear. Can you please repeat your question?
Arpit Tapadia: Yes, over the point number eight into the notes, you have mentioned that you have received a
favorable ruling from CESTAT against the order. So, can you just throw some more light over
the scene?
V. S. Ganesh: Okay. So, see thing is sometime back in 2022, FY'23 we had received, we had undergone an
investigation from DRI indirect taxes relating to certain undervaluation in customs duty for
imports. And we did get an order sometime in last year from the customs office asking us to remit additional duty on the alleg
ation that our customs duty valuations were undervalued.

So, we did, while we pursued the case, we also voluntarily paid around INR3 crores of customs
duty to pursue the matter legally through the appeal process. So, there was a suspect hearing
sometime in October last year and we got the orders early in late March or early April. So, in
this order, it has been in our favour and the suspect has ruled that there has not been any undervaluation. So, it has been a
favorable order and what w e have done has been legally upheld.
Arpit Tapadia: So, entire demand has been cost off?
V. S. Ganesh: Yes. The entire order is in our favour and whatever was the allegation that has been overruled.
Arpit Tapadia: Okay. Thank you very much.
Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi: Yes. Hi, Ganesh Karthik. Thanks for the opportunity. I just want one clarification. You
mentioned the quarter four volume was 45.3 million pieces.
V. S. Ganesh: Sorry?
Shirish Pardeshi: What was the quarter four volume you mentioned?
V. S. Ganesh: Yes, 45.3 million pieces.
Shirish Pardeshi: So, the question here is that the ARS implementation and now we have a better inventory control. So, when
we look back one year, what have we achieved in terms of ARS implementation and
if optimally you will look at 45.3 million is the volume what we have got. Against that, what
would be a ballpark number the trade inventory would be existing, maybe in terms of days or
maybe in terms of volume?
Management: Karthik, in terms of absolute volume, I need to work that out.
V. S. Ganesh: So, if you are looking for inventory days, so we are at inventory days of 93 days at the end of
the quarter, of which finished goods will be around 70 days.

Shirish Pardeshi: Yes, that is our inventory. What I am trying to understand at the MBO level, if we take one channel, against this inventory would be three times, four times higher?
Management: Not exactly. So, what we…
V. S. Ganesh: Against the 45.3 million pieces, three times, four times higher, not at all. This is the volume we have achieved in a quarter and if you look at the annual volume, which was reported is about 208.3 million. So, that is about a monthly average of about 17 m illion pieces. The inventory in the channel outside of page, which we have access to, which is the channel part and I am not counting the retailer inventory, should be give or take about 20 million pieces.
Shirish Pardeshi: Okay. Yes . Actually, that was the number I was looking because you have now control on the ARS implementation. I got that. Second, on the slide 11, you mentioned that there is a significant

growth expected into the athleisure market over next decade. Now, when we look back last two years, the athleisure segment is somehow not firing as per our expectation in terms of off -take. So, then from the marketing lens, are we trying to say that once inventory normalization happens for athleisure wear, we will try and g et new formats and new segments and that is why I am connecting the dot. The e -commerce sales would have come down significantly because of the lower throughput or lower demand on the athleisure?
V. S. Ganesh: Not exactly. So, I think, see, what we are also experiencing specifically in the athleisure segment has got to do with the channel inventory that we are carrying, right? And this is, like I mentioned earlier, a normalization that we are experiencing. We saw a huge a jump in our primary reven ues for athleisure immediately after the pandemic for two reasons. One is, obviously, the consumer demand for products like these really shot up as well as the inventory in the channel was quite dry. So, we were able to leverage both these opportunities to show the kind of results we did. Now, with normalization in place, while the relevance for athleisure as a category is lower than what it was during the pandemic, as well as channel inventory coming under steady shape, we are experiencing that over the last couple of years. Now, this is, again, in relative terms to the pandemic stage, but overall, if you look at it, athleisure as a category is definitely seeing a trend towards growth purely from a consumer understanding point of view and trends mapping point of view at a consumer level, athleisure is certainly going to grow. It's about making sure that our product portfolio is ready to cater to that demand and the supply chain gets lean and stable in order to cater to that demand.
And that's the effort that we've been putting in over the last couple of years. So, once the channel inventory is in shape and the consumer demand that we expect from athleisure to be back, we should see growth. And the prediction there is over a decade. And I think there is a fair level of confidence that, that outlook would be what we put on the slide. Yes.
Shirish Pardeshi: So, one follow up here, you hop on channel inventory, but across all MBO large format, every place where the inventory is in a problem, or any particular channel, the inventory is under control and it's firing well?
Management: So, relatively speaking, our exclusive brand store channel is better under control because the maturity of ARS in that channel is much better than what it is in trade. It's also because we introduced ARS first in that channel. And we're also able to, in a way, influence inventory holding right up through the store level, because they're exclusive brand store ?
Whereas in the trade channel, the inventory levels at the store level is something that is beyond our control at this point in time. And our influence is restricted to the inventory levels at the channel partner level, which is the distributor level. So, in relative terms, I would say the efficiency in terms of the inventory holding will be way better than the exclusive brand store channel ?
V. S. Ganesh: And just to add to what Karthik said and just to clarify, if you look at it, if you look at MBOs and especially the inventory problem is also a pressure which the industry went through. In fact, there has been a lot of discussing, there has been a lot of l iquidation happening by the peer

brands, a lot of very, very, attractive schemes given to liquidate stock. So, when the retailer's inventory goes, you know, it affects everybody. So, we are trying to maintain hygiene. And this, it also affects the distributor.
So, this is a vicious cycle, you know, but I'm happy to say, like, we are in a much, much better position today. I think we have a lesser

problem compared to all the peers. And that's why I keep
reiterating that we'd be the first ones to bounce back, you know. And it's also heartening to see
that now everybody has realized we need to focus on hygiene. And therefore, I can see some
normalcy returning as far as the push model is concerned. And this is actually good.
Shirish Pardeshi: That's really helpful. Just last question on the competitive pressure. What kind of pressure or
which markets you're seeing is primarily from the LFL or it is because of, from the volume
perspective? Because competition is dropping the prices, what you sai d, but this is happening. I
mean, I'm sure it would have been over by now?
V. S. Ganesh: Yes, I think it is over by now, because it is not sustainable in the long run, because at the end of
the day, you have to remain profitable to grow and sustain the business. So, at best, you can have
these short -term interventions. So I don't think it can last.
Shirish Pardeshi : Okay . Thank you and all the best.
Moderator: Thank you. The next question is from the line of Ashish Kanodia from Citi. Please go ahead.
Ashish Kanodia: Hi, sir. So the first question was on the demand trend. So in your opening remarks, you said
toward the end of the quarter, there was some uptake. So given that we are already almost one
and a half months plus into the current quarter, just qualitatively, how has been the demand
trend? Do you see that the uptake is continuing or just wanted your sense on the overall market
condition and the demand trends?
V. S. Ganesh: Well, as far as demand trend is concerned, see, if you look at it, Mr. Ashish, in the long term,
first let me tell you, if you look at it, the consistent CAGR of around 11% observed for the last
six years, even amidst all these interruptions caused by the pandemic and other macro factors,
it's clearly indicative of a very robust trend and the ocean full of opportunities which are lying before us.
I personally feel as a brand, we are in the right place at the right time because India is a wonderful growth story with the
economy growing at a very good pace, the middle income group growing
at a faster pace, young population, which is very aspirational and rapid urbanization. There is an
increased organized retail happening and these are all integral factors which will contribute to
sustained growth.
And so we are very, very optimistic. We have also taken our own initiatives as far as expansion, both in terms of geography
and multi -channel strategy and also product diversification. And we
are set to serve as a catalyst and these are all going to be a catalyst for our growth. So we look
at this as a transient phase where demand is yet to resume in the innerwear and athleisure. We feel this is just a passing
phase and our proactive approach involves continued investment in shaping the future.

Ashish Kanodia: Sure, sir. That's helpful. And just on a similar line, I think on the earlier question, you highlighted
that at least the practices by the peers has improved a lot and you also talked about increased
investment in branding and marketing. I'm just trying to understand from a margins perspective
as we head into the first half , because there's a hope that second half should see relatively better
growth given all the macro trends.
But as you look at the first half and given the investment you're doing in branding, marketing,
IT, etc etera, do you see that the first half margins could be slightly subdued and in the second
half, as things improve, that will kind of help you to achieve that 19% to 21% kind of a margin for a full year? Is that
understanding correct?
V. S. Ganesh: I'm sorry , we can't give forward-looking insights, but let me tell you, you know, sometimes if
there are disproportionate investments in marketing or IT, it is also the timing of the spend. That particular q

uarter may have an impact, but overall looking at it, we have taken – we are
budgeting, we are taking a conservative approach and try to control expenses. We are
distinguished clearly between expenses and investments.
We want to control expenses, but we want to make all the rightful investments because we are
very optimistic about the long -term prospects. And therefore, we continue to stay invested. We
have taken all that into account while shaping a budget to protect o ur margins.
So, I – though I may not be able to talk about how give or take a quarter, we are ensured that,
you know, we protect our margins for the year and that is the initiative which we have taken. And we also build in enough
flexibility or levers in our system wherein we can control costs based on the top line. So, we have been focusing on having
more variable costs and less fund
cost or fixed costs so that we can actually manage the business according to the top line.
And therefore, we have more – enough and more levers in our hands to manage the business
properly and that confidence we have.
Ashish Kanodia: Sure, sir. Very helpful. And just last, a bookkeeping question. In terms of the online sales mix
and growth, if you can share both for the current quarter as well as for full year, what was the,
you know, overall contribution of online sales and what was the year -on-year growth?
Deepanjan B: For the quarter, our e -commerce business has contributed almost 10 % plus and it has grown
quite well. It has grown almost 30% for the year -on-year. For the entire year, it was slightly less
as far as contribution was concerned. It was around 8% plus for the e -commerce business and it

is growing phenomenally.
Moderator: Thank you. The next question is from the line of She ela Rat hi from Morgan Stanley. Please go ahead.
Sheela Rathi: Yes, thanks for taking my question. Sir, you highlighted that, you know, the pricing-related discounts have come down from competition. I just wanted to understand what is the inventory situation for competition now? How close we are to, you know, inventory getting normalized for competition? Because last quarter, you had called out that, you know, until the competition

settles with respect to the inventory, the demand recovery could take longer. So, that was my first question?
V. S. Ganesh: Unfortunately, She ela, we may not have full in sights as regards to the inventories are concerned, which is very internal to their operations. But, you know, I think the worst is over. And second thing which I can say is we do have loyal consumers who actually are better to our brand. It is just a question of the retail environment picking up and we should do well. I think we may not be getting too much influence by the practices of the competition. I think the worst is over, but only time can answer that.
Sheela Rathi: Right. And to that, we are taking efforts to take up our ad spends. So, just to understand how, what would have been our ad spend number in F Y '24?
Deepanjan B: So, I will just tell you, it has been around 3.9% for F Y '24. And for the entire year, we have spent around 180 crore in FY '24.
Sheela Rathi: And that is the momentum we will continue to maintain going ahead also, I believe.
Deepanjan B: Typically, as we explained earlier, that we typically spend around 4 % to 4.5% of revenues ad spend. So, that momentum will continue.
Sheela Rathi: Okay. Just one clarification. You know, Karthik, you mentioned that the retail channel inventory is about 20 million. Just want to understand what is an ideal number here, which one would want to have? Or how far we are from the ideal number here?
Karthik Yathindra: Again, it varies from category to category, She ela. I think in the innerwear business, we are largely where we want to be. Of course, there is opportunity for us to optimize it furth

er. But I think we are not far away from what we believe is an healthy inventory for all channel partners, as well as franchisees. Whereas for categories like athleisure , we are slightly on the higher side now, which like I mentioned, is correcting itself month after month. We are also not trying to do this inorganically, because that upsets the mix that the channel partner holds. And hence, we're giving it the time to correct itself through the ARS system.
Sheela Rathi: Great. Just one final question. You know, I think online is doing very well for us and strong growth trends, and you called out 8% share of revenues. Just any call out here in terms of what segment is doing well? Is it more multipax, premium or entry level and from categories, men or women? I think that will be very helpful. Thank you.
Management: I think it's consistent. We're not seeing the specific trend which is favo uring growth in the e - commerce space. The trend is consistent across categories as well as price points. I would imagine it is one of the queues towards consumer buying patterns. And the good part is that we had equipped ourselves both in terms of infrastructure as well as competency to cater to that demand, which is holding us in good space.
Moderator: The next question is from the line of Ashutosh from UBS.

Ashutosh: So my question is also on the competitive intensity. So if you see there are like already many private level for the unlisted players in the space. And recently, their analyst trend management also highlighted that some percentage of their portfolio is als o competing with Jockey. So just want to understand like with the kind of retail expansion that trend is doing and along with a long list of unlisted innerwear. How do you see the overall growth for Page at least in the medium to long term? Any remark on that would be really helpful, sir.
V. S. Ganesh: Yes. So if you see the market penetration, we have been updating on that . We and the team as far as men's innerwear is concerned, and in single digits on other category, and we are the most dominant players. And then -- so that can clearly tell you how fragmented the market is. And there is so much of room for growth. And therefore, that what you said should not actually affect us.
And we have been focusing on finding a distribution. We have been closer to our consumers through a retail expansion. And we have been present across all towns and this approach has

proven instrumental and effectively catering to the demand of these market s. And it is also
crucial to understand that the substantial consumers are gradually transitioning from the
economy segment to the premium segment.
So the shift actually indicates a very promising trajectory and we know that this is going to
persist. And that is going to be good news for us. And as long as we can continue to be a value
for money brand, give quality products , position the brand wherein they feel proud to own the
brand and flown the brand. And if we maintain the hygiene in the marketplace, I don't see
anybody stopping us.
Moderator: The next question is from the line of Ankit Kedia from Phillip Capital.
Ankit Kedia: Sir, could you just share what has been the like -to-like growth in the EBO channel first for the
quarter and for the year?
V. S. Ganesh: So Ankit, you see we don't share those specifics because it is in our interest and in your interest
that we don't do that because it is – this is something which will help the competition to shape
their strategy. But what I can tell you is, during the second part of the year, the EBOs have
started showing growth -- like-for-like growth, which is a good sign as far as the retail
environment is concer ned because that is the right parameter to see the market. In fact, especially
in Q4, we could s ee good improvements. So that gives us room for a lot of

optimism.
Ankit Kedia: So is it fair to assume that the like-to -like growth is ahead than the company's revenue growth
overall?
V. S. Ganesh: Mr. Deepanjan do you want to take?
Deepanjan B: No. I think to answer this, the like -to-like growth in EBO's has been subdued. You won't say
that it has been -- it has crossed the company's overall growth parameter . But as Mr. V.S.G
explained, the second half has been better, whereas the first half was sluggish. But yes, we have
seen improvements.

Ankit Kedia: My second question is on the price changes. While in your presentation and in some of your
answers, you did allu de that you might not take price increases in the year and you are doing a
lot of innovation for that. What we are hearing in the market is you are introducing or introduced lower price point products in
Athleisure . Can you please talk some on that?
V. S. Ganesh: Sorry, Ankit, the last part of the question was not clear. What you heard from the market is?
Ankit Kedia: So, are you introducing lower price point products in the At hleisure category?
V. S. Ganesh: Well, we always, our commitment to be a value for money brand that remains unwavering and
this is deeply ingrained in our core pricing strategy. And we actually keep a finger on the pulse
as far as market is concerned and introduce products based on market demands and the market
sentiments. So, when we introduce products at various price p oints, basically based on the
feedback, we actually don't do anything specific for tier 1, tier 2, tier 3 and metro stages.
We treat them equal because RTG is the same based. Just happen to be in these places. So, the
introduction of maybe at Athleisure product at a lower price category, it is definitely based on
the feedback which comes from the market based on the consumer requirement. Because as a
brand, we always give consumer first. That has been a priority and we try and give the best
product for de mand price.
Ankit Kedia: So, is the feeling that the At hleisure has become expensive for the middle class consumer and
hence, incrementally more product launch es would happen at a lower price point and value for
money price point?
V. S. Ganesh: Actually, we are seeing our consumers are going for more premium products. And if you see
overall across industry also, you can see the trend for premiumization . So, that's where I said
our product management team actually wants to cater to all segments where we play on and we position the price laddering
and products based on the market but play within the PG which we are focusing on. But to answer your question, generally
we see people opting for more premium
products.
Ankit Kedia: And so, my last question is on the product introduction in the women's category. What are the gaps still pending
out there over the next couple of years? Where do you see from product gap
perspective which would be addressed by the company?
V. S. Ganesh: Karthik, you want to clarify? And Karthik, if you want to give some more colour on the first part
of the question also, you are most welcome to do that.
Karthik Yathindra: Sure. Thank you, V .S.G. On the first part, firstly, I think our product introduction strategy has
been consistent across price points. So, there is no undue focus towards entry-level price points.
In fact, we've seen better traction for the upper end of our product offering across e -commerce
as well as EBOs as well as the general trade channels.
So, in terms of the quantum of launch, in terms of number of styles that is getting launched, I
think it is equally distributed across all our price points. Coming to the – your question was on

Women's Innovare in specific, I assume, Ankit?

Ankit Kedia: Yes. Absolutely.
Karthik Yathindra: With Women's innerwear , I think we've re

ached a fair amount of maturity in our product presence. Lot of work and a lot of new introductions over the last 3 years has brought us to a good space, I would say, where we address much of the both solutions as well as need states of consumers when it comes to intimate wear within the space that we, as a brand, operate.
So, going forward, I think there would be a few more solution- based products that is planned for introduction. But other than that, I think, let's say, the brass category today is quite wide and caters to all consumer needs in that particular category, much wider than what it was, let's say, 3 years to 4 years ago. And this has been consistent efforts towards that. So, what you will see going forward is refreshment, a lot of upgrades, and a lot more consolidation within the portfolio.
Ankit Kedia: If I could just squeeze in one more question, if time permits. Kids wear category, there was a feedback that our product needs to be upgraded and the price points need to be lowered there as well. And now with the new junior's campaign, what has happened a t the back end that prompted you to be so aggressive with the junior's campaign in the market? Have we refreshed the full portfolio for the kids category?
Karthik Yathindra: Our portfolios across categories undergo consistent refreshment year -on-year, broken into two seasons, and it's no different for the kids portfolio as well. In fact, for the kids portfolio, the refreshment is a little more frequent because we need to keep that freshness for that particular TG. So, unlike for men and women where it happens twice a year, here it happens almost four times a year.
The campaign is something that we would have anyway done. We were just waiting for sufficient penetration in the market. We could have done this three years ago, but then waited for the pandemic to, in a way, wean out. And then once we believed we had sufficient presence on the ground in terms of touch points, we thought it's right for us to take the ATL route of communicati on. And again, in ATL route, I'm specifying meaning the TV route. Otherwise, Jockey Juniors has been on outdoor for almost three to four years now.
Ankit Kedia: Thank you, Karthik, and all the best. Thank you.
Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to ha nd the conference over to Mr. Deepanjan for closing comments.
Deepanjan B: Thanks, everybody. Thanks again for joining us and for the insightful discussions. We do look forward to such insightful discussions again. Thank you again.
Moderator: Thank you very much, members of the management. On behalf of Page Industries Limited, that concludes this confe rence. Thank you for joining us you may now disconnect your lines.

Call: Aug 2024

14 August 2024
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange
1st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir,

Sub: Audio Recording and T ranscript of Investor call

We herewith enclosed the transc ript of investors call for the financial results for the quarter ending 30 June 2024.
Audio recording of the investor call is available in the following link:
https://youtu.be/xwlUTmugxEc
This is for your information and records.

Thanking you,
Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary
Encl: as above

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of P age Industries Limited by Valorem A dvisors.
As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call p lease signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anuj Sonpal from Valorem A dvisors. T hank you and over to you, Mr. Sonpal .
Anuj Sonpal: Thank you. Good afternoon everyone, and a very warm welcome to you all. My name is Anuj Sonpal from the I nvestor Relations team. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Conference Call for the 1st Quarter of Financial Year 2025.
Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward looking in nature. Such forward -looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward- looking statements in making any investment decisions.
The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.
Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. V. S. Ganesh – Managing Director; Mr. Deepanjan – Chief Financial Officer; and Mr. Karthik Yathindra – Senior Vice

President and Chief Marketing Officer .
Without any further delay, I request Mr. V. S. Ganesh to start with his opening remarks. Thank you and over to you sir.
V. S. Ganesh: Thank you, Anuj a nd good afternoon ladies and gentlemen. Welcome to the earnings call for the 1st Quarter of FY25.
Page 2 of 19 As Anuj updated you today, I am joined by Mr. Deepanjan – our Chief Financial Officer; and Mr. Karthik – our President and Chief of Sales & Marketing .
Before we discuss the specific numbers, let me briefly touch upon the performance in Q 1:
The operating environment in Q 1 remains stable and largely consistent with the preceding quarters. We are yet to witness significant improvement in consumption, though there are early signs of positive indicators. An uptick in rural consumption is engaging and is expected to provide an impetus to overall consumption in coming quarters . Our unwavering focus on sustainable sales practices and enhancing inventory health has contributed to revenue growth and maintaining operating margins. We continue to invest in digital transformation and consumer engageme

nt through marketing initiatives and in leveraging technology . These focus pursuits resulted in a PAT growth of 4.3% while revenue growth was 3.9% in Q1.
In line with our objectives, we also continue to invest in enhancing consumer reach and experience. Also, in diversifying and enriching our product offerings. Focus on operational excellence and digital transformation. The c ontrol over expenses has ensured strong operating margins without touching product prices. Additionally, we expanded our distribution network in line with our long -term objectives. As of the end of June, we have a network of over 104,696 MBOs, 1395 exclusive brand stores, and 1137 LFS outlets. We are strategically directing our attention towards metros and Tier -2 and Tier-3 cities. The e -commerce channel had a growth of 32% in Q 1, reflecting evolving consumer purchasing preferences and the commitment to cloistering our online presence.
Our strategic focus encompass es multiple trends, and this includes intensifying general trade distribution, expanding large format stores a nd exclusive brand stores, growing the D 2C business, improving the customer experience, strengthening the product portfolio, strong partner and consumer engagement, and brand building measures to ensure good brand recall and ensuring a robust supply chain. Your unwavering support and trust in Page Industries is very encouraging, and we eagerly anticipate the opportunity to address any questions you ma y have and provide further insights into our performance during this call. So , Deepanjan will now take you through the specifics of the quarter, followed by addressing any queries that you may have.
Thank you so much, and thanks once again for joining the call today.
Deepanjan B: Thank you, V.S.G. Good afternoon everyone, and welcome again to today's earnings call. I hope you a re all keeping well, and I am pleased to share the Results of Q1 of FY 25.
So, to take you through the highlights of key Financial Highlights in Q1, we recorded sales volumes of 57 .4 million pieces, a growth of 2.6% year -on-year . Revenue in quarter one was Rs.12,775 million, which was a growth of 3.9% year -on-year . EBITDA for the period was Rs. 2433
Page 3 of 19 million, which was a growth of 2% over the last quarter. EBITDA margin was 19% with stable raw material costs. Margins have remained healthy, though there was marketing spends for the cricketing season in the Q 1. PAT in Q1 was Rs.1652 million, which was a growth of 4.3% Y - o-Y. Inventory days was 72 as against 93 days in end of FY 24. Focus on healthier inventory in the distribution network has resulted in maintaining optimum inventory levels. Working c apital days was 73 days, and it was in line with PAT in the end of FY 24. We continue to remain debt free.
To summarize :
Our financial performance with robust operational parameters , we are well positioned to benefit from the resumption of demand. We remain focused on expansion in multiple channels, digitization and leveraging technology to deliver value to all our stakeholders. We can now discuss any queries that you may have.
Moderator: Thank you very much. We will now begin the question -and- answer session. The first question is from the line of Avi Mehta from Macquarie. Please go ahead .
Avi Mehta: Sir it is heart ening to see your comment on early signs of demand revival. Wanted to just check, are you more optimistic on calling a recovery now versus where we were in end of the fourth quarter?
Management: Avi thanks for that question. Yes , more optimistic because of two things. One is we are seeing better footfalls and revival in demand and all the hard work we did in the last one year, and I am sure it will pay dividends as we move forward, with the actions we took to improve the inventory health at the distribution, making sure the launch of a new products is seeing the light of the day, bringing in more h

ygiene and discipline across the value chain. The marketing efforts we have taken all this is definitely going to help us . So, that gives us a lot of courage and confidence.

Avi Mehta: So, how do you expect the year to pan out , again second half mid -teens or how do you see that would be useful to understand, thatchanges ?
Management: Early days Avi , because whatever we are seeing is something we have to see how long it will last because it has been pretty volatile in the past. So, it is definitely a wait and watch for us. And I hope with the festiv e season coming up, it should be buoyant and we hope to see a good second half of the year. That is the hope which we have.
Avi Mehta: Got it sir, fairly clear . Just on the, second bit was on the, just understanding the industry dynamics, how is the dealer inventory in the a thleisure space n ow, where does it stand versus normalized levels. And also, if you could update us on the discounting pressures, how are they in the industry?
 Management: Avi, I feel Karthik will be able to throw more light on that. Karthik , if you want to take that?
Karthik Yathindra: Yes, please. Avi, thanks for the question . From the time we have started auto replenishment as a process for primary billing to our distributors, our inventory levels have now come down by about little over six days at an overall level. Of course, it's a lot more pronounced for the athleisure, more than 10 days of inventory has been reduced at the distributor level. And as far as discounting is concerned, it's a lot more under control as an industry right now, because I would imagine that players who do indulge in discounting have actua lly not seen much of a throughput d uring those periods of discounting . In the early times of last year, the first two quarters, there was rampant discounting in the industry. However, that has come down substantially in the second half of last year, we have not seen major discounting from players in quarter one either .
Avi Mehta: Perfect. Sorry, just a clarification you said more than 10 days reduction in athleisure, is it now lower than normalized levels , I didn't kind of understand that point s orry.
Karthik Yathindra: No, what I mentioned Mr. Mehta, was that from the time we started auto replenishment system to where we are today, we have more than 10 days of inventory that has come down at the distributor point, I see a couple of quarters more before we can be at an optimum level where secondar ies and primar ies could be at tandem.
Avi Mehta: Got it. I just have one question, if I may, just on, how is the input cost environment and whether there is any need for price hikes, that's all from my side.
Management: So, the input cost has been largely stable , in fact the cotton prices are quite stable on the lower side, so we don't see any input cost, especially in the fabric and yarn creating a pressure that can lead us to any price increase. So, current financial year, as of now, there is every reason to believe that there will be no price increase in the current financial year.
Moderator: Thank you very much. The next question is from the line of Amar Kalkundrikar from Nippon India Mutual Fund. Please go ahead.
Amar Kalkundrikar: Can you speak a little bit about secondary demand trends , that's one and number two , did I hear Karthik right that it would take a couple of quarters for secondary and primary sales tr ends to sort of come in tandem?
Management: Hi Amar, thanks for the question. In quarter one, we have seen secondary and tertiary numbers to be ahead of primary. That's a reflection of the inventory holding in the value chain. So, we have seen better secondar ies and primaries when compared to what we have reported as primary. And, I repeat myself if the demand continues the way it is, if quarter one is any reflection of what we expect in the future, then it will take us anoth

er couple of quarters before secondary and tertiary are in tandem
 Moderator: Thank you very much. The next question is from the line of De vanshu Bansal from Emkay Global . Please go ahead.
Devanshu Bansal: Sir, I want to better understand your comment around green shoots and demand, so typically, Q2 and Q 3 volumes have historically remained in -line with what we have delivered in Q 1. Is it that this time around, we may see some growth in the coming quarters versus Q 1 is this a right reading of your comment?
Management: Mr. Bansal , its early days, but we are optimistic, and as we move forward things should look better, so we are all gearing up towards that.
Devanshu Bansal: Got it . Mr. Ganesh, just a small follow up here, so as the current demand environment is there, so would i n that light would that be a fair assumption, obviously we don't know how coming months will behave, but based on whatever we have been through this quarter so far, based on that, will that be a right assumption ?
V. S. Ganesh: You are right.
Devanshu Bansal: Got it sir, thank you so much. Karthik , last time around, you mentioned that channel inventory was closer to 20 million pieces, just if you could sort of suggest the number at Q 1 end h ow is that as of now ?
Karthik Yathindra: There's not been much of a decrease from an absolute point of view, however Q 1 typically is a high contributing quarter for us. From that standpoint, the number of days of inventory has come down, whereas the absolute inventory holding will remain more or less similar to what I had mentioned earlier, Mr. Bansal.
Devanshu Bansal: Got it. L ast question from my end, realization has improved 1% almost in this quarter, and this

is despite we not taking any sort of price hike. Is this due to better revenue mix with ath leisure women growing faster than men , is this a right assumption?

Management: We have seen both. It is a function of category mix, and also within categories, we have seen the premium ranges perform bett er than the mid premium ranges.

Moderator: Thank you very much. The next question is from the line of Kirti G Dalvi from Enam AMC . Please go ahead.

Kirti G Dalvi: Just couple of questions , coming back on the same secondary or tertiary demand, if you want to hazard a guess against our 3% growth in our sales number volume wise, how much would be the growth you see in secondary or tertiary demand?

Management: Kirti, without mentioning the absolute numbers, let me just mention that secondary and tertiary demand has been ahead of primary . So, we have seen better numbers at point of sale

 when compared to what we have realized in primary probably because of the inventory holding that we have in our channel.

Kirti G Dalvi: Okay . Second question pertaining to margins front, as gross margins have been grown on Y -o-Y basis and OPM got impacted because as you mentioned we spent on the marketing and do we see this trend continuing especially on the promotion and the marketing side?

Management: So, typically on the marketing side, we spend around 4% to 5% of our net revenue, and that's what will continue. So, that's on an annual basis , in a quarterly level there can be some variation, but overall, for the year, it will get 4% to 5% levels. And the overall operating margin at EBITDA level, we have done around 19% current quarter, it should be largely there, within the 18 % to 21% even at the annual level.

Kirti G Dalvi: Okay . And on a capacity utilization and the expansion part, if you could throw some light , that would be my last question.

Management: So, currently, our planned capacity is around 200 million pieces, and our current expansion plan with increase in efficiency, we do not have immediate plans of any additional manufacturing facility . While the Orissa plant is nearing completion, and we should be getting into initial production days in the

last quarter of this year.

Kirti G Dalvi: Okay . So, in terms of the absolute value wise, there won't be any backward integration related CAPEX plan?

Management: Not this year.

Moderator: Thank you very much. The next question is from the line of Sameer Gupta from India info line. Please go ahead.

Sameer Gupta: Firstly, some bookkeeping questions, growth in the EBO channel this quarter, is it materially higher than the reported number a nd just to add to that, regarding the channel. And the LFS channel if I look at , there has been a sharp reduction over the quarters in the past few quarters, in terms of our reach, used to be around 3000 stores, and today it's around 1300, or something, 1100 or something. So, just wanted to understand this aspect in a little more detail as to what is going on in this c hannel ?

Management: Thank you, Sameer for the question. To address your first question, yes, we have seen, when compared to the average e -commerce has performed much higher, followed by the exclusive brand store, given the expansion drive that we have in that particular channel. Then followed by general trade . Coming to your second question on the large -format store, we have taken strateg ic calls in terms of consolidating our presence in this particular channel, and have had

 to exit a few key accounts where we have been present in the past. This is in line with our long -term plans of building the brand in this channel .

Sameer Gupta: And has that been a material contributor in the kind of growth or the kind of sales performance that you have reported in the last few quarters ?

Management: Not necessarily , large format store as a c hannel is a small contribution to our overall business. The loss in sale that has been experienced because of the consolidation has not affected the overall numbers that have been reported.

Sameer Gupta: Great, sir. Secondly sir, it's been like six, seven quarters now, and we are still contingent on overall consumption c oming back, there was lack of discipline in terms of other players. But what I also noticed, there is a feeling that there has been a pricing gap between J ockey and smaller brands, which has kind of widened in the last few , recent years or so, and incomes have not really kept pace with this kind of pricing and the natural upgrading which used to happen from smaller brands to J ockey that has kind of been paused. So , like is there a plan to launch a flanker brand at a lower price at some point if this kind of performance continues, or is that not possible s ome thoughts on that ?

Management: So, a couple of things. Firstly, in the last couple of years, if at all, from what we study of competition and who we consider our target audience, the available brand and J ockey, the gap is only reduced because J ockey has stuck to its prices for the last 24 months. T he last price increase that was initiated by the brand was back in July 22 and we are exactly about two years since we have touched our prices . And the way we have mapped it against players who address the same target audience, the gap is in fac t come down. As far as the second question is concerned, there is no plan for the launch of a sub brand at least. But of course, if there is an opportunity for us to hit value price points with our products without compromising on quality or consumer experience t hat is something we strive to do . With some level of input cost reductions that have been favorable to the brand t here have been a few products strategically launched over the last four to fi ve months, especially in the ath leisure category, which are a t very tight price points , addressing the value seeking consumer .

Sameer Gupta: And this would be under J ockey brand only ?

Management: That's correct. It is under J ockey.

Sameer Gupta: Is there a restriction on launching any sub, any other brand apart from J ockey , just trying to

understand that part also ?

Management: Strategically, we don't see a need for us to launch a sub brand within J ockey. And again, we would not be entering a brand that directly competes with J ockey even if it is a separate brand.

 Moderator: Thank you very much. The next question is from the line of She ela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: Thank you for giving this idea that there are green shoots emerging, secondary and tertiary doing better than primary, premium doing better. So, just wanted to understand , if there are any specific markets where we are seeing these green shoots emerging. Is it the metro cities or the smaller towns , so if you could give more details around that, that will be very helpful.

Karthik Yathindra: Thank you Sheela for the question. We are definitely seeing better growth rates in smaller town when compared to metros, and this is in fact inversely proportional to the size of the town. So, tier three and tier four towns are seeing better growth rates when compared to metros, tier ones and Tier -2s. That’s what we witnessed in quarter one. But otherwise, in terms of geography, we don't see a big difference between how the different geographies are performing between North, South, East and W est.

Sheela Rathi: Understood. So, Karthik just a follow up here, is there a change versus what we have been observing for the last four to six quarters?

Karthik Yathindra: Yes, it has been consistent in the sense, not significantly higher, but definitely higher than metros and tier ones and Tier -2, tier threes and tier four have been consistently doing better over the last two to three quarters at least.

Sheela Rathi: Okay . So, it's a trend which is continuing from Tier -2, tier three markets where we are doing better and the metro cities are relatively doing weaker versus the past. Is that a fair assessment?

Karthik Yathindra: No, I am not saying they are doing weaker when compared to the past. I am saying in relation to tier three and tier four, the growth rates are lower in metros. The base of the business is still much higher in metros and tier ones, as you would imagine. But the growth rates, because these markets are nascent, are much higher in tier three and tier four.

Sheela Rathi: Okay. The second question, because e- commerce channel is doing well for us, just wanted to understand, is there any margin gap, which we observe here, versus the offline channel , are the margins comparable o r there is some , are the margins slightly on the lower side ?

Management: E-commerce as a whole , we have got three verticals in e- commerce B 2B as well as D 2C. So, there are three verticals, so e -commerce as a whole, the margins are more or less comparable with the offline business, whereas within the e -commerce, D 2C have slightly lesser margins because the spends in marketing, even the delivery cost are slightly higher, but largely they are comparable.

Sheela Rathi: Okay . So, D2C will be lower than the B 2B, is that right?

 Management: Yes.

Sheela Rathi: Okay. One final question, in terms of international opportunities, are we seeing any , are there any thoughts around increasing our exports in the coming years, and what are the early thoughts ?

Management: We are looking to consolidate our international presence. There are a few markets which lend itself to the products that we make here for India and become a natural extension in terms of placing us there. There is specific focus towards those geographies, I believe in the coming years we should see some level of focused approach towards our international business.

Sheela Rathi: So, most of the plans will be more from a medium -term perspective , is that fair or we could see this in the coming quarters or something?

Management: It would be from a medium term b ecause entry into any market and to have a meaningful presence a

nd do business there takes time. We are looking to make sure there is sufficient market and consumer understanding before we go and have a meaningful play there.

Moderator: Thank you very much. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Couple of questions, starting with on slide #4 you have mentioned the green shoot. So, let me hap on a little better to understand. And just relating to what Karthik just mentioned that tier three, tier four markets are doing better. So , if you can help me to understand what are the top 20 markets contribution, and I would assume that that will contain the metros, and then equally what is the tier three, tier four contribution or how it has moved over one year ?

Management: Karthik do you have the breakup for that?

Karthik Yathindra: Yes, just give me a moment. So, metros and tier one, the way we classify it, contribute to little over a 50% of our business a nd Tier-2 downwards are in the late 40s in terms of .

Shirish Pardeshi: And the balance is tier three, tier four w hat you are saying?

Management: That's correct.

Shirish Pardeshi: Okay. So, why I was more interested , if you can give me some regional variation, because what I understand, and our market visit says that there is not that big problem in S outh but it's more on the N orthern side. So, is that observation correct or maybe if you can help us, what is actually happening on the ground ?

Karthik Yathindra: No sir, if we don't see a differential performance from a growth rate point of view across that's what I clarified earlier , across regions between N orth, South and E ast, West. Contributions vary Page 10 of 19 that's a function of our presence. But in terms of growth performance, we don't see a stark difference in how one region is performing compared to the rest.

Shirish Pardeshi: So, this is common in relation to your Tier -2, tier three commentary ?

Karthik Yathindra: No, Tier-2, three, four across the country, like I mentioned is growing better than m etro s and tier one , but if I have to split it geographically between N orth, South, East and W est our performance has been consistent, more or less.

Shirish Pardeshi: Okay. My second question is that recently, the FMCG trend which is looking at the rural is growing much faster, while there will be some issues in the urban regarding the income generation activities which are a little lower . So, do you anticipate this kind of issues will come up in future, and then we will be forced to drop the prices further, or it's too early to take a call at this time ?

Karthik Yathindra: We don't anticipate such adverse reactions to the product at the current pricing, at least in the foreseeable future, we don't see a need for us to drop the price.

Shirish Pardeshi: Okay. My last question , as the revenue growth was about 3.9% while our other expenses have grown much higher and sharper. So, if you can tell me if there is one off, you did explain there is a ad spend which is sitting but is there any material change which you can see?

Management: No, not exactly. So, when you say other expenses, it does include marketing. It also includes IT expenses. So, marketing is what we have seen a bit of a higher spends in the current quarter, though we remain within the 4% to 5% annually, and in IT expenses, we have gone into major digital transformation initiatives. So, we do see slightly higher digital spends towards IT in this quarter as well as it will escalate a bit more in the coming quarters. But yes, factoring all those things as still our operating margins we are quite confident that it should be maintained within the 18 % to 21% .

Moderator: Thank you very much. Next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Sir, m y first question is with regards to a comment in the annual report, you ha

ve mentioned that you target to be a 1 billion USD revenue company by FY 26. Now going by the current trends, do you still think that target is achievable, or there is some postponement to that particular target ?

Management: Gaurav, y ou are right i t may be tough to achieve the target at that speed, because this was, we projected this number way back then w e had the volatility during the pandemic, and then we had the last year a challenging year for retail across brands. So, we have to consider all this, Page 11 of 19 and then we need to recast the numbers and look at a more realistic trajectory for us. And we are actually working on that. So, we are revisiting a three year and five -year plan.

Gaurav Jogani: So, any sense that you can give well , as per your internal targets, when do you think you can achieve this mark, or at least the best possibility by which this mark can be achieved ?

Management: It is still a work in progress. For us, we are revisiting the pay book for the three year and five year, so maybe we would be able to give more clarity in the next meeting when we meet up next time, because it's still work in progress .

Gaurav Jogani: Sure. So, my next question is with regards to the Bangladesh disruption, I remember earlier there was some supply chain or some sourcing that you used to do from Bangladesh. So, any impact on your sourcing because of this near -term disruption that you see there ?

Management: No, because we import very small quantity few 1000 pieces per month from Bangladesh. And those SKUs are actually having very healthy inventory in our warehouses. And today , I got an update that factory which is actually supplying for this is back in operation, so we don't foresee any risk at all. And secondly, when it comes to supply chain, we have made sure no category or no product , critical product is with one vendor. It is always having multiple vendor source, both geographically also. So, we always have t hat risk mitigation plan and for major style, we also share the production between in-house and outsourcing , so that we can manage all these volatilities.

Gaurav Jogani: Sir my last question is, with regards to again the industry inventory that you could see earlier, that used to be quite high. Now, given the fact that the discounting has come down meaningfully in the last six months, and even in this quarter , do you think the channel inventory overall for the industr y is at a healthy level, which eventually could help you to grow during the second half without any increasing competitive activities?

Management: Yes, see as Karthik updated some time back, the distributor inventory level has become more and more healthy over time, with the discipline with which we have driven the AR S and of course, the number varies category to category it is in the team a s far as inventory date reduction are concerned for the athleisure product and some of the other categories we embarked on this journey later f or example, the last category we touched up on ARS, which is still work in progress is juniors which has comparatively lesser inventory day reduction. So, as the inventory health improves, it will definitely help our numbers and as Karthik said, while it will show good health improvement and therefore good sales in the coming days, the primaries will be in line with secondaries once we give a quarter or two more of the inventory to come to optimal levels.
Moderator: Thank you very much. Next question is from the line of Nihal Mahesh Jham from Ambit. Please go ahead.
 Nihal Mahesh Jham: Sir, I was just clarifying on the manufacturing capacity.
Moderator: The next question is from the line of Ankit Kedia from Phil lip Capital. Please go ahead.
Ankit Kedia: Sir my first question is, regarding the consumer movement from economy to your products, previously the Lux,Rupa, Dollar consumers used to migrate to, J ockey at least

M odern Classic.
Do you think now, with Zudio coming in and having a good inventory of men's and women's wear, our customers have got more choice now. And instead of moving towards J ockey or Modern Classic of J ockey, at least a young audienc e is first trying Zudio and then seeing the movement there, because they also have now 550, 600 stores today .
Management: So, if you look at it at inner wear as a category that's more relevant when you take that company and compare ours . I don't see when you talk about Zudio and other companies, because for them, they have multiple products. They are not a n inner wear brand per se. And if you look at the market share, then the penetration which we at 17%, 18% and dominating the market, you can understand how fragmented it is, and there is enough head room for all of us to grow, and we have tremendous opportunity .
Ankit Kedia: Sure. Sir my second question is regarding the accessories portfolio, our check suggests that you have really invested a lot of the s ales force in the accessories part of the business. Can you just throw, help us understand over the next two years which all category extensions are you doing in accessories a nd what could be the revenue contribution coming in from the accessories portfolio now?
Karthik Yathindra: Thank you, Ankit . Even the current portfolio of accessories that we hold is quite substantial, and hence we move to have an independent sales vertical addressing only this vertical . Within accessories today, we include our categories like socks, towels, caps, handkerchiefs and face masks which has little relevance today, but forms a part of our portfolio. So, we have a good enough width in terms of set of products to put out in the market. T hey have a lot to achieve within what we have as a product portfolio f rom a revenue standpoint. Obviously, we will still be in the lookout for relevant categories from a product development point of view, where we see an opportunity for the brand to associate with sales and capitalize on market opportunity. But for now, at least this financial year, the move to have an independent sales team is to essentially address the portfolio that is already in hand.
Ankit Kedia: Is it fair that the number would be high single digit contribution for this vertical?
Karthik Yathindra: Yes, it is there abouts. .
Moderator: Thank you very much. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.
 Tejas Shah: Sir, my first question pertains to distribution , I believe in your opening remarks somewhere answering the question, you said that we have consolidated our presence in modern trade. So, could you share the insights behind this decision a nd additionally, how should we think about distribution expansion at consolidated basis for this fiscal and the next ?
Management: So, expansion is something that we are committed to, but meaningful expansion where we believe the brand would be placed and done justice to with all the brand principles and business principles with which we have grown the brand thus far. So, as long as these are in place, and we believe the channel provides an opportunity for us to grow , expansion will be the way forward. We have however like I said, taken calls on specific accounts where we believe it's not favorable for the brand to be present in the way we want to be present from a strategic standpoint, which is where we have consolidated. But otherwise, across modern retail as well as general trade, we would be looking at expansion in a meaningful manner.
Tejas Shah: Sure. And any number you can actually give to this meaningful number ?
Management: Number for ?
Tejas Shah: In the sense ballpark, how much we target usually expansion, distribution, expansion looking at demand scenario and our own challenges on inventory today ?
Management: So, especially in modern reta

il expansion is not under our control. It's got to do with how the accounts that are there and what expansion plans they have. As far as a brand that operates in that channel w e just want to pick and choose who we want to work with and make ourselves available there. We have no influence on driving expansion a s far as being modern retail channel is concerned, the large format store . We also categorize our exclusive brand stores under modern retail , there i t's a stated strategy that we look to expand anywhere between 150 to 180 stores every year. That's the plan we have for this year as well.

Tejas Shah: Got. And last for almost two years in some way or another w e are trying to figure out if our value proposition to customers has changed after COVID and we seem to be very confident that it has not. So, what tools or benchmarks do we use to measure our products, competitiveness or value proposition compared to our peers products?

Management: So, we do a like -to-like comparison of the product and the price point over a period of time. So, we have a clearly defined target audience, we have a clearly defined set of competitors who we believe address the same target audience. We benchmark ourselves against these competitors in terms of their product offering and price points. That's the confidence we have, having done this consistently a nd it's not a new exercise or activity we are doing this we have been doing since a very, very long t ime, in terms of ensuring that we are relevant in the market, both in terms of product of fering as well as price points.

 Tejas Shah: And have we added Z udio or Decathlon products in this PSA till last two, three years for comparison ?

Management: Not for inner wear as a category, but in relevant areas in ath leisure, they do feature.

Moderator: Thank you very much. Next question is from the line of G arima Mishra from Kotak. Please go ahead.

Garima Mishra: My question is more on the various categories you have and the green sho ots and demands that you mentioned, should we construe that you are seeing very similar trends across the three categories, men's inner wear, women's inner wear and athleisure?

Management: Thank you, Garima. From a secondary and tertiary point of view, yes we are seeing a similar uptick across the categories we present in . However, how it translates into primary, like I mentioned earlier it's the function of the inventory that we are holding, that's where we are seeing the difference . The inventory holding at the channel level is today higher for outerwear when compared to inner wear, and hence that affects our primary reported numbers .

Garima Mishra: Got it. But what you are trying to say here is that , at least if we exclude this inventory bit, you are seeing very similar demand trends across the three categories right?

Management: That's correct, at a tertiary and secondary level it's consistent .

Garima Mishra: Got it understood. Second question is, see women's wear you highlighted is a very large under penetrated category largely informal today, are there any steps you are taking in terms of your own capabilities, design, distribution, et cetera to better tap into this category ?

Management: Yes, definitely. Women's inner wear is one market which is obviously much larger than the men's inner wear market. It is also a market that is in relation to men, the level of organization of the market is much lower. It's largely unorganized. And even within the organized sector, within branded play, the number of credible players is much higher in the women's inner wear space when compared to men's inner wear and hence makes that market that much more competitive . In order to address that opportunity. It's only recently that we have had in the last three years have dedicated sales vertical addressing this category separately, the way we approach this business internally in ter

ms of org structure is, there is an independent team right from product design, marketing, product management, as well as sales, addressing only the women's in ner wear market. So , this is to ensure that we give it the requisite focus so that we can capitalize on the market. Even from a marketing standpoint, our investments are skewed disproportionately towards the woman consumer to make sure we are able to build that connect with that consumer at an emotional level. So, these are some of the steps we have taken as an organization, and we are in a way committed to these steps to continue persisting in trying to gain share from the existing organized market and also grow the entire

 pie of organized by converting consumers from the unorganized market towards the organized market in the….

Moderator: Thank you very much. The next question is from the line of Sabyasachi Mukherjee from Bajaj Finserv Asset Management Company. Please go ahead.

Sabyasachi Mukherjee: Just trying to understand your comment on secondary and tertiary sales growth being better than primary growth of 2.6% volume growth for this quarter. H ow does it , the channel inventory is kind of stagnant at 20 million pieces which was there in last quarter as well. Is it because of the different base s that we are talking about here?

Management: It's also because the way we , in terms of number of days t he difference we look at is mainly because of , see in quarter one we tend to fill in a lot more inventory than the rest of the quarters, because historically it's been a large quarter for us, quarter one as well as quarter three. So, there is some level of input that goes in as far as quarter one is concerned, in primary . That is the reason you see that the overall base inventory remains more or less the same. There is a reduc tion not enough to speak about.

Sabyasachi Mukherjee: Okay. So, basically it means that while the percentage growth might be higher in secondary

and tertiary, because the base was lower in terms of absolute pieces we are not seeing a
meaningful reduction in the absolute inventory. That's correct understanding ?
Management: That's correct in the primary front here.
Sabyasachi Mukherjee: Got it . And you mentioned that probably this will take another couple of quarters, unless we
see a good uptick in the demand environment.
Management: It goes either ways, i t depends on how the secondary and tertiary demand continues. If you
see a good uptick, this could be sooner as well .
Sabyasachi Mukherjee: Got it. On the e- com channel , I believe it is about 7%, 8% of our total sales. How much wou ld
be quick commerce out of it?
Management: Quick commerce is a new venture for us. We have been operating with one of the players for
about a year now, but majority of the time and today, we operate with about four players, and soon to start with two more, but
majority of this initiation has happened in the last two to
three months. So, at this point in time, quick commerce contribution is low, but I am sure by
the end of this year it should be decent.
Sabyasachi Mukherjee: And when we mentioned that there are three vertica ls when it comes to e -commerce, so B 2B,
B2C, so B 2B again, would be some of these aggregators platforms online platforms, and there
will be e -commerce as well ?
 Management: No, not exactly.
Management: What Deepanjan meant was , we have a B2 B where we do outright business with some of the
large players. And then we have Page Industries listed as a seller in these marketplaces. That is
the second route, and third route is J ockey.in , the mono -brand website.
Sabyasachi Mukherjee: Okay. And quick commerce would be that outright , under the outright sale category ?
Management: So, it varies Sabya, It depends on the mode in majority players we operate as a seller on the
marketplace as well as do an outright . Quick commerce a lso

, it's not one formula for all the
players it depends on the agreement that we enter into with individual players. It could be
outright it could also be via marketplace .
Sabyasachi Mukherjee: And margins and working capital for all these three mode of operations in e- com would be
similar or any difference over there ?
Management: We did answer that, so there will be slight differences between B 2B versus the B 2C verticals,
so e-commerce B2B's margins are very much similar to our offline businesses, but as a B2C
segments so B2C vertical is slightly lower because it does require heavy advertisements or
marketing investments in terms of customer acquisitions. Also , the delivery costs tend to be a
slightly higher in case of market place and Jockey .in. So, that's why the margins in two B2C
segments tend to be slightly lower than the B 2B segment .
Moderator: Thank you very much. The next question is from the line of Ravi Naredi from Naredi
Investments. Please go ahead.
Ravi Naredi: VS Ganesh, MD sir you are managing company well, and you declare Rs. 300 interim dividend,
which is fabulous one. It shows how our stocks and debtors are under control . Sir, you had
given a target to reach $ 1 billion US by 2026 in your annual report. So, what preparation in our
mind and have you sufficient capacity to achieve this . So, how you grow 35% CAGR in the next
two years . This is my question .
Management: Thank you. As we updated previously, that may be a tough ask. This was a guidance or a target
we set for ourselves few years back and now we need to recast the numbers and be more
realistic about it, because we had lot of turbulence in the business in the recent past, and we
also had a very challenging last year, and we need to appreciate all those and re- look at our
strategies and plan for the future. So, we in the process of recasting the three year and five -
year plan, and then we will be able to kind of understand how quickly we can reach the 8000
crore mark.
Ravi Naredi: Okay . So, now by 2026 we still have a plan to reach $1 billion US target?
 Management: No, that's what I said. That may be tough, to grow at that rate a nd that's where we need to be
realistic. The re are two reasons, one is it is tough a nd second is we need to make sure whatever
growth we achieve is hygienic and sustainable, we should not be looking at short term sprints.
We should be prepared to run the marathon. So, that has been our philosophy, which has
helped the band over time, and we would be navigating through that strategy and for which
we are now recasting a three year an d five-year plan.
Ravi Naredi: Well, so we have sufficient capacity, or we go without capacity ?
Management: You mean manufacturing capacity?
Ravi Naredi: Yes.
Management: Manufacturing capacity, we currently have a capacity for around 200 million pieces, and with
outsourcing we can go up to 260 and we are continuously working on expansion. So, as part of
our annual plan and the three year and five -year plan, we keep looking at and we keep
calibrating the expansion of the back end with new units. So, you know we are now having
Odis ha unit, and we are also having one more unit in the outskirts of Mysore. These two are
coming up, and we will be constantly looking and planning expansions according to the market
demand.

Ravi Naredi: So, 200 million our production, 2 60 million outside production?
Management: No, 200 million our production, and 60 million o utsourced production, so giving a total capacity of 260 million.
Moderator: Thank you. The next question is from the line of Onkar Ghugare from Shree I nvestments . Please go ahead.
Onkar Ghugare: My question was, since you have declared Rs. 300 dividends, so have you changed any dividend policy or like, what is the reason of giving this dividend, because last year?
Management: Well , our cash balance looks very healthy, and

we have considered the investment requirements for the future with a very conservative plan. So, we always also look at the worst - case scenario, the likely and the best -case scenario and prepare ourselves accordingly and with a very, very conservative plan we look at the projection. We also consider the CAPEX requirements, the expansion plans and the cash reserve we have, since we have a pretty good reserve, healthy reserve we thought it is better , we have a better dividend payout and give the money to our stakeholders or shareholders, rather than holding it on behalf of them.
Onkar Ghugare: So, what I meant was, this is a one off or this is how it is going to be in the future ?
Management: That depends on the top line every quarter. So, we need to wait and watch.
 Management: So, as MD explained, we do assess the annual requirements and even the future requirements. And based on that, if the cash balance supports it, we can give higher dividends, but yes, every time before we declare dividends, we assess what is our future requirement.
Onkar Ghugare: Okay, because last year's full dividend was around this much. So, that's why this question arrive d.
Management: Yes, business situations are different, so we are in a better position now a nd as MD explained, we have assessed our future requirements, or CAPEX requirements. So, currently, yes, we are in a position to give a higher dividend in this quarter.
Onkar Ghugare: But have you changed your capital allocation policy or dividend distribution policy , just wanted to know that ?
Management: Our dividend distribution policy remains the same. So, we plan to pay 50% of our PAT as a policy.
Onkar Ghugare: Okay . So, depending on the situation, you will be looking how much to pay every quarter ?
Management: That's right.
Moderator: Thank you very much. The next question is from the line of Lakshmi Narayanan KG from Tunga Investments. Please go ahead.
Lakshmi Narayanan KG: Sir, if I just look at your employee account which you have given in one of the pages, it has actually materially come down by almost 16% when I compared to Q 1 of last year. And is it a conscious decision to bring down the workforce because your employee cost has been remaining the same , that is my first question. And also, when I look at your subcontractor cost it is actually half in FY 24 when compared to FY 23. So, if I just put it together, are we trying to be more productive, or is it always a flexible workforce ?
Management: We are trying , so it's a combination, you are right we are more productive , productivity has improved by more than 12 %, 13% that means the outputs have increased. We have not reduced manpower ; we are now normal attrition.
Lakshmi Narayanan KG: It was around 21,000 something in August end , last year around the same Q 1 and it has progressively com e down. Now it's around + 17,000.
Management: So, that's where I am saying , there are monthly attritions which we have not replaced. And that's why the numbers have come down, but if you see output it has remained the same because corresponding increase in productivity has been witnessed with all the initiatives , the back end that has taken, and we also had a healthy inventory which meant that we temporarily
 tuned down outsourcing capacities because we had good inventory, number of days inventory and we wanted to bring it to an optimal level.
Lakshmi Narayanan KG: So, that's one, what is the subcontractor cost because last full year it halved. So, what is that for this quarter ?
Management: Deepanjan cost of purchase goods?
Deepanjan B: No, the subcontractor cost is what is captured as part of other expenses.
Lakshmi Narayanan KG: Can you just give a number and how it is compared to last year same quarter ?
Management: So, compared to the.
Management: It should be half of it, since the volume has been half .
Lakshmi

Narayanan KG: Got it. A ny number you want to keep the subcontractor cost as part of your other expenses?
Management: No, how we actually look at it is , when we buy from subcontractors a lso we should , one we outsource the process s o we want to make sure we get the right quality, so there is no difference in the product or quality. It should be an extension of Page, and we also pay the contractor or subcontractor well so that they can actually make meaningful profits and make sense as a business proposition, like how we work with our channel partners same way, and we also therefore see whether we can have th e sa me EBITDA as we get from in -house

manufacturing. So, there has been a strategy , so they are virtually like our own factory outside and we make sure that the EBITDAs are similar.

Moderator: Thank you very much. Ladies and gentlemen, due to lack of time that was the last question for today's call . I now hand the conference over to the management for closing comments.

Management: So, thank you again for participating in this Earnings Call. It was really a very interesting discussion, and thanks for your keenness in the results of Page Industries. We will look forward again to such earnings call in future. Thank you again.

Moderator: On behalf of Page Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

13 November 2024
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange 1
st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir,
Sub: Audio Recording and Transcript of Investor call
We herewith enclosed the transcript of in vestors call for the financial results for
the Quarter ending 30 September 2024. Audio recording of the investor call is available in the following link:

https://youtu.be/vZMOPU8j5_Q

This is for your information and records.

Thanking you,

Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary
Encl: as above

"Page Industries Limited
Q2 and H1 FY25 Earnings Conference Call "
November 07 , 202 4

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE
INDUSTRIES LIMITED
MR. DEEPANJAN – CHIEF FINANCIAL OFFICER – PAGE
INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA – PRESIDENT AND CHIEF
OF SALES AND MARKETING – PAGE INDUSTRIES
LIMITED

MODERATOR : MR. ANUJ SONPAL – VALOREM ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '25 Earnings Conference Call of Page Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you, sir.
Anuj Sonpal: Thank you. Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from the

Investor Relations team. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the second quarter of financial year 2025.
Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings concall may be forward-looking in nature.
Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.
The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. V. S. Ganesh, Managing Director; Mr. Deepanjan, Chief Financial Officer; and Mr. Karthik Yathindra , President and Chief of Sales and Marketing.
Without any further delay, I request Mr. V.S. Ganesh to start with his opening remarks. Thank you, and over to you, sir.
V. S. Ganesh: Thank you. Thank you so much. And ladies and gentlemen, a very warm welcome to this meeting and a very good afternoon, and welcome to the earnings call for the second quarter of FY '25. As was mentioned and during the introduction, I have Mr. Deepanjan, our Chief Financial Officer; and Mr. Karthik, our President and Chief Sales and Marketing Officer who have joined me for this call today.
I will touch upon the performance of Q2 before getting into the specifics of the quarter. We have experienced a largely stable operating environment in Q2, except for a few regional disruptions in the form of floods and protests in select parts of the country that affected retail. While we are yet to experience a significant revival in consumer sentiments, the onset of festival towards the end of the quarter has shown some increasing signs. The rapid expansion of e -commerce has created new opportunities in retail. While a gradual recovery in rural consumption is positively influencing overall demand trends.
Staying true to our core principles and long-term strategy, we have maintained our focus on good inventory health, operational efficiencies and in enhancing customer experience. This has resulted in a revenue growth of 11% and PAT growth of 29.9% for the quarter. For the first half

of the year, we achieved a revenue growth of 7.3% and a PAT growth of 16.8%. we have continued to enhance our consumer reach through expanding retail response.
As of end of September, we have a network of over 107,702 MBOs, 1,387 EBOs and more than 1,153 LFS outlets. We are strategically directing our attention towards metros in Tier 2 and 3 cities. E-commerce channel had a growth of 41% in H1, which affirms the opportunity in online channels. Your keen interest in our journey kee

ps us agile in pursuit of organizational goals. We eagerly anticipate the opportunity to address any questions you may have and provide you further insights into our performance during the call.
Before doing that, may I request Mr. Deepanjan to take you through the specifics of the quarter and then we can take your questions. Thank you so much. Over to you, Deepanjan.
Deepanjan: Thank you, . Good afternoon, everyone, and welcome again to today's earnings call. I hope have all of you are keeping well. I am pleased to share the results of quarter gone by and the first half of FY '25. Taking you through the key financial highlights for Q2. We recorded a sales volume of 55.2 million pieces which was a growth of 6.7% year -on-year. Revenue in Q2 was INR 12,463 million which was again a growth of 11% year -on-year.
EBITDA for the period was INR 2,815 million, which was a growth of 22.1% year -on-year.
EBITDA margin during the quarter was 22.6%. Stable raw material costs, sustained higher selling efficiency, measured employee costs and judicious operating costs have contributed to good EBITDA margi ns. Profit after tax was INR 1,953 million, a growth of 29.9% year -on-year.
Inventory days was 168 as against 93 days in the end of FY '24. Focus on healthier inventories in the distribution network has resulted in maintaining optimum inventory level. Working capital days was 61 days, which was an improvement over 75 days in the end of FY '24. We remain in that shape.
Coming to the first half. Sales volume was 112.6 million pieces, which was a growth of 4.6%. Revenue was INR 25,238 million, resulting in a growth of 7.3%. EBITDA for the first half was INR5,248 million, a growth of 11.90 %. EBITDA margin was maintained at 20. 8%. PAT was INR3,605 million, resulting in a growth of 16.8%.
To summarize, our financial performance in Q2 focuses the success of our sustained focus on product quality, broadening of our customer base through diverse channels and strategic marketing efforts, all of which have driven revenue growth. Stable product costs, continued

utilization, smart technology utilization and strong management of operational expenses has
strengthened our operating margins and overall growth trajectory.
We can now discuss any queries that you may have.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Manasvi Shah from ICICI Prudential AMC. Please go ahead.
Manasvi Shah: Thank you so much for the opportunity and c ongratulations on a very good set of numbers,
especially in a weak consumer environment. I have two questions. One is on working capital. So our inventory rates have reduced sharply, which is a very good sign. But does that mean that

incrementally, there should be good productivity improvement as volumes ramp up, and that can
lead to this sort of margin improvement we've seen in Q2 to be more sustainable?
Deepanjan: So saving efficiency has significantly improved if we compare with the previous quarter. These
savings efficiencies are almost 44%, 45%, which has over the years significantly gone up to
56%, and we have been able to maintain that. So that's why it's reflecting in our production
efficiency as well. So we should be able to maintain production levels even with the existing manpower that we have.
Manasvi Shah: Okay. And secondly, sir, on channel inventory. How is the channel inventory situation now for
us? And how is it for competition?
Deepanjan: So I'll request Karthik to take this question.
Karthik Yathindra: Yes, Deepanjan. I'm afraid I'll not be able to comment on channel inventory of competition.
What we understand is that it is bloated, but to what extent is something we're not really aware
of. As far as our channel inventory is concerned, we had about 40 days of inventory at the
distributor leve

l today, which is an improvement of about 3 days when compared to the
beginning of the year. I think largely, we've come to stable levels of inventory in majority of our
categories, barring a few, where still there is sco pe for us to optimize inventory levels at the
distribution.
Manasvi Shah: And sir, is the secondary sales growth mirroring the primary growth? Can you just talk about
trends?
Karthik Yathindra: Growth, like I mentioned, our inventory levels at the distributor has come down since the
beginning of the year, which means our secondary performance is slightly better than our
primary performance.
Manasvi Shah: Okay. So should we expect channels selling to start to resume again, especially leading into the
festive heavy Q3?
Karthik Yathindra: I'm sorry, come again? Should we expect channel what?
Manasvi Shah: Channel selling now because secondary sales have been higher than primary sales for almost 2 quarters now.
Karthik Yathindra: Ms. Shah, our inventory levels were higher than what it should have been as we started the year. And it's been a conscious attempt to bring inventory levels at the distributor to normal levels. So
there is no intention to inflate or fill channel with more inventory than that is required. In fact,
we foresee, maybe another couple of days of inventory to come down in the H2 of this year.
Manasvi Shah: Okay. And sir, I appreciate that you wouldn't be able to comment on competitors' inventory. But
is it putting more pressure on the channel in which that in any way affecting some of our offtake?
Karthik Yathindra: It could be because retailer payout seems to be at an all -time high, some competition, which puts
a little bit of stress on our secondary performance. But because we've been able to control costs

largely and have been continuing to invest in the brand at the consumer level, we're able to hold
forward.
Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta Sir, with the pickup in growth rates seen despite a largely stable demand environment and festive period demand also is encouraging, as you said, would it be fair to expect growth momentum to
further rise in 3Q and going forward versus the 11% that we saw in 2Q?
Deepanjan: I think it's a bit too early to comment on that because, yes, we did see a stable environment in
Q2 and the festivities has also been good. But whether the growth trends will be further
improving, I think we'll be unable comment on that unless we get further deeper into Q3.
Avi Mehta Okay, Deepanjan. So Deepanjan, where my question is coming from is there a material benefit
that happened in 2Q that you would argue for the early festive. Because you also pointed out
towards the market commentary. So I'm just trying to appreciate what level is a more steady state level as we go forward?
Deepanjan: As we have told that definitely, the conversion situation or the demand situation is better than what we saw in Q1.

But yes, I mean, there are still pockets in categories that the things are not so steady. So that's why I think if the momentum of Q2 continues, definitely things have been
improving, but it's a bit early to comment on that.
Avi Mehta Okay, sir. Just the second bit is on the EBITDA margin. We've seen first half EBITDA at almost about 21%. Is that a fair indicator of what we should expect for FY '25 versus the 19% that we
saw in FY '24?
Deepanjan: See, we have had very strong controls on operating expenses and the yarn cost and the cotton
prices have been quite favorable. So we are not seeing any upward trends. So given these factors,
it definitely gives us a comfort that EBITDA margins will remain strong, but at the same time,
as we have indicated earlier also, there are several initiatives, especially in the IT front, which
had been initiated during this year and

it will take up more steam from this quarter onwards. So
there will be some quarterly aberrations in the EBITDA margins. But yes, I mean, we'll be fairly
gearing that 19% to 21% range.
Moderator: Thank you. The next question is from the line of Tejash Shah from Avendus Spark. Please go
ahead.
Tejash Shah: Thanks for the opportunity and c ongrats on a good recovery, especially in the current
environment. First question pertains to growth. Just wanted to understand the character of the growth here in terms of how it is composed across regions or segments, if you can give some
qualitative inp uts. Especially the headwind that we had seen in athleisure, are we seeing some
sharp recovery there?
Deepanjan: Yes. Karthik, if you could take this question.

Karthik Yathindra: Yes, sure. So quarter 2 has been fairly good across all the categories as far as secondaries is
concerned. Our inventory levels at the channel are still above what we would like it to be when
it comes to the athleisure category, which is in a way muted gro wth at the primary level. But at
a secondary level as well as tertiary levels in our EBOs, we've seen a fair bit of growth .I mean,
consistent growth across all the categories that we're operating.
Tejash Shah: And the gap that we had seen in the recent past between primary and tertiary, do you feel that
it's almost, by end of this fiscal year, we should start kind of so that won't be part of our
discussion or narrative anymore because all the ARS intervention that we have made in the recent past, the effect of the same will be surfaced by end of this year?
Karthik Yathindra: Yes. I think I had mentioned that earlier as well. I think by the end of this financial year, we
should be back to optimum inventory levels at the channel, after which our secondary sales
should in a way than our primary sales.
Tejash Shah: And last one if I may.
Moderator: Sorry to interrupt you sir. I would request you to rejoin the queue for your follow up question.
Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please
go ahead.
Devanshu Bansal: Thanks for taking my question. S ir, currently, we are at 80% in -sourcing versus these levels
being 70% about 6, 7 months back. I just wanted to check how much of this margin improvement
is because of this higher level of in -sourcing and whether these levels of in-sourcing are expected
to continue even after the demand recovers for us ?
Deepanjan: First of all, our outsourcing or purchase from outsiders is almost 30% as we speak. The
improvement in margins is largely because of the improvement in efficiency. Yes, it does have
some factors for purchasing from the outsourcing suppliers, but yes, I mea n, the way we operate
our margins, our outsourced suppliers versus in- house supplies is not significantly different.
In fact, in some cases, outsourced margins are slightly better than our inhouse manufacturing. But largely, since 70% is still in -house manufactured, the increase in margins that we are seeing
now is more because, one, the product costs or the material costs are largely stable, and we have
seen significant improvement in our cutting efficiency.
Devanshu Bansal: Understood. Sir, anyways, the PPT's mentioned that it is 80% in- sourcing, maybe I'll check it
again. Yes. Second question, sir, the working capital has been optimized by about INR 330 crores
over the last 6 months. So what has driven these savings exactly? And are these expected to continue because inventory levels are below the March '24 levels despite whatever growth that
we have seen in H1?
Deepanjan: Largely the reduction in working capital is inventory driven. So we have been able to optimize
our inventory levels. We have brought it down to almost 68 days now as we compare with the
beginning of the year. And since we have reached more earliest optim

um levels, we are currently
geared around 68 days of inventory, which is including both FG and RM. So this is the more or

less closer to our targeted inventory levels. And with this, the working capital days, which is
around 61 days, should be retained even going forward?
Devanshu Bansal: Can you follow a few initiatives that we have taken sir, in t erms of maybe FTE reduction, et c,
that must have led into this kind of an improvement?
Deepanjan: Sorry, can you repeat the question?
Devanshu Bansal: I'm asking can you indicate or highlight a few initiatives that we have taken at the back-end front, which has helped us improve our inventory?
Deepanjan: On the efficiency, , I think it has been overall. So it has been a sustained effort over even starting the year before, where we have been taking consistent efforts and steps to improve our efficiency . And there's been several initiatives taken on in our back end, including the Kaizen
initiatives and there are several other things which have been taken up. So those have gradually resulted in improving the efficiency from 44% to 54%- 56%. So that's what it's resulted in the
higher efficiency.
Moderator: Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go
ahead.
Sameer Gupta: Thanks for taking my question. I have two. So firstly, on the volume growth of 6.7%, this implies
there is a price plus mix growth of 4% this quarter. And I'm not sure if we have taken any price increases. So just wondering what is driving this price plus mix growth?
Deepanjan: Yes. So to answer your first question, there has not been any price increase at all. The differential
that we see between the volume growth and the value growth, there are two factors. One is
definitely there is premiumization within the categories. So when I say within the categories, for
example, we didn't mention that there is certain boost. There is a propensity to buy higher price
point products. There's also a category mix, which is coming into play because there is slightly
more sales of o uterwear which is in the quarter.
And thirdly, which is an important thing. I mean, which is a key, which is happening is that we
have a slight change in higher sales in e -commerce because the growth in e-commerce has been
significantly higher than the traditional channel of general trade. So all the three factors, as with
premiumization affecting in our price points, while essence, there has been no price increase.
Sameer Gupta: So just a follow -up here. So higher increase in e-commerce. Is e-commerce by default a higher
price point category for you? Is that how to read it?
Deepanjan: No, not exactly e-commerce and we say it's a combination of B2B, which we sell directly to
players like Amazon and Amazon suppliers. And we also have B2C, which is the marketplace
in Jockey.in. So as far as market place in J ockey.in is concerned, we sell at MRP. And in case
of B2B supplies also, we have the advantage of lesser margins still because they're selling
directly. So all these things, I think we have got a higher ASP there.

Sameer Gupta: Got it. I understand. Sir, second question is this uptick in both volume and sales growth. Now
inventory corrections are almost done, and like you have mentioned that athleisure is also back
growing in secondary and tertiary. And we've also had some new launches. So just trying to
understand that how I mean, I read what you said before in the call that it's still early days.
But if, let's say, the demand environment is still not back and it's on your own initiatives which is driving this growth, and by the look of it, it seems there is no one -off, then, I mean, why is it
that the confidence in sustaining this double -digit grow th momentum, I mean, not there in the
commentar

y? Just wondering.
Deepanjan: No, we would love to have double -digit growth and even more. But this is the first quarter where
we have seen a decent growth, and we'd like to see a few more months before we really can confidently say that, yes, this is a renewed phase, which we're getti ng into.
Moderator: Thank you. The next question is from the line of Anand Shah from Axis Capital. Please go
ahead.
Anand Shah: So first question is on the channel part. I mean, you've seen the number of MBOs getting
consolidated over the last few years, even EBO account has sort of been flattish for the last 4
quarters. And also the number of distributors this time has sort of com e down. So just wanted
your thoughts on what is your target for channel expansion and kind of change in mix that is
happening? .
Deepanjan: Yes, Karthik, can you...
Karthik Yathindra: Yes, Deepanjan, I'll take this. Thank you, Mr. Shah. You're right. I think we've taken a consolidation approach as far as the distribution channel is concerned. There has been expansion,

no doubt. However, the numbers that you see as baseline included cert ain expansion that we had initiated during the time of COVID pandemic, where we had made entries into unconventional hosiery outlets, unconventional for hosiery because it was required at that point in time. Those are the outlets that are in the way consolidating to reach a steady -state number. There has been expansion, no doubt. But at the same time, due to consolidation you're seeing, it seems a bit flattish as far as the distribution is concerned. As far as EBOs is concerned, again, there is expansion to the tune of 150 to 180 stores year -on-year, and that is a similar number we should be gaining the financial year as well.

Anand Shah: Got it. And just a follow -up on this, any breakup you can share in terms of the mix of revenues between MBO, EBO, LFS and e -comm, any rough mix?

Deepanjan: No, we typically don't share that. We predominantly remain GT -driven, that is general trade driven. But we do not publish a breakup of channel -wise information.

Anand Shah: Got it. And my last question is, again, on the staff cost, as you highlighted, you are seeing a lot of production efficiency there and a number of employees is also coming down. So where does this sort of now normalized in the sense, do you see more efficiencies because the staff cost has

been coming down, has been flat for many quarters now. Does it start to stabilize here and then go up or you continue to see a flattish curves and include the costs?

Deepanjan: No. It's a continuous effort. I mean we do not stop ourselves at the current level of 54%. It's a continuous effort which we keep working on every day. So definitely, over time, if this further improves, it is good for us. But yes, I mean, reaching from 44% to 54% it self is a significant achievement. And whether it will go up further, we have to see, but yes, the efforts continue.

Moderator: Thank you. The next question is from the line of Nihal Mahesh from Ambit Capital. Please go ahead.

Nihal Mahesh: Deepanjan, my first question was to you. Would it be possible to share the subcontracting charges for the first half or as a percentage of top line?

Deepanjan: As a percentage of top line, it's around a percentage, I mean, 1%, not more than that. And between the 2 quarters, it is more or less similar, there's not much a change in there, when it it in quarters Q1 and Q2.

Nihal Mahesh: Got it. Historically, this number used to be 3%, 3.5%. Is it that the efficiencies have are made is the new normal? Or this would then trend somewhere in between in the future?

Deepanjan: No. I mean, depending on the demand requirement and the production requirements, we do keep changing this subcontract procurement. So yes, historically, I think pre -COVID, it was slightly higher. So if the pro

portion of subcontracting further goes up, then definitely, this will be changing. But otherwise, it will be in the range of 1% to 2%.

Nihal Mahesh: Understood. The second question was that we historically had the USD 1 billion target. Any sense on when we are targeting to achieve that? And also, what is the long -term sustainable growth for athleisure you target?

Deepanjan: So I request Mr. Ganesh to answer this. .

V. S. Ganesh: Actually, the $1 billion target was set before the pandemic. And as you all know, we lost almost a year because of the disruptions. And then after that, retail has not been buoyant. That's why we told you last time also, we need to reset. So there is seems to be a corresponding delay in achieving our target. And now we feel it may take a couple of years more than what we thought to achieve this number.

But you have to give us some more time. As a management, we want to get together and work this and see how well we can do it and how much we can accelerate. So maybe during the next call, we can give you more specifics on this because this is something whi ch is something we are working on to see how we can accelerate our growth.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financials. Please go ahead.

Gaurav Jogani Sir, my question is with regards to if you can comment something on the women's sales. What steps have you been taking? What innovation are you doing there? And earlier, there have been

some talks of the channel consolidation between the Jockey Juniors and the women's part. So something that you can highlight here would be helpful.

Karthik Yathindra: Yes, Sure, Mr. Jogani. Thank you for the question. We as a brand, I think in terms of consumer penetration, our men's business is definitely a lot stronger than the women's business, and we

have a lot of gain in the women's business, which also gives us the opportunity to do a lot more here. As efforts towar ds this objective, we today have an independent sales team and an independent business unit of sorts focusing only on the women's business, that is both innerwear as well as outerwear.
In terms of consolidation, yes, I think the Juniors business is best served when it is attached to the women's business. So majority of our distributors who carry the women's innerwear portfolio also carry the Juniors portfolio with them in terms of reachi ng into market. Even in terms of marketing investments, it is disproportionately skewed towards the women's business because we see a lot more opportunity and potential there.
And that's where we believe the brand can gain a lot more when compared to men. So these are some of the efforts we've been taking. It's an ongoing focus. Also the number of players in the women's business is a lot more. And hence, it is more competitive w hen compared to men, and hence, a lot more of doing from our side in order to make it a successful business for us.
Gaurav Jogani So on the product side, if you can highlight something here, what different have you done in the product basically to a ttract more consumers from the competition or maybe increase your own share?
Karthik Yathindra: On the product side, there's been a considerable level of investments that have gone into the women's side. If you had to take a look at what our portfolio looked like about, let's say, 4 years ago or 5 years ago, we've come a very long way. Our bras portf olio is today, I would say, complete to cater to all requirements of the women. It was not the case about 4 to 5 years ago, we were operating on selective styles, selective user locations as well as selective sizes.
Today, we cater to a much wider consumer segment as far as our product offering is concerned.
Even in terms of materials, historically, Jockey has been very popular with the cotton range. But over the last 3

to 4 years, we've expanded into the cotton stret ch space as well as the synthetic space, which has attracted new consumers into the brand. So on the product side, the portfolio has really widened over the last 3 to 4 years to cater to a lot more consumers.
Moderator: Thank you. Th e next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.
Ravi Naredi: Thank you to give me the opportunity to ask the question. S ir, through dealers from Jockey, the regular visiting to see what is going on. So when we meet in last meeting last week, they said we demand 100 pieces from Jockey, they provide only 15. So when our supply chain will be aging? And second, other than India , what top line we got from Sri Lanka, Bangladesh, Nepal, Oman, Qatar, Maldives, Bhutan and U.S.? These are my questions.

Karthik Yathindra: Thank you, Mr. Naredi, for your question. I'm not sure where this feedback has come from. And obviously, we like to understand better. How we track our secondary order fulfilment very closely because, essentially, the orders we received from retailers to t he distributor and to what extent those orders are fulfilled by the distributors, these are all completely on system. We are digitized.
So we have a complete understanding of what level of order fulfilment do we achieve. At the moment, even for the first 2 quarters gone by, our order fulfilment at a secondary level is in the early '90s. And hence, 15% seems a bit alarming to me, but I'd love to understand a lot better.
On your second question in terms of international. The international geographies today contribute to a very small portion of the overall Jockey business. Excess of 99% of our business is today in India. However, there is a renewed focus on the internationa l geographies. That Page has licensed for Jockey, and we should be seeing some level of renewed focus there and growth coming from those parts of the world as well over the next two quarters.
Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi: Just a quick question on the women part of the business. Is the women segment declining for us, and because of that, the margin story is improving? Actually, I have two questions here. One is what is the contribution from women? Because I see that last two quarters, we have been increasing a lot of women outerwear also. So is that the function that we were trying to ramp up the business in women side? Some more color, some more depth ?
Karthik Yathindra: Thank you, Mr. Pardeshi. I don't think that that in a way has an impact on our margins because our earnings are more or less similar between the men's portfolio and the women's portfolio. To specifically answer your question on the growth of women's portfolio, women's portfolio continue to grow, both for innerwear and outerwear. Our H1 results for women's are positive.
We are not degrowing in those parts of the business.
Shirish Pardeshi: Will it be higher than the company average, what you have reported in this quarter?
Karthik Yathindra: It is at par.
Moderator: Thank you. T he next question is from the line of Sheela Rathi from Morgan Stanley. Please go

ahead.
Sheela Rathi: Sir, as we are 1 month into 3Q, I just wanted to understand the trends we are seeing with respect to demand, primary or secondary trend?
Karthik Yathindra: Ms. Rathi, I think at the best, we limit our discussion to quarter 2 at this point in time. However, like mentioned in the commentary in our presentation, I think we've seen positive signs of festive period being early this year. And we are hoping, in fact , this results in us sustaining the kind of growth levels that we've been able to report in Q2.

Sheela Rathi: Sure. The

second question was with respect to the e-commerce growth. What was the growth rate this quarter? And where is the mix now for e-commerce?
Karthik Yathindra: Again, I think we don't publish channel level growths, but I think what we can mention is that the growth rates for e -commerce as a channel is significantly higher than what has been reported as the company average. This is a function of a few new subchann els that have emerged within e-commerce in the form of quick commerce as well as there is some level of consumer trend moving towards shopping in this online space.
Moderator: Thank you. Th e next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Congratulations on a good set of numbers. Sir, just wanted to understand athleisure space a little more better. How has been the traction on this category? And how do we see the primary and secondary sales moving here in this category, especially from the fact that this category has been struggling. So what kind of green shoots we are seeing here?
Karthik Yathindra: This category, I think the kind of results you're seeing is more because of the normalization process that it is going through. Obviously, over the last 3, 4 years, this category kind of rocketed up, thanks to the pandemic. And we saw in a way, abnormal growth levels, which have set as baseline now, which is what is getting normalized. But otherwise, I believe the category of athleisure itself is a very promising category, and we are, in a way, back in the category to grow in a sustained manner going forward.
Even for this year, while overall our consumer level tertiary as well as secondary numbers have been very promising for athleisure, there is some level of correction in primary. This is largely due to the inventory levels at our distributor. But otherwise, consumer offtake in demand has been positive as far as athleisure as well.
Prerna Jhunjhunwala: Just some color whether it is better, at par, below the company leve l growth rates would be helpful?
Karthik Yathindra: It depends. I think at a tertiary level, it's been better than company growth rates. But at the primary level, it's been a little below par, largely owing to the inventory levels that we're holding in the supply chain.
Moderator: Thank you. The next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead.
Ankit Kedia: Sir, two questions from my side. First is on EBO. If I look at first half, our EBO addition is single digit. Is it fair to assume second half 150 EBOs are expected to be opened?
Karthik Yathindra: Thank you, Mr. Kedia. Yes, our expansion plans for the year remains. I think what we've managed year -on-year for the last 3 to 4 years, that's about 150 to 160 stores every year. We will manage to achieve that number this year as well.

Ankit Kedia: Sure. And my second question is on the Odisha facility. So given that in Q4 facility is expected to start, will we see inventory increase in Q4 by end of Q4? Or we will remain at this optimal inventory, which we have seen in September?
Deepanjan: No, I think the way we plan our inventory, it is more aligned actually with our demand requirement. So opening a new facility at Odisha will not add to our inventory days. It will still be within the requirement of our demand for the coming months. And Odi sha, while it is likely to be running from the fourth quarter to reach the optimum level of manufacturing, it will take a few more months. So opening of Odisha will not impact our inventory levels.
Moderator: Thank you. The next question is from the line of Pranav . Please go ahead.
Pranav : Sir, just in terms of athleisure, how we know that we have priced our products rightly and we have not overpriced or priced ourselves out of volume growth? Have we feel that? Like who is our

typical competition? What are their prices, something like that, if you can share?
Karthik Yathindra: Thank you, Pranav. We obviously benchmark ourselves with who we believe is our competition in our area of business for all categories, including athleisure. And this is an ongoing exercise that we do almost twice a year to see how the pricing or competition is moving and where are we vis -a-vis our competition in terms of pricing. I don't believe we've outpriced ourselves. Yes, there has been some level of price increases, which we had to take about 2 years ag o because of the input costs going up.
However, our last price increase now dates back to July 2022. This has been more than 2 years since we touched up prices. And at the current scheme of things, I think we are competitively priced in athleisure as well. We've also introduced a few products, key essential styles that are common at sweet entry -level price points over the last 4 to 6 months. With that, our portfolio kind of completely cater to all price points that we can with the kind of quality and durability we offer in our products.
Moderator: Thank you. The next question is from the line of Rishi from Mar cellus Investments Manager. Please go ahead.
Rishi : Karthik, can you hear me?
Karthik Yathindra: Yes, Rishi. Please go ahead.
Rishi : Yes, Karthik, so my first question is on the rise of quick commerce as a contributor to your top line, right? So what we're seeing in other FMCG channels is that the urban city , and in your case, it will be the urban MBO channel, gets impacted because the consumer is shifting to quick commerce. So now are are we experiencing the same thing at the secondary tertiary sales levels? And secondly, will there be a need to correct any inventory levels or will there be a slowdown because of quick commerce for your MBO channel?
Karthik Yathindra: Quick commerce. Rishi, firstly, thanks for the question. Quick commerce is like in all the categories, I believe, will come and find a place for itself within the innerwear and athleisure space as well. However, what I mean, it's early days for us and we are learning with the channel.

But our early learnings has been that this channel can carry very specific products, very small set from the entire offering that Jockey can offer.
So hence, the assortment that we've chosen for quick commerce is tight and quite limited. And hence, the impact that it could have on our GT outlets or the EBOs in the offline space would be limited only to that extent. Even today, I believe, what an off -line store can carry in terms of quick as well as, of course, the touch and feel experience that they can offer will obviously work in their favor to continue with the same growth.
Moderator: Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal Financial Services, AMC. Please go ahead.
Aliasgar Shakir: Thanks for the opportunity.T his is Ali. I had a question on the growth. If you can just explain a little bit on the primary versus secondary, what would be the secondary growth we would have seen in this quarter? The fact that you are further reducing your channel inventory, though n ot by a very big market now. What should be the impact of that in the difference between secondary and primary growth? If you could just help that.
Karthik Yathindra: Ali, thank you for your question. See, for H1, the bygone 6 months, the impact has been to the tune of about 4%. That's the level in which the inventory has reduced in the channel. Like I said, in majority of the categories, the large contributing categori es, we already add optimum level of inventory and distribution, but there are a few categories where there is further impact expected over the next 2 quarters, where there will be a delta between secondary performance and primary perform ance. But what has happe

ned so far is to the tune of about 4%.
Aliasgar Shakir: And for the quarter 2Q?
Karthik Yathindra: I think it's equally split between the 2 quarters because the way ARS operates is, it does not negate your inventory overnight. It works in a phased manner to bring down inventory over time.
So we've been able to correct inventory by 2% each in quarter 1 and quarter 2.
Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.
Devanshu Bansal: Sir, I wanted to understand, quick commerce is gaining a relatively faster traction. So what does it mean for our business in terms of margins and working capital relative to other channel. So once it becomes sizable? So I just wanted to understand that ?
Karthik Yathindra : Mr. Bansal, thank you for your question. Our operating margins with quick commerce is not very different to how we operate with the other e -commerce partners. And hence, even if the contribution goes up, we should not see a significant change in our margin structure.
Devanshu Bansal: And in terms of working capital, sir?
Karthik Yathindra: Again, with quick commerce, we operate from an outright model where we sell to the quick commerce players. We don't hold inventory and operate as a marketplace. And again, so that

should not impact our working capital later.

Devanshu Bansal: Okay. Secondly, there has been an increase in dividend in H1. So I wanted to understand, is this a one -off or expected to continue going ahead as well?
Deepanjan: See, as far as dividend is concerned, as per our policy, we typically pay out 60% of our PAT. But there can be exceptions depending on the cash reserves that we have. So as of now, our cash reserves are quite healthy and we are able to give a higher dividend. That's why in the first quarter also, we had a higher dividend of INR 300 per share. This quarter also, we have given that. So it will completely depend on the results that we have. And yes, if the results continue to be healthy at the same l evel that it is now, we can give higher dividends, but yes, it will be completely dependent on the cash reserves.
Moderator: Thank you. The next question is from the line of Varun Singh from AlfAccurate Advisors PMS. Please go ahead.
Varun Singh: Okay. So my question is, given the fastest growth in the e -commerce channel and also the rise of so many D2C players on the sales channel, maybe as I just wanted to understand that what are your observations with regards to the competition, which is shaping up? Who would you consider to be something like a respectable competition in the men's innerwear space?
Karthik Yathindra: Mr. Singh, thank you for the question. Specifically in the men's innerwear space, yes, you're right, there have been several D2C only players who have entered the men's innerwear segment over the last 4, 5 years now, some from the kind of sales we do and t he information we have, we also continue to lead the e-commerce players as number one in terms of market share. And this is the information we have in terms of sales to end consumer. And many of the B 2C players are, in fact, growing the reverse of making attempts to establish business in the off -line space as well. So as far as we are concerned, we don't see them very differently to an off -line competition. Attempt has been to equip ourselves in the B 2C space to try and make sure we build requisite infrastructure as well as technology to make sure that we are right up there in our game even in the e-commerce space as much as we dominate the off -line business. So as far as we are concerned, we don't see th em as very different to other competition that we will deal with. At the end of it, our product, design and quality matters. We try to put our best foot forward when it comes to that.
Varun Singh: Understood. And in the offline

space, given such a rapid rise in the organized retailers cohort, I mean, all from the private label retailers and ethical price disruption, etc., , which is happening into the space, do you think these so-called retailers are building up, maybe respectable competition to us in our space itself? I mean what is your view on this part?
Karthik Yathindra: Mr. Singh, I didn't get that question completely. Are you referring to large retailers who are operating with private label?
Varun Singh: Yes. So retailers like Westside, Zudio Zmart, H&M, Zara, Marks & Spencer, everyone is also present in our space. So and given the rate of growth through which the store expansion, etc., , is also happening, so in that context, just wanted to understand from you that you think like these retailers are building up a respectable competition to us into our segment?

Karthik Yathindra: Yes. Absolutely. We don't see our segment as any different. And yes, we do take all of these players as competition very seriously. It has been the case even in the past, not just in the recent times. Anybody who operates in the innerwear space as well as the athleisure space in the kind of price points that we operate in, we do consider them as serious competition. So yes, we just need to work harder to get our game together in order to compete with the number of players that are increas ing in this space.
Moderator: Thank you. The next question is from the line of Rahul Maheshwari from Ambit Asset Management. Please go ahead.
Rahul Maheshwari: I had just one question. Can you give some highlight or color on the new launches which you have done in the past 1 year, whether it was regarding the casual pants and within the subsegments? And any such further pipeline, not in a specific number specific, but it would be very helpful to know how the pipeline is contributing to the top line. And any targets which you are keeping in mind?
Karthik Yathindra: Thank you, Rahul, for the question. Yes. Over the last year or so, I think we've had multiple products come in. In the outerwear space, we've really found a nice niche in what we consider as workleisure. A lot of these comfortable pants that feel like track pants but actually look like

work pants are something that we've gotten into and offered a sizable offering there both for men and women, which has been hugely successful amongst consumers.
As far as the innerwear space is concerned, I think we've the biggest launch we've had is what we call as Jockey Life, which is a sustainable range, an eco -friendly range both for men and women in the innerwear space. These are the two large spaces that we've entered in the last 1 year. And our product pipeline i s as robust as it always was. So we have enough new products coming in over the next couple of quarters as well as next year's pipeline is pretty full as well.
So we'll continue to innovate as far as the product portfolio is concerned and continue to launch new product categories. Our launch, of course, goes in, in a phased manner. We don't go into a first launch kind of an approach, but take it in a phased manner and penetrate the market to make it a busi ness for the long term rather than have one short burst and then exit. Because we don't
operate in the fashion space or the high fashion space largely. All products that we design or gaps that we believe that a consumer will buy and use for a long term. So that's the space we're trying to track.
Moderator: Thank you. The next question is from the line of Tejash Shah from Avendus Spark. Please go ahead.
Tejash Shah: Just one follow -up. Sir, you spoke at length on the initiatives and interventions that we would have made to revive growth momentum. Just wanted your incremental insights on your read on the consumer sentiment, particularly within our EBO channel because that would be m

uch more
pertinent. Are you observing any shifts in footfall, uptrading or other signs of growth on the ground?
Karthik Yathindra: Thank you, Mr. Shah. I think it's there in the market commentary. We don't believe that the consumer sentiments are back to where it was or where we would like it to be. It is still pretty

muted. We would like it to be a lot better. However, all retail metrics beyond walk -ins have been very strong in our EBO business. We are seeing considerable growth in our basket size as well as transaction values for the consumers who are walking into our channel.
Moderator: Thank you. The next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi: So last few quarters, Tier 1, Tier 2 – and Metro markets have been underperforming for us versus Tier 3, Tier 4 markets. Is there any change there in the recent quarter? And at the same time, how large will be the contribution of e -commerce for Metro and Tier 1 cities as well?
Deepanjan: Thank you, Ms. Rathi. I think the trend continues. Tier 3 and Tier 4 continue to grow above average to the brand average, which means the averages are being pulled down by Metros and Tier 1 as it stands today. And the story is no different for the quarter gone by. As far as your second question is concerned, e -commerce and specific, again, for us as a brand, it's not very different to our off-line contribution when it comes to geographies. It tends to mirror of course, there is a slight skew towards Metro and Tier 1, but not very significant.
Sheela Rathi: Okay. And last quarter, e-commerce growth was about 32%. Is there I mean, you had called that out. So is the number faster than what we saw last quarter?
Deepanjan: It is more or less sim ilar sorry, go ahead.
Karthik Yathindra: Yes, e -commerce growth has improved. It has been significantly higher than the brand average.
Moderator: Thank you. The next question is from the line of Rishi from Marcellus Investments Manager s. Please go ahead.
Rishi: Mr. Ganesh, can you hear me? .
V. S. Ganesh: Yes, yes.
Rishi: I just wanted to check in with you on the Odisha facility, which is expected to come online in Q4. What would be like the base costs that would come into our P&L in Q4? And then how would the ramp-up happen and like when do you expect that the EBITDA margi ns will come back to our 19% to 21% range?
V. S. Ganesh: Sorry, what was the first part of the question? If you can come again?
Rishi : The first part of the question was that the Odisha facility, like it will have a base operating cost that will come in before the facility ramp -up happens. So what is that base cost that you're expecting?
V. S. Ganesh: Okay. It will not be significant because, see, this is not just a s ewing plan, It's a composite plan which is going to make it's also a store for the raw material. Then we have the distribution center for that region from where we can do billing, and we have s ewing facility, and we also have an elastic plant there. So these are many of this can be ramped up quickly. So we can absorb the cost better and we can offset some of the costs, which are there in Bangalore and other cases,

while we ramped up the Odisha. So the preoperative costs in Odisha is not going to have a significant impact on the bottom line.

Rishi: Okay. So basically...

Deepanjan: Also to add to, I think Odisha has got significant subsidies. So addition of the Odisha facility will only add to our EBITDA in the periods when subsidy remains.

Rishi : Until which periods the subsidy is in place?

Deepanjan: I think there are multiple schemes ranging from 5 to 7 years once the production starts.

Rishi : Okay. And the quantum would be like how much savings are we getting from those subsidies?

Deepa

njan: They are significant. For example, I think in the wages, state government will be contributing to almost INR2,500 per head. So such subsidies are there. I think the overall quantification, we are yet to get into that.

Rishi: Okay. All right. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal Financial Services AMC. Please go ahead.

Aliasgar Shakir : Just following up on the same question. You mentioned 4% is the gap in H1. Can you just quantify how much would be the impact given that now a large part of the secondary channel inventory cleanup is behind us? How much you anticipate the impact would be between the second and primary sale in the coming couple of quarters?

Karthik Yathindra: Mr. Ali, that's a tricky one. It's hard for us to compute and say what is going to be the impact. It depends on what rate at which we perform the secondary level itself to see what that quantum would be in terms of delta between secondary and primary. It's hard for us to comment on that.

Aliasgar Shakir : Got it. But it should be lesser than what we saw in H1?

Karthik Yathindra: I would hope so, yes.

Aliasgar Shakir : Understood. And just second question on the margin, sir. So you mentioned that we are seeing raw material prices benefit, and that's obviously also helped us do much better margin than our typical guidance of 19%, 20%. So should this benefit continue and we should expect our margins even in the coming quarters ahead of our guidance of 19%, 20%? I understand you also mentioned tha t there is some impact of IT cost towards the changes we are making. So in line with that, if you could just help us how much should it trend?

Deepanjan: So I think as we indicated that we see one big I would say, a stable factor has been the cotton prices. So this is something we have not seen any trends to believe that there will be significant upside in these prices. So it will remain fairly stable for the current financial year. The other component or the second major component is the labor cost, which is quite stable. And of course,

there will be a state level revision of labor cost end of the year, which is naturally built into our entire working.

So given that these two factors are fairly stable, the gross margins or even the operating margins, which is dependent on these factors are well within the 19% to 21%. But yes, I think the IT costs or the transformation costs, it will start happening large ly from Q3 later part, in even Q4. That will impact our margins to some extent. But yes, even considering that, we expect to remain close to this 19% to 21%.

Moderator: Thank you. The next follow -up question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I hope I'll get a chance to ask both the questions. So Deepanjan, my first question is on other income. We have seen a very sharp increase. Is there any one-off sitting here?

Deepanjan: It's a relative thing. So we had certain borrowings last year during this time. We are just getting out of borrowings last year. So this year, we are completely debt -free. And naturally, the interest is much more healthier than bank balances. So that is resulting in more interest income. But yes, I mean, going forward, we are deploying more funds for c apex expansion and those kind of things. Then, yes, we can see a dip. But otherwise, we can if the cash balance remains at the same level, then we can expect same level of interest income as well.

Shirish Pardeshi: Okay. Similarly, on the other expenses, it has grown almost 15%. So just more curious what is the nature of this expense?

Deepanjan: There's two major components which is resulting in this increase. One is marketing spend. If we are comparing between last quarter, that is Q2 FY '24 and now, so we have done more

marketing

spend. And as we said, the IT spends are also relatively much high er than when we compare with last year. So these are the two major reasons which has contributed to a higher spend as far

as other expenses are concerned.
Shirish Pardeshi: Could you quantify what is the marketing spend as a percentage of sales, which we have been normally spending, and if that number has increased significantly this quarter?
Deepanjan: No, as a policy, we typically spend around 4% to 5% every year, and that's what we continue to do. The previous year and the year before, we have a slightly conservative in the advertising spend. It was ranging in the range of 3%, But yes, we have gone bac k to a normal spend, and we are well within that 4% to 5% of revenue.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.
Deepanjan: Thank you, everybody, for attending this earnings call. Your questions were quite insightful. So we look forward to further interactions with all of you.
Moderator: On behalf of Page Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 10, 2025
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange
1st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir,

Sub: Audio Recording and T ranscript of Investor call

We herewith enclosed the transc ript of investors call for the financial results for the Quarter ending 3 1 December 2024.
Audio recording of the investor call is available in the following link:
https://youtu.be/uig3seOGRtw
This is for your information and records.

Thanking you,
Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary
Encl: as above

"Page Industries Limited Q3 & 9 Months FY25
Earnings Conference Call "

February 05, 202 5

M
ANAGEMENT : MR. V. S. GANESH – MANAGING DIRECTOR , PAGE INDUSTRIES LIMITED
MR. DEEPANJAN BANDYOPADHYAY - CHIEF FINANCIAL OFFICER , PAGE INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA - CHIEF EXECUTIVE

OFFICER - (DESIGNATE), PAGE INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 & 9 months FY 25 Earnings Conference Call of Page Industries Limited .
As a reminder, all participant lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Mr. Sonpal.
Anuj Sonpal : Thank you. Good afternoon everyone, very warm welcome to you all. A very warm welcome to you all. My name is Anuj Sonpal from the Investor Relations team.
On behalf of the Company , I would like to thank you all for participating in the Company's earnings conference call for the 3rd Quarter and 9 months ended of financial year 2025.
Before we begin, a quick cautionary statement. Some of the statements made in today's Earnings Call may be forward -looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance o n these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company 's fundamental business and financial quarter under review.
Let me now introduce you to the Management participating with us on today's Earnings Call and hand it over to them for Opening Remarks:
We have with us Mr. V. S. Ganesh – Managing Director ; Mr. Dee panjan Band yopadhyay – Chief Financial Officer ; Mr. Kart hik Yat hindra – Chief Executive Officer (Designate) .
Without any further delay, I request Mr. V. S. Ganesh to start with his " Opening Remarks ".
Thank you and over to you, sir.
V. S. Ganesh : Thank you. Thank you, Anuj. And ladies and gentlemen, good afternoon and welcome to the Earnings Call for the 3rd Quarter of FY25.
As Anuj said, I am joined by Deepanjan – our CFO with us today. And additionally, I extend a warm welcome to Mr. Karthik and congratulate him on his promotion to CEO Designate. I am pleased to inform you that Karthik will assume the role of CEO effective April 1st.
Before delving into the detail ed financials for the quarter :
I will provide an overview of our Q3 Performance:

In Q3, the operating environment faced challenges due to subdued demand conditions. Although early Q3 festivities suggested a resurgence in growth, this momentum did not persist in the subsequent months. Despite all these obstacles, we achieved satisfactory revenue growth through strategic management of operating expenses and targeted investments in personal technology and processes aligned with our strategic objectives. Our modern retail including exclusive brand stores and e -commerce exhibited impressive growth, significantly enhancing consumer reach and experience.
Our premium innerwear category gained strong consumer acceptance of enhanced products and improved fits. Similarly, our move range and athleisure demonstrated a very encouraging growth supported by effective market penetration. Our unwavering focus on optimizing operating expenses and maintaining good health as far as the inventory is concerned, contributed to robust profitability and profit growth. For Q3, we recorded a 7.1% increase in revenue and then impressive 34.3% growth in profit after tax. For the nine months -ended December 31st 2024, we achieved a 7.3% increase in revenue and a 22.6% growth in profit after tax.
We have continued to expand our consumer

reach by increasing our retail touch points . As of
the end of December, our network comprises of over 110,000 MBOs, 1,400 plus EBOs, and 1,212 LFS outlets. Our strategic focus includes both metropolitan areas and Tier -2 and Tier-3
cities. The e-commerce channel continues to experience significant growth compared to the previous year. I look forward to further engaging with you along with my team. Before that, I request Mr. Deepanjan to provide an in-depth review of the quarter specifics and they'll be more than happy to address any of the querie s that you may have. Thank you.
Deepanjan B : Thank you, V.S.G. Good afternoon, everyone, and welcome to today's earnings call. I hope you are all keeping well. I am pleased to share the results of Q3 FY25 and for the 9 m onths ended

31st December 2024.
To take you through the key financial highlights of Q3, we recorded sales volume of 57.8 million pieces, which was a growth of 4.7% year -on-year. Revenue in Q3 was Rs. 13,131 million, which was a growth of 7. 1% YoY. EBITDA for the period was Rs. 3025 million, which was a growth of 33. 6% YoY. The EBITDA margin was 23%. Stability in raw material costs, sustained higher sewing efficiency, and controlled operating costs have contributed to strong EBITDA margins . Profit after tax was Rs. 2047 million, which was a growth of 34.3% year -on-year. Inventory days were 59 as against 93 days in the end of FY 24. Focus on healthier inventory in distribution network has resulted in maintaining optimum inventory level. Working capital days were 55 days against 75 days in the end of FY 24. We continue to be debt free.
For the 9 months ending December 31, 2024, sales volume was 170.4 million pieces, which was a growth of 4.6%. Revenue was Rs. 38,368 million, resulting in a growth of 7.3%. EBITDA was Rs. 8,273 million, which was a growth of 19%. And EBITDA margin was 21. 6%. PAT was Rs. 5,651 million which was a growth of 22.6% year -on-year.

To summarize our financial performance in Quarter 3 , we have continued to build on consumer reach through diverse channels while investing in the latest technology and digitization. While subdued consumption has constrained volume growth, we are well poised to capitalize on the improvement in demand situation. We can now discuss any queries that you may have.
Moderator : Thank you very much. We will now begin the question-and -answer session. Anyone who wishes to ask a question may press "*" and "1" on their touchtone phone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Hi, thanks. So, the first question was on EBITDA margin. Congratulations on the 3rd Quarter performance. If I look at the run -up or how EBITDA margin s have panned out, it seems to be a lot more on cost control. And given that is the case, you think there is an upside risk to 19%-21% EBITDA margin range that we were now looking at for FY25 , given that most of the IT spends also have started to pan out. So, we would love to understand.
V. S. Ganesh: If you can just repeat the question , slightly muffled.
Moderator: Avi sir, your line is not that clear.
Avi Mehta: Sorry, my question was on FY 25 EBITDA margins, given that 3Q has seen a much healthier performance and the drivers of it are a lot more cost controlled driven and not one -off. Is there an upside risk to that 19 % to 21 % range that you had shared with us in the last quarter?
Deepanjan B : No, I think while we have got good margins, which is I think beyond the 19% to 21 % range that we typically target for, I would say that is more a unique phenomenon in the last

2 quarters. But
for the F Y25 as a whole, we are quite confident it will still be within this 19 % to 21 %.
Avi Mehta: I was just trying to understand, sir, why are we concerned about margins for moderating from this 23% level, given that what could be the cost or spend which you were expecting ?
Deepanjan B : Yes, so there are several things. One is definitely the IT cost, which has just started coming in, which is part of our digitization efforts. We have just started the business process re -engineering study, which is kind of playing out now. So, we will definitely see a higher elevated cost as far as IT is concerned in the coming up quarter. There are also certain other expenses planned on the marketing and other areas, which is why we feel that w hile we will still be under within the 19% to 21% range, it may not be as high as 20 % to 23% as we have seen in Q3.
Avi Mehta: Got it sir. And sir, the second question was on the sales side. 9 months sales rate is at 7%. With the tax reduction in the budget, how long do you think it would take for us to move back to the 15% level that we are seeing on a normalized basis?

Deepanjan B : I think there are two separate aspects while tax reduction for the income up to 12 lakhs is definitely a very welcome step in the budget. Our target consumer group is slightly different than this particular segment where the tax reduction has happened. But in general, this tax reduction is expected to create certain buoyancy in the market in terms of higher valid shares of the consumers. But how exactly will it affect the demand pattern? That is, we have to see how it evolves.
Avi Mehta: Okay, sir. That's all right, sir. Thank you.
Moderator: Thank you. The next question comes from Videesha Sheth from Ambit Capital. Please go ahead.
Videesha Sheth: Yes, so my first question was on the growth bit. If you can just help us understand the 7% growth

profile better, which segment led the growth in terms of innerwear versus athleisure ? And in
tandem to that, what drove the lower realization at the moment of 2%?
V. S. Ganesh: I think all categories showed growth. I can't see any category coming under pressure, though the growth has been muted. One of the trends I can say, which we are able to see is that the premium products ranges in all of our categories have done comparative ly better.
Videesha Sheth: Understood. And would it be fair to say that given that we're one month into the quarter, largely the tepid growth trend would have sustained?
V. S. Ganesh: Early days.
Deepanjan B : We will not comment on the current quarter.
V. S. Ganesh: It's early days to project that.
Videesha Sheth: Understood. All right. And the second question was, if you could just touch upon the channel level inventory bit , what is the situation now? And would it be fair to assume that secondary sales growth would be mirroring primary?
Karthik Yathindra : Yes, I think from the beginning of the year to now, we have seen about 5 days reduction in inventory across the channel. We are today holding about 17.7, almost 18 million pieces of inventory as far as the channel is concerned. Some of our large contributing businesses such as innerwear , I think our inventory levels are already at the optimum level. What we had initiated with the ARS process, we have come to that kind of optimum level of inventory. There is still scope for us to bring down inventory in the ath leisure space, as well as let's say businesses like juniors. But these in volume are smaller contributors to our overall business. So, largely we are there in terms of what we had set out to reach in terms of inventory levels in the channel.
Videesha Sheth: Thank you. I will join back the queue.
Moderator: Thank you. The next question comes from the line of Devanshu Bansal from Emkay Global . Please go ahead.

Devanshu Bansal: Yes sir, hi. Thanks for the opportunity and congratulations on a good margin execution. Sir, among regions, a few players have indicated muted trends in the southern region, while the rest of the regions are doing better. So, is there a difference across regions for you as well? So, if you can comment on this please?
Karthik Yathindra : Not really. I mean, there is obviously a difference between regions performance, but we have not seen the South particularly perform lower than the rest of the country. There is always going to be a top performing region and bottom performing region in ter ms of relativity, but the gap in performance is not significant.
Devanshu Bansal: From a previous participant question, I also wanted to understand the reason for drop in realization growth. In Q2, it was about 4% and in Q3, it is about 2% despite Q3 being a winter quarter for us. Is it that target -based trade incentives etc. have affected the realization and it should normalize in the coming quarters?
Deepanjan B : No, I think realizations, our differential is largely because of the category mix which varies from quarter to quarter. As such, our schemes of promotions that we have, it's well within our plan. So, there is no significant variation there. Whatever variation we see in the realization that's more because of the category mixes.
Devanshu Bansal: Understood. And related question, we have not touched prices for a significant amount of time. So, do you foresee t his happening sometime in FY26?
Deepanjan B : Too early to answer this question. So, definitely this year we have not taken any price increase . And even in the next quarter, it's unlikely. But for FY26, we are just in the midst of the budgeting session. So, once we have kind of finalized the budget, then we'll be in a better pos ition to address this question.
Devanshu Bansal: Understood, sir. Thanks for taking my question.
V. S. Ganesh: Yes, so just to add to what Deepanj an said and in fact one of the first questions which was also asked by Mr. Avi Mehta also. Devanshu, I think as Deepanjan rightly said, it is early days , we are just preparing the budget. However, these current EBITDA levels gives us comfort to be at the 19 % to 21 % EBITDA range as we move forward, that is our comfort zone. So, we want to be somewhere there. And therefore, even if we have to touch prices, this should not put much pressure on us to have a very strong pricing prevention. But we will have clarity about this after we do our budget.
Devanshu Bansal: Thank you, sir. Thank you.
Moderator: Thank you. The next question comes from Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani: Thank you for taking my question sir. So, my question is again with regards to the margins. Now if you look at the cost breakup here, the employee cost s have hardly moved. On a nine month basis also , it's up only 1% YoY. And the gross margin, if you look at it, it's not very high versus

the historical level. So, your guidance for the 19 % to 21%, is it also for the coming years or only this is for this year? And if it's also for the following years, what expense line item you really feel that you woul d keep pressure on the margins?
Deepanjan B : Okay, so when you say about 19 %-21% , most specifically it is for the next or the upcoming quarter, which we are quite sure, quite confident that we will be able to maintain the range within 19%-21%. Also, if I look at FY 25 as a whole, given the performance still now and the expectations for Q4, we are quite sure we'll be in that range. For the upcoming year, I think there are several factors at play. Definitely the question whether we have to touch prices. That is one factor, which, as we said, we'll evaluate further, we'll have more clarity once we complete the budg

eting exercise. The other factor that will definitely have a play is the usual increase in manpower costs that will come in. And as we said, we have gone into significant digitization initiatives, which will come into full play from next year onwards. So, a combination of all these factors can impact the EBITDA margin s marginally. We don't expect a major change happening there. So, with all our planning and with all our expected operations, we still feel it will be still within this 19% to 21%. But yes, quarterly there can be some variations. But largely, it should be within that range.
Gaurav Jogani: So, just one clarification here. At least on the gross margin funds, you are quite comfortable, right? Even though there is no inflation in the cotton prices and you are in such a comfortable position that you also need not think that the pricing. So, one can comfortably assume that at least the margin level, gross levels can be the same at the current level?
Deepanjan B : Yes, the way things are, I think we are not expecting any major upward movement in raw material prices and our production cost is quite well within our planned levels. So, we don't expect any significant change in our gross margin levels for sure.
Gaurav Jogani: And sir, my last and second question is with regards to the overall volume value growth gap. Now, if we look at it, largely we believe that the entire space of the inner wear is now stabilizing. So, what really, which segment do you really see the pain that is keeping the overall revenue growth below 10% and possibly what could lead this growth to double -digit growth or the 13% - 14% growth that we were envisaging earlier or rather that used to be earlier guided ?
Karthik Yathindra : The overall performance as far as the topline is concerned is a reflection of consumer offtake. And there we have not seen a significant difference between the various categories that we are operating with or with any kind of regional bias towards any particular part of the country. So, it is a function of how our consumer offtake improves across channels. Right now, this year also there was a little bit of an impact of higher inventory level at the channel, which we have come to a fairly good position by the end of Q3. So, what has kept us from delivering beyond what we have delivered is largely attributable to how consumers have responded and to an extent attributable to the inventory levels that we were holding. But the inventory levels are now in a much better shape than when we started off the year. So, going forward, what will it take for us to deliver higher growth rates will be a mere reflection of consumer optics .

Gaurav Jogani: And sir just one clarification here. This is nothing to do with the competitive intensity , right? We would assume that the competitive intensity is normal and nothing untoward?
Karthik Yathindra: We have not seen evidence of loss of shel f share in the general trade market, which is a significant portion of our business. And the rest of the business that we operate with are anyway exclusive stores, which is in a way isolated from competition. So, I wouldn't attribute much to competition. Of course, we have also not seen the results of other players within the industry. We are among the first ones to publish our results for the quarter. So, that is something that we will have our eyes on. But from the ground, we have not seen anything much ef fect from competition.
Gaurav Jogani: And sir just lastly, I think, please one more is on the e -commerce growth, you've been consistently highlighting that the e -commerce channel continues to grow at a very good pace. So, would it be fair to assume that the distribution of the GT channel in that sense would be growing in low single digits? W ould that be a fair assumption?
Karthik Yathindra: Yes, that's a fair assumption.

I think the highest growing channel for us has been e -commerce followed by modern retail and then general trade.
Gaurav Jogani: Thank you for taking my questions.
Moderator: Thank you. The next question comes from the line of Sameer Gupta from II FL Securities. Please go ahead.
Sameer Gupta: Hi, sir. Good evening and thanks for taking my question. Firstly, I noticed that the volume growth has

moderated this quarter and I would assume that the overall consumer dynamics in terms of subduedness, that has remained constant. So, just trying to understand the reason for
this moderation, is it just a festive mismatch? So, we should look at 2Q plus 3Q together to gauge
the current volume growth trajectory for the business. Is that a correct understanding?
Karthik Yathindra: Sameer , thanks for the question. But if you look at it from a YTD point of view, three quarters
put together and the performance of Quarter 3 , it's consistent, both in volume as well as value
growth. Again, like I said, our Quarter 2 was better than quarter one mainly because inventory
has gotten better, because what we are reporting here are primary numbers, which is a function of the inventory holding in the channel as well. With replenishment now acting in full swing,
you would see variations quarter after quarter, based on the inventory levels held by the channel
partners. But otherwise, if you see it either for Q3 or for YTD Q3, both volume and value
performance has been exactly the same. And change in maybe the s econd decimal, that's about
it.
Sameer Gupta: So, basically, the 5% volume growth this quarter is a better indicator of overall secondary growth
in terms of volumes ?

Karthik Yathindra: Yes, also Quarter 3 is a quarter with festive unlike Quarter 2 . So, that's also a little bit of traction
that you've seen. But I wouldn't attribute too much of it to revival because the delta is not
significant between YT D and now.
Sameer Gupta: Got it. Secondly, sir, there is a change in the management structure now with Mr. Karthik as the
CEO. Just wondering if there is any change in the way the organization structure, organization
functions from here on, can you just elaborate a little bit on the thinking behin d this change in
the structure?
V. S. Ganesh: Well, Karthik has been with us for close to a decade, has been heading various functions, right
from product management to product development, marketing, supply chain management, and
he has been very much part of the core management team. And as a culture, as an organization,
we take consensus decisions. So, he has been in the peak of all the activities of the organization,
and therefore, it's a natural growth for him, which he well deserves. And as far as the deleg ation
of authority is concerned, yes effective 1st Apri l, Karthik is the new CEO. So, obviously, he will
have the authority along with the responsibility which is given to him. But he will be guided by
all of us. There is no other change in the senior management. And we guide each other, and we
discuss each other, and work very closely together. As an organization, we have very, very
ambitious plans to transform the organization, improve the technology, improve operational
efficiency, and this has been going on for some time. In fact, the results which you are seeing
today is the result of all those works which we have been putting in. And Karthik has been an
integral part of those decisions, execution, all of those aspects of the business.
Sameer Gupta: Just a follow -up on this, sir, I believe the senior management, the whole team is a little relatively
new in this role. I just hope or want a clear commentary that the structure is going to be stable
for a decent time in future?
V. S. Ganesh: Yes, I be g to differ. All of us have been at a senior level have been here for a long time. Karthik,
as I told you, h

as been with us for more than a decade. I have been there for more than a decade.
Deepan jan has also crossed a decade. So, we have been with the organization for a long time. In
fact, we find that we have a very stable leadership team. So, I don't think that is something which
we need to worry about. And as a growing Company , we're blessed with a very, very strong
talent pipeline, the re can be growth opportunities to many of our associates as the brand grows,
as the Company grows.
Sameer Gupta: Got it, sir. That's very, very helpful. One last question, if I may just squeeze in. It's more a
bookkeeping one. I noticed that there is a gross margin expansion, large gross margin expansion
this quarter. And other expenses are also fla ttish. And you said that raw material prices are
mostly stable. And there is an A SP moderation , so just trying to connect the dots as to what is
really happening?
Deepanjan B : Well, I think when we compare year to year, definitely the gross margin has expanded. The
reason, as we said, is two. One, definitely the raw material prices have remained stable. In fact, on a year -to-year basis, raw material prices have slightly improved over the last year. The sewing

efficiency has significantly increased. And that increased sewing efficiency is also reflecting as
a lower labor cost in our product cost components. So, these two factors, largely taken together,
is what is resulting in a higher gross margin .
Sameer Gupta: So, when you say RM prices improved, you mean they have decreased YoY?
Deepanjan B : Yes, marginally.

Sameer Gupta: Got it, sir. That's all for me. I will come back in the queue for follow -up. Thank you.
Moderator: Thank you. The next question comes from Sabyasachi Mukerji from Bajaj Finserv AMC. Please go ahead.
Sabyasachi Mukerji: Thanks for the opportunity. First question on the volume growth moderation in Quarter 3 . So, just wanted to understand the secondary and tertiary level trends. Are we seeing moderation in those level as well? If you could explain a bit?
Karthik Yathindra: Sabyasachi, thank you. As far as Quarter 3 is concerned, our tertiary growth rates have been better than primary as far as our EBO stores are concerned. And general trade as well, our secondary numbers are slightly better than what we are reporting as primary numbers in terms of growth rates. However, with general trade, like I said earlier, large portions of our business which co ntributes to volume are now stabilized in terms of inventory level. We are at an optimum level of inventory at the channel partner. So, going forward, it will be a mere reflection of secondaries performance but for Quarter 3 in specific , yes, our secondaries as well as tertiaries have been slightly better than what's bei ng reported as primary results.
Sabyasachi Mukerji: When you say better , is it on the absolute number of pieces or is it the growth rate?
Karthik Yathindra: Both because there has been inventory which has come down . Inventory holding at the partner level has come down and hence both when you compare primary with secondary, secondary volume has been slightly better. Even from a growth rate point of view, the growth rates have been better than prim ary growth rates.
Sabyasachi Mukerji: Got it. My second question is, again, on the demand environment, any sense, what are you reading from the on-ground feedback, probably from the distributor or retailer levels that probably when will it recover any sense , any things you are reading on that?
Karthik Yathindra: Well, Sabyasachi, in terms of when it will recover reading from the retailer is going to be a crystal ball gazing exercise. What we can look at is has there been month -on-month improvements and like -to-like growths for the EDS business which contributes close to 30% of our business so representative of the busine

ss that we handle. There is no great improvement in like-to-like growth rates when you track it month -on-month. So, retail and consumer demand has remained subdued. We did see li ke the M anaging Director mentioned in his address, we did see some level of uptake during the initial portion of the quarter , largely attributed to the festive.
However, November and December has remained subdued.

Sabyasachi Mukerji: Got it. And also if you can highlight the demand trends across let's say Tier -1, 2, 3, is there any large difference or gap where probably Tier -2, 3 is doing better or metro Tier-1 is little slower. Any color on that? Yes.
Karthik Yathindra: So, definitely the tier, I mean, as you go deeper in the country, the growth rate seems better. Again, these are not likes to like, it's also because of inorganic expansion in these areas. But all put together between metro, we break up our business into m etro as one, Tier -1 and 2 as another and Tier-3 and 4 as a third. And as we go deeper, the growth rates are better. Again, the difference is about a couple of percentage points as you go deeper in each of these tiers.
Sabyasachi Mukerji : Is it like for like you are saying , I mean ?
Karthik Yathindra: Not like to like, it's at an overall level b ecause Tier-3 and 4 also gives us the opportunity that we have experienced some level of inorganic growth for further expansion.
Sabyasachi Mukerji : Thank you, that's all from my side.
Moderator: Thank you. The next question comes from the line of Arpit Tapadia from IGE Indian Family Office. Please go ahead .
Arpit Tapadia: Hi, thank you for the opportunity. I guess in continuation with the earlier participant ’s question, how do you see growth to be panning out in, let's say, medium to long term from here?
Karthik Yathindra : Sorry , can you repeat your question?
Arpit Tapadia: Yes, so I just wanted to ask, how do you expect the growth rate to be panning out in medium to long term from here?
Karthik Yathindra: That's a tough one to answer , Arpit . Like we are all seeing from the budget which has been published, we are hoping consumerism improves. There is some level of uptick in terms of disposable incomes and hence retail picks up. But it's very hard for us to put a number on it and say what is t he growth rate we are expecting. What I can definitely say is that in terms of preparedness to meet revival in retail, I think we are there. Any kind of revival in consumer optics , with everything that we have put in, in terms of optimum inventory holding, the right inventory at the right place, availability of inventory, or the tech to capture that, we are preparing ourselves for that. So, as and when we see some level of uptake in consumer o ptics , I am sure it will translate to better business for us , but it's going to be har d for us to put a number on it.
Arpit Tapadia: Got it. And what has been the impact of ARS what we have implemented into our channels?
Karthik Yathindra: By impact, what do you mean? I mean, our inventory levels for the distributed have been optimized by about 5 working days. So, that much more working capital freed up. Today, close

to 92% of our overall business is on A RS, which has been a significant improvement from where
we started. And month on month, we have seen more portion of our business come under the
ARS scope. So, almost 84% of our distributors who contribute to 92% of our business are now

under ARS. And everywhere that we have come into ARS, we have seen better optimization of
inventory levels for the distributor, better availability, which is showing in better order
fulfillment at the secondary level.
Arpit Tapadia: Got it. And do you expect it to further optimize from here or this is the optimum what you
expect?
Karthik Yathindra: So, like I menti

oned, I think for larger volume businesses like our innerwear businesses, I think
we have reached a fairly optimum level. There is this scope for us to improve and optimize
further when it comes to our athleisure business, junior s business, and the s ocks business. These
are some areas where there is still scope for us to further optimize.
Arpit Tapadia: Got it. Thank you.
Moderator: Thank you. The next question comes from the line of Ravi Naredi from Nared i Investments.
Please go ahead.
Ravi Naredi: Yes sir, I would like to ask how much capacity expansion on card for next three years or we
believe more on job basis work ?
V. S. Ganesh : Mr. Ravi, we are now expanding and have, in fact, about to complete a project in Odisha, and it
should start its operations by end March, early April. And we also have a sewing capacity coming
up in a place called KR Pet , which is near Mysore in Karnataka. So, all these expansions are
happening based on our long-term growth plans and by keeping in mind that the outsourcing to
in-house balance is around 65- 35, give or take 2%-3%. So, that is what we always work on. So,
that two -thirds is produced in-house, one -third is outsourced, and that balance will continue. So,
it will always be in -house capacity augmentation as the busin ess grows and also outsourcing.
Ravi Naredi: Just my question in different way, how much capacity expansion we will do in next 3 years?
V. S. Ganesh : Yes, so these two factories is around 2000 sewing machines. And with that, I think our
requirement for the next three years will be met with these two factories. In fact, Odisha plant
has the ability and opportunity to work in two shifts also. So, our idea with these expansions, we
should be able to manage our require ments for the next three years.
Ravi Naredi: Next three years, okay, thank you very much.
Moderator: Thank you. The next question comes from the line of Avi Mehta from Macquarie. Please go
ahead.
Avi Mehta: Hi, sir. Thanks for the opportunity again. First, I wanted to understand if you could give us a
sense on the incentives likely from the Odisha plant , if that is now, that clarity is available ?
V. S. Ganesh : Avi, can you repeat the question please?

Avi Mehta: Is there any state level incentives or incentives that are likely to accrue because of the Odisha
plant once it comes to commissioning? Is that something that you can explain?
Deepanjan B : Yes, there are several subsidies which is planned from Odisha plant. One major part is definitely
the state subsidy on account of wages. So, there are significant wages subsidy for employees on -
road for next 5 to 6 years. That is definitely a big contributor. And apart from that, there are
subsidies in power, in water usage, even local GST. So, there are several subsidies in pipeline,
even to some extent, CAPEX subsidy is also there. So, once the manufacturing starts, then we'll
be eligible for all the su bsidies.
Avi Mehta: And sir, any quantification here is what I was looking for. How should we see it going through?
One is operational, which I understand, but other is also CAPEX incentives. So, any
quantification of what is the likely number that can come in?
Deepanjan B : No, we are still in the process of actually estimating it, because as we said, the operations in
Orissa will start scaling up in phases. So, in the initial few months, 4 to 5 months, the scale of
operations is quite restricted. So, the scale of subsidies will also be similarly following the scaled
up operations. So, we are in the process of estimating the exact quantum financial year wise.
Avi Mehta: Got it, Deepanjan . And just another bit, I wanted to just check bookkeeping. What is the
second ary sales growth in the quarter? If you could give us some, what is the number like?
Karthik Yathindra : So, without giving away the number, Mr. Mehta,

let me just say there has been a slight
improvement in the secondary growth when compared to the primary that we have reported.
Avi Mehta : Okay , so exactly, I was just trying to get that it's 7% primary, is it like 10%, 12% secondary?

But I get what you are trying to do.
Karthik Yathindra: And yes, please go ahead.
Avi Mehta: So, Karthik, my question was then that if I were to understand your comments to the earlier
participants. What you were alluding to is for you to move from the current level of secondary upwards. You need a market pickup or is there any other levers that we have which we could
apply? And this is bot h you Karthik and VS G if you could kind of give us some ?
Karthik Yathindra: Yes, see, there are two ways in which growth would come in here. The organic growth will have
to rely to an extent on market picking up and consumer offtakes improving. And then there is
the expansion, which is purely increase in number of doors in which we'r e going to be present.
These are the two pieces that will contribute to the overall growth. And yes, there is also some
level of opportunity where we introduce more number of products per store that they're already available at. So, what I was in a way referring to was the large portion of the growth which needs
to see some level of uptake will have to come from the organic growth, which is heavily dependent on consumer offtake . Our expansion plans are in line with what's always been there,
how aggressive we have been over the last 4 to 5 years, whether it is with exclusive brand stores

or with multi- brand stores expansion. So, I don't think there's any foot off the gas over there. We
continue to expand with the rate we have been expanding.
Avi Mehta: Got it. Thank you very much. Thanks for this. That's all .
Moderator: Thank you. The next question comes from the line of Bharat Shah from Ask Investment
Managers Limited. Please go ahead.
Bharat Shah: Hi. First thing first. Many times over several periods we mentioned that we're very ambitious
plans for the future in terms of growth . And Mr. G enomal also many times has laid out his vision
of likely business in the future, the level. But whenever we discuss the quarterly outcomes in the
business, we typically ascribe it all to the consumer sentiment and general environment. If
everything is going to depend upon just the sentiment or belief of the customers, then how are
we seeking to achieve the so -called ambitious plans and the projects? You also mentioned that
internally you are well prepared, technology, people investment, brand portfolio , production
assets, distribution channels, all are in place. Then the picture one gets is that of a kind of a
helplessness to the externality rather than having a number or a target in mind which needs to be
driven to ?
V. S. Ganesh : Yes, so Mr. Shah, thanks for asking that question. You know, if you see our growth over the last
five years, it has been decent. Of course, despite even the pandemic and all those disruptions, if
you see the last few quarters, everybody has been struggling. A nd in fact, I think even the
government was the east of that matter that is why they also done what best they could do to
improve consumption. So, what we should notice, we have done better than our peers. And that
shows the strength of the brand and acceptance of our products with our consumers. And that
definitely is what gives us hope for the future, because we continue to be the preferred brand.
And if you see the pace at which the, if you look at medium term or even on long term, the speed at which the economy is likely to grow and the accelerated growth of the middle income and the way urbanization is happening and the way retail is getting orga nized more and more, especially
the efficiencies and scale, the e-co m side of the businesses is building over the years.

All this
augurs very well for us. And we are very happy that we have been able to actually, see this is
how many brands can command a good bottom -line without touching the prices for 3 years
running. That shows the resilience and the capabilities the organization has. These aspects
definitely give us the courage and confidence that the future looks good. So, to put it in a nutshell,
we are in the right place at the right time, the right country, the fastest growing economy, and powered by a dominant brand which has great products, good price, good talent, and an amazing partner network.
Bharat Shah: All of that will be muted outcomes, period after period. If the externals are favorable, the
internals are well aligned, then why are the outcomes we are so cautious about outlining?
V. S. Ganesh: So, Mr. Shah, what I was trying to tell you is, yes, the externals have huge pressure and we have
done better than what the markets have done. If you see some of the other very iconic FM CG

brands also, the pressure they are going through, we are no exception, but the good thi ng is we
have done much better.
Bharat Shah: No, but last year also when the economy did well, everything was in a far higher growth mode.
We still, our revenues declined compared to the previous year. FY24 revenues declined by 4%
compared to FY23. And generally these, this is a very basic and primary article of consumption.
It is not easy and we are saying it is under penetrated category. We are an affordable premium

product with a great brand and all of that. Then one gets almost a sense of helplessness about our destiny. Pardon my sens e that's the picture I get when I hear on the call period after period.
V. S. Ganesh: Sir, that is definitely not the sentiment which we have. If you really look at it, we are very, very optimistic, and that's why we continue to stay invested. And we are making some very aggressive investments to modernize, embrace the best of the technology and continue to be a market leader and dominate the market. And in fact, we have been taking all the initiatives which are necessary. And we are not taking any shortcuts because we want to build and run a marathon rather than looking at immediate quarter or two. For us, we look at the quarter as 25 years from three months. And therefore, we are not taking short -term measures to buy sales with promotions or discounts or abnormally high schemes. We have stayed focused, built the brand, made our foundation stronger. And we are very, very optimistic and pretty happy. In fact, fo r us as an industry, when I look at the peers also, last year was much tougher than this year. This year at least everybody is showing recovery. We also recovering, but it is not at the level at which we would like the market to be at, but at least it is turning around. Last year was very tough for all of us.
Bharat Shah: One last bit on this, in terms of margins, over 14, 15 years that I've taken this business of P age, I've generally seen that we have a kind of a range of margin in mind and we want to remain within that range, which means even if margins in a particular period can go up beyond that range due to operating leverage, due to some other cost synergy or benefits that we may derive, we still would prefer margins to remain in that band rather than go up. Is that still the settled thinking of the organi zation? And therefore, we prefer to remain within 19 to 21 margin band?
Or if I am not talking of quarter or quarter, I am talking in general for a year in longer duration. Are we kind of reluctant for our margins to expand if they are otherwise i n a fortuous position to go up?
V. S. Ganesh: We are definitely not reluctant, but we are comfortable at that range so that we can actually improve our rupee EBITDA by augmenting better topline and make sure that we continue to be an affordable p

remium brand, an aspirational brand which gives quality product but still affordable premium and we don't end up outpricing ourselves. So, the muscle we actually got, Mr. Shah, is that for three years we were able to maintain our margins, more or less maintain our margins without touching the pric e. And that means we have been passing on the best value to our consumers. In fact, we have been upgrading our product without touching prices and making sure that we dominate the market and actually this is one of the biggest barriers which the competition may face because of th is particular strategy of ours.
Bharat Shah: Which means basically we will prefer margins to remain in our targeted range.

Moderator: Mr. Shah , may we request you return to the question queue for follow up questions?
Bharat Shah: I am just finishing that question only and I will end it. So, we'll prefer our margins to remain in a targeted range, strategically speaking.
V. S. Ganesh: We are comfortable in that range. Historically, we have been comfortable. We were able to balance growth and expand rapidly and also reinvest in the business and take care of the investors with those kind of margin levels. And we will continue to review and revisit that, sir. But as of now, we are very comfortable in our 19 to 21 range.
Bharat Shah: Alright , thank you.
Moderator: Thank you. Participants, in order to ensure that the management is able to address questions from all the participants in the conference, please restrict your questions to two per participant. If you have any follow -up questions, please rejoin the queue. T he next question comes from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity, sir. Just wanted to understand in this kind of gross margin and EBITDA, high EBITDA margin scenario, how are you investing into various categories for growth, men, women, athleisure ? And could you give some color on how the growth rate, what challenges you are seeing apart from subdued demand in getting higher growth rates?
V. S. Ganesh: Karthik, you want to take that?
Karthik Yathindra: Yes, in terms of investments for each category, I think there's a lot of organizational investments that are happening, which is going to benefit all the product categories that we are operating in today. And a large portion of this is going into tech. We nee d to understand that we are reviving our ERP system, which is about a decade and a half old, which comes in with a lot of work, a lot of investment to keep us ready for the next decade. We are revamping the entire distribution managem ent system that our distribution network works on today, which is again a massive project, not something that comes by very often. Again, we are looking at projects which will hold us in good stead for a good next 8 to 10 years. There is a lot of work happening on the product side in terms of PLM and other technology coming in. So, these are fundamental investments that are happening at an enterprise level just to up our infrastructure which will help the entire organization as a whole, right? Right from our entire supply chain system in terms of

better availability, which is the ERPPs , the DMS, which will make it a lot more intuitive and
informative for our sales team on the ground to sell better or our PLM which is going to help us improve our product range.
So, large portion of the investment that's going back into the
organization which both Deepanjan and Ganesh spoke about is at a fundamental infrastructure
level. Now specifically for categories, again, there is no disparity in approach. We might have,
we do have better consumer penetration levels across categories, because our men's innerwear
is a lot more penetrated when compared to women's innerwear or outerwear. But the approach
for increasing r

efreshments within the product portfolio is being consist ent across categories.
All efforts being taken to make sure that the products that we are offering are the best that it can

be. Every single style undergoes a very detailed eye of evaluating whether it is the best it could
be in terms of material, in terms of fit, or in terms of aesthetics twice a year. So, that process
continues for all of our product portfolios. So, that's a constant effort which goes in. As we stand
today, we believe that the headroom might be higher for the women's portfolio purely from the
numbers that we see in terms of our penetration in the market and hence some level of
disproportionate investments in terms of products, in terms of marketing, in terms of content
will be g oing towards that area.
Prerna Jhunjhunwala: And how is the athleisure category do ing and investments over there?
Karthik Yathindra: Yes, the a thleisure category is actually seeing decent revivals. It was a bad year for a thleisure
last year considering we were coming back from the huge momentum that the category got
immediately after the pandemic. There was some level of correction that had happened over
2023-24. This year, athleisure is trending better than how it did last year. So, in terms of
performance of the category, it's been promising. In terms of investment as far as product is
concerned, like I said, I think the same might that we go up to every category, you'll see
something similar in athleisure as well.
Prerna Jhunjhunwala: Okay, the second question is on the category-wise performance. I know you don't share that, but
can we see athleisure women where category is performing much better going forward due to
these kinds of investments that you are doing and also about penetration levels, how your
penetration levels have improved over the last one decade. You have been talking about 5% penetration in the women' s
category and how is it today?
Karthik Yathindra: Yes, so today women's innerwear as a category is between 6 % to 8%. In specific for bras, we
believe our share is about 6%, whereas in the panties business, we are higher at about 8%, which
has gradually improved over the years. I do remember when we were quoting 5% as the number. Today, this is where we
stand. However, when I compare it to men's innerwear, it's a lot more dominant, trendi ng between 18% to 20% as our
penetration levels. So, still a long way to go as
far as the women's innerwear business is concerned, that is headroom. Ath leisure for us is about
6%, but again, it's a much larger market and also a lot more number of players in that market,
right? Because it's very difficult to clearly demark it between ath leisure alone and the rest of the
casual wear that's out there. Denims, casual shirts, all of these fall under the outerwear business
of which ath leisure is a portion. And there is usually a good transition between one and the other
in terms of market price. So, it's very difficult to put a specific opportunity only for athleisure .
What we know is that that space is ballooning and hence it gives us a l ot of opportunity to do
better.
Prerna Jhunjhunwala: Thank you and all the best.
Moderator: Thank you. The next question comes from the line of Rahul Agarwal from Ikigai Asset
Management. Please go ahead.

Rahul Agarwal: Hi sir, good evening. Thank you for the opportunity. So, a couple of questions. Firstly, if I have
to really look at 2030 from here and break down the industry into three categories mainly from
a product perspective, right? One category would be the matured category where that has the
highest revenue salience followed up with growth category where you see maximum growth.
And third is the evolving emerging categories, where you think the base is very small, but they're
growing, obv

iously, fast est in the overall scheme of things. If I take a next five-year view, what
would be these categories in terms of your own opinion and internal analysis? And given the revenue salience change, which
we should expect over the next 5 years, does this change the
EBITDA margin profile of the Company 5 years out? That's my first question. Thank you.
Karthik Yathindra: Rahul, thank you for the question. See, even though I understand where you are coming from, I

mean, internally when we look at it, we probably seem like we are a lot more mature in the men's innerwear business when compared to the rest. But even in the men's innerwear business, what we define as our addressable market, we are only about 18% -19% there, which means even in a category where a large portion of our business is contributed from, we see a big headroom to grow, right? And this addressable market has been defined in a very, very tight manner. And hence we truly believe there is no leakage there possible, which means all of those, that audience that we define as addressable market are truly addressable by Jockey the brand, right? So, even there, we are at about 18% giving us a very, very high level of headroom. And it makes it even more promising for the rest of the category, whether it's women's innerwear, ath leisure, juniors, all of them where it is currently at a single -digit penetration against a tightly defined addressable market. So, keeping, especially with a long-term ho rizon, 2030 you mentioned, we should be going after each of these categories with the same kind of intent and momentum to grow and not confide in things one is mature over the other and hence we will look at it interestingly. Keeping that view, the way we structure the organization is also at a category level. So, today whether it is the sales team that is going after the revenue or whether it is the product team or our marketing team, they operate like companies within a Company . So, Men's Innerwear is a s eparate organization within the Company . Women's Innerwear is a separate organization. Outerwear is a separate organization. And Juniors and Accessories put together is a separate organization. They all operate internally with independent P&Ls with investments going into each one of them and dedicated resources for all the functions for that particular category. That is truly because we believe there is a huge headroom fr om a long -term point of view in all the categories.

Rahul Agarwal: Right. So, in terms of growth rates, you have to differentiate, next five years, should I have a differentiation or you think broadly each category, obviously the smaller category growth per percentage wise, but just from a revenue salience perspective, what do you t hink will domina te the business five years out?

Karthik Yathindra: No, we don't think the outlook will be very different because all these categories provide a promising future in terms of what we can garner from the market. And because there are dedicated resources and investments for each of these categories, all of them should go at a good pace. Of course, the lesser penetrated ones will have some level of inorganic advantage when compared to men's innerwear . But the way we look at it, men's innerwear will probably open up new doors, which will become possible inorganic expansion opportunities for the other

categories in the future. So, we'd like to go all out in all the categories that we have. And in terms of EBITDA, our difference in categories is very, very low in terms of profitability. Yes, there are some portions of our business which is more profitable than the other, but those would be in decimal, maximum, up to 1% point. So, irrespective of what growth rates we deliver from which portions of the category, I don't see a big change in EBITDA because of the category.

Rahul Agarwal: And seco

ndly, I had a question on capital expenditure. You mentioned Orissa plant coming up and the Mysore sewing facility. Just wanted to know what was the overall CAPEX on both these facilities separately and incremental sales they can support or the output if we have to quantify?

Deepanjan B : So, I think for the Orissa plant, we have an outlay of around Rs. 254 crores, but it is infrastructure, land, buildings, those kinds of things and another Rs. 60, Rs. 70 crores is moved towards machinery in phases. So, that's broadly the outlay for Orissa . We are more or less closer to finishing the project, and hence the more or less the entire spend is likely to happen within March. For KR Pet expansion, I think the outlay has been around Rs. 30 crores, which is again more for the expansion, more for the infrastructure. There are slight delays in the projects. So, it will phase out in next year. But yes, that's the range that we'r e picking up.

Rahul Agarwal: And Fiscal ‘26, that number is …

Deepanjan B : Sorry?

Rahul Agarwal: Fiscal ‘26, any CAPEX budget , would you like to share, please?

Deepanjan B : Not right now. As we said that, yes, the budgeting is in progress. So, once that reaches a conclusion, then we'll be able to share that number.

Rahul Agarwal: Alright, thank you so much and all the best.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing comments.

Deepanjan B : So, thanks again, thanks for everybody to participate. It's been an interesting session and a lot of insightful questions. We'll definitely look for further interactions. Thanks for participating again.

Moderator: Thank you. On behalf of Page Industries Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

21 May 202 5
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange
1st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir,

Sub: Audio Recording and T ranscript of Investor call

We herewith enclosed the transc ript of investors call for the financial results for the quarter ending 31 March 2025.
Audio recording of the investor call is available in the following link:
https://youtu.be/nfxW28m97T0

This is for your information and records.

Thanking you,
Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary
Encl: as above

"Page Industries Limited
Q4 and FY '25 Earnings Conference Call "
May 15 , 202 5

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE INDUSTRIES LIMITED
MR. DEEPANJAN BANDYOPADHYAY – CHIEF FINANCIAL OFFICER – PAGE INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA – CHIEF EXECUTIVE OFFICER – PAGE INDUSTRIES LIMITED

MODERATOR : MS. NUPUR JAINKUNIA – VALOREM ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Page Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nupur Jainkunia from Valorem Advisors . Thank you, and over to you, ma'am.

Nupur Jainkunia : Thank you. Good evening, everyone, and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors. We represent the Investor Relations of Page Industries Limited. On behalf of the company and Valorem Advisors, I would like to thank you all for participating in the company's earnings conference call for t he fourth quarter and the financial year 2025.

Before we begin, a quick cautionary statement. Some of the statements made in today's earnings conference call may be forward -looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to dif fer from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management.

Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now I would like to introduce you to the management . Participating with us in today's earnings conference call and hand it over to them for opening remarks. We have with us Mr. V.S. Ganesh, Managing Director; Mr. Deepanjan Bandyopadhyay, Chief Financial Officer; and Mr. Karthik Yathindra , Chief Executive Officer of the company.

Without any further delay, I request Mr. V.S. Ganesh to start with his opening remarks. Thank you, and over to you, sir.

V. S. Ganesh: Thank you very much, Nupur. And ladies and gentlemen, a very good afternoon, and welcome to the earnings call for the fourth quarter of FY '25. As Nupur told you, in today's call, I have Mr. Deepanjan, our CFO; and Mr. Karthik Yathindra , our Chief Executive Officer, along with me. I will briefly dwell into the past year before getting into the further details of the quarter.

FY '25 was characterized by rapid shifts in economic, geopolitical and technological tailwinds, compelling us to remain agile and responsive. While inflationary pressures constrained consumer spending, particularly in the first half of the year, our abilit y to adapt was very evident in the overall strong performance of ours and especially in our e -commerce channels.

We also responded proactively to the evolving landscape, aligning our product offerings with shifting customer needs and expectations. And this is reflected in our growth trajectory. In such a volatile environment, we continue to focus on enhancing the value to our consumers without

passing on any price rise. While maintaining tight control over expenses, we have continued to invest strategically to support the organization's sustained growth objectives.

In line with this, our digital transformation initiatives, including advancements in the distribution management system, the transformation of SAP core and enhancements in consumer engagements are progressing as planned. The refreshed Jockey .in website and mobile app have been well received by our consumers.

This reflects our strong commitment to improving our users and consumers' experience. Our new production facility in Orissa is now ready to

begin commercial operations. Additionally, the broader adoption of the auto replenishment system has contributed to more effective inventory management.

Coming to the quarter, in Q4, which is typically our leanest of all the quarters, I am pleased to share that we have achieved a PAT growth of 51.6%, a robust revenue growth of 10.6% and this supported by stable fabric prices and optimized overheads have co ntributed to a healthy operating margin.

For the full year, we achieved a revenue increase of 8% and a profit after tax growth of 28%. Our timely interventions in inventory management and efforts to enhance overall supply chain efficiencies have not only supported market growth, but has also cont ributed to a strong and healthy financial performance.

Our consumer reach through diverse sales channels continue to expand. At the close of FY '25, we have a network of more than 111,000 multi -brand stores, 1,453 exclusive brand stores and 1,803 large format point of sales. Our online network through Jockey .in, mobile app and in several online aggregators continue to expand.

We express our sincere appreciation for your tremendous support and trust in our company. Mr. Deepanjan will now take you through the specifics of the quarter. Followed by this, we look forward to your questions, and we'll be more than happy to answer them . Thank you once again for joining this call today.

Deepanjan B .: Thank you, VSG. Good afternoon, and welcome to today's earnings call. Let me share the results of Q4 and for full year of FY '25. Touching upon the key financials for Q4, we recorded sales volume of 49.2 million pieces, which was a growth of 8.5% year -on-year. Revenue in Q4 was INR10,981 million, which was a growth of 10.6% year-on-year.

EBITDA for the period was INR2,352 million, a growth of 43.2% year -on-year. EBITDA margin was 21.4%. With stable raw material costs, sustained higher production efficiency and controlled operating costs, EBITDA margins were maintained within our planned ra nge of 19% to 21%. There has not been any price increase in the quarter.

PAT for the quarter was INR1,640 million, which was a growth of 51.6% year -on-year.

Inventory days was 64 as against 93 days at the beginning of the year. Working capital days was 54 days against 75 days in the end of FY '24. We continue to be debt free.

For annual FY '25, sales volume was 219.6 million pieces, which was a growth of 5.5%. Revenue was INR49,349 million, resulting in growth of 8%. EBITDA was INR10,626 million, which was a growth of 23.6%. EBITDA margin in the full year was 21.5%. PAT was INR 7,291 million, resulting in growth of 28.1%.

To summarize, our sustained focus to deliver value to consumers through product quality enhancements, communication and customer reach have resulted in good revenue and profit growth. We continue to make the right investments, including in technology, whil e remaining cost conscious.

We can now take up your queries.

Moderator: The first question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi : My first question was with respect to the volume growth. The number has been at 8.5%, much higher than what we have seen in the recent past. How would you evaluate this performance for this quarter on the volume side? Is it as per your expectations or it i s ahead of your expectations?

V. S. Ganesh: Yes. So the -- for us, the volume growth, yes, when we were looking at Q3, I can say Q4 was in line with the expectation. But if you look at it overall, retail environment continues to be tepid and therefore, it has not reached the levels which we want it to be in. People still are not buying as they used to. And especially now we feel next year, things should improve with tax exemptions being given, a bountiful monsoon being projected. And we see that the retail inflation is at an all -time lo w. If you look

at the last 6 years and now this is the lowest. So all these things are very favorable. So we expect going forward, we should see better traction.

Sheela Rathi : Understood. And just to understand, how should we think about the e -commerce growth for us this quarter? And any insight in terms of the share of e -commerce as a part of the total revenue?

V. S. Ganesh: Sure. Karthik should be able to throw more light on that, Karthik?

Karthik Yathindra: Yes. Thank you, Ms. Sheela, for the question. E -commerce continues to be ahead of the rest of the channels in terms of growth rates. We've seen handsome growth, handsome double -digit growth as far as the e- commerce business is concerned. In terms of contri bution to our business, it's a little over 10% of our business today comes from the e -commerce channel.

Sheela Rathi : And my final question was with respect to the gross margin improvement that we saw this quarter. Anything significant to call out here to showcase such a strong improvement in the margin?

Deepanjan B.: I think there are 2 major factors. Definitely, the stability in the raw material prices, especially fabric and other things has been very positively taken and positively impacted. And second thing is, of course, the production efficiency that we have been seeing that has been the higher production efficiency that has been sustained. So majorly contributing I mean, combining these 2 factors has resulted in a higher gross margin.

Sheela Rathi : So this is something level we can assume could continue for us if a similar environment remains going ahead. Is that a right assessment?

Deepanjan B.: Yes, Sheela. The similar environment definitely remains, I think we will be able to sustain it. But yes, I think we have to watch out if there's any volatility in the cotton price maybe at the end of the year because of this evolving situation geopolitically. Otherwise, as things stands now, I

think we should be able to have gross margin.
Moderator: The next question is from the line of Videesha Sheth from Ambit Capital.
Videesha Sheth: My first question was again on volumes. If you could talk about which segment specifically led to this 9 -odd percent growth? Was it led by innerwear or athleisure? And just a second part on the volume, was that 40, 45 days into the quarter, can you elabora te if the growth momentum has more or less sustained or if any, has there been any other shift? That's my first question.
Karthik Yathindra: Videesha, thank you for the question. In terms of rain-specific volume growth, it actually remained more or less consistent. Of course, at this point in time, since we are reflecting primary numbers, it's also a function of the inventory levels in the chan nel. Given that innerwear at this point in time is showing marginally higher growth rates than compared to athleisure.
And so is the case with accessories, which is our socks, handkerchiefs, towels and caps business is showing slightly higher volume growth when compared to athleisure. But that I would believe is largely a function of the inventory levels that we are carryi ng in the channel. In terms of your second question, without sharing too much in the current quarter, retail has remained consistent to what we witnessed in the last quarter.
Videesha Sheth: Understood. That was helpful. And the second question was, I mean, probably the budgeting exercise for the year would have been done. So any planned price hikes for FY '26 that you'd like to call out?
Deepanjan B.: As things stand now, we don't see any requirement of any price increase yet. So in the near quarters, we definitely don't see any requirement of price increase.
Moderator: The next question is from the line of Shyam Sundar from Franklin Templeton.
Shyam Sundar : My question is on the focus categories of women and kids. How has been the progress there? How do

es it reflect in terms of revenue momentum? And any color you can share in terms of the salience of the women's and kids category in our business?
Karthik Yathindra : So the kids category in specific has grown above average to the brand growth rate. We've also seen after considerable stabilization in the previous year after the pandemic season, the kids category is back into decent growth rates in relative terms. In ter ms of the women's business, it's split between innerwear and outerwear.
Our innerwear business seems robust and strong in terms of growth momentum, clocking growth rates at par with our men's business. Outerwear is where I think we are holding higher inventory in the channel, which has reflected in slightly lower growth rates when compared to innerwear.

Shyam Sundar : That's helpful. The other question is we continue to see very healthy improvement in EBITDA margins consistently over the last few quarters. This quarter, we have seen both gross margin expansion as well as healthy volume growth. In our business, what are the choices or trade- offs we make between volume and margins? What are some of the business choices we make on an ongoing basis? You did talk about favorable RM tailwinds, but are there any other choices that we have to make to keep up both t he volumes and margins at very healthy levels?
V. S. Ganesh: No, I feel we are actually reaping the benefits of the actions which we have taken over the last few quarters, and it takes time for us to see those benefits flowing in, and that's what we are seeing. And what we were doing is we took a lot of initiatives in improving the overall supply chain efficiencies. We have taken so much measures to have a much better demand planning and demand sensing and resulting in improved demand accuracy.
Now this, along with supply chain efficiencies, good control over expenses, the action which we took on inventory controls and to bring inventory to normal or acceptable levels, all this has helped us to improve the bottom line. And I feel as far as the di stribution is concerned, the benefits of ARS is yet to fully kick in. A s I keep telling in every call, it takes time for us to get the full benefit. We are seeing continuous improvement, and there is much more to come on that front. So it is a combined effort of all these things falling in place and also sweating assets, controlling overheads, all this has really helped us.
Deepanjan, you would like to add anything more to it?
Deepanjan B.: I just wanted to add that our business philosophy has always been balanced profitable growth, and we are always driven by volume growth. So as MD said, given the fact that all these initiatives has taken, we have started seeing the benefits of these initiatives. And given the fact that the expenses are quite under control, that's what is reflecting in a very healthy EBITDA margin. So we do expect that the EBITDA margin will be continued to maintain in this range of 19% to 21%.
Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal : You indicated that there were no price hikes in Q4. So I wanted to better understand this 2% increase in realizations. Is it like due to better growth in online channel for us?
Deepanjan B.: It's a combination of largely 3 factors. Definitely, there is premiumization which we are seeing within the categories as well as across categories. When I say across categories, once the growth

has kicked in athleisure, that's also helping us I mean, reflecting in the higher realization. And definitely, the increase in share of e-commerce, where there is a mix of, I would say, better margins as well as the full price sales, that is helping in increasing the overall ASP as well. So there's no pr ice increase, but these 2 factors is giving a natural push to the average realization.
Devanshu Bansal : Und

erstood. And sir, you mentioned that it's north of 10% now. What was it last year or maybe the growth in the e -commerce channel, if you can call that out?
Deepanjan B.: I think last year, our overall yearly growth in e -commerce was also in the range of 41% or so at an annual level. So the growth momentum has been sustained.

Devanshu Bansal : Okay. And second question on margins. So we have been delivering upwards of 19% to 21% EBITDA margin band, right? So and we sort of talked about sustaining the higher gross margin levels if conditions remain stable. So I wanted to check any thoughts around the vision to this brand?
Deepanjan B.: No. I think see, the way things are, it's not I mean there were always inflationary pressures. There will be salary increase, there will be wages increase. So those things will happen. We are also in a very aggressive phase of digital transformation, which has started to be getting more aggressive this year. So all the, I would say, the overheads and the input factors will result in increase in cost for sure.
At the same time, as I said, given the fact that raw materials are quite stable at this point of time, and we are not expecting any price increase or raw material cost increase in the near future. So while we are not planning for any price increase, at the same time, the cost will increase. So given these 2 factors, we are still confident that the margin will be in the range of 19% to 21%.
Devanshu Bansal : Understood. Can you call out this mix of digital and marketing spend for this year and what is expected next year, any increase or whatever in whatever way you can help us understand that?
Deepanjan B.: We typically spend 4% to 5% every year on marketing, including digital, and that's what will continue.
Devanshu Bansal : And IT spend, sir?
Deepanjan B.: IT spend typically has been historically less than 1%. But yes, I think the past year, that is FY '25 and even FY '26, it will be something in the range of 1.25% to 1.5%.
Moderator: The next question is from the line of Tejash Shah from Avendus Spark.
Tejash Shah: Congrats on a good set of numbers. So just wanted to know in a very tough environment, we have been able to drive a very strong premiumization. So I was just wondering what click for us? Was this a product mix change or channel mix, which contributed signi ficantly?
Deepanjan B.: Tejash, to answer your question, I think it has been a natural premiumization, which is happening across our consumer base. So people are scaling up given the fact that the purchasing power has been increasing. So within the categories, also people are scaling up to higher price point products, which I think given the product features that we have, which is much more enriched, there is a preference for scaling up.
So that is the premiumization within the categories. And e-commerce definitely has a play because one, as long as we are selling to D2C, that is a marketplace and jockey.in, we have the full price advantage there. So that's also kind of pushing up the average real ization.
Tejash Shah: Got it. Second, listening to -- hearing your commentary so far, you seem to be very confident on revenue growth, premiumization, gross margins. Then do you see an upside risk to your margin guidance on '19 to '21?
Deepanjan B.: You mean upside risk or upside possibility?

Tejash Shah: Both. Basically upside possibility on that number.
Deepanjan B.: No. As we have said earlier, even now we are telling the same thing. We are comfortable in that range of 19% to 21%. So while we have not taken any price increase over the last 3 years, I mean, this is the third year continuously. It's not that we do not h ave inflationary pressures in our input cost, that's there.
But given the fact that with better sales, the overheads are

much better leveraged, and we are
sustaining the production efficiency. So without even price increase, we are quite confident that the margin range will be maintained. But at the same time, since the additional expenses will happen, we don't see the margin going beyond this range.

Tejash Shah: Okay. And last one, if I may. Odisha plant, will it bring some tax benefits or SOPs to us?
Deepanjan B.: See, Odisha plant within the overall production capacity that we have still is a minor portion. We do have tax benefits there. When I say tax benefit, government subsidies, state government subsidies are there in terms of wages subsidy, then there are some capital subsidy. So it is there.
But at an overall company level, it is not significant that it will affect the margin.
Moderator: The next question is from the line of Gaurav Jogani from JM Financial.
Gaurav Jogani: My first question is with regards to the Q4 performance. Now this year, we also had a benefit of earlier Eid. So does that, in any sense, has helped us to have a better primary sales and which probably could have an impact on the Q1 numbers?
Karthik Yathindra: So early Eid has definitely helped in retail performance. I wouldn't say necessarily for primary sales. Better retail throughput is what you generally see. But again, Eid from the overall scheme of things affects select markets. There are parts of the country that get better traction because of Eid, which is something that we've obviously leveraged in quarter 4. But in the overall scheme of things, given the contribution of these select markets to the overall business, we don't see a big swing, which we've, in a way, advanced from Q1 to Q4.
Gaurav Jogani: Sure. And my second and last question is with regards to these efficiencies, especially on the employee cost and other expenses side. Over the past couple of years, because post the COVID era, we were also having a lot of inventory, which got utilized over the next 2 years. And hence,
we were not in need of replacing the attrition. But now since the volume growth has picked up, do you see costs now also coming back on this front?
V. S. Ganesh: Gaurav, actually, our overall manufacturing efficiencies have gone up. It has actually improved by around 18% to 20% of what it used to be. So that is one piece. And secondly, we have been working quite a lot on lead time reduction. So today, we can manage and service our customers
with less inventory. And that's where you are seeing that continuous reduction, which you are seeing and in the inventory side. So yes, there will be expansion of capacities, but it will be in
line with the top line growth, which we are expecting. So the cost will be commensurate with expanded sales or revenue.

And we also have other initiatives which we have put in place to have a much better overhead utilization or absorption. That's where Deepanjan was coming from, looking at the budgets and the expenses and the top line revenue growth, we are very confident that we can maintain the 19% to 21% range.
Gaurav Jogani: Just a follow -up here. My question was the other way around, given that you are already driving so much of your efficiencies and if the cost also increase a bit in line with your top line growth, so shouldn't you be able to actually surpass the 21% kind of a margin that you're already -- 21.5% margin is what you've already done in FY '25.
V. S. Ganesh: No, because there are also inflationary pressures. As Deepanjan rightly said, there are salary increases, there are wage increases, which is to be accounted for. There is also a renewed investment on IT side. We need to continue to invest on the R&D side of it. In fact, one of the good things we have done last year is to come with very exciting products, and we need to continue to invest on that.
And I will attribute quite a lot of our growth to having

the right product at the right place at the right time, thanks to our R&D team or the product development team and the ARS. So we need
to continue to have those investments. So that's where I said we bake all that in our budget. And if I go by what we are planning in our budget, we are well within this targeted range of 19% to 21% without any price increase unless there is a big challenge as far as the input costs are
concerned, which we don't expect.
Moderator: The next question is from the line of Sameer Gupta from IIFL Capital.
Sameer Gupta: Congrats on a good set of numbers. Firstly, you mentioned the channel inventory on athleisure is still a little on the higher side. So just wanted some color where are we right now in terms of distributor days in athleisure? And where would we like to be o n a normal basis? And just a relative term, how was this number pre-COVID?
Karthik Yathindra: Thank you, Sameer, for that question. Specifically on athleisure, thanks to the ARS and the efforts that we've done there, we've brought down our inventory days by about 7 days from when
we started the year. We still feel there is a potential to bring it d own by another 7 to 8 days as far as the partner inventory is concerned.
In terms of prior to COVID days, we are still higher than what we used to carry prior to COVID days. It's during the COVID period that we saw ballooning of inventory significantly across the value chain, which is what we are looking to moderate now.
Sameer Gupta: Just a follow -up here. So when you say 7 days, this is overall or this is just for athleisure? And if you can give the number as to where it is right now, is it 45 days, 40 days?

Karthik Yathindra: So overall, we're at a little over 50 days as far as outerwear inventory is concerned. And the 7 days that I mentioned is specifically for outerwear, which is athleisure.
Sameer Gupta: Got it. This is helpful. Secondly, I noticed the dividend for the overall year is around INR 900 per share, and this implies around 135% kind of a payout. Capex this year has been very normal

around INR80 crores. So with growth coming back, just wondering how to read this dividend payout number? Is there enough capacity for the foreseeable future? How do we read this?
Deepanjan B.: See, as a policy, we typically pay out up to 60% of our PAT. That's as a policy. But together with it, we also assess what is our funds position. So given that this has been a reasonably good year, especially compared to the earlier years, we have enough f unds, and that's what we have declared higher dividend.
But yes, I will not read too much into it as to whether this will be a trend in future or which can be a reason for projecting future. It will definitely be that, yes, if you have enough funds, we will pay higher dividend. It will all depend on what's the fund position at that point of time.
Sameer Gupta: On that note, can you also provide a guidance on capex for the coming years?
Deepanjan B.: I think next year, we just closed the budgeting process. So I think we are planning for around INR180 crores of capex for next year. Again, the capex is largely for the upcoming K.R. Pet 2 expansion that we have. Also, we are purchasing one more land at Orissa. So these 2 factors predominantly plus there are usual upgradations that happens. So taken together, the plan is around INR180 crores for next year.
Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.
Rishi Mody: The first thing I want to understand is your q-comm /e-comm space. So under the assumption that it's growing faster than the rest of the channels for us. And basis my understanding of the FMCG industry, it seems that the q -comm channel is a very high gross margin channel for the company, higher than the othe r channels because of the right pack side or something on thos

e

lines. So I'm just understanding, is that the case for you guys? And is that playing into the gross margin expansion that you ar e seeing?
Karthik Yathindra: Well, you're right about the pace of growth or pace of expansion within the quick comm business. So that is something that we have witnessed as well. And also, it's a nascent business.
So a large portion of the growth there is inorganic because of expansion into more number of dark stores within existing players as well as new players coming on board within this channel. So we've experienced quite an aggressive jump in revenues there because of the inorganic impact.
With regard to margins, our margins are not very different for the quick commerce business, meaning not very high when compared to rest of the channels in terms of what we experience.
Further, quick commerce, while the growth rates are significantly high, its current contribution to the overall business of Page is still quite small to have any impact on the overall gross margins of the brand.
Rishi Mody: Okay. Just a follow -up there. What I'm seeing till at least a couple of quarters back was that I think Jockey was the only listed player on Blinkit or Zepto. But recently, a lot of these other players have also started getting the listing like X, Y, Z, the se other new age brands, Van Heusen and all. So just to understand are you seeing higher competition and at, say, older dark store

where you were dominant, are you losing shelf space or losing share of sales even if you are losing shelf space?
Karthik Yathindra: The other brands being present in these platforms is not recent in platforms like, let's say, Blinkit or Zepto, which were the platforms that we entered into initially. This was, in fact, in '23, '24 itself, also had competition back then. We had enough br ands present over there. So we've not seen any significant change in our presence as far as quick comm is concerned because of competition in the recent times, let's say, in the last couple of quarters. In fact, like we do with the rest of the marketplaces in e-commerce, at this point in time, we continue to lead this particular category in quick commerce as well.
Rishi Mody: Got it. Second, I wanted to understand on the opex front from Deepanjan, so if I look at your FY '25 opex over FY '24 and I remove the 80 bps reduction from employee cost, then adjusting that there's a 150 bps increase in opex as a percentage of revenue, excluding employee cost in FY '25 over FY '24. Just wanted to understand what are the main component changes, line item changes that we have seen out here?

Deepanjan B.: I think if you're comparing between, I mean, absolute value increase, a large portion of the value increase will be for things like royalty, will be for things like e -commerce margins, which are...
Rishi Mody: Compare them in percentage of revenue.
Deepanjan B.: In terms of percentage of revenue, okay.
Rishi Mody: Yes. So opex is 35.3%. If I remove 16.6% cost, that's this year. And last year, it was 34.9%, including opex -- employee benefit expense of 17.5%. So there's a 130 bps increase if I adjust for the employee cost benefits that we have received. So where has that investment gone? I just wanted to understand that extra 130 bps that we have spent.
Deepanjan B.: So 2 major factors definitely have been one, the IT expenses, which has contributed to the increase. We also have marketing...
Rishi Mody: 125 bps correct?
Deepanjan B.: Yes. We also have marketing expenses increased this year. I won't say it's an increase because the previous FY '24 was slightly on the lower side, but otherwise, this year is more like a normal increase. These 2 will be the major factors. Rest of the expenses are more like fixed in nature and has largely remained consistent.
Moderator: The next question is from the line of Naveen Trivedi from Motil

al Oswal Financial Services Limited.
Naveen Trivedi : Just on this demand a bit more better, you mentioned about better traction you expect for the next year. Does this confidence is because of you have seen better sales growth acceleration in the first 45 days of this financial year?
Karthik Yathindra: Thanks, Naveen. But no, I'm not commenting on the first 45 days. This is what we are targeting in terms of what we want to achieve for the next year. It's more an intent in terms of where we

want to get to in the next year. It has no reference to what we have experienced in the first 45 days.
Naveen Trivedi : And you mentioned in your presentation about Tier 2 and Tier 3 cities outperforming metro 1 and Tier 1 markets. Can you quantify the divergence and as well as what revenue mix cities contribute to your portfolio?
Karthik Yathindra: See the way we break our business in terms of town classification, , metro, Tier 1, Tier 2 contribute to 50% of the business and Tier 3 and 4 also contribute to 50% of the business, considering how we've penetrated our markets over the years. So that's in terms of contribution of business. In terms of performance, we're s eeing about between the 2, about 4 percentage points difference where Tier 3 and 4 have outperformed the metro and Tier 1s.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala : Congratulations on good set of numbers. I had a question on athleisure. Given that it took about a year to reduce inventory by around 7 days in the channel, do you see the demand environment now is conducive for faster depletion in inventory in this year a nd resumption of higher growth in athleisure? And what steps have we taken to do the same, if at all, this can be done?
Karthik Yathindra: Thank you, Prerna. You're right. I think we are definitely in a better position than where we were about a year ago. But like I mentioned, the intend is to bring it down further by at about 7 to 8 days so that we can operate at an optimum 45 days inventory level as far as athleisure is concerned. But considering that some of the good work has already been done, we should be closer to secondary performance when compared to the difference we saw last year. So yes, it should be a lot more co nducive than what we've experienced in the early parts of last year.
With regards to specific efforts for athleisure, the way we operate our business is we break ourselves into categories and have specific business plans and inputs, both in terms of sales initiatives and inputs as well as marketing and brand input to drive each category as a business of its own. So in that light, athleisure, of course, has a complete business plan put together, a dedicated sales team to operate and a marketing calendar to deliver on the demand objectives for that particular category. So that 's what will be going behind this.
We are also looking at addressing newer consumer segments as far as this category is concerned. We believe that there is a potential there to address the younger audience as far as athleisure is concerned. This would mean a certain shift in the styling of our products, a certain shift in the fits of our products to make sure we are able to attract more younger audiences as far as the athleisure business is concerned.
Prerna Jhunjhunwala : And just a follow -up on this. And are these products and younger consumer engagements begun or it is the plan for the next year?
Karthik Yathindra: It is the plan for the the current year as we speak. So it's 2025-'26 plans.
Moderator: The next question is from the line of Alok Shah from 360 One Asset Management .

Alok Shah: My first question is on the revenue contribution that you would be getting from your EBO channel. What would that number be in th

e ballpark now? And what would this number have been, say, in FY '23?

Karthik Yathindra: We don't exactly share numbers there by each channel. Yes, we have seen significant growth in EBS this year definitely. And it's comforting to see that the growth is not just because of new stores addition, it's also for the same -store growth. But yes, we do not disclose the numbers.

Alok Shah: Got it. No, the idea was to actually dissect this gross margin improvement a little better. So if you can help us understand how much of this gross margin delta may have come from this EBO channel contributing to the sales? Because I understand from a gros s margin perspective, the share of the gross margin from the EBO would be higher than most of the channels. So EBO followed by heavy your own website would be the highest gross margin contributor. Trying to understand.

Karthik Yathindra: What is more relevant is the EBITDA margin for each channel, and it is largely similar across the channel. Of course, there will be some variations here and there because each channel has its own margin structure, but it's largely similar. So only because of EBS or for any other channel, it doesn't impact our gross margin significantly. I meant EBITDA margin, not gross margin.

Alok Shah: Sure. I get it. And lastly, in terms of in -house manufacturing because you have done some commercialization of the plants which are under construction. So how would that in- house manufacturing be now versus, say, maybe 2, 3 years back?

Deepanjan B.: So we have been traditionally largely in -house manufactured in the sense it has been in the range of 80% to 90% in that range has been largely in- house manufactured. This year, I think it has been 27% outsourcing. So when we say outsourcing, it's a mix of completely bought out products, that's what we mean, and 27%. But yes, I mean, Odisha plant getting into commercial production, which is expected early June.

It will not immediately impact this proportion anyway because it will take some time to reach the maturity, which typically is around 6 to 7 months. So we have started the recruitment process in Orissa and started the training process. But to reach the decent level of maturity, that takes around 6 to 7 months. So that will specifically not im pact dynamics.

Alok Shah: Got it. So then we'll again be in the band of 80% to 90% in-house.

V. S. Ganesh: Just allow me clarify to you, actually, we always look at around 25% to 30% outsourcing, 70% in-house. And the reason for doing this is to make sure that even if there is any challenge as far as fulfilling capacities are concerned, the in -house capacities can be sweat. And if there is an upside, we can quickly make use of the levers which we have and augment capacities quickly. So it is a nice blend.

And why we also look at 30% is also because we also want outsourcing to be at a manageable limit in the sense that they should be like an extended factory of ours. The processes are exactly what we do in -house. It is not different. And we have a management team closely helping the

teams there and making sure the standards and quality is maintained. So we can't go too aggressive on the outsourcing bit.

But this balance actually helps. It is also strategically important because they also bring in more capabilities. So there are some vendor partners who may have technical capabilities, which we may not have and instead of investing in capex and technologies, we can actually use them. And we work with world -class vendors who service the best of the global brands.

So we also can actually tap on to the intelligence and exposure they have to come out with exciting products. So this is a very reason that we always value the outsourcing bit of it. And that's where there should be some exciting volume also for the outsourcing vendor partners to make it into a meaningfu

l proposition for them. So these are the reasons why we always look at a 25% to 30% outsourcing and a 70% in- house.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv AMC.

Sabyasachi Mukerji: My first question is on the volume growth outlook. While I understand that Q4 has been particularly strong when I compare past few quarters, 8.5%. But are we seeing any possibility of going back to, let's say, high-single digit or early double -digit kind of a volume growth in FY '26? Yes, that's my first question.

Karthik Yathindra: So Sabyasachi, I think that is the intent. We are targeting a volume growth towards that end, maybe higher single -digit kind of a number, which is what we've seen in quarter 4. The intent is to deliver that, obviously, subject to how the market reacts and what kind of tertiaries we are able to generate. But yes, that is

what we are targeting for the coming year.
Sabyasachi Mukerji: Got it. Very encouraging. A follow -up to that if you can highlight how has been the secondary and tertiary offtake in Q4, that would be helpful.
Karthik Yathindra: So secondary has been slightly ahead of primary, not by too much, but slightly ahead in specific categories like athleisure where our inventory has been higher, and that is the reason why we have seen relatively muted primary numbers. But overall, in matur e categories like men's innerwear, for instance, our primary numbers have matched secondary numbers. But in areas where we have inflated inventory at this point in time, secondary has been slightly ahead.
Sabyasachi Mukerji: Okay. And anything on the retail tertiary side?
Karthik Yathindra: In line because we today operate completely in an ARS system. So any numbers you see what we are in a way presenting from a primary point of view can definitely not be higher than secondary or tertiary numbers because it's largely replenishment led.
Sabyasachi Mukerji: Got it. Lastly, if you can tell us the channel inventory. Last quarter, I think December, it was somewhere around 18 million pieces. As on March end, what would be that number?
Karthik Yathindra: I'm not sure where.

Deepanjan B.: Sabyasachi, I don't think we have shared any channel inventory number per se. We have typically been sharing the movement in the inventory in the channel, but yes, channel number per se, we have not shared, and we cannot share that.
Sabyasachi Mukerji: So compared to December, has it increased or in the same level or if you can highlight that?
Karthik Yathindra: It's coming down in the quarter because of the ARS implementation. But yes, we are reaching maturity levels in most categories.
Moderator: The next question is from the line of Aditya Gupta from Tara Capital Partners.
Aditya Gupta: First, you mentioned the Tier 3, Tier 4 growth has been higher. Is that for you or for the industry as a whole? And how do you think about the market share wins in the top cities and Tier 3, Tier 4?
Karthik Yathindra: I'm sorry, Aditya, but I didn't get your question. There's a lot of background noise.
Aditya Gupta: Sorry, I'll repeat. No, I'll just repeat. I was just asking, you mentioned that the growth in Tier 3, Tier 4 was higher than the Tier 1, Tier 2 cities. Is that for you specifically? Or is that the market also, right?
Karthik Yathindra: It's difficult to answer. I would imagine it is for the market. Also, our presence in Tier 3, Tier 4 is also dominated because lesser number of other players are able to reach as deep as we are able to, at least in terms of competition that operate in the price points that we operate in.
Aditya Gupta: Got it. Second bit on the price elasticity of the customer in the environment today. If there was a strategy to, let's say, operate at a lower end of the margin guidance, but squeeze out a couple of hundred basis points extra growth, is t

hat not of interest to you or the market is not like that currently?
Karthik Yathindra: Well, we wouldn't compromise on the quality of the products that we anyway make in terms of entering a lower price point. With the kind of quality we want to deliver for our consumers, we are hitting an optimum price point while keeping in mind the value f or money proposition that we want our consumers to enjoy.
Having said that, you also heard from us that whatever prices we are talking about is now about 3 years old. So in effect, if I had to keep inflation in mind, we have become sweeter in terms of the value we are delivering to the consumer from a price to pr oduct point of view.
Aditya Gupta: Okay. Got it. And third bit a clarification, and I'm comparing numbers to 3Q FY '25. The gross margin is about...
Moderator: Sorry to interrupt, sir, your audio is not clear.
Aditya Gupta: Is it better now?
Moderator: Yes, sir. Can you please repeat your question?

Aditya Gupta: I was saying I was comparing gross margins to 3Q FY '25 level. There's almost a 400 basis point swing and there's an up move in the other expenses also, right? So is it something to do with manufacturing first the way you reap it, because 400 basis point gross margin swing in 3 months sounds -- it's a little high, right? And you've not taken any pricing, you're saying the mix has not changed a lot. So is there something else that is driving this?
Deepanjan B. : No, I think we have been on it for several quarters now. And the major factor, as I highlighted earlier, is that we have this year, together, we have been selling out of low-cost inventory. So that's definitely playing out and continue to play out even in the Q4. Other major factor is definitely the sustained higher production efficiency, which we have achieved. So combination of these 2 factors, yes, that

has resulted in a higher gross margin.
Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.
Deepanjan B.: So thank you, everyone, for participating again. It was really a very interesting discussion, and we'll definitely look forward to further such interactions. Thank you, again.
Moderator: Thank you. On behalf of Page Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

13 August 2025

The Secretary
Corporate Relationship Dept. The Bombay Stock Exchange 1
st Floor, New Trading Ring
Rotunda Building Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001 The Secretary
National Stock Exchange of India Limited Exchange Plaza
Bandra Kurla Complex Mumbai – 400 051

Dear Sir,
Sub: Audio Recording and Transcript of Investor call
We herewith enclosed the transcript of inve stors call for the financial results for the quarter ending 30 June 2025.
Audio recording of the investor call is available in the following link:

https://www.youtube.com/watch?v=Ciz7t5uYv08

This is for your information and records.

Thanking you,

Yours truly,
For Page Industries Limited

Murugesh C Company Secretary

Encl: as above

"Page Industries Limited Q1 FY '26 Earnings
Conference Call"
August 07, 2025

MANAGEMENT : MR. V. S. GANESH -- MANAGING DIRECTOR , PAGE INDUSTRIES LIMITED
MR. DEEPANJAN BANDYOPADHYAY -- CHIEF FINANCIAL OFFICER , PAGE INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA -- CHIEF EXECUTIVE OFFICER , PAGE INDUSTRIES LIMITED
MODERATOR : MS. NUPUR JAINKUNIA -- VALOREM ADVISORS

Moderator : Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call of Page Industries Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
I now hand the conference over to M s. Nupur Jainkunia from Valorem Advisors . Thank you.
And over to you, Ms. Jainkunia .

Nupur Jainkunia : Thank you, Good evening, everyone, and a very warm welcome to you all to the Earnings Conference Call of Page Industries Limited.
My name is Nupur Jainkunia from Valorem Advisors. On behalf of the company, I would like to thank you all for participating in the company's Earnings Conference Call for the First Q uarter of 2026.
Before we begin, a quick cautionary statement. Some of the statements made in today's earnings conference call may be forward- looking in nature. Such forward- looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management 's beliefs as well as assumptions made by and information currently available to management.
Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.
Now, I would like to introduce you to the management. Participating with us in today's earnings conference call and hand it over to them for opening remarks. We have with us Mr. V. S. Ganesh , Managing Director; Mr. Deepanjan Bandyopadhyay – Chief Financial Officer; and Mr. Karthik Yathindra – Chief Executive Officer.
Without any further delay, I request Mr. V. S. Ganesh to start with his opening remarks. Thank you, and over to you, sir.
V. S. Ganesh : Thank you, Nupur, and good afternoon, ladies and gentlemen. A very warm welcome to the earnings call for the F irst Quarter of FY '26. As Nupur said, I am joined by Mr. Karthik Yathindra – Chief Executive Officer .
Yes. So, as I was telling you, I am joined by Mr. Karthik and Mr. Deepanjan . And I will briefly touch upon our business performance in the quarter before handing over to Deepanjan to take us through the specific numbers, following which, Karthik and Deepanjan will be answering your questions, and I will butt in wherever required.

As we are seeing across the industry, we were not an exemption when it comes to consumption. We experienced subdued consumption during this quarter, which has affected our offline retail treasury performance in terms of growth. This is partly structural owing to shift in festive consumption in the month of April when compared to last year. A nd it is also partly due to the general slowdown in retail, especially due to the heightened geopolitical tension in the early parts of May.
It is however encouraging to note that we have witnessed steady recovery since May with May being stronger than April and June stronger than May. Our online business continues to deliver robust growth. With demand being subdued and with our product pricing remaining unchanged, our focus and effort were concentrated on maintaining operating margins during this quarter.
We have continued to be agile and cost conscious through efficient raw material sourcing, optimum manpower deployment, focused marketing investments and tight expense controls to hold up profit margins within our target range.
Albeit modest revenue growth of 3.5%, I am pleased to share that we have achieved a profit after tax growth of 23.6% fo

r this quarter. Our key initiatives and investment for the year including the SAP S4 HANA migration and the new Salesforce distribution m anagement system is progressing well . And we are very well on track for successful implementation of these initiatives.
We have commenced commercial operations at the new Odisha plant this quarter and we will be continuing to scale up gradually in the coming quarters. On the product side, we launched a new fashion range of products under JKY Groove on jockey.in and select EBOs in the country addressing a younger target audience. The ran ge seems to be well accepted and the initial response to the collection has been very encouraging, and we look to further strengthen the range and expand its presence in the coming months.
Our consumer reach through diverse sales channels continue to expand and at the close of Q1, we have a network of 110,400 plus multi-branded outlets ; 1,490 exclusive brand stores ; and 1,296 large format point of sales. Our online network through jockey.in, mobile app, and key online marketplaces continue to expand.
With the initiatives we are undertaking as an organization in all aspects of a business, our long-term outlook remains strong. And we are very confident that we will see a consistent growth trajectory in the coming quarters. We express our sincere apprecia tion for your tremendous support and trust in our company.
I will now call upon Mr. Deepanjan to take us through the specifics as far as the quarter is concerned. Over to you, Deepanjan.
D. Bandyopadhyay: Thank you, Mr. Ganesh. Good afternoon, everyone, again, and welcome to today 's Earnings

Call.

Taking you through the Q1 Results :
Revenue for the quarter was Rs. 13,156 million, which is a growth of 3.1% over last year. Sales volume in the quarter was 58.6 million pieces, which was growth of 1.9% year on year. EBITDA in the period was Rs. 2,947 million, which was a growth of 21.1% year-on-year. EBITDA margin is 22.4%. With efficient raw material sourcing, stable sewing efficiency, and continuing cost optimization measures, EBITDA margins have remained strong. There was no price increase in the quarter.
Profit after tax was Rs. 2,008 million, which has grown by 21.5% year-on-year. Inventory days is 56 at the end of the quarter, which was 64 days in the beginning of the quarter. Networking capital was 48 days, again, 64 days at the beginning of the quarter.
We have availed a term loan in the current quarter of around Rs. 40 million, which is a credit link to get a benefit of the credit link capital subsidy and interest reimbursement schemes of Karnataka state government. This is for the upcoming KR Pet manufacturing facility. So we continue to enhance values to our stakeholders , while remaining strongly rooted in resource optimization and efficiency.
We can now take up your queries.
Moderator : Thank you very much. We will now begin the question-and- answer session. The first question comes from Nihal Mahesh Jham with HSBC Securities. Please go ahead.
Nihal Mahesh Jham : Yes, greetings to the team. Sir, I had two questions. The first is on the growth part. You did mention about the fact that there was a certain impact because of maybe the shift in May. Even if I normalize that and take the average volume growth for the las t two quarters, it comes to around 5%. So is that the expected normalized growth in volumes to expect, at least for the coming quarters? I know our aspiration is high single digits, but given how things are progressing, is that the bette r way to look at it in the coming quarters?
V. S. Ganesh : Nihal, yes, our expectation is much higher growth. The general retail environment is not so buoyant. That is why we had a subdued quarter. For us, with all the actions we have taken, we are aiming for a double digit growth when things normalize. And I think we have to wait for

that.
But as far as brand is concerned, we are taking all necessary actions for that. One is not increasing the price, keeping the price under control, improving the products as far as the features are concerned, coming out with new and exciting products. Very concentrated expansion, which we are not looking at numbers, but a very productive expansion. V ery, very focused intervention as far as marketing initiatives are concerned to create better awareness about the ranges and about the brand.

So all these actions will definitely help us. And as a country, the future looks very bright. It is just a question of passing or going through this phase. And then the recovery will definitely happen.
Nihal Mahesh Jham : Sure, sir. So the second question was on margin, with two parts to it. The first is that it is now four quarters since our margins have been higher than the guided 19% to 21% range. And we obviously have currently the visibility of how our raw material is. And despite in Q4, was mentioned that we are planning to step up IT costs. At least in this quarter, that is not visible. So how to look at margins as a whole for the remaining year or is this a structural step up?
Second part is that when we are seeing such a strong margin environment, does not it make relevant sense for us to invest a decent portion of it back into improving demand, rather than expecting for the overall macro to improve and drive growth?
V. S. Ganesh : Okay. So two aspects. We are very comfortable with the 19% to 21% margin. So, of course, there are some expenses , sometimes it is a question of timing, in certain quarters , the expenses can be higher because of payment dues or as far as projects are concerned, including IT expenses. But generally, we have been controlling costs without touching price and protecting margins. So it is not easy to do that , because it is continuous work on improving our operating efficiencies and making prudent investments.
We will continue to focus on that. As far as the second part is concerned, I fully agree with you. While we are controlling expenses, we are not controlling investments because our long-term outlook is very, very positive.
And therefore, be it the strategic investments in the IT side, be it on the distribution management system, SAP S4 HANA, or expanding capacities by way of new plants which are coming up, one in Odisha and one in Karnataka, coming out with new product ranges and investments in

R&D, this will definitely continue unabated.
And that is because we know the medium -term, long -term story is going to be very positive for us. And we will continue to stay invested. So to answer your question, yes, we will control expenses. But we will continue to make aggressive investments , which are prudent for the business.
Nihal Mahesh Jham : Got it. So the 19% to 21% range stays for the margin as of now.
V. S. Ganesh : Yes.
Nihal Mahesh Jham : Thank you so much. I wish you all the best.
V. S. Ganesh : Thank you.
Moderator : Thank you. The next question comes from the line of Gaurav Jogani with JM Financial. Please go ahead.

Gaurav Jogani : Thank you for the opportunity. Sir, I will just follow up to the earlier part of the question. If you look at the gross margin expansion, it is the gross margin which is seeing a very sharp expansion and flowing through the EBITDA line. So if you could hel p us out, what is leading to this gross margin expansion really, and how much of this is sustainable going ahead as well?
V. S. Ganesh : Deepanjan, will you?
D. Bandyopadhyay: Yes.
V. S. Ganesh : Yes.
D. Bandyopadhyay: So, on the gross margin, while we compare the gross margin year- on-year, definitely, there is a sharp expansion, which is more of a reflection of the sewing efficiency over the years. So, we have been f

ocusing on improving the sewing efficiency year -on-year for the last two years a or three years. And that is what we saw that the increase in efficiency, more specifically, the labor cost per minute. So that has reduced as a part of the product component. So that is what is reflecting on year-on-year increase in the gross margin. But if you look at the sequential gross margin, that is Q4 last year versus Q1 now, there is not much of a difference in the gross margin.
And the gross margin that you receive now is largely sustainable, and tha t will continue.
Gaurav Jogani : Okay. So generally, there is some variation in the gross margin on a quarterly basis, I am assuming, because of the interplay between the subcontracting expenses and the gross margin.
So anything to read there? Because the employee costs this quarter around increased a bit sharply.
D. Bandyopadhyay: No, not much of a subcontracting part, while productions have slightly increased when we compare to the previous quarter, that is Q1 2025, there is an increase. But I think the major reason is the labor cost per minute has reduced over time. And that is re flecting in a sharper gross margin when we compare year-on-year.
Gaurav Jogani : Got it.
V. S. Ganesh : So sorry, Deepanjan, the employee cost increase is also because of the normal increment cycles.
D. Bandyopadhyay: Yes, which is more a Q1 phenomenon. But when we are comparing year-on-year, then the impact on gross margin is more because of the efficiency, which we have realized.
V. S. Ganesh : Correct, correct.
Gaurav Jogani : Sure, sir. That is helpful. Sir, my second and last question is with regards to if you look at the overall volume growth for you, and I am not talking about just the last one year - two years. But even if you look at a five year CAGR basis from the pre -COVID levels, the volume growth has really been in that high single -digit number only.

So apart from the recent slowdown in the demand environment, is there anything else, like competition from certain other players, not only the listed ones? Like, Tre nt now have seen very sharp increase in their innerwear sales. So is it there is some share loss, do you think, that is happening that is leading to the slower growth?
V. S. Ganesh : Karthik, I think you will be the best person to --
Karthik Yathindra : Yes. I mean, yes, I mean, we will have to put multiple things together to, in a way, respond to that. At a consumer level, yes, there is a possibility. But all the new entrants that you have spoken about are largely operating in the organized retail. Our t rends, for instance, are in the form of private label, as far as innerwear is concerned, which has not directly come in play in the channels that we operate in.
In fact, our observation as far as competitiveness is concerned for Page, we have seen multiple brands exit the general trade channels in the last year or two years. When compared to what it was immediately after the pandemic, the intensity in competition has kind of become easier now.
We do not know what the future holds, but as we stand today, that is how it is moved, with

regards to competition in some of the core categories that we operate in.
Gaurav Jogani : So Karthik, just to follow up, I mean in which segment are you seeing that pressure more? Is it the men 's innerwear, women 's innerwear, or the athleisure? Which segment are you seeing the intensity more?
Karthik Yathindra : No. So see, as a brand today, we cannot identify one other brand with whom we compete with. That is because of the nature of business for Jockey and in a way work with multiple consumer segments as well as multiple product categories. So a competition, to have a view on that, we will have to first break down Jockey into multiple parts and then look at who is competition there. And when we do that, there are players in all the area

s that we operate in. It is just that they are not common.
So for men's innerwear, there are different sets of competing brands which are very different from who we compete with for women's innerwear. Similarly, for athleisure. But intensity overall, from what it was about three years ago, is actually a lot better now in the marketplace.
Gaurav Jogani : Okay, sure. Thank you, Karthik. That is all from me.
Moderator : Thank you. The next question comes from Devanshu Bansal with Emkay Global. Please go ahead.
Devanshu Bansal : Yes, sir. Hi. Thanks for the opportunity. So the volume has grown by 2%, but RM cost in absolute terms has declined by 8%. This actually implies that RM cost per piece has actually fallen by 10%. And this is a trend that we are seeing since the last couple of months. So wanted to check what is driving this. And pardon my ignorance, but I wanted to confirm this labor cost would be sitting in employee cost, right? So gross margin, if there is a lower cost of sewing from

a labor perspective, then it would sort of aid your lower employee cost, right, not the gross margin. So throw some light on that.
D. Bandyopadhyay: No, let me clarify that. So when you speak about product cost, product cost is naturally, since it gets into the inventory cost and cost of things, we capture three components in product cost, which is my raw material cost, labor cost which is cost of prod uction, and related overheads, factory overheads. Combination of all these figures into my product cost.
So that is why when we say that the labor cost per minute has reduced, so this is because of the improved efficiency. It gets into my inventory cost or the product cost. So that is why any changes in labor cost per minute and the related overheads does impact my inventory cost.
So that is why what we are seeing now is that, yes, the raw material cost has not reduced. It has remained stable over the last few quarters. The effect of higher efficiency, the sewing efficiency, is what reflects in my manufacturing cost, of which labor cost per minute is a component. So the higher efficiency is what is reducing my product cost. And that is what we meant.
Definitely, as from a P&L perspective, employee cost is a separate line. But product cost captures all this thing. And over time, the way the labor cost per minute plays out, that does impact our product cost as well.
Devanshu Bansal : Sorry, I got confused from your last sentence. So this reported P&L that we see, the employee cost is including the labor that is employed in your factory. Is that the right assumption?
D. Bandyopadhyay: Again, P&L is a financial expenses or income presentation. The employee cost, which include wages, is definitely an expense item. Hence, it comes out separately. But at the same time, when you say product cost, it also includes the entire manufacturing cost component. So manufacturing cost is three factors, raw material cost, labor cost, and related overheads.
Devanshu Bansal : Fair enough. So this 41% cost that is there, what does that include which is seen to us in the P&L?
D. Bandyopadhyay: It includes all the three components. Whenever you speak about product cost, it includes all the three components.
Devanshu Bansal : Understood. And secondly, just to follow up on Nihal 's question, so you are targeting double - digit growth. But as of now, because the average has been about 5%, so current demand environment is sort of indicating a 5% kind of a trend in terms of consumption. Is that the right number?
V. S. Ganesh : Very, very difficult to predict this, Devanshu, because it is very volatile out there. It is anybody's guess with so many geopolitical things happening, tariff pressures. Now we see a lot of pressure in the IT sector.

So we have to wait and watch a

bout this. So it is anybody's guess. But as I told you in the opening commentary, we have been seeing month-on-month improvement. May was better than April. June was better than May. So that gives us hope. And one is because maybe because the market is slowly improving.

Second is because of all the initiatives we are taking.
Devanshu Bansal : Understood, sir. And last question from my end. Sir, distribution from general trade perspective, over the last three quarters - four quarters has remained at 1,10,000 odd outlets. So what is your target performance here for this current year? That is the last question from my end. Thank you.
V. S. Ganesh : Karthik.
Karthik Yathindra : Yes. So Devanshu, actually, we have expanded in the last couple of years as far as distribution is concerned. Of course, we had reached 110,000 immediately after the pandemic, because a lot of non-traditional hosiery outlets were in a way tapped into retail Jockey products, which was rationalized thereafter in 2023. But thereafter, year -on-year, we have been adding anywhere between 8,000 outlets to 9,000 outlets per year. The target we have taken upon ourselves this year is also in the similar range.
Devanshu Bansal : Fair enough, Karthik, sir. Thanks for taking it.
Moderator : Thank you. The next question comes from the line of Videesha Sheth with Ambit Capital. Please go ahead.
Videesha Sheth : Yes, hi. My first question again was on the revenue growth bit. Two parts to it. One was that which part of the portfolio dragged the volume performance , was it innerwear -led or was it athleisure -led? And the second bit is, while you have indicated that no pricing changes have been made, feedback from the channel suggests that some hikes have been taken in part of the menswear portfolio. If you could clarify on that, please.
Karthik Yathindra : Thanks for the question, Videesha . We do not share category- level performance, but I would say that innerwear as a portfolio has been a bit more muted in terms of retail consumption when compared to athleisure in the bygone quarter. Not a big difference, but still a difference between the two. With regards to price increase, there has been no price increase taken. There have been a few changes made more to correct the ladder of our portfolio, which we would not really account to as price increase, which has had an effect of about 0.3 percentage points, 0.4 percentage points overall, if you look at it at a brand level. They were essentially price ladder corrections that were taken in a few steps.
D. Bandyopadhyay: And this was also affected in the last quarter, not this quarter.
Karthik Yathindra : Not in this quarter. This was actually affected towards the end of quarter three last year.
Videesha Sheth : Okay, got it. And the second question was, again, a follow -up on margins. Are these digital or IT spends that you are talking about going to be back-ended, which makes you retain the margin guidance? And also, what were the ad spends during the quarter?

D. Bandyopadhyay: So answering the second question, ad spend has been around 3.5%, which is slightly lower in this quarter. But I think for the entire year, we will still be in that 4% to 5% range. So definitely, the benefit of lower ad spend is affecting the margin to some extent. Regarding margin, can you just repeat the first question?
Videesha Sheth : Yes, the first one was that the digital or IT spends that you are talking about, are they going to be back-ended as well, which is making you retain the margin guidance?
D. Bandyopadhyay: No, no, these are actually --
Videesha Sheth : One is, of course, the ad spends as well that you talked about, that they will be higher.
D. Bandyopadhyay: Yes.
Videesha Sheth : Okay.
D. Bandyopadhyay: No, the digital and IT spends are based on the accrual concept, as and when we are incurring it or as and wh

en the contractual liability starts, we do account them. So there is no back ended accounting of that.
Videesha Sheth : Got it. Fairly clear. And just a third question, if I may. In context of this Jockey Groove launch and focus on younger consumers, given that younger consumers are relatively less brand loyal, what gives you the confidence that they will display the simila r stickiness as your older consumer cohort? That is all from me. Thanks.
Karthik Yathindra : Good question, Videesha . I do not think the expectation is to have a similar stickiness as the older consumer. The way JKY Groove has been conceptualized itself is to have more frequent changes. It would be a fashion line, a very, very tight, limited line . But having complete change in the styling and design season after season, much like how many fashion brands operate. So that is still going to be a part of the portfolio, addressing this particular consumer. So we are not expecting stic kiness to a certain product. But as long as the other consumer can come in and experience JKY Groove and come and find something new every season within that particular collection, that is the intent.
Videesha Sheth : And this product line is largely outsourced or manufactured in-house?
Karthik Yathindra : Both. So it is not specifically designed to either be outsourced or manufactured. It could be a combination.
Videesha Sheth : Got it. Thanks a lot. All the best.
Moderator : Thank you. The next question comes from Ashish Kanodia with Citi. Please go ahead.

Ashish Kanodia : Yes. Thank you, sir. The first question is on the growth statement, which were made like May being stronger than April, and then June being stronger than May. Just wanted to understand that

like, across the quarters also there are some quarters which are stronger and then there are some quarters which are relatively weaker. So typically, is this a phenomenon you see across the years that month -on-month, as you go from April to June, there is a month-on-month improvement or was this the first time you are seeing this trend?

Karthik Yathindra : See, there is no specific pattern. Obviously, quarter-on-quarter, the contribution to the overall number varies, but in terms of growth rates, there is no specific pattern. Last year, that is what we experienced. Quarter one for us was slower when compared to the subsequent quarters in the year. As the year progressed, our performance, both at a retail level as well and also at a primary level, improved for us.

This year, we do not know. We have seen that within the quarter till June. It is also largely to do with a very muted April because of the festive impact. We have seen recovery in May and thereafter further recovery in June. So as of now in the quarter, that is how it is been. And if I take last year as a trend, yes, we have seen improvements quarter -on-quarter for the year as the year progressed.

Ashish Kanodia : So, Karthik, let me put it this way, right? When we look at the full quarter number, there is a 2% volume growth, right? If you look at April, May and June on a Y -o-Y growth versus last year, right, how different the growth profile would be? I understand, April could be maybe meaningfully different because of the early festive. But when you look at May and June on a Y - o-Y growth basis, was the trend very similar or was it different? And similarly, is like are you seeing any uptake in July or is July also ki nd of very similar to what you have seen last quarter?

Karthik Yathindra : So I cannot comment on July yet. So I will keep my comment to the quarter. So if you just look at it from a number point of view, last year, we had reported about a 4% revenue growth in quarter one. By the time we ended the year, it was about 8% - 8.5% for the whole financial year of FY '25. And that is where I said that the performance improved quar

ter-over -quarter. It is a similar pattern we have experienced in quarter one alone. I am not sure whether that is a reflection of what we wil l see in quarter two and quarter three. I will retain my comment for quarter one where we have seen a positive trajectory month-over -month.

Ashish Kanodia : Well, maybe I will take that offline. The second question is in terms of the earlier discussion around margins, right? Now, when I look at one, the EBITDA margin, you have a positive tailwind on the EBITDA margin. Even gross margin side, at least on the efficiency side, when you talk about improving efficiency, it looks like a structural advantage, right? That this benefit should continue. So in that context, for example, you talked about the correction in price product ladder, which had a positive impact, right, 0.3% - 0.4%.

As a brand, why not take a price cut or a price correction at the entry level price point, right, not across the portfolio, because at the entry level, if you take some price correction, it basically helps the brand to gain market share because the pricing difference between a, say, a lower brand product versus Jockey's entry level product , becomes slightly lower, right, and at least your

margins could easily support that. So from a strategy point of view, why is that not a thought process?

D. Bandyopadhyay: I think --

Karthik Yathindra : Yes, go ahead, Deepanjan , please.

D. Bandyopadhyay: See, there are two parts to this question. One is definitely the operating margin and whether it is right to reduce the price. Operating margin, I mean, we are in the range of 19%, 21%. Of course, it has been a bit higher in last few quarters. But as we have been telling and that is what is likely to happen, the subsequent quarter that we see, I mean, as we see, the margins will be within this range of 19% - 21%. This heightened or the increased margin of 21% plus is unlikely to be sustain ed. So we will come back within this range , more because our marketing spend will be in the range of 4% to 5%. And as we go ahead, our IT spends will be slightly on the higher side. So considering all these factors, it will be coming back within the range of 19% - 21%.

Coming to your question of why not price reduction to take advantage of the market, see, we as a brand all along have stood for value for money. And we are focused always on driving value to the consumer. So the kind of products or features that we provide in our products, our prices are very much in line with those features. So we do not see a requirement that by reducing price simply to capture the market share, our value proposition will be enhanced or will be affected. So we will maintain our value proposition and towards the same objective, we do not see any

requirement of price increase.
Ashish Kanodia : Sure, Deepanjan . That is helpful. Thank you. That would be all from my side.
Moderator : Thank you. The next question comes from the line of Sameer Gupta with India Infoline. Please go ahead.
Sameer Gupta : Thanks for taking my questions, sir. And I know it is been asked by many participants, but just on this volume growth number. So 2% versus 8.5% last quarter, I understand that you mentioned the reasons as subdued consumer sentiments and festive timing mism atch. But frankly, we have not seen such a slowdown for any other retail company so far which have reported. Plus, you mentioned innerwear has seen a slightly more subdued and this is a more staple category. So, just wanted to understand a li ttle more in granular detail. Any study or handle you have as to track brand relevance, whether those aspects are healthy , channel wise, if there is a problem, is EBO growing much faster than the GT channel? Any color that you could give additionally to what you have already given.
Karthik Yathindra : Sure, Sameer. Thanks for the question. I think it

is probably the first thing on our minds as well,
right? So, in terms of brand health and relevance for men's innerwear as well as women 's innerwear as a category, brand score seems to be still at an all -time high. Just to get you in on the details, right, our top-of-mind awareness for the brand for men stand at about 55% and for women at about 36% - 37%, which has been the highest that it is ever been.

More importantly, we track a metric called MPB which is Most Preferred Brand. It is a general brand management metric where for me n Jockey is at about 55% and for women, it is about 45%. Again, an all -time high that it is ever been since the time we have been tracking it. So, we do not have indications of the brand losing relevance amongst what we define as our target audience. In fact, the brand score seems to be on a high. This is through syndicated research. Also, from anecdotal research that we collect when we speak to retailers on the ground, this is multi-brand retailers, as well as the information that we have on system, on record as far as our EBS stores are concerned, there is a marked drop in consumers at the store level.
That is what we have seen both in a multi -brand scenario as well as an exclusive brand scenario. And that is the reason we kind of push to attribute this more to the consumer level. And of course, the growth that are seen today is being aided by expansion. B ut at a consumer level, there seems to be stress at this point in time.
Sameer Gupta : Got it. Any difference in the MBO versus EBO growth rate?
Karthik Yathindra : No, at a like -to-like level, there is no difference. Of course, when you add in expansion, we have been adding about anywhere between 140 EBS to 160 EBS year- after-year . And hence, we have seen better growth rates overall as a channel. But if that were to be discounted and looked at a like-to-like store level performance, MBOs and EBOs seem to be performing in a similar manner, but there is a definite difference in performa nce between offline and online. Online seem to be growing a lot more robust and healthy when compared to offline.
Sameer Gupta : Got it. Second question is on the JKY Groove, the new launch product. Now just wanted to understand the thought process here. Is it coming after a feedback from the trade channels ,
because see, Jockey, as we know, is known for comfort and fit. Fashion is a different ballgame. It increases the risk of provisioning on inventory, dead stock, etc., and the competition here is much more intense versus your normal Jockey products, which stand for, as I said, comfort and fit. Also last year, we had experimented with jeans that have seen a limited success. So what exactly is the thought process behind launching this product?
Karthik Yathindra : Great question, Sameer. Thanks for the question. This is not a feedback from GT, not a feedback from retailers for the need for this. This is more to look at spaces for extending product portfolio within the brand ambit. That is where this is coming from. As you know, you have been following the brand over the years. We moved from innerwear to sleepwear, sleepwear to loungewear, loungewear to athleisure, athleisure to OneMile wear. We have also entered the performance activewear and we have seen large portions of success in all of these areas that we have gotten into. This is another space within apparel as a category and the apprehensions that you have are the apprehensions we have as well and that is the reason we have not gone out for a full-fledged launch from the get go.
What we did this quarter was more of a pilot just to understand how this space operates and whether there are going to be risks like you had mentioned. So this particular launch was

contained to just about 50 EBOs in the country and jockey.in and o

ne other platform on e -
commerce , just to assess what the response is going to be and also track business metrics in terms of turns, in terms of inventory, in terms of redundancy, etc. , and this was launched about mid-May.

So, as I am speaking to you, we have about 75 days of t ertiary data compared to the primary that we made and/or the products that we made and hence, sell through information. So far, the performance has been really, really good and promising. That being said, I do not think tomorrow, this will become the mainstay of Jockey or the face of Jockey or we will expand straight away to 50,000 outlets - 60,000 outlets. That is not the intent.

We will spread this area cautiously, look to expand in a methodical manner, season -after -season until we get a hang of this, get a clear understanding of what it means to business and how it affects our metrics. But it is an opportunity for us to talk to the younger audience. It is an opportunity for us to extend ourselves into a new space. That is how we are looking at it.

Sameer Gupta : Great. This is really, really helpful, really detailed answer. Thanks for this. One more question, if I may squeeze in. This is specifically on the international business. Now, we have had these territories, Middle East and Bangladesh, Nepal, Sri Lanka, etc. , for many years now. But we have not seen anything meaningful happening on the international front. It is still sub 5% as a percentage of sales. What is the thought process here? I mean, are you limited in terms of bandwidth to explore wat ers outside India? I mean, how do you look at it?

Karthik Yathindra : Honestly, I think for many years now, the focus has been India. India has been writing the growth story for Page, not just for Page, for any category you look at across brands. And I think it continues to do so. The promise that India gives is there. It is intact and we are very, very committed to building the business here.

But about a year, year and a half ago is where we have actually consciously invested in infrastructure as well as resources to dedicatedly handle our international geographies. Now, some of these geographies are strategically not being entered into for rea sons. But the areas that we have entered into, like we look at Middle East or Nepal, these are areas where infrastructure efforts and investments have been made in the last couple of years.

We have invested now a lot into research and market understanding so that we can, in a way, get back into these territories with a new niche, so to speak, right, and look at it with all intent now that we have invested in that geography. So, yes, at this point in time, it is a very small contributor to the overall revenues of the brand. But we are seeing opportunities in each of these geographies to grow and contribute in a meaningful manner to the overall revenues of Page. So we will see change in this ar ea this year and the next year onwards.

Also, the entry into these areas has a long gestation period for us to actually launch or re -launch the brand to make it a success and have meaning in that business. And that is why you are seeing

that lag. But ye s, when we do choose to move in there and build the brand meaningfully, that time we will start seeing results.

Sameer Gupta : Any target you have internally or whatever you can share as to what kind of contribution it should have, let us say, in five years from now?

Karthik Yathindra : No, I do not think we are targeting from a contribution point of view. Internally, there are independent business plans at a country level. That is the way we are looking at it based on the potential that the country throws at us, rather than looking at it as a contribution metric to the overall business.

Sameer Gupta : Got it. This is helpful. So , thanks , again. I will come back in the queue for any follow -ups.

Moderator : Thank you. The next question comes from the line of Ankit Kedia with PhillipCapital. Please go ahead.

Ankit Kedia : Sir, my first question is on the manufacturing cost. If you look, the volumes have been low in the quarter. So did we get some benefit out of that, given that the manpower cost would have been low, apart from the efficiency gains you are talking of? And by the end of the quarter, if the volume increases, say, by the end of the year, will we get leverage on that front or it will be in line to the sales or volume growth?

D. Bandyopadhyay: No, definitely. I think there will be a benefit coming from manufacturing efficiency. There are two parts to it. If the volume increases substantially, and that is what we are hopeful, that volume will increase in the coming quarters. So with increasing sa les volume, there will be a requirement of increasing the production, and maybe the requirement of recruiting more people will also come in, though efficiency is increasing. So if there is more recruitment of workforce, then the benefit of higher manufacturing efficiency will be, to some extent, diluted. But if you continue to leverage the existing workforce and produce more, then the benefit of further manufacturing efficiency or overabsorption of overheads will flow into the manufacturing cost.

Ankit Kedia : Sure. And, sir, from the Odisha plant, we had some benefits from the state government. While we had filed it today, did we see some benefit of that also flowing? Because on the manpower front, we have some thousand manpower out there. So I do not think we are running at even half

the capacity today. So how do we see that ramp-up coming in? And if the volume growth is say to a little bit high single -digit, when do you think the full capacity utilization of Odisha can
happen? Given that we have set ourselves an Rs. 8,000 crore target, and this is a new plant, and another plant is expected to come in a year's time. So can both the plants be absorbed for the Rs. 8,000 crores of target you have set yourself or is these two plants for very long term in the future?
D. Bandyopadhyay: So both or even from our plans of expansion in the next few years, both these manufacturing facilities will be fully up and running. And also for a significantly longer term where there is more production requirements and more sales requirement, this will be good addition to our total capacity. At the same time, the Odisha facility as well as the new upcoming KR Pet facility, they

are much more modern, much more I would say technically and even from sustainability perspective, it is a much more modern manufacturing facility. So that also helps.
From the Odisha subsidy part of it, it is a bit early now because that is what the plan is while we have just started operations, the subsidies typically starts flowing in only from beginning of next financial year, nothing will flow in this year. So it is a bit early now.
Ankit Kedia : Sure. And my last question is for Karthik. Karthik, you said you did an external study where the footfalls were lower at the MBO and EBO level. In the study, did you see a retailer like a Zudio is gaining share in the innerwear category? Or the study was only for innerwear, where you
would have seen that overall growth is not there, and probably some of the innerwear brands exiting the market in the MBO channels, but value fashion retailer gaining significant market share in a category which is not your competitor overall?
Karthik Yathindra : Yes. Thanks, Ankit. No, it did not come out clearly in the study to be honest. And also from a price point at which the brand that you mentioned operates in, it would, I would imagine come directly and compete with some of the economy brands that operate in that price point. Both in terms of product quality, the spec as well as price point, I do not believe that would

directly compete with or will be comparable with Jockey as a brand that we operate in.
Of course, channel also is a play because for us, largely in the general trade and exclusive brand stores in the offline space where we operate whereas that would operate like any other private label so to speak. So, yes, I mean I do not have a clear answe r to say yes or no, there is a possibility, but I am not sure whether that is what happened over here.
Ankit Kedia : And when you say the innerwear got impacted, how was the growth in the modern classic category of men' s innerwear? Because that pricing would be similar to the retailer whom we are discussing. So is modern classic growth more muted compared to P1, P2 category for us?
Karthik Yathindra : No. So interestingly, across price points, we have seen consistent performance in the bygone quarter. And specifically to the comparison, even modern classic will be priced premium when compared to the player in question here.
Ankit Kedia : Sure. That is helpful. Thank you so much, Karthik.
Karthik Yathindra : Thank you.
Moderator : Thank you. The next question comes from Prerna Jhunjhunwala with Elara Securities. Please go ahead.
Prerna Jhunjhunwala : Hello. Thank you for the opportunity. First, I would like to understand the growth in the various channels. As you mentioned that, the MBO and EBO channel growth was similar and D2C continues to grow. What I was trying to understand is what restricts the physical distribution channel on growth apart from retail environment not being that great as mentioned earlier. Is there any challenge on footfalls or in terms of attracting customers to the stores? I mean, just

trying to understand, what is restricting the distribution channel growth, whether it is EBO or MBO.
Karthik Yathindra : Yes. So like I said, whatever growth we have posted this year is on the back of expansion in a way. So where the growth is being muted is at a consumer level, like -to-like. So that is where it is being attributed to walk-ins or consumption being subdued this bygone quarter. But otherwise expansion in terms of number of doors, in terms of presence has definitely gone up when compared to last year same quarter and also gone up within the quarter from March closing to June. So that in terms of efforts or inputs is on. We continue to expand, but where we have seen a stress is largely at a like -to-like growth level.
Prerna Jhunjhunwala : And I understand that you are doing a lot of product innovation. But apart from that, any customer engagement activities that you have ramped up? Could you give some instances over that that could help us understand it, okay, the future growth rate should be much higher than what we have seen in this quarter?
Karthik Yathindra : Yes. We have a very robust marketing plan in place like we do every year in terms of

strengthening brand with clear actionable call outs to make sure that we are able to drive consumption. That is how we are approaching this year as well. And over the last three years, our investment in marketing has gone up year- after-year and today, we operate anywhere between 4.5% to 5% in terms of investment in marketing. And that is the kind of investment that is going in as well this year.

It is just that in quarter one, largely owing to timing and how the sporting calendar is out, we are seeing a muted investment in quarter one. That is because last year, we participated in the World Cup campaign, which happened to be in the month of June. And hence, we are seeing a difference over there as far as this year is concerned. But otherwise, when you look at it in totality, full year to full year, we have a solid marketing plan in place, backed with adequate investments for us to activate consume rs.

Prerna Jhunjhunwala : Okay. And my second question is on GenZ, a younger audience product category that y

ou have launched in JKY Groove . What is the current distribution reach that you have reached in that product category?

Karthik Yathindra : So like I said earlier, the --

Prerna Jhunjhunwala : And where would you want to reach by the end of this year?

Karthik Yathindra : Yes. So I think we will have to take it one month at a time, one quarter at a time as far as this collection is concerned , because like I said, it is a test at this point in time. We need to see how it performs. The pilot itself was launched in 52 exclusive brand stores to be precise, as well as jockey.in. That is the level of presence that it had. It was not extended to the general trade market in the first season.

We wanted to keep it really tight, that we have very clear understanding of the sell throughs, as well as who is buying it. And it was a line of about 14 different products, plus colors and sizes, to also get a sense of what is appealing to this audience w hen it comes from a brand like Jockey. So at this moment, it is a very, very contained distribution. But as we go forward, as we learn more about this space, we will gradually increase its presence in the country, both across exclusive brand stores, as we ll as multi-brand retail.

Prerna Jhunjhunwala : Sir, my last question is on women and athleisure categories. Your annual report talks about these categories being your focus going forward. Could you just help us understand, what will be the key initiatives that you plan to take this year to improve the growth rate in this category?

Karthik Yathindra : I think largely it is going to be product, in terms of what we will see in terms of introduction in the portfolio in these two areas. We are going to have a completely new range a new range of elevated premium products coming in as far as the women’s innerwear space is concerned. It is just in a way going in now, just in time for the festive season and that is going to be one of the key pillars for us.

Also, in the athleisure side, we have done a lot of work in upgrading and elevating our existing products in terms of features, in terms of fits, to make it a lot more modern than what it is today to suit the younger consumer, at the same time, not alienat e our existing loyal consumer set. So that is been a massive exercise that the product team has undergone with every product that is currently in the portfolio.

And then, of course, Groove is going to be a pillar when it comes in season two. And then there are a few initiatives, which I cannot give away too much at this point in time for all of our benefit, but that is something that is planned sometime in quarter three of this year. So, a large portion of focus, which is disproportionate in this area when compared to the other categories is going to be on product enhancement.

Prerna Jhunjhunwala : Understood, sir. Thank you. And last question will be on inventory. What is the status of inventory levels for athleisure? Has it started declining as mentioned in Q4 call? There was a difference of around 7 days, as you mentioned, between the inventory.

Karthik Yathindra : At the partner level is what you checked, right?

Prerna Jhunjhunwala : Yes.

Karthik Yathindra : Yes. So we are seeing a decrease month -after -month as far as inventory days are concerned at a partner level. I think I had mentioned the last time as well, as far as innerwear as a portfolio is concerned, we are already where we want to be, which is our optimum inventory level.

Outerwear still has, like I think I would mentioned this last time, we will be taking the whole of this year, at least the first three quarters for us to reach an optimum level. But I do not believe that is holdin g us back in a big way in terms of performing both in terms of primary and secondary.

Of course, freeing up that le

vel of capital at the partner level will help us introduce more relevant products for those markets, which should again help us in better secondary sell -throughs. But yes, it is a phase that we will need to live through, and I am hoping that in the next couple of quarters, we should be able to reach optimum levels with outerwear as well.
Prerna Jhunjhunwala : Thank you, sir. That is really helpful. All the best.
Moderator : Thank you. The next question comes from the line of Tejash Shah with Avendus Spark. Please go ahead.
Tejash Shah : Hi, thanks for the opportunity. And I have joined a bit late, so sorry if this question has been asked in any form before. Sir, we are now at the scale where macro trends dominate performance. And then we are seeing this in many other category leaders also across consumption space. Now one possible solution that we have seen off late is that to create a portfolio organically or inorganically within the larger portfolio of low index categories or brands.
Now since the brand vector is not with us, brand extension is the only lever that we have. And we have done many launches also in past with perhaps not with this mindset alone, but we have seen in many category extensions. So are there any bright spots in the portfolio clearly outperforming the average? And when you do the sum total, you can say that 20% - 25% of our overall portfolio is growing way above what the company is today delivering number.
Karthik Yathindra : Tejas, thanks for the question, right? But this is the function of the lifecycle in which that particular space within the portfolio is at. So definitely, there are going to be areas within the portfolio, which is outdoing the average. It is got to do with what stage of the lifecycle is that portfolio at and it is also got to do with how we cut the portfolio. So I can straightaway say, for example, accessories is a portfolio where we sell socks, towels, caps, handkerchiefs as a portfolio is outdoing the brand average by a big margin. That is also because it is in a nascent stage.
It is not completely fully distributed to the extent that we would like it to be, and hence there is a lot of inorganic opportunity for growth which is sitting over there. Further, if we had to dissect each of our portfolios further, right, let us say within men's innerwear, if you have to break it down further, or within women's innerwear, if you have to break it down further, either in the form of product types, either in the form of collections, either in the form of material groups, you will find parts of the portfolio that is outdoing the average, all of which are in a way opportunities for organic growth.
That is also because unlike FMCG or the number of SKUs that we deal with, which are truly differentiated from each other, either in the form of fit or product type or material or price point, there is opportunity for us to grow. So, yes, there are many par ts within the portfolio today, which is far outdoing the portfolio average and leading that inorganic agenda for us.
Tejash Shah : Yes. And sir, JKY Groove, though it is actually kind of extension of what we just spoke about, but launching it just in 50 EBOs and only in our portal, what markers will actually give you

confidence from such limited launch actually will give you confidence to roll it further? And just wanted to know that is it like targeting a certain category of audience at the price point, because I was just looking at the site, it is largely priced below Rs. 1,000, and with some fashion risk element also in the product line. So broadly, just wanted to understand your view on here.
Karthik Yathindra : Yes. So I think, I responded to a similar question just before. The markers that we are looking for is firstly consumer acceptance, because it is new for Jockey as a brand. Secondly, we are having a lookout for who

is actually shopping this. Is it the existing Jockey consumer who is shopping this or are we attracting new consumers into the brand by making this available? The third is to see inventory turns itself and sell throughs, right? We had a certain plan. Obviously, because of the number of stores that we had planned for, we had planned limited quantities, but keeping in mind the number of stores, and hence store level performance of sell throughs is a very good indication of how things are happening. We are also keeping an eye because this is relatively high fashion when compared to what Jockey otherwise operates and what the kind of redundancy that is going to be left with at the end of the season. Are there anything that is going to be left at all? These are something that we are really looking out for so that we can build clear business metrics in this space before we can expand. And that is the reason it has been limited to the distribution that we have kept in mind. We believe it is sufficient width for us to get a clear reading of this part of the business. And then once we justify this to ourselves in terms of performance, kicking it would be relatively easier.
Moderator : Thank you. The next question comes from the line of Rajiv Bharati with Nuvama. Please go ahead.
Rajiv Bharati : Yes. Thanks for the opportunity. So, this is regarding JKY Groove. So this looks exciting. So the question is product market fit which you talked about. The way you offer this in trade channel, is that a marker to suggest that you have established the product market fit? And the continuation of that is the success of various launches, extensions, which we have seen over the years has gone down. How

does trade actually accept this kind of launches?
Karthik Yathindra : So see, there is already some level of inherent demand in trade for JKY Groove. We have been receiving a lot of requests from our partners in the general trade channels to extend the portfolio into their stores as well. Again, I am guessing this is because of the experience with which these retailers come. They deal with consumers on a daily basis. They have a fair sense of what will work with their consumers, what will not work with their consumers. Having considered all of that, if ther e is some level of latent demand for this, I am assuming that there is a market for this in general trade as well.
Whether we will consider it successful the minute it goes into general trade, I do not know. We have always taken a phased approach. We are taking the similar approach now. Even within our organized retail space itself, out of close to 1, 500 stores that we have, it was today this is only at about 50. So, there is a long way of expansion opportunity available here as well. And then, of course, general trade is a massive opportunity which is also there. Once we are able to establish the relevance of this product at this price point from this brand for consumers in that channel .

Then we will go after expansion to make it available in as many test points as possible so that more consumers can come and experience this particular brand, which will flow into business as well.
Rajiv Bharati : Yes. Thanks a lot, sir. And all the best.
Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing remarks.
D. Bandyopadhyay: So, thanks again. It was really wonderful discussing the Q&A with all of you. So I think with this, we can close the earnings call.
Moderator : Thank you. On behalf of Page Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

20 November 202 5
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange
1st Floor, New Trading Ring
Rotunda Building
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex
Mumbai – 400 051

Dear Sir,

Sub: Audio Recording and T ranscript of Investor call

We herewith enclosed the transc ript of investors call for the financial results for the Quarter ending 30 September 2025.
Audio recording of the investor call is available in the following link:
https://youtu.be/RFzUFWpyJ_I
This is for your information and records.

Thanking you,
Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary
Encl: as above

“Page Industries Limited
Q2 H1 FY '26 Earnings Conference Call ”
November 13 , 202 5

MANAGEMENT : MR. V.S. GANESH – MANAGING DIRECTOR – PAGE INDUSTRIES LIMITED
MR. DEEPANJAN BANDYOPADHYAY – CHIEF FINANCIAL OFFICER – PAGE INDUSTRIES LIMITED
MR. KARTHIK YATHINDRA – CHIEF EXECUTIVE OFFICER – PAGE INDUSTRIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Page Industries' Q2 H1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there

will be no opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on
your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you, and over to you, ma'am.
Purvangi Jain: Good evening, everyone, and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the second quar ter of the financial year 2026.
Before we begin, a quick cautionary statement. Some of the statements made in today's earnings conference call may be forward -looking in nature. Such forward-looking statements are subject
to risks and uncertainties, which could cause actual results to dif fer from those anticipated. Such
statements are based on management's belief as well as assumptions made by and information
currently available to the management.
Audiences are cautioned not to place any undue reliance on these forward -looking statements in
making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under
review.
Now I would like to introduce you to the management participating with us in today's earnings
call and hand it over to them for their opening remarks. We have with us Mr. V.S. Ganesh,
Managing Director; Mr. Deepanjan Bandyopadhyay, Chief Financial Officer; and Mr. Karthik
Yath indra, Chief Executive Officer.
Without any delay, I request Mr. V.S. Ganesh to begin with his opening remarks. Thank you,
and over to you, sir.
V.S. Ganesh: Thank you so much, and good afternoon, ladies and gentlemen. I hope you can hear me well. Is
there an echo in the line, Karthik?
Karthik Yathindra: Yes, there seems to be a slight echo.
Moderator: Give me a minute, let me check. Mr. Ganesh, please proceed.
V.S. Ganesh: Yes. Good afternoon, once again, and sorry for that slight glitch. Welcome to the earnings call for the second quarter of FY '26. I'm joined today by our Chief Financial Officer, Mr. Deepanjan;
and our Chief Executive Officer, Mr. Karthik. Together, we wil l take you through the highlights
of the quarter .
I'll start with a quick overview of our performance, after which Deepanjan will walk you through
the financials in detail. After which, we'll be happy to take your questions. Overall, consumption
remained somewhat subdued through most of the quarter. However, we did see a good pickup

in primary sales during the latter half of September, supported by the start of the festive season
in early October. The GST rate reduction effective September 22 also had a positive rub -off on
consumption sentiment.
And we have passed on the benefits to consumers as applicable. Continuing our focus on
innovation, we launched men's innerwear and bras with bonded tech in September. The initial
consumer response for these ranges has been very encouraging, which gives us the confidence
to expand dis tribution in the coming months.
Modern retail continued to do very well, led by strong growth in e -commerce and further
expansion of our exclusive brand stores, which together outpaced general trade. Our efforts to
enhance operational efficiency while keeping product prices stable has helped us in maintaining
strong operating margins. Cost optimization, continued innovation and focused marketing
initiatives have all contrib

uted to a steady profitability.
For the quarter, we delivered a revenue growth of 3.6%, with profit after tax remaining flat. For
the first half of FY '26, revenue grew 3.3%, while the PAT was up by 9.7%. We also continued
-- we also continue to strengthen our consumer reach. As of the end of the second quarter, our
network stood at 110,636 multi -brand outlets, 1,527 exclusive brand stores and 1,962 large -
format points of sale.
We continue to lead across e-commerce platform, recording strong growth in that channel as
well. With these initiatives underway across the businesses, we remain confident about the
fundamentals and expect a steady growth trajectory in the coming quarters. We thank you once
again for your continued trust and support.
I will now hand over to Deepanjan to take you through the financial details.
Deepanjan B.: Thank you, Mr. Ganesh. Good afternoon, everyone, and welcome to today's earnings call again.
I'll now take you through the Q2 FY '26 results. So in Q2, revenue was INR 12,909 million,
which was a 3.6% growth year -on-year. Sales volume in the quarter was 56.6 million pieces ,
growing by 2.5% year -on-year.
EBITDA for the period was INR 2,795 million, which was a decline of 0.7% year -on-year.

EBITDA margin was 21.7%. EBITDA margin remained robust, aided by stable raw material costs, optimum resource utilization and focused marketing initiatives.
Product prices in the quarter remained unchanged. While inventory cost was relatively lower in the current quarter, year -on-year increase in employee benefit expenses due to increments and increase in headcount and higher marketing expenses resulted in sli ght reduction in EBITDA margin.
Hence, we saw a year -on-year decline in EBITDA. Profit after tax was INR 1,948 million, which was a marginal decline of 0.3% year -on-year. Inventory days was 67 days in the end of quarter 2 as against 64 days in the beginning of the year.

Net working capital was 50 days against 54 days at the beginning of the year. For the first half, revenue was INR 26,704 million, which is 3.3% growth year -on-year. Sales volume was 115.2 million pieces, which has grown by 2.2% year -on-year.
EBITDA for the period was INR 5,742 million, growing by 9.4% year -on-year. EBITDA margin was healthy at 22%, aided by stable raw material costs, optimal manpower deployment and cost optimization measures. Profit after tax was INR 3,956 million, which was a growth of 9.7% year -on-year.
We can now take up your queries.
Moderator: Thank you. Ladies and gentlemen, we'll now begin with the question and answer session. The first question is from the line of Sameer Gupta from IIFL Capital.
Sameer Gupta: Firstly, sir, last 6, 7 quarters, what I have noticed is that the volume growth performance has been extremely volatile. There has been a high of 11%, low of 2%. Now in a category in which we operate, demand -- generally end consumer demand is not thi s up and down.
And also now that we have implemented an auto replenishment system, primary and secondary also should be in line. So what then explains this kind of volatile performance? Are we seeing downstocking at retailer levels in the past 2 quarters?
Karthik Yathindra: Sameer, thank you for the question. You're right. At a stable scenario, we should not be seeing such level of volatility in volumes. However, the last 6 quarters that you have taken reference of, the whole of last year, as you are aware, was a year where w e were looking at consciously downstocking inventory at the partner level.
And hence, we saw some level of volatility between quarters. However, if you take the whole year as a reference point, that's probably a better indicator. That is one piece which, in a way, affects jump and drop in volume growth quarter -on-quarter.
The second is organization, what we report in our sales is largely o

ur sales to the distributor and who in turn service retailers both for EBS as well as general trade. And the D2C portion, direct -to-consumer portion of our business is relatively smaller i n contribution.
And hence, a lot of the business that we report is also heavily influenced by how the scheme calendar is designed for the whole year and accordingly, how purchase patterns vary between quarters by retailers. And these are the 2 main reasons why you see som e level of difference quarter -on-quarter in terms of growth. That' s mainly a baseline phenomenon.
But as we stabilize, which we have now, we will see a relatively lesser difference in volume growth based on these factors. However, external factors like market will always have an instance or an impact on how these growth numbers pan out. But all interna l factors w ill remain more or less stable.
And you're right, we've also, in a way, reached the stage where broadly our primary numbers are in line with our secondary numbers because the inventory levels are more or less in place where

we would like it to be. So what primary we report today are in line with our secondary and tertiary performance.
Sameer Gupta: Got it, sir. That's helpful. Second question, sir, I mean, as a company, you would have certain expectations of a particular growth. I'm not asking for a guidance, but given the size and category potential, is there a threshold of growth below which you're not really satisfied in terms of your own performance? And if there is, what would be that number? And how would you reach there from the current level apart from in general demand conditions becoming better?
Karthik Yathindra: Absolutely. So thanks for that question, Sameer. There is certainly internal guidance and targets that are set out as part of annual business plans that we chase, which in the first 2 quarters of this year, our actual performance are below par to what we'v e targeted. Our intent, I think I mentioned this in the past as well, is to reach a near double-digit growth in terms of performance

by the company. Our revenue performance has been subpar in the 2 quarters. Our business plans and initiatives too are intact.
Sameer Gupta: I'm sorry, Karthik your voice is muffling a lot and...
Karthik Yathindra: Is this better now?
Sameer Gupta: There's still an echo.
V.S. Ganesh: Karthik, there is an echo, I think, which is to do with the issues on the other end. Mr. Sameer, can you hear me well?
Sameer Gupta: I can hear you, sir.
V.S. Ganesh: Okay. So just to continue from what Karthik was saying, we do have robust targets and business plans. And the first 2 quarters, because of the market conditions, we couldn't achieve what we were aspiring for. But we are proud of the effort which is put in by the team.
And for us, as far as growth is concerned, it is definitely -- we do assess the TG, the potential which we have, the intensity of competition, and that is how we set targets. We firmly believe that double -digit growth is definitely around the corner, it is possible. It is a question of t ime. The demand should pick up.
And in the meantime, we are doing all that which is required from our side. to actually dominate the market, be it on the product side of it, be it on the operating side of the business to keep the cost competitiveness and also on the marketing side.
Sameer Gupta: Very well, sir. I'll -- that's all from me, I will come back in the queue for follow -ups.
Moderator: The next question is from the line of Avi Mehta from Macquarie.
Avi Mehta: Sir, you pointed to signs of demand improvement in September. My first question is, has that continued in the last -- in October until date? And how would you see FY '26 given the current demand environment? Because the first 2 quarters has been like 2% od d growth on volume. So I would love to understand how w

e should look at the pick up and the extent of the pickup?

V.S. Ganesh: Yes. Karthik, do you want to take that?
Karthik Yathindra: Yes. I just want to make sure that I'm being heard clear .
V.S. Ganesh: Yes, yes, it is clear, Karthik.
Karthik Yathindra: All right. Thank you. Thank you. So without commenting too much about quarter 3 as yet, the festive season has been slightly better than the initial parts of quarter 2 that we had experienced, and that's built up right through the festive season. So that's to answer t he first part of your question.
With regards to H2, I think the confidence that H2 will be considerably better than H1 is there.
Now to what extent is something which is difficult to answer and put a number to it. But given the trajectory of how the business is growing, purely from a growth rate point of view, we should see a better H2 than what we've experienced in the first half.
Avi Mehta: Karthik, if I may just, do you think there is potential to see probably reaching double digits towards the end of H2? Is that something that you believe likely given the current demand environment? And just a clarification, the festive, I understood, but post festive, has that strength sustained because some other companies have indicated there has been moderation. So I just wanted to understand for the category, how would it has been?
Karthik Yathindra: So we've not experienced moderation. What -- we saw a bit of a lull pre-fest. But since the start of the festive, it's been more or less consistent. It's not gone down to a null after festive. On the first part of the question, I think our endeavor is stil l to target for that number, and we believe it is doable and all efforts will be towards that.
Avi Mehta: Perfect. Perfect. Just the second bit was on JKY and the fashion segment, any update over there? How is that progressing? And last is a bookkeeping question. If you could share what is the capex plan that you would have for the year to the company?
Karthik Yathindra: Sure. I'll take the -- I take your question is on JKY Groove. I'll take that piece and then have Deepanjan come in to clarify on the capex outlook. With regards to Groove, we had planned 2 seasons for this financial year. The spring/summer season was an extreme success, much better than what we anticipated it to be.
Of course, our plans were quite muted in terms of scale because it was more like a pilot which we had introduced the range sometime in mid of quarter 1 with select distribution across about 50 stores and Jockey got it in alone. So as a follow -up to that, b ased on the success of the first season, we're going to be launching the second season in about 2 weeks' time.
So you will see the winter line of JKY Groove being launched very soon, backed with a campaign around it. Again, we are scaling, but not going the all hog. We would be operating anywhere between 150 to 200 EBOs with this line as well as e -commerce to get a better reading and learn from this before we scale further. Deepanjan, do you want to comment for the capex outlook?

Deepanjan B.: We plan to spend around INR 140 crores in FY '26, out of which in H1, we have spent around INR57 crores. So capex is largely towards completing the Odisha project and the K.R. Pet Part 2, that's what we call it. Odisha is largely done, but there are certain -- some capex is left out, which we'll be closing by the year -end. So that's the overall plan.
Avi Mehta: Sorry, Deepanjan, just on that capex , the reason why I asked is also to understand the incentives because you said you will be able to get some color over there. Do you think it's -- do we have the ability to give some color on the tax incentive or...?
Deepanjan B.: Yes. The way the incentive is structured, we will be eligible for incen

tive, especially in the wages and certain capital -related incentives that we'll be eligible for this year. But the realization will happen only next year. That's how the scheme of things are.
Avi Mehta: And sir, any quantum on that?
Deepanjan B.: Sorry?
Avi Mehta: Any any quantum or range for that possibly if you can.
Deepanjan B.: For the capex incentives, it will be around INR 50 crores over a year or so. Wages will be very small this year because we hardly have got 600 to 700 workers right now. It will grow from next year onwards.
Avi Mehta: And INR50 crores will come next year onwards, right, sir?
Deepanjan B.: It will all come next year. So this year, except certain stamp duty reimbursement, we are not going to get any realization of the subsidies in the current financial year.
Avi Mehta: Got it, sir. Got it. That's all from my side.
Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Sir, you must be monitoring a lot of data points. So I wanted to check which are the key indicators that help you to conclude that the lower growth is a result of weak demand and n ot because of market share loss? So can you help us better understand?
Karthik Yathindra: Both the things that we are talking about. One is in terms of the shelf share that we have in the general trade business from a competitive context. That is one. The second is the market share information that we have largely from e-commerce marketplaces a s well as large format stores are indicating that the brand continues to be strong.
In fact, have grown stronger in a relative sense. So that's one indicator to say that share is in a way protected. In terms of indication of market, there are data points in terms of -- while we are not direct B2C from a business point of view, but we have direct -to-consumer information in terms of purchase, in terms of behavior, in terms of patterns, both through jockey.in and as well as through the EBS part of our business, which is indicative of how the market is in a way performing.

Devanshu Bansal: Understood. And following up on this, so you also mentioned that there is encouraging response for bonded tech -- technology, right? So based on your historical understanding, which parameters sort of suggests that whether the new product has been received well and is now sort of well shaped for distribution expa nsion? So just some light there?
Karthik Yathindra: So any product that we launch, whether it is a single style or going down to, let's say, category extensions, sell -through is the key metric that we look at, which is essentially sell-out divided by sell -in to see what level has the sell -through happened a t the consumer level. The higher the sell-through, the better is the consumer acceptance of that particular product. So for the entire bonded tech selection, which men's innerwear as well as bras, the sell -throughs have been extremely en couraging, even at higher price points.
Now these are price points which are much higher than what Jockey typically operates in. at these price points to witness this kind of sell-throughs in EBS as well as jockey.in are very, very encouraging signs that consumers are liking these products and t hey have accepted this product.
So that's what's leading us to conclude that these collections are in a way, successful and are here to stay, and we can now expand and take it to a larger number of stores.
Devanshu Bansal: So what's the plan here for bonded tech as in do you plan to take it to the entire network, entire channels? Or how should we see that?
Karthik Yathindra: Yes. So that's the plan. The plan is to take it to the entire network. Obviously, subject to stores being able or having the potential to sell these price points. I would foresee that all of our EBOs will certainly carry this product. With

regards to gener al trade, we will classify our outlets into
ABC and look at outlets that can carry products of these price points and make it available there.
But the intent is to maximize distribution to all touch points that can retail products of thi s kind
in these price points.
Devanshu Bansal: Sure. And this product is indicating key outcome as seamless, right? So how differentiated is
this technology, whether this can be replicated or it will take some time for competition to sort
of get such products. So any thoughts there? This is my last que stion.
Karthik Yathindra: So there is technology which is available. It's about competition wanting to embrace it. Should
they choose to embrace it and make it successful, there is a possibility. However, we've been
very attentive to the kind of fits that we have adopted for these particular products, the kind of
designs that have gone into this product making. So bonded is just a technology of making it,
but there is more to the product in terms of the fabrics we've used in terms of the fits we've...
Devanshu Bansal: Sorry, I lost you.
Moderator: Sir, we are not able to hear you. Mr. Bansal.
Devanshu Bansal: Yes, sir. Yes, ma'am, I'm not able to hear Karthik.
Moderator: Just give me a minute.
Devanshu Bansal: Yes.

Moderator: Karthik, sir, are you able to hear me?
V.S. Ganesh: I think we lost, Karthik.
Moderator: Give me a minute, I'll disconnect this line and reconnect it, sir.
V.S. Ganesh: Mr. Bansal, just to reply that question on behalf of Karthik. The technology is definitely very
much there. But as Karthik rightly said, we had -- it is not just the bonded tech alone. It's also
the design aspects to it and the fit element to it, which act ually has helped us in getting a great
acceptability of the produc t. It is definitely replicable.
But I also feel from a supply chain point of view, there are very few factories in India with this kind of capability to give volumes and have consistent qualities. Even we have been importing this from some world-class suppliers. So we have a robust suppl y chain, and that is something
which is going to help us in reaching the market and scaling things up much quickly.
Moderator: The next question is from the line of Gaurav Jogani from JM Financial.
Gaurav Jogani: I have 2 set of questions, both on the margin front. So one is on the gross margin. We have seen
handsome gross margin expansion continuously sustaining. And this is despite the fact that in
the RMs remaining stable and even you have not taken any price hi kes. So in the past, if you
look at it, we have not seen such kind of gross margins being attained. So how should one look
at the gross margins from the current levels?
V.S. Ganesh: Well, I should say there are a couple of things as far as seeing a robust gross margin is concerned despite not increasing the price. The first thing is the stability in raw material. This has really
helped us. It has not gone up. And we also took some good calls as far as building up inventories are concerned. So it also helped us to mitigate some of the pressures which might have come in
because of the r aw material price fluctuations.
The second thing which we have done and which has helped us is on the operational efficiency
point of view. In fact, with -- there's a 16% increase in output with 10% less people. So with --
ideally, if I go by the old manpower and the productivity, we should have employed 2,000 -plus
more people to get the kind of out puts, which we are getting now.
So that overall efficiency improvement, it is not just a sowing efficiency, but then the cutting,
packing, finishing, sowing, all those efficiencies has improved. So the back-end team has done
a tremendously good job, and they are continuing to work on it, and we find more opportunities.
This is also made partly possible with

the modernization efforts, which we have had. So even in the past, we have made sure the expenses are controlled, but the investments wherever required
are being done. From an overheads point of view also, we have bee n able to do a good job by
all the IT interventions which we have had in the recent past.
It is actually now helping the business wherein we are, as an organization, become a wiser and
more intelligent organization, and we are able to do more with less people. And thereby, we are

able to contain or manage those overheads very, very effectively. So -- and we find much more
opportunities as we go forward.
And therefore, if there is no much volatility in the market as far as RM pricing or big changes in
minimum wage and other aspects are concerned, if that is not there, we should be able to

maintain a fairly good margin. And as we keep telling, we are very h appy with the 19% to 21%
EBITDA. And we are very confident we can be in that range.
Gaurav Jogani: Just a follow -up to this on the EBITDA front as well. While we have seen that the gross margins have been better, on the employee expense side, actually, this has been a sharp increase. And on the other expenses also, is there an element of front -loading of the marketing spend ahead of the festive season here?
V.S. Ganesh: Well, on the employee expense side, yes, what is happening is there is some capacity expansion, which we are doing, and we are building up some inventory because as Karthik told, we are seeing a better -- H2 is looking like much better than H1. And therefore, we are not wanting to lose any opportunity which will come, and we are building up on the inventory.
And therefore, there is some capacity expansion happening and therefore, some recruitments are happening. And of course, we do have the increment coming in for the -- both the operators and the management, and that's where you see that increase in cost. An d as regards to marketing expenses, for the year, we generally maintain a 4%, 4.5% budget.
And we are well within that. Of course, last year, Q1, we had an abnormally high spend for the marketing because of the World Cup. World Cup. But overall, if you look at it, we maintain a 4% to 4.5%.
Gaurav Jogani: And sir, just a clarification. For the incentive of INR 50 crores that is to be received on the capex , that will be booked in the P&L next year, right?
Deepanjan B.: Yes. We expect it to be realized next year. So based on that, it will be booked next year.
Gaurav Jogani: Yes. But it will be in the P&L, right? It will not be in the balance sheet set up?
Deepanjan B.: Yes. Yes, it will be in the P&L as subsidiaries.
Gaurav Jogani: Okay. Okay, sir.
Moderator: The next question is from the line of Nihal Jham from HSBC.
Nihal Jham: I had 3 questions. The first one was this increase in employee expenses. Is it a step -up in manufacturing or we've added manpower to drive our sales? Just wanted to unders tand the nature of the increase?
V.S. Ganesh: Nihal, it is both. We have been expanding our retail footprint as well. So there has been increase as far as the sales team is concerned. And there has been also some increase on the manufacturing side of the business. And we also made some investments in the strategy side of the business. We have strengthen ed our product management team.

And we have made good investments in the product development. All this is because, Nihal, you should understand there can be temporary blips in the business or some short -term pressures in the market. But we firmly believe in the India's growth story, and we are in a very sweet spot. And if we look at the long- term prospects, we are very, very optimistic. And that's where, as I told you before, we will continue to invest in the business while co

ntrolling expenses.
Nihal Jham: Understood.
Deepanjan B.: Also, Nihal, to add, the major increase in employee expenses on a year -on-year basis is because of increments. There are also additions to headcounts.
Nihal Jham: Got that, Deepanjan. The second question was, for us, the GST benefit would primarily be from the input cost side. I'm guessing 10% of the portfolio, you would have seen a reduction in rate.
So what has been the average reduction in the cost because of the change in GST rates?
Deepanjan B.: No, we don't have much benefit in cost per se because even earlier, the cost that we book is net of GST. The benefit that we get in terms of GST, wherever it is applicable, it will be more into balance sheet items. It will in working capital, not into costs.
Nihal Jham: Understood. Final question is that we've historically mentioned that the penetration of Jockey's product, at least on the men's innerwear side is still only around 20%, 25%. Now if you look at the last 3, 4 years, the problem channel, I think, more or less has been you're doing well in modern trade and e -commerce.
And I'm guessing you've historically also mentioned that the premium ranges are doing well, and that's where a lot of these innovation like bonded technology are happening. I'm guessing you have the data for how Modern Classic and the value ranges are perf orming. So is it a case that the customer recruitment has not been that strong for the Jockey brand over the last 3, 4 years? And if you have a current penetratio n number, that would be helpful?
Karthik Yathindra: So our latest penetration estimate for men's innerwear stands between 17.5% to 18% -- we've actually never bridged the 20% mark. We've never reached a 25%. That's the goal though. We've always hovered around 19% to 20%. We believe that our best estimate ri ght now, it should be between 17.5% to 18%. You're right, between the different ranges that we operate with, the premium ranges out perform the entry -level ranges.
And this is across categories, not necessarily in men's innerwear, which in a way, indicates that there is pressure for spend which is harder at the entry level or at the bottom of the pyramid.

This is the same that we are experiencing as well. Yes, one of the conclusions could be that recruitment into the brand from the bottom of the pyramid might be slower than what we want it to be. And hence, efforts towards fueling that in terms of our marketing initiatives is what we are looking at.

Nihal Jham: If I can just have one quick follow -up that that's the thing that if it's been, say, static over the last 4 years, where has been the issue, is it from our side, we've not focused more on the value side or you're primarily believing that the customers' poc ket has been impacted and hence, the recruitment has stopped?

Karthik Yathindra: So it's been about 3.5 years since we've touched product prices for the brand, which means that with all the inflation in the market, the product has actually become that much more accessible than what it was a few years ago. So technically, access -wise, we are there and we're back to where we were 2 years ago or 3 years ago.

That is leading us to indicate that the pockets are stretched for sure. But I think all the efforts that the government has taken, including GST, which I know it does not directly impact this portion of purchases, but the general sentiment looking up because of these changes should certainly help in us getting back on track in terms of serving that portion of the consumer.

Nihal Jham: Sure. Karthik and team, wish you all the best.

Moderator: The next question is from the line of Ashutosh from ICICI Securities.

Ashutosh: My question is related to this positive rub -off in demand, which you talked about because of the GST rate reduction. So just want to understand more on this. So wha

t exactly is driving the sentiment? So has there been like the price cuts that has happened in other discretionary categories, which is actually -- which has increased the disposable income that will drive the growth or your portfolio has gone down and that has actually decreased the differential between other regional players. So what exactly is driving this positive sentiment?

Karthik Yathindra: Ashutosh, just to clarify, the GST rate cuts have not affected our product offering and pricing to a large extent to the consumer because majority of our product offering was anyway at the 5% GST mark even prior to September. So our products -- a very, ver y small portion of our products which were operating at a higher price point have now become sweeter to the consumer.

But overall, when we put everything together, there has not been a major impact -- our consumer pricing. And it's one thing to say that GST is what is impacting the better mix. It also shows as far as the timing is with the festive, so we don't know really what is impacting it. I'm sure GST has a role to play in it in terms of making goods and services clearer to the consumer. It's also coinciding with the festive period. That's why we've seen some level of uplift in terms of consumer sentiment.

Ashutosh: Okay. So do you see any longer term, like medium - to long -term benefit coming in from this reduction? Or it's just like a near -term benefit which you see?

Karthik Yathindra: No, that only time will tell. Like I said, there is no tangible benefit in terms of what we accrue. It's only indirectly, if that leads to better consumer spending, more consumers in the market, that's the gains that we would, in a way, experience as a brand. So that is something that we'll have to wait and watch and see whether that's going to sustain.

Ashutosh: Okay. So just wanted to take your view on this that will the brand benefit if the consumers have like slightly better disposable income. So like the answer which you made to the earlier participant, the recruitment has been very slow from the bottom of the pyramid to your brand. So will it like somehow aid this switching.

Karthik Yathindra: Absolutely.

Ashutosh: Okay. Okay.

Karthik Yathindra: Absolutely, it will. If there is more disposable income and there is more spending in categories in apparel, in retail in general, the brand stands to gain for sure.

Ashutosh: Understood. Understood, sir.

Moderator: The next question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: Just following up on the past few questions. Is there a case for us to fill any kind of distribution gap in any of our categories, of course, in the men's innerwear we have the largest distribution reach. But is there a case to differently distribute going ahead in men's as well as women's category? Just to further expand into how demand conditions for us improve faster than just depending on the macro conditions?

Karthik Yathindra: Thank you, Sheela, for the question. We today, as a brand, operate with direct distribution as a model, where we have complete control over where the product is distributed right up to the last retailer which is something that we believe in because that's grown the brand responsibly and in a sustainable manner.
So that is something that we are committed to. I don't believe we will, in the near term, move into a wholesale model of -- or an alternative channel of distribution model. But in areas in which we are able to make conscious effort to reach the product to the end retailer, that's why we are focusing on.
Here, there is opportunity and headroom, like you rightly indicated, our level of distribution for, let's say, men's innerwear is a lot higher than what it can be for the other categories. So that in a way becomes benchmarks for other categories. We've als o, in the past, b

een responsible for many of our men's innerwear outlets, so to speak, to transform them to also occupy space with outerwear, which has helped the retailer, it's helped the brand.
We reach as many consumers as we reach today because of that. That effort continues. So there are several outlets today that stock, let's say, underwear for Jockey, but not necessarily outerwear. It's a process of transformation where we are trying to tran sform those stores to also become stores that are capable of retailing apparel and outerwear.
So that journey continues. That having said, any new age channel to reach the consumer is something that we are embracing as well. Quick commerce is a good example, which has come up in the last couple of years, where we've been extremely aggressive in ter ms of putting ourselves out there, building infra structure to serve that market.
And today, within the underwear category, we'll be number 1 in all the key quick commerce players as well. So any opportunity to make ourselves available to our target audience in terms of consumers, all efforts towards that in terms of increasing distribution.
Sheela Rathi: Understood. Just a follow -up here, Karthik. What would be the distribution gap between men's innerwear and women's innerwear today versus, say, what it was, say, 2 years ago?

Karthik Yathindra: Without giving away too much on the numbers, I would say that women's innerwear has really gained both in terms of business as well as in terms of -- and that's as a result of gaining in terms of reach. So the gap has been brought down considerably because of conscious efforts. You would recall that about 3 years ago or 4 years ago is when we actually initiated a separate sales team to concentrate only on the women's business.
That has obviously paid rich dividends in terms of increasing the reach of our presence for the women's category in general trade. Today, the way we have structured the top down right from the national sales head up to the last mile, we have an independent team dedicatedly to looking at the women's innerwear business, including distributors who a re dedicated for this business.
So that helps us take the brand forward to more number of stores and cater. So yes, I know I'm not giving you the exact number, but we've gained a lot of ground as far as women's innerwear is concerned, both from a business point of view as well as from a number of touch points point of view.
Sheela Rathi: Just again, a follow -up here, Karthik, but is this category doing differently in -- versus men's innerwear from a distribution standpoint? I mean, is online a better way of playing this game? Or is it going to be the same way like we have played the off -line game for men's innerwear?
Karthik Yathindra: No, we've not seen a significant difference. In fact, the women consumer happens to be a lot more discerning a consumer and hence, touch and feel of her lingerie needs, fits having to try products at the store and sometimes assisted sales in terms of count er salespeople, women getting them to try products to make sure that the fit and size is perfect is very, very important. So my sense is that for women's offline retail experience is probably that much more effective than it is for men's innerwear.
Sheela Rathi: And when should we start seeing that in numbers? Because obviously, like you said that women's -- women consumers are very different from men's. So -- and obviously, the category is much more higher average order value. Do we -- do you think it has started showing up in the numbers? Or we are still some time away for that to get reflected ?
Karthik Yathindra: No. I know we don't share category-wise, but yes, it has already started showing in numbers. Our performance for women's innerwear consistently has been ahead of men's for the last few years. And that's a reflection o

f, a, the potential out there as well as the maturity of the category for the brand today and hence, the gap that we are trying to fill through several means.
Our portfolio has gotten stronger. Our investments in marketing has gotten higher as well as our reach in terms of number of outlets has gone up over the last 3 years, and that's showing in

numbers for sure.
Sheela Rathi: And my final question is with...
Moderator: Sorry to interrupt Ms. Rathi, may we request that you return to the question queue.
Sheela Rathi: Yes.

Moderator: The next question is from the line of Ashish Kanodia from Citi.
Ashish Kanodia: The first question is again on the demand side. If you look at start of the year, what happened was festive season moved from 1Q to 4Q of last year, and that is where we saw 4Q '25 had an uptick in volume growth, but then 1Q got impacted. Now when we look at this quarter, 2Q aga in had an early festive season.
And to that extent, do you see a risk that next quarter could have some of this impact because some of the prebuying or even primary sales would have got preponed in the current quarter?
And just a related question on the demand side is on the price cuts w ide, I just wanted to check what was the extent of price cut? And to what percentage of the portfolio has seen? Because while in athleisure, where you'd would still have a decent chunk of product priced above INR1,000. So if you can share this too?
Karthik Yathindra: So thanks, Ashish, for the question. And good observation on the festive shift, both in quarter 1 and quarter 2. But you would realize that in spite of that, quarter 2's performance has been just a little better than quarter 1 in terms of revenue growth, n ot a marked difference. That's largely because the early parts of the quarter did not perform well.
And then there was a pickup towards the end of the quarter. So that being said, I think we'd like to maintain that we are looking at H2 being better than H1, which means right from quarter 3 as well as quarter 4, we should be delivering better performance. Your second question was on -- sorry, could you repeat your second question?
Ashish Kanodia: Yes, sure. On the GST cut because on apparel above INR 1,000. Yes.
Karthik Yathindra: Yes, yes. Like there's a difference in the density of the portfolio and the actual business that we generate. Yes, we have -- from a density of the portfolio point of view, there's a large product offering in the above INR 1,000 bracket. However, in terms of contribution to business, the sub INR1,000 is majority, almost 90%. So the impact on the GST cut on the overall business side, like I mentioned earlier, is not significant.
Ashish Kanodia: Sure. And just the second question was on -- you talked about the penetration rate of the market share moving from, say, 19%, 20%, I remember that used to be 19%, 20% moving to 17.5% to 18%. Have you -- like any understanding in terms of whether it's on the top end of the product portfolio? Or is it at the bottom end of the portfolio where you would have seen that deterioration from 19%, 20% to 17.5% to 18%.
And the other question is for Deepanjan on the other expenses side, while I understand the employee cost part. Can you throw some light on other expenses that what led to this 14% growth in other expenses? Because I think during the call, someone alluded t hat marketing cost was at least in line with the full year guidance. So anything on the other expenses side?
Karthik Yathindra: Deepanjan, do you want to go first, and I can take the question.
Deepanjan B.: Yes. Yes, I hope I'm audible.

Ashish Kanodia: Yes, sir.
Karthik Yathindra: Yes, Deepanjan, you are. Thank you.
Deepanjan B.: Okay. So other expenses includes selling expenses and marketing expenses. On a year -on-year basis, yes, marketing expenses have been higher. Sequentially, it has been more or less similar, I mean, quarter 1 to quarter 2. But year -on-year basis, marketing expenses were higher. That's been the predominant reason for the increase in other expenses. Other expense also includes factory overheads and certain expenses related to our sampling costs. So all taken together, that's what has resulted in a higher expenses year -on-year we see.
Karthik Yathindra: With regards to the brand penetration, while we do not track this actually at a price point level. But as I mentioned earlier, the premium portion of the business is performing better than the entry level in terms of growth rates. And hence, that observati on might be right that if at all, the erosion might have happened either at the belly or at the tail end of the pyramid, not at the top.
Ashish Kanodia: Sure.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: Just wanted to understand the athleisure piece. You've been -- you've launched new products in

athleisure segment. I wanted to understand what is the reach of the new products? How much of your network it has already reached?
And is there any penetration benefit that we can see in the second half of this year on the new launches? And also in the inventory levels of athleisure, whether the gap has been filled in the
supply chain, and we are ready for primary growth? That is the first question?
Karthik Yathindra: Thank you, Prerna. On the new products, I mean, there are 2 portions to the new products this
year. One was the regular launches that we do as part of our athleisure portfolio. That, in a way,
goes into a large portion of our outlets where we are penetrate d today. More or less in about 2
to 3 months' time, we are abl e to hit our potential outlets.
Whereas Groove, like I had earlier mentioned, is the second set, which is, in a way, a completely
new collection, which by design was meant to be limited penetration. So we have not taken it
across. The first launch was only across about 50 EBOs and jockey .in. So that is something that
we achieved, and we've experienced good sell -throughs.
And hence, the follow -up collection to that, which is Groove 2, is expected to go a slightly wider
to about 150 to 200 EBOs as well as jockey.in. The new products that are going to go in for
winter is something that is now setting in as winter is setting in. And over the next 2 weeks to 4
weeks, we should see a good level of reach being established with those new products for this
season, whi ch is the autumn/winter season.
That's as far as the new product penetration is concerned. With regards to inventory, like I had
earlier mentioned, we are largely in place in terms of inventory levels in the channel. So hence,

going forward, our primary performance should be a reflection of our secondary performance
even for athleisure.
Prerna Jhunjhunwala: Understood. My second question is on category-wise growth. I understand that you don't give
numbers, but it would be great if you could help us understand what is dragging the performance
to low single -digit growth? And where can we see uptick going forwar d? What -- which
segments should start showing you strong performance can drive growth going forward?
Karthik Yathindra: See, interestingly enough, at a consumer level, which is tertiary sales level, let's say, if you take
EBS tertiary as a metric, we are not seeing a significant difference between categories in terms
of performance, which is also, in a way, alluding us to s ay that this could be a market phenomena
because it's not like one category is outperforming the other sig nificantly at a tertiary level.
However, at a primary level, there will be difference. That's because our penetration levels, as you know, var

y across categories. I just mentioned that women's has gained more traction than men's. That's largely because of efforts in terms of increasing our penetration.
Also, inventory levels at distributors and our partners in a way reflect in our primary
performance. So in primary, there might be differences between the different categories of products that we operate with. But interestingly enough, for EBO tertiaries, it has been consistent
across categories.
Prerna Jhunjhunwala: I -- a follow -up to this answer...
Moderator: Sorry to interrupt. Ms. Jhunjhunwala, may we request that you return to the question queue,
there are participants waiting for their turn. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities.
Tejas Shah : Just a question on the growth issue that -- if you have to call it an issue, we have been kind of
fighting with. Just wanted to know, when you look at from the lens of consumer and then at least
on EBO, we can perhaps gather some data.
And if you have -- if you can help us, has our customer age profile changed in the last 10 years,
let's say, the consumer that we were -- we had 10 years back, they are still continuing, but we
are not able to attract new generation? Or it is actually just that -- in that cohort, we are still
doing well, but somehow the throughput is not increasing per customer?
Karthik Yathindra: Thanks, Tejas . I would also, in a way, bracket it as an issue because like I said earlier -- we are
not happy with the growth performance as of now. So hence, growth is an issue. But to answer your question in terms of consumer profile, see, across our EBOs, we today d on't have or don't
map age profile as yet. It's somethi ng that we've started recently.
And over the next few years, we should be building our consumer data platform in which we'll
be able to give a better indication of this. But what I do have is from jockey.in as a size set where we do measure this, where we don't see that -- and this could be mainly because it's e-commerce,
not necessarily offline, but the age of consumers is actually younger year after year as we

progress, which means we are seeing that we -- the brand is still relevant and thriving with the younger audience.

I think it's also to do with how we are positioning the brand with our communication, the kind of product designs we're bringing out. And then, of cour se, collections like Groove, et c., which is specifically targeted at this audience is also helping. But yes, I think a large portion of our efforts is also to make sure that the brand continues to remain relevant to the new consumers that could hopefully enter the brand and continue with the sales journey that we've had.

Tejas Shah : Yes. And second, if we have to look at it and now since we have also agreed this issue from the lens of regional perspective, are there any states or regions where our market share is actually much under -indexed versus our national average where we can put in some more effort? Or it could be from a channel perspective also, which could be slightly easier to solve and trackable for us also. So any insights there?

Karthik Yathindra: Yes. So the penetration data that we have is something that we innovate, try and dissect in the geographies as well as tiers. Obviously, our penetration levels can be a lot better in Tier 2, Tier 3 kind of markets. But again, interestingly, that's where our growth rates are better, which means my guess is we are reaching more consumers there than we did before from a penetrat ion standpoint.

Geographically, though, there is no significant difference between the different regions. We break up the country internally into 8 parts when we look at it. And there, contributions might vary, but penetration levels is more or less similar, which means t hat from an addressable market point o

f view, we just need to go a lot more aggressive at a pan-India level in terms of making the brand that much more relevant to everyone.

Tejas Shah : So just one clarification. This penetration data is based on which study?

Karthik Yathindra: So this is not a study. This is more an internal reference that is being quoted. So it takes from a PCG study, which was done about a decade ago. And thereafter, from that, it gets validated with the census data.

We essentially try and qualify who our consumer is in terms of potential to buy our brand, both from a wallet point of view as well as outlet point of view and then make a certain assumption to the consumption that they should be exhibiting within a financ ial year and then map that with the volume that we sell to arrive at the consumption or the penetration.

Since there is no syndicated study here at a brand level, this is what we use as an internal metric, and that's something that's been guiding us for over a decade now.

Tejas Shah : Yes. So is this still relevant because many things have changed...

Moderator: Sorry to interrupt Mr. Shah.

Tejas Shah : Yes, sure.

Moderator: May we request that you return -- the next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: Karthik, my question refers to an earlier discussion on the recruitment of new customers at the lower end...

Moderator: Sorry to interrupt Mr. Kundan, sir, your audio is sounding very soft. Can you speak a bit louder?

Saurabh Kundan: Yes, sure. So can you hear me now?

Moderator: A little better, please proceed.

Saurabh Kundan: Okay. So yes, yes. So I was saying this is with reference to an earlier discussion on recruitment at the lower end in men's innerwear, which is mainly modern classic. I just wanted to ask you, are there any further measures that you will take at that end b ecause you also said during the call that probably you're losing market share on that side.

Recruitment isn't probably happening at the rate it used to a few years back. So does it make sense to spend disproportionately in either marketing or even channel incentives at that end? And I ask this because the company has a very healthy ROCE. So would you try and make a trade-off between ROCEs and growth?

I mean, even slightly lower ROCE if it leads to perhaps high single -digit volume growth or something like that if you increase sort of channel incentives at the lower end, would that be something that can be done? Or you think you're just going to wait out the macro and you've done everything you could from your end?

Karthik Yathindra: No, very valid point, Kundan. We recognize this. The profitability for the organization, the ROCE is as healthy as it's ever been. And can that be, in a way, digged in -- dug into in order to further fuel demand is a valid point. What we are, in principle, looking to do is activate it at a consumer level rather than looking at it as a push with incentives to retailers because that is going to be short -lived unless we are actually able to activate consumer and push traffic into these store s for the Jockey brand.

Like I mentioned earlier, we've not witnessed a loss in shelf share or position within stores in which we operate in. And hence, our understanding is indeed is to drive more consumers in
rather than push product back into trade. So that's the effort that w e are planning to do. But yes,
in principle, I agree. I think given our profitability, if we had to go a lot more aggressive in terms
of consumer activation so that we can fuel demand, that's what we will be doing, and that's our
intent.

Saurabh Kundan Sure. That's all from my end.

Moderator: Ladies and gentlemen, we take that as the last question. I now hand the conference over to the management for their closing comments .

Karthik Yathindra: Yes. So thanks again, everyone

, for your warm participation and insightful queries. We look
forward to further interaction with all of you. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Page
Industries Limited, that concludes this conference call. We thank you for joining us, and you
may now disconnect your lines. Thank you.

Call: Feb 2026

10 February 2026
The Secretary
Corporate Relationship Dept.
The Bombay Stock Exchange 1
st Floor, New Trading Ring
Rotunda Building Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai – 400 001
The Secretary
National Stock Exchange of India
Limited Exchange Plaza Bandra Kurla Complex Mumbai – 400 051

Dear Sir, Sub: Audio Recording and Transcript of Investor call

We herewith enclosed the transcript of inve stors call for the financial results for the Quarter ending 31 December 2025.
Audio recording of the investor call is available in the following link:

https://youtu.be/Od-5qIo3U78

This is for your information and records.

Thanking you,
Yours truly,
For Page Industries Limited

Murugesh C
Company Secretary
Encl: as above

Page 1 of 17 Page Industries Limited
Q3 and 9M FY'26 Conference Call
February 05, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9M FY'26 Conference Call of Page Industries Limited.
As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressin g "*" followed by "0" on your touch- tone phone. Please note that this conference is being recorded.
At this time, I would like to hand over the conference to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.
Anuj Sonpal: Thank you. Good afternoon everyone and a very warm welcome to you all. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Call for the 3rd Quarter and nine months ended of financial year 2026.
Before we begin, a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward- looking statements are subject to risks and uncertainties which could cause actual results to differ from tho se anticipated.
Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any in vestment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.
Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. V.S. Ganesh - Managing Director, Mr. Deepanjan Bandyopadhyay - Chief Financial Officer and Mr. Karthik Yathindra - Chief Executive Officer. Without any further delay, I request Mr. Ganesh to start with his opening remarks. Thank you and over to you, sir.
V.S. Ganesh: Thank you, Anuj, and good afternoon ladies and gentlemen. Welcome to the Earnings Call for the 3rd Quarter of FY'26.
Page 2 of 17 As Anuj mentioned, I am pleased to have with me Chief Financial Officer - Mr. Deepanjan, and

the Chief Executive Officer - Mr. Karthik. Together, we shall be presenting the key highlights of
the quarter.
To begin with, I will provide a brief overview of our performance during the quarter, touching
upon the main achievements and developments. Following this, Mr. Deepanjan will present a detailed update on our financial results. After our presentation, we wo uld be happy to address
any questions you may have regarding the quarter's performance.
During the quarter, while consumer demand remains selective across categories, our business demonstrated resilience. With stable input costs, tight controls over operating expenses, and
a sustained focus on operational efficiencies all these efforts enable d us to deliver healthy
operating margins and protect profitability. The recent notification of the d

irect labour codes
is a positive step that is expected to benefit our employees, while also simplifying compliance
requirements. While the rule for the implementation is being formalized, we have made the
necessary provisions for gratuity and earned leave provisions have also been made in the
financial results of the quarter.
For the quarter, revenue grew by 5.6% while operating profit before tax increased by 5.9%.
Profit after tax declined by 7.4%. This is primarily due to the exceptional one -time provisions
related to employee benefits arising from the direct wage codes. Excl uding these pr ovisions,
EBITDA growth and PAT growth remains broadly in line with Q3 of FY ’25 performance. For the
nine months ended December 2025, revenue growth was 4.1% and PAT increased by 3.5%.
We have been maintaining a momentum on our distributio n expansion, our network stood at
1,13,600 multi -brand outlets. We now have 1,556 exclusive brand stores and 1,778 large
format stores. We continue to lead across e -commerce platforms, recording strong growth in
that channel as well. We continue to scale our modern retail presence by elevating the
consumer experience, expanding our footprint, and delivering strong growth across online
channels. Our refreshed and expanded product portfolio is resonating strongly with our
younger consumers as well, and we are confident that these initiatives will accelerate customer
acquisition and drive long -term growth. Our recent product launches under JKY Groove and
the bonded t echnology have received an encouraging response from the market. With several
new launches and strategic initiatives planned in the coming months, we remain very confident
about accelerating growth ahead.
I once again thank you for joining today's call, and I will now hand over to Mr. Deepanjan to
detail the financial results for the quarter. Thank you.
Deepanjan Bandyopadhyay: Thank you, VSG. Good afternoon and welcome everybody to today's earnings call. Let me share the results of Q3 of FY ’26.
Page 3 of 17 In Q3, revenue was Rs. 13,868 million, which was a growth of around 5.6% year -on-year. Sales
volume in the quarter was for 58.6 million pieces, which has grown by 1.4% year -on-year.
EBITDA for the quarter was Rs. 3,181 million, which is again a growth of 5 .2% year -on-year.
EBITDA margin was 22.9%. With strategic raw material sourcing and focused operating
expenses, EBITDA margin continued to remain strong. Profit before tax, before exceptional
items, was Rs. 2,913 million, which was a growth of 5.9%. The ne w labour codes were
introduced in November 2025. The amendment stipulated changes in the definition of wages,
including enhanced basic wages for calculation of retirement benefits. Accordingly, additional
provision of Rs. 350 million for gratuity and earned leave has been m ade in the current quarter.
PAT for the quarter was Rs. 1,895 million, which was a decline of 7.4% year -on-year. Inventory
days was 67 in the end of Q3, as against 64 days in the beginning of the year. Net working
capital was 52 days, as against 54 days in the beginning of the year.
For the nine months ended 31st December 2025, revenue was Rs. 39,942 million, which is 4.1%
growth year -on-year. Sales volume was Rs. 173.8 million pieces, which has grown by 1.9% year -
on-year. EBITDA for the period was Rs. 8,923 million, which is a growth of 7.9% year -on-year.
EBITDA margin in the nine months was 22.3%. Profit after tax was Rs. 5,851 million, with growth
of 3.5% year -on-year. We can now take up your queries.
Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and- answer session. The
first question comes from Mr. Nihal Jam from HSBC. Please go ahead, sir. Mr. Nihal, please go
ahead with the question, sir.
Nihal Jam: Yes, hi. Am I audible?
Moderator: Yes, sir.
Nihal Jam: I have two questions. The first wa

s that this quarter we see that our net realization has seen
an increase of 4%, which was close to 1% in the last quarter. So, has there been a mixed change
towards athleisure or we have taken price hikes in certain categories? Just wanted to
understand that first.
Deepanjan Bandyopadhyay : So, there has not been any price increase in the current quarter while we have been discussing that. But as such, there has not been any price increase. And the increase in ASP is a reflection
of both category and within category changes of product mix as well as shift in channel mix.

Nihal Jam: Understood. And Deepanjan the second thing is, if I look at the employees that you disclosed, there has obviously been a reduction of around 2,500, 3,000 employees. And that i s sort of a reflection of how the employee costs have also reduced in this quarter. Just if you could give more clarity about what is the nature and the thoughts related to that.

 Deepanjan Bandyopadhyay: We had a recruitment freeze for most part of the year. And given the fact that our efficiency has been improving and maintained over a l arge part of the year, we did not see any requirement of major recruitment this year. Of course, there has been workforce addition in our new facility in Orissa, which was as per plan. But otherwise, our wages cost and staff cost has been well within our target ranges.

V.S. Ganesh: So, Nihal , just to add to what Mr. Deep anjan was telling, the reason for controlling the headcount was because of the initiatives we have taken, especially in the backend, to substantially improve our productivity. We have been taking quite a lot of lean initiatives. We have been automating and we have been doing value stream mapping to remove all the non - value added work. And therefore, we are now able to get more productivity and more output from less people. And this is actually enabling us to control the headcounts and make the productivity much better. And this is something which we have been doing for some quarters now. And you can see that one of the key reasons, despite a subdued retail environment, we have been able to maintain our profitability. And there is much more to do. I think for us, the journey has just started.

Nihal Jam: Understood. Just one final question. Mr. Ganesh you mentioned that, obviously, growth accelerating ahead. So, are we seeing a decent uptick as we go into January - February ? And maybe, when is it that we expect that we can get back to a double- digit growth?

V.S. Ganesh: Karthik, you want to give a flavor about the market outlook?

Karthik Yathindra: Yes, Nihal, thanks for the question. Quarter 3 has largely been, barring the impact of Diwali, which a portion of that was actually absorbed in Quarter 2 this year because of the advancement. Other than that, the market has relatively been better when compare d to Quarter 2. We expect that to flow into Quarter 4 as well. So, without giving away too much about January and February, let me just say that a better performance of Quarter 3 is likely to flow into Quarter 4 as well.

Nihal Jam: Sure, Karthik. Thank you. I will come back in the queue.

Moderator: Thank you, sir. The next que stion comes from the line of Mr. Samee r Gupta from IIFL. Please go ahead, sir.

Sameer Gupta: Hello, sir. Thanks for taking my question. And, sir, just taking it from the previous participant, so there is an aspiration of double- digit growth and you are still about pondering on price hikes. So, unless consumption environment improves drastically from here on, how do we reach to that double- digit growth?

Karthik Yathindra: Well, the potential for double- digit growth is available. If you look at our market penetration today at a consumer level, it is still quite low when compared to what the opportunity offers.

 This is against a very tightly defined target audience for our brand considering the price point that we operate in. So, the headroom for growth in all of our categories are there. Yes, the last few quarters have been tight purely given how consumer sentiments have played out and how retail has played out for us. But you would have noticed that in spite of that, our effo rts in terms of expansion and building our moat in the marketplace have continued, both in our existing traditional channels as w ell as the new channels that we ha ve been in operation with over the last few years. So, the intent is to concentrate and add value in the products that we are offering as w ell as go out and expand. There i s also substantial investment that is going behind, how we can activate consumers, with this, and we are seeing signs of that paying off. So, with this, the confidence that double- digit growth for us should come by is very much there.

Sameer Gupta: So, Kart hik, just a f ollow -up here. Basically, you are saying that you are not now reliant on overall market and consumption environment improving. You can deliver a double- digit growth based on your own initiatives. Would that be a correct assessment?

Karthik Yathindra: It is a combination, Sameer. I do not think one thing leads to growth alone. It will be a combination of both. We will need to, in a way, depend on markets for like -to-like growth, for sure. But that is also being backed with considerable amount of expansion which should bring in inorganic growth opportunities as well. And a combination of both is what would lead us to double- digit growth.

Sameer Gupta: Got it. Second question, just a bookkeeping one. So, at a consumer level, what is the blended price decrease after factoring in the cut in GST rates?

Karthik Yathindra: So, that ha s been quite small for us because at a brand level, the cut in GST rate has been only for products above Rs.1000. That is a very small portion of our business in terms of what we operate. All of our innerwear more or less fall under the Rs.1000 bracket whi ch did not see a change in GST. It remains at 5%. It i s only a few s tyles, a few products in our ath leisure and outer wear categories that actually saw a gain from 12% to 5%. In terms of overall impact at a brand level, that is quite negligible.

Samir Gupta: Got it, sir. I will come back in the queue for follow up. Thanks.
Moderator: Thank you, sir. The next questio n comes from Prerna Jhunjhunwala from Elara Capital. Please go ahead, ma'am.
Prerna Jhunjhunwala: Hi. My question is the challenges that you are facing in reaching this double- digit growth. You have answered to some extent the previous participants' answers. But I would like to understand what is the challenge in various categories that you a re facing that double- digit growth is getting difficult?
 Karthik Yathindra: Well, it i s also being repetitive. I think, like I said, the consumer demand has been we ak right through Q1 and Q2. We hav e seen some level of uplift in Q3 and we hope that flows into Q4. So that has certainly played out its part in us not being able to deliver on double- digit growt h in the three quarters that we ha ve come by this year. In addition to that, there have been also disruptions in the marketplace, which has been outside of the regular course of business. And this has largely a ffected Q1, Q2. And we ha ve spoken about that in terms of geopolitical activities, in terms of how floods in parts of the area, parts of the country have kept retail out. So these have impacted us to some extent. The mix also is a change in terms of channels in which we operate. We have seen consumer behavior from offline to online. And that in a way plays out in a market where a huge portion of our business is dependent on offline. So it will take time before the mix actually settles for us to reach a new pace and then continue to grow from there. So these are some of the pieces that have made it c

hallenging for us to hit those double- digit growths. But whatever growth we have delivered has been on the back of actual serving consumers because we have not touched prices as such. So our volume growth and associated value growth have been purely in terms of better consumption, either from a like-to-like point of view, which has been fairly muted, or some expanding and reaching more consumers.
Prerna Jhunjhunwala : Thank you for this. Just a follow up on the same, could you just brief on the category -wise challenges or opportunities as well? Because you had mentioned last time about entry -level products facing some heightened competitive intensity. So some color on that would help.
Karthik Yathindra: Absolutely. So I think between the categories that we operate in, men's innerwear as a category has relatively been tougher. It also happens to be the largest base for us in terms of business. Our growth in women's innerwear as well as outerwear have been relatively better in terms of both volume and value growth. Wi thin price points itself, I do not think we wil l attribute that to competition at this point. But yes, the more premium offering seems to have had better acceptance. Also, bul k of our new produc ts, innovative products that we ha ve introduced over the years, over the quarters in this year, has been at the premium level, which has been accepted well and has obviously contributed to the growth. So yes, within price points, the mid-premium and premium offering has performed better wh en compared to the entry -level offering.
Prerna Jhunjhunwala : Okay, thank you. And one more question from an athleisure point of view. Could you help us understand what is the reach now for JKY Groove and how do you plan to scale it up?
Karthik Yathindra: So we had the second launch of JKY in Q3 after having done the summer version in Q1. We followed that up with winter in Q3. The first launch in Q1, we had reached about 50 EBOs and of course on j ockey .in and it was selectively available on Myntra. In Q3, that has expanded to 150 EBOs. The next version is expected to be launched in the month of April, which is again the summer 20 26 version. It is expected to expand to about 500 EBOs.
 Prerna Jhunjhunwala : Okay, understood. And when do we plan to reach the entire channels of your MBOs, LFS and entire 1700 plus EBOs?
Karthik Yathindra: We intend to take this in phases. So I think quarter after quarter we will be expanding the reach. What we are also doing is products that have performed well within this have been extended to general trade as well. In selective markets, in metro markets where we believe there is a need for this product and outlets that are capable of retailing and doing justice to this particular range that has been extended selectively already. But quarter after quarter, you will see expansion in terms of reach for this particular collection.
Prerna Jhunjhunwala : Thank you and all the best.
Karthik Yathindra: Thank you, Prerna .
Moderator: Thank you, ma'am. The next question comes from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Yes, hi. Thanks a lot for this opportunit y. If you could just clarify, I am sorry, I just wanted to check this. The demand weakness in the entry -level price points in underwear is continuing or has that changed? I could not kind of grasp it from the last.
Karthik Yathindra: Yes, in relative terms Avi, it is slower than the mid -premium and premium segments. We are seeing better growth rates in the higher -priced products when compared to the entry -level products.
Avi Mehta: Got it. So in that kind of backdrop, I wanted to kind of just check again with you. By when do you expect us to be able to clock a double- digit level of growth? You know, something that we were hoping you would get by the end of the fiscal. Is it something that kind of moves into the

next year? Any tho ug

hts on that would be helpful.
Karthik Yathindra: Again, it will be difficult for me to put a timeline to this because like I said, there are too many variables at play for us to get to that goal. We ha ve seen consistent improvement even within this financial year. And tha t kind of a number is what we will be running for even for quarter 4.
But to put a number in terms of timeline and say exactly by this time we will be able to get to double- digit growth is difficult. What I can, of course, mention is that the intent and target that we a re taking and everything we are putting behind the business is keeping that goal in mind.
Avi Mehta: If I may push a bit, I am just trying to clarify a bit. If I want to kind of understand, maybe not an exact tim eline, how would you, your initiatives clearly are kind of reflecting in the pickup in growth rate versus the first half. Is it fair to say that a demand pickup is what is needed for double- digit? Or how should I parse this? Not looking for an exact timeline, but just the levers for reaching that number.
 Karthik Yathindra: It is a combination. Like I said, our investments in terms of product, betterment in terms of newness and freshness. For example, this season, this summer should be hitting the market between January and February. We wil l wait and watch how the acceptance for that is from the market. But we a re counting on it, considering what we ha ve put behind it. We a re very conf ident about the product that we a re putting out there. Our marketing plans are in place in terms of what we want to do with the brand, what we want to communicate. Expansion is a year -long thing, especially with exclusive brand stores. We continue to expand, and that is something that we will see in quarter 4 as well. Typically, quarter 4 is also a timeline where many of the stores go under renovation to give it the new retail identity and brand new look, which typically gives u s an uplift in the retail sense. So in terms o f timeline of initiatives, that is what we a re looking forward to. Better product, more aggressive marketing, better brand presentation at the point of sale. All of this is going to hit us starting quarter 4 itself.
Avi Mehta: Got it. Just a second, which is on the margin front, we traditionally shared a 19% to 21% margin range. This quarter has obviously significantly breached that. Is there a revisit to that range, especially for say FY’26 and FY’27? And any clarity on that, please?
Karthik Yathindra: We continue to maintain this expansion between 19% to 21%. We have seen some gains in the form of EBITDA this particul ar quarter, but of course that is not translated to PAT because of the one- time exception. But in terms of a long -term range , even for the coming year, we ar e maintaining a similar range of 19% to 21% as the EBITDA t hat we look to deliver. We have also been looking at investing further in the brand. And hence, the current EBITDA rates may not be indicativ e of what we ar e targeting as we go forward. But the range remains intact. It w ill be as sound as it has been.
Avi Mehta: Got it . And if I may, with your permission, just a bookkeeping. Just clarifying, you have not taken any price hikes as of now, or has that kind of flowed through into the market? Have you done any pricing changes?
Karthik Yathindra: Not yet. There i s no price increase tha t has hit the market as yet. It i s something that we are considering, keeping how the market is playing out. But as of now, no price incr ease has hit the market.
Avi Mehta: Okay, perfect. That i s all from my side. Thank you very much for the discussion.
Moderator: Thank you, sir. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead with the question, sir.
Gaurav Jogani : Thank you for taking my question. Sir, my first question is with regards to the data on the insourcing manu

facturing data. Last quarter, if I rememb er, it was 70% and this time it is expecting around 64%. So, does this have to do anything with the inventory cost also coming down? Are we outsourcing more and hence the inventory cost is also coming down?
 Deepanjan Bandyopadhyay: Sorry, can you repeat the question? It was not very clear.
Gaurav Jogani: The manufacturing capacity in terms of the insourcing capability that you have put out in the presentation, it shows now 6 4% versus 70% last quarter. So, does that have any linkage with the employees trend because now you ar e outsourcing and hence you do no t require that much employees.
Deepanjan Bandyopadhyay: Yes, there have been some increase in our outsourcing procurement. So, currently or in the current quarter, outsourcing is around 36%. So, there has been some increase which is well in line with our plan. There can be quarterly variations in outsourcing depending on the kind of product and the demand. So, yes, current quarter we have seen increase in outsourcing and overall if you look at it, the overall year, higher outsourcing has given us some cost benef its as far as the product cost is concerned.
Gaurav Jogani: Sure. Sir, my second question is with regards to the gross margin. The gross margins have been quite stable and the premium net is also reflecting in the expanded gross margin which is at lifetime highs. How should we look at the gross margin moving ahead, given that you are guiding that the EB ITDA margin should be between 19% to 28%. Is there any further juice left for expansion here or will these levels be on gross margins.
Deepanjan Bandyopadhyay: Juice is always there. That i s what Karthik was telling. We always have many efforts in hand.

So, one big lever is definitely i ncreasing productivity and that i s a continuous effort. So, that will reflect over time for sure. But as of now, the gross margin that we have got, that will largely remain stable even going forward.

Gaurav Jogani: Sir, in that context, shouldn't EBITDA margins be better from here on ra ther than some predictions in that range, which is around 22% or so. Why should it correct that if you have further room for

Deepanjan Bandyopadhyay: There are costs below gross margin, which is largely investments in business, whether through marketing, whether through several automation initiatives that we are taking. Even normal increases like increments and recruitment. So, those things keep happeni ng. So, while gross margin will remain stable, the other input costs and overheads, since they increase, there will be inflationary pressures as well. So, we do expect that we will be main taining our EBITDA margin of 19% to 21%. Th e current elevated EBITDA margin that we see around 22% or so, that is unlikely to be maintained going forward. But yes, we will be there within our 19% to 21% range.

V.S. Ganesh: Just to clarify on what Deepanjan and Karthik were saying, we are comfortable with 19% to 21% because we are not chasing a percentage increase in EBITDA. We want to actually improve the absolute EBITDA margin by giving value for money for our consumers and get better top line and we do not want to outprice ourselves. As a brand, we have always believed in promising less and delivering more and giving value for the money spent by the consumers. So, we believe that is the right way to do and expand in a sustainable manner. We do agree there is leverage or there is scope for us to increase. But we wanted to respect the sentiments of the consumers. And as Karthik rightly said, and as Deepanjan said, with the inflationary pressures and some of the cost pressures which may come, since we have not touched prices for three, four years, we may look at some correction s. And that is only time can say because there are so many things happening. We are keeping a close watch on the cotton prices also with FTAs and all

that. There can be pressures on the input costs. So, it is very volatile out there. So, our pricing strategy will be based on those developments in the market. But from EBITDA point of view, 19% to 21% is the comfort zone for us.

Gaurav Jogani: One last question from my end is in terms of the market share. One of the competitors has recently reported their results. They have alluded to a strong double- digit growth rate this quarter. Even in the last quarter, we have seen a strong. So, just by share inference, have we lost some market share? And if yes, what is that in particular segment? Because we are also seeing multi ple players now entering the athleisure space. Some other players have also alluded to this. So, what is your take on this?

Karthik Yathindra: Well, Gaurav, it is hard to tell. Because there is actually no syndicated study of market share in this particular industry. But from physical evidence and our understanding of the market and what is happening on the ground, we do not believe there is any erosion in market share. If at all, I would suspect there would be some amount of gain at a consumer level when it comes to market share in both the categories that we operate in, which is innerwear as well as ath leisure.

Gaurav Jogani: Sure. Thanks. Thanks for answering the question.

Moderator: Thank you, sir. The next question comes from Mr. Devanshu Bansal from Emkay Global. Please go ahead with the question, sir.

Devanshu Bansal: Yes, hi. Thanks for taking my question. Karthik, you did mention that there is broad divergence across price points, right? So, I wanted to check when the problem has been identified that the entry -level price points are not doing better. What are we exactly doing in terms of new product launches for this particular price segment? Maybe the allied marketing that is required? Because in my opinion, this should be a key recruitment driver from a consumer perspective as well. So, any thoughts there that you could share?

Karthik Yathindra: Absolutely. So, I think, thanks for the question, Devanshu. Firstly, I think, given how it has spanned out, we ha ve held on to our prices to make sure that the attractiveness of that range purely for the value- seeking consumer is still intact. Now, having done that, there ha s also efforts gone in in terms of improving the product in that particular range on two fronts. One is the fabric that we operate itself to see how we can add more value to the fabric so that the durability as well as the comfort on skin improves. And sec ondly, in terms of freshness, I think, the entire portfolio has been looked at to see how we can bring back som ething to that range as we hit at that price point to make sure that it is not less than any other brand or any other price point product offered by Jockey in terms of appeal and appearance. So, that is something that has gone in. Also, from a marketing standpoint, strong BTL initiatives have been taken during quarter 3 , especially in our general trade channel, which happens to be a large contributor as far as this part of the portfolio is concerned. That push has happened. There is some level of traction tha t this portfolio enjoys in, let u s say, quick commerce as a channel or e-commerce as a channel. A large part of this position is happening in this area between channels, which is why we believe what we a re facing in the market is to this extent. Whereas the more premium products continue to operate and grow through more organized channels like EBOs, large format stores, etc etera . Whereas the entry -level or the economy -level portfolio tends to be also suitable for quick commerce and e- commerce. And hence, we ar e seeing that shift.

Devanshu Bansal: So, these product changes as well as marketing, etc etera exist already in the market in full swing or we have only just started?

Karthik Yathindra: The marketing piece was pu

t in place through quarter 3 . However, the improved product version should be hitting the market between January and February, which is what I had mentioned earlier, which is for the season one of 20 26.

Devanshu Bansal: Got it. And secondly, the gap between

Moderator: Mr. Devanshu s orry to interrupt you. I request you to join the queue for more questions.

Devanshu Bansal: I have only one question, if you would allow me my second question.

Moderator: Please go ahead, sir.

Devanshu Bansal: So, this 4% difference b etween volume and value that we a re seeing, I wanted to check if the winter also has a part to play in this and was there any additional incentive income due to start of our O disha manufacturing plant?

Karthik Yathindra: This is the ASP question, right? The one to the difference between v olume and value growth that you a re talking about?

Devanshu Bansal: Yes.

Karthik Yathindra: Yes, a portion of it is attributable to winter because of the higher -priced ath leisure products that see tr action at this point in time. I a m talking about sweatshirts and hoodies and jackets and products like this where we ha ve seen a lot of traction during this period. We ha ve also seen considerable uplift because of change in mix within categories. You recall that sometime during the month of September and October, we introduced a top- of-the-line innovative range called the Bonded Collection, both in men’s inner wear as well as bras. Both these collections have been received extremely well with the consumer and they also happen to be our highest - priced products yet. With volumes coming our way in these two collections, that has helped the ASPs go up.

Devanshu Bansal: Nothing from an incentive perspective, right ? From an O disha manufacturing plant? No, nothing.

Deepanjan Bandyopadhyay: No, nothing. And it does not reflect in the ASP changes.

Devanshu Bansal: Sure.

Moderator: Thank you, sir. The next question follows from Mr . Ashish Kanodia from Citigroup . Please go ahead, sir.

Ashish Kanodia: Thank you. My first question was on the GST rate cut. While I understand the rate cut was only for a small portion of the product portfolio, but have you passed that on to the end consumer in terms of price cut? And the related question was on the gross margin also. What led to sequential decline in gross margin despite much better ASP?

Deepanjan Bandyopadhyay: Okay. T wo parts. On the GST rates, obviously most of our products were at 5% and continue to be at 5%. Wherever there has been a reduction in rates from the earlier 12% to 5%, we have done the necessary changes. So, if the selling price itself was higher due to 12% GST, then that had been reduced. And wherever the selling price was still attracting 5 % that has remained the same. Just to reiterate, GST is applicable in selling price, not necessarily MRP. And the reduction in the gross margin sequentially largely attributed to the slightly higher marketing space that we have done in the current quarter and a bit of increase in employee costs.

Ashish Kanodia: Sir, my question was on gross margin, not on EBITDA margin. Sequentially, your gross margin has declined from 60% to around 58% while your realization of course has gone up. So, what led to that, not on EBITDA margin?

Deepanjan Bandyopadhyay: Yes. So, there is also gross margin. There has been slight variation in the product cost, which is sequential and which is normal. So, that is what reflects in the gross margin overall.

Ashish Kanodia: My second question is on the entire discussion around double- digit growth. One, can you clarify, are you looking at double -digit volume growth or double- digit value growth? And second related question on the demand side is, look at the entire discussions d uring the call. One, when I look at this category, it is a very sticky category. This is a category where the demand is n

ot lost. Whether it was a geopolitical event, monsoons, etc etera . If someone needed to buy a product, they will push it by a month because of geopolitical event or of that sort. Right? Secondly, if you also look at the target consumers, these are not world -class target consumers. The t arget consumers can afford the J ockey product and espec ially given that in the last four, five years, you have not taken any price hike. And in that context, when I look at 2% volume growth, this financial year, nine- month financial year, it just looks underwhelming given the fact that, as Karth ik was mentioning, the market opportunity is very large, even if you restrict it to the target consumer. So, how should we think about it? What is happening here? I mean, when we look at this data, it seems at least on the mass end or the lower price end, there must be some sort of a market share loss because the industry is growing, at least based on what others are reporting, the industry definitely seems to be gr owing faster. So, t wo parts.

One, double- digit aspiration, is it volume or value? And second, how do yo u rate this 2% volume growth, nine months , despite much lower market share? And customers being very sticky, right? It is very difficult for customers to down -trade.
Karthik Yathindra: Valid point, Ashish. I think, firstly, on the first question, the intent would be to hit a double- digit volume growth. That i s what we used to be delivering. That is what we have seen, the kind of growth we ha ve experienced over the last decade or so. So, that is what we wi ll be turning towards and all plans and intent is to deliver on that. Coming to your second question, again, there were two parts in that. I agree. Some level of market disruption and closure does have an impact. At the end of the day, if a retail is shut, avenues to purchase is closed down in whatever parts of the market for whatever reason, that does have an impact at a consumer level. And for a business like ours, where D2C portion of our business is relatively small and large portion of our business actually comes through the value chain, through distributors, through retailers or partners in key accounts, the impact only, in a way, expands when points of sales get disrupted. But on your larger point, and that i s probably the most relev ant point, you a re right. We do believe that the headroom for growth is there. Unfortunately, it has not come by in this year, in the fi rst three quarters that we hav e look ed at. But like I said, quarter -on-quarter, the performance has been better. We ha ve seen that level of r ecovery that has happened. And it shows signs of that recovery. But again, like I said, these are conversati ons we can have whether there has been a loss in market share. I wi ll be the first one to admit if there is, and there is suffi cient evi dence to say that we ha ve lost share to somebody. It only makes us that much hungrier to win it back, i f at all that ha s happened. But my only submission is that we do no t have evidence of that. In fact, we have evidence to the contrary when we see shelf shares, when we see spaces in the market, and also in certain parts of our business where market share is actually reported , let u s say partner business, e -commerce business, large format store business, there is numerical reporting of gain in market share. And that i s what I had expressed e arlier during the call. But yes , to summarize this, Ashish, yes, the growth has not come by as we had anticipated in the first three quarters. But the recovery has been steady, and we ar e confident that going forward, we should still be targeting that double- digit growth. And in terms of what we want to put behind this to get there, all of t hat is in order. And if not, it wi ll only get even better in terms of our intent to get there.
Ashish Kanodia: Sure, Kart hik. That i s helpful. Thank you,

and all the best.
 Karthik Yathindra: Thank you, Ashish.
Moderator: Thank you, sir. The next question comes from the line of Mr. Rahul Agarwal from Ikigai Asset. Please go ahead, sir.
Rahul Agarwal: Hi, good evening. Thank you for the opportunity. Just two questions. Firstly, on the ASP bid on the volume- value gap, you explained the product mix change. You also mentioned that there is a channel mix change. We just wanted to know what has actually changed in the quarter, and directionally, where are we moving in terms of more channel growth? And the related question was on MBO versus EBO. I think historically, we hav e been speaking about MBO being weaker and EBO and Quick commerce, e- commerce actually doing much better growth. Has that been solved? And I think most of this double- digit growth questions are also revolving around solving that. I think if the MBO bid gets solved out, most of the growth should come back. So, how can we improve on this? And you could guide for another next two years. What do you think about growth from MBO? These are the questions. Thank you.
Karthik Yathindra: Thank you, Rahul. In terms of the first question of ASP, like I said, during the quarter, we ha ve seen gains because of change in product mix. We hav e seen relatively better performance in categories like bras, categories like outerwear or ath leisure, which are higher -priced products when compared to categories like innerwear and women's innerwear categories. And that ha s what has led to the ASP growth. In terms of channel mix, considering we realize MR P as rev enue through j ockey.in a nd as well as marketplace and e -commerce, any gains or shift in revenue from offline to online tends to give better value growth because we realize MR P as revenue. These are the two areas that have impacted the difference between volume and value just because of better realization. On your second question of performance between channels, while we do no t give away exact performance between channels, but yes, the general trade business has been tougher when compared to the EBS business a s well as the e -commerce business. Also, when there is a consumer movement from A, offline to online and B, unorg anized to organized retail, it is natural for the general trade business to come under some level of stress. I also believe that there is some level of shift happening within the general trade business in terms of stockholding considering how retailers are dealin g with the softer demand at the consumer level. That, I anticipate, would have led to some level of stock corrections at the store. This is at the retailer level, which would have impacted in the growth rates that we have reported. But I think you a re right. For us to get to the double -digit growth, if not double- digit, general trade should go up to late single -digit kind of growth so that overall , as a brand, we ar e able to deliver double- digits.
Rahul Agarwal: In terms of the price hike, you ha ve been saying that, discussing that internally and thinking

about it, have you seen any cost inflation which is driving this decision or discussion? Or is there anything else?

 Karthik Yathindra: Nothing yet, but it is expected considering the recent news about exports, specifically how it impacts textile garments. It i s quite volatile. There could be an increase in input costs. There may not be, but we do not know. So we are waiting and watching, keeping a very, very close eye on how the input costs are moving. And that is the reason we are saying that if there is a substantial increase in the input costs more than what we can absorb, we might have to consider touching our prices .

Rahul Agarwal: Got it. Thanks. Thanks so much. And best wishe s for the rest of the quarters.

Karthik Yathindra: Thank you.

Moderator: Thank you, sir. The next question comes from the line of Mr. Anuj Seh g

al from Man as Capital .
Please go ahead, sir.

Anuj Sehar: Yes, hi. T hank you. If I look at the distribution channel, the MBO, the large- format stores and your EBOs, the network for MBOs is up 3%, large -format stores, the number is up 8%, and the EBOs are up 5% from last year. And in that context, given you said that the sa lience of online has actually gone up, is it fair to say that on a like-to-like basis, given your overall volume was up 2%, on a like-to-like basis, in the MBO, LFS and EBO channel, volume would have actually been down in single digits?

Karthik Yathindra: In the general tr ade channel, yes. While we do not have tertiary data, but yes, I would expect that the throughput per store would have softened when compared to last year. But in the other channels, we do have that data at a consumer level. We ha ve no t de-grown like- to-like, but it ha s been a lot softer than what we targeted.

Anuj Seh gal: So what you a re saying is that MBOs could have been down, let us say, in mid- single digits, but LFS and EBOs wo uld have been sort of flattish?

Karthik Yathindra: Yes, that is right.

Anuj Sehgal: Given this channel mix that you also mentioned, offline to online, and the previous discussion, and of course, the consumer sentiment, whatever it is, what can be done to sort of grow in the offline channel? Or is it just that this shift will continue to accelerate and therefore the business will continue to remain challenged, especially at the MBO level? Let u s say as we go forward, because it seems like the consumer is moving to the online channel.

Karthik Yathindra: So my view on this, Anuj, is that while there is a shift between offline to online, there is a certain audience that necessarily shops in the neighborhood store or in the offline store, what we call the hosiery store. When it comes to all their hosiery nee ds, I would imagine that from a sentiment point of view or propensity to spend point of view, this audience might have been the most affected. But that is not to say that this would not come back. And hence, I strongly

 believe that this consumer coming back as far as the general days and hosiery kind of outlets to shop will happen. And we wil l have to just wait for the overall sentiment to pick up as fa r as that is concerned. So that i s purely for like-to-like at a consumer level consumption to improve. But beyond that, there is opportunity for us to penetrate deeper within the existing stores in terms of the kind of products that they carry today. Today, the general trade stores in terms of what they carry of our portfolio is a lot smaller tha n what the EBOs carry. And that i s not by design. It is purely based on what they ha ve chosen to carry and our efforts in terms of placing products with them. There itself, there is headroom in terms of increasing that penetration per store in terms of the number of styles and the options that they carry. So that is beyond the consumer, just making sure that more of our stores carry more of the brand would help us gain shelf share, would help us gain business at a secondary level. So these are two pieces that I believe should impact growth in general trade.

Anuj Sehgal: Got it. And just to clarify, on the EBO and LFS

Moderator: I am sorry to interrupt you. I request yo u to join the queue for more question, sir.

Anuj Sehgal: Yes. Thanks.

Moderator: Thank you, sir. The next question comes from Vidisha Seth from Ambit Capital. Please go ahead, sir. It seems the line is not active. Shall we take the next question, sir?

Karthik Yathindra: Yes, please.

Moderator: The next question is from She ela Rat hi from Morgan Stanley. Please go ahead.

Sheela Rathi: Yes, thanks for taking my question. Two quick questions. Fir st is with JKY Groove doing well for us, do we see a need to launch more brands in 2026? Are there any plans here?

Karthik Yathindra: Not more bran

ds. Again, Groove is not a brand on its own. We see it as a collection at this point in time. It does show the promise of maybe being the sub- brand someday, but it i s very early days. It still has the status of a collection within the product architecture. The success of Groove has been quite heartening this year. But a gain, I still maintain that it is early days and it i s a new territory for us in terms of the model in which we are operating. We ar e learning with every launc h. We want to build this so that it lasts and becomes a considerable part of our portfolio with a sound business model. So we just want to give it time. Meanwhile, there are a couple of other pieces that we are toying with. There is not much I can give away at this point in time, but yes , at least one out of those two I see coming to life in some form in the coming financial year.

Sheela Rathi: The second one is, thanks for the guidance on where we see our revenues by F Y'29 at Rs . 8,000 crores. I just want to understand, is this trajectory of revenue be largely organic or do we see an opportunity to make some inorganic acquisitions at some point if there is something interesting that comes along?

Karthik Yathindra: Well, the projection that has been given is for overall. It will be all the opportunities that comes our way and that we see meaning in investing in. We see inorganic opportunities within the existing business itself. These could be new channels that are coming up, quick commerce, the way it is g rowing and how much we can bring back to the business is a very inorganic avenue for us. International is an other inorganic avenue which we a re taking very seriously in the coming year. A lot of groundwork has happened in this area and we believe that should contribute to inorganic growth. New product spaces which I just spoke about are again inorganic avenues that come our way. Will this mean acquisitions? Will there be new brands, new licenses? At this point, we do not have visibility to that but as an organization we a re always open and we evaluate everything that comes our way, give it its due to understand whether it adds to the organization and makes sense to add to our portfolio and then we take a call accordin gly.

Sheela Rathi: Just one quick follow -up. Which other international markets are we focusing on right now?

Karthik Yathindra: We ha ve gained the license for, we ha ve always been in the Middle East but only in select markets like UAE, Oman and Qatar. We now have the license for Saudi. We have the license for Kuwait and Bahrain. So the whole of GCC now is a license page for Jockey which we see as a large market, much larger than our current presence in UAE, Oman and Qatar. That should be of interest to us to make a meaningful presence for the brands there. A lot of groundwork has happened in understanding that mar ket over the last one year and we expect to be launching there soon.

Sheela Rathi: Understood. Thank you very much, Karthik.

Karthik Yathindra: Thank you, Shee la.

Moderator: Thank you, sir. In the interest of time, that will be the last question for the day. I now hand over the conference over to the management for the closing comments.

Deepanjan Bandyopadhyay: Thank you everyone for joining. It was an interesting discussion today. We look forward to more such discussions.

Moderator: Thank you, sir. On behalf of Page Industries Limited t hat concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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